KNR Constructions (KNRCON)

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Call: Jun 2023

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To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Sub: Transcript of Earnings Call for Q 4 FY-23 held on 30th May 2023
Ref: Reg. 30 of SEBI (LODR) Regulations, 2015

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith submit to the Exchanges transcript of earnings call held on 30th May 2023 .

Please note that during these earnings call there was discussion regarding the value of order inflow targeted by the company and the management has indicated that the target for order inflow is approximately Rs. 4,000 crores to Rs. 4,500 crores. We would like to clarify that the management has erroneously mentioned that this target includes instead of stating excludes the recently won orders totaling approximately Rs. 2,000 crores. The order inflow target is over and above to recently won orders of approximately Rs. 2,000 crores. We request you to take note of the same while reading this transcript .

This is for the information and records of the Exchange, please.

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

“KNR Constructions Limited
Q4 FY '23 Earnings Conference Call”
May 30, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th May 2023 will prevail.
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MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. S. VAIKUNTANATHAN – VICE PRESIDENT , FINANCE – KNR CONSTRUCTIONS LIMITED
MR. K. VENKATRAM RAO – GENERAL MANAGER, FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of KNR Constructions Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchstone phone. Please note that this conference is being recorded. Please note this conference is being recorded.

I now hand the conference over to Mr. S. Vaikuntanathan, VP Finance, KNR Constructions Limited. Thank you, and over to you, sir.

S. Vaikuntanathan: Good Afternoon, everyone. Thank you for joining us today on the call to discuss the financial results for Q4 and FY '23. Along with me, I have Mr. K. Jalandhar Reddy, Executive Director; Mr. K. Venkatram Rao, General Manager, Finance and Accounts; and Strategic Growth Advisers, our Investor Relations Advisers. We have uploaded results and the investor presentation on the stock exchanges as well as on our company website. I hope everyone got an opportunity to go through it. We would like to touch on our recent key company updates and industry events, post which we will have a question-and-answer session.

The company has received 3 LOAs worth approximately INR2,005 crores as of below: One, Mysore to Kushalnagara with a bid project cost of INR 690.30 crores on HAM mode Package 5. Mysore to Kushalnagara with a bid project cost of INR650 crores on HAM mode Package 4. Number 3 is the Marripudi to Somvarappadu with a bid project cost of INR665 crores on HAM mode.

Of these projects, the company has signed concession agreements for Mysore-Kushalnagara Package 5 and Marripudi to Somvarappadu. The company has also received an appointed day for Chittoor-Thatchur Highway as on 25 January 2023. The company has received a provisional completion date as 2nd September 2022 for our Oddanchatram to Madathukulam Highway, which is 185 days ahead of schedule, includes 153 days of EOT. CRISIL has upgraded the rating of the company from AA minus positive to AA stable for long-term debt and reaffirmed as A1+ for short term.

Now I would like to share our thoughts on important industry developments. According to industry reports, NHAI has awarded a total of 6,003-kilometre projects in FY '23, which fall short of the target of 6,500-kilometre. Total value of projects awarded by NHAI worth INR1.26 trillion in FY '23, down 15% year-on-year. NHAI's highway construction pace increased 13% year-on-year to 4,882 kilometres in FY '23. In FY '23, a significant 54 percentage of the total project value was awarded to 5 states, namely AP, Bihar, UP, Jharkhand and Telangana.

As far as highway construction activity is concerned for FY '23 till February '23, the NHAI has constructed 8,054 kilometres of highway this financial year compared to the target of 12,000

kilometres of highway. The construction activity during FY '23 was impacted due to prolonged monsoon, which almost lasted till mid-November in some pockets of the country. Similarly, the NHAI has awarded 7,497 kilometres of highway projects on YTD basis. According to the industry reports as of April '23, the construction rate achieved is 17.4 kilometre per day, resulting in a total of 523 kilometres of highway built. This falls short of target of 45 kilometres per day. This deceleration in pace has raised concerns, particularly in anticipation of the slowdown during the monsoon se

ason.
Despite the slight slowdown in the industry, NHAI has met a new milestone by laying 100 kilometres of new expressway within 100 hours during the construction of upcoming Ghaziabad-Aligarh Expressway in Uttar Pradesh. The construction uses cold central plant recycling technology, which reduces the carbon emission. Earlier in August 2022, the NHAI has set the Guinness World Record by successfully constructing 75 kilometres continuous single bitumen concrete road between Amaravati and Akola on NH-53 in a record time of 105 hours and 33 minutes.
Coming to the FASTag toll collections. The total FASTag toll collection, including state highway toll plazas grew 46% year-on-year basis to INR 50,855 crores for current year 2022 from INR 34,778 crores in CY 2021. The growth in toll collections is mostly attributed to a pickup in economic activities as well as revision in toll price. The NHAI has implemented its toll fee hike of up to 7% across the country, applicable from 1st April 2023.
NHAI has prescribed that infrastructure construction firms seeking bid to national highway projects built through public-private partnership must now possess credit rating of BBB or higher. This new requirement aims to ensure that only financially stable firms are selected for these projects. Builders who fail to meet the credit rating benchmark for a project will be required to provide a letter from their bankers or financial institution during the bidding process. Highway Ministry sets parameter for private construction entities for the first time.
Now coming to the key updates of the company. The percentage of physical progress as of March 31, 2023, for the HAM projects is as follows. Magadi to Somwarpet at 72.2%. Oddanchatram to Madathukulam is 90.1%. Valanchery to Kappirikkad is 26.4%. Ramanattukara to Valanchery is 24.5%.
During the quarter, the execution has primarily been driven by HAM projects. Out of the INR 732.86 crores revised equity requirement for all the 5 HAM projects, the company has already invested INR 296.35 crores as on 31 March 2023. The incremental equity requirement of INR 437 crores, to be infused, INR 260 crores, INR 160 crores and INR 17 crores for FY '24, '25 and '26, respectively. You can refer Slide number 27 of the investor presentation for details on each HAM projects.
The toll collection for the Bihar project, that is Muzaffarpur to Barauni in Q4 FY '23 and FY -- and financial year 2023 has been INR 10.24 crores and INR43.71 crores. The company has signed a concession agreement for KNR Srirangam Infra Private Limited for HAM projects on 22 May 2023. The company has signed concession agreement for KNR Ramatheertham Infra Private Limited for HAM projects at 27 April 2023.

Now coming to the order book position. As of March 31, 2023, the company has an outstanding orderbook position of INR 7,092 crores. EPC Road Projects and HAM projects constitute 77% of the total order book, while litigation projects constitute the remaining 23%. Client wise, 15% of the orderbook is from third-party clients and balance 50% is from captive HAM projects. The third-party order book are noncaptive orderbook which accounts for 50% of the total order book position is skewed between state government contracts with 36%, whereas 11% is from Central Government and balance 3% order book is from other private players.
The current order book position remains healthy and provides a clear visibility of execution over the period of next 2 years. A robust project pipeline and ready DPR, under the Bharatmala project should accelerate the project awarding activity going forward. The company is targeting order inflow of INR 4,000 crores to INR 5,000 crores for the financial year 2024.
The company is exploring various other opportunities in the infrastructure, such as urban development to diversify the orderbook. The company is also active

ly bidding in the western
and central regions of the country such as packets of Maharashtra and Madhya Pradesh, etcetera.
I will now request Mr. K. Venkatram Rao, GM, to present the results for the quarter and financial year ended 31 March 2023. Over to Mr. Venkatram Rao.
K. Venkatram Rao: Thank you, sir. Please note that FY '23 standalone as well as the consolidated numbers include a profit on account of sale of balance 51% of the KNR Tirumala and KNR Shankarampet Project Limited and 100% stake of KNR Srirangam Infra Project to Cube Highway Infrastructure III Pte. Limited.
Let me take through the Q4 and FY '23 standalone financial performance first, followed by the consolidated financial highlights. I will start with quarterly highlights first. The revenue for the quarter grew by 63% year-on-year to INR 1,175 crores. EBITDA for Q4 FY '23 grew by 2% year-on-year to INR 211 crores as compared to INR 208 crores in Q4 FY '22. EBITDA margin in Q4 FY '23 stood at 18%. Net profit for the quarter was INR 128 crores as compared to INR 112 crores in Q4 FY '23, a growth of 14%.
Now coming to FY '23 highlights. The revenue for FY '23 grew by 14% year-on-year to INR

3,743 crores. EBITDA for FY '23 witnessed a growth of 6% to INR 721 crores as compared to INR 677 crores in FY '22. EBITDA margin in FY '22 stood at 19.3%. Net profit for FY '23 was INR 498 crores as compared to INR 381 crores in FY '22.

Now coming to the consolidated financial performance. I will start with quarterly highlights first. The company recorded a 13% year-on-year growth in total revenue from INR 1,102 crores in Q4 FY '22 to INR 1,245 crores in Q4 FY '23. EBITDA came at INR 245 crores in Q4 FY '23 as compared to INR 278 crores in the same period for the last year. EBITDA margin in the current quarter stood at 19.8%. Profit after tax stood at INR 141 crores in Q4 FY '23.

Now moving on FY '23 highlights on a consolidated basis. The revenue for FY '23 grew by 13% year-on-year to INR 4,062 crores. EBITDA for FY '23 witnessed a growth of 15% to INR 917 crores as compared to INR 798 crores in FY '22. EBITDA margin in FY '23 stood at 22.6%. Net profit for FY '23 was INR 439 crores as compared to INR 366 crores in FY '22.

Now moving on consolidated standalone balance sheet. The company continues to maintain a strong balance sheet. The working capital stood at 67 days compared to 63 days in the March '22. The standalone debt as of 31 March 2023 is almost 0. The consolidated debt as of 31 March 2023 is INR 610 crores as compared to INR 14,028 crores as of March '22. The net debt-to-equity on consolidated basis as of March 31, 2023, stands at 0.22x as compared to 0.55x as of March 31, '22.

With this, we can open the floor for question-and-answer. Over to you.

Moderator: The first question is from the line of Mr. Mohit Kumar from ICICI Securities. Over to you, Mr. Kumar.

Mohit Kumar: My first question is, sir, what would be our revenue guidance for FY '24. The growth was very strong in the first half of H1 FY '23, second half has been very tepid. Do you think we can grow at double digits based on the current order book in FY '24?

K. Venkatram Rao: Sir, definitely, we are expecting INR 4,000 crores plus is -- definitely, this is our internal target for next year FY '24. But definitely INR 4,000 crores plus will be our guidance actually for FY '24.

Mohit Kumar: Secondly, also on the order inflow. Last year, again, very tepid year for us. I think you barely got INR 2,000 crores of order inflow. But how do you see the pipeline as of now? And do you think there's any need to diversity to other segment and get some more order to ensure that we grow at double digit at the top line?

K.J. Reddy: Yes, sir, actually, current scenario concerned, National Highways Authority of India tenders are going at very unhealthy pricing. I can straightaway say it is unhealthy and due t

o which, I think it's overcrowded also today. There is a cutthroat competition which is happening.. So, in order to address our requirements of the order impact, we have been already sourcing projects in state governments and irrigation also we are getting a parcel and even urban infrastructure project like flyovers and all we are also getting.

Probably, we are also looking at railways and metros. So, with all that, we are open. It's an engineering-based business, so we are open to do that. So, we are now focusing -- actually, as of now, we have targeted around INR 4,000 crores plus order, out of which I think INR2,000 crores plus is achieved. Another INR 2,000 crores to INR 3,000 crores, which we are under focus, I think that will not be a greater -- I think that will not be an impossible task for us. I think we'll be able to achieve in coming 3, 4 months. (please refer note 1 on the 1st page of this transcript)

Mohit Kumar: Yes, sir. Right, so you're targeting INR 4,000 crores, right? Out of which already received some portion in it till date?

K.J. Reddy: Yes. Yes, sir. INR 2,000 crores plus we received actually. (please refer note 1 on the 1st page of this transcript)

Mohit Kumar: Are you talking about those LOAs to those HAM order, which --

K.J. Reddy: Yes, LOA's we received and the 2 packages, that Mysore to Kushalnagara and the AP project.

Moderator: The next call is from Mr. Ravi Naredi from Naredi Investment.

Ravi Naredi: Again, I am shareholder since last 10 years. So, I can say these are satisfactory results as far as tough time is going on. Due to rains going on all over India, any work loss we are facing this time?

K.J. Reddy: Yes, sir. Actually, due to rains, I think last year, if you take it, I think from April to almost we

have faced up to December. And most of our order being in the core rainy areas like Kerala and Mangalore, they are high rainfall areas. So, we have really suffered. This time, I think we had some rains in May, but I think it was under control. Still, we are able to make our target at least 80%, 85% we are achieving. So, kind of that it is continuing. I think hopefully, June month onwards, we are expecting monsoon also. There was news saying that 3rd onwards, the monsoon hitting the Kerala. So, it is likely to continue on that part, sir.
Ravi Naredi: Right. Sir, you have written in the Note number 9, company received an arbitration settlement amounting INR 323 lakhs and company share interest income is INR 759 lakhs. So, we must presume it will be around INR 11 crores revenue we received?
K. Venkatram Rao: That is in last year, sir, FY March '22 actually.
Ravi Naredi: March '22, it is. In the financial year '23, we didn't receive anything, right?
K. Venkatram Rao: No, no, no, sir. No.
Ravi Naredi: Likely to receive in near future, 6 months or 8 months, can you tell something?
K. Venkatram Rao: So, lots of arbitration awards are there, but they are at different stages with the courts.
Ravi Naredi: That is the reason I'm asking you. Any immediate you think it will come or...?
K.J. Reddy: Sir, yes, sorry to interrupt. There is a Vivad Se Vishwas. There is some circular which has come today, just today it has come. We are examining that. Definitely, that is under progress. I think NHAI or Ministry takes it very serious and implement that. Definitely, at least we'll realize our -- 50% of our claims will be realized.
Ravi Naredi: Okay. And what about this Andhra Pradesh -- Telangana government fund. How much is still due?
K. Venkatram Rao: Sir, we don't have exposure or anything in the Andhra Pradesh.
Ravi Naredi: Telangana.
K. Venkatram Rao: Telangana is there. As of date work done and including unbilled around INR 650 crores is due as of today.
Ravi Naredi: INR 650 crores. And old dues we have received, right?

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. Venkatram Rao: Old dues, almost we have received sir actually. So out of that, sir, around INR 500 crores outstanding was there at the 31 March 2023. And after that, we have certified around INR 200 crores billed and INR 60 crores in unbilled. And during -- from March till today, we have received INR 134 crores also. So old is almost we have received almost completely. Now these are the dues pending as of date.
Moderator: The next question comes from Mr. Devansh Goenka from Fusion Clothing.
Devansh Goenka: Yes, I just had a question regarding the speed of project awarding and the benefits that are coming to the company from the Bharatmala initiative.
K.J. Reddy: The Bharatmala tendering is happening. There's no this thing. But I think being market was very tight, there was a huge tender rally between December to March, but we were only successful in 3 projects, but I think not less than 70, 80 projects we have quoted because of the market being very, very competitive, we couldn't get much work sort of done. But otherwise, Bharatmala is being executed with high speed, there's no doubt in that.
Devansh Goenka: So, would you anticipate the market tightness to reduce over the next financial year? Or would it continue to be a slow market?
K.J. Reddy: Sir, actually, as we all know, that NHAIs has placed a very big failure in last 2 years, I think 30 projects have been failed literally in deliveries or getting financial closure or in the mid of the project acquisition they have been parted, the stages were there in that. So, I think this is throwing some negative signal to the bidders, so that they control themselves to refrain on a healthy side bidding, then this would solve the problem. Otherwise, this is going to continue for another 6, 7 months. I believe this is the situation, sir.
Devansh Goenka: Okay. And just one last question. Sir, from your new segments, which you mentioned bidding in the rail segment and bidding in other new segments, what the revenue share you expecting from those segments in a period of, say, 3 years from now?
K.J. Reddy: So actually, I need around -- as of now, we have -- every year, we need to add about INR 4,000 crores to 4,500 crores. But every year, it is going to increase because the turnover is going up, so we'll be needing more order inflow like. So likewise, we have targeted last year around INR 4,000 crores to INR 4,500 crores we have targeted to take, out of which INR 2,000 crores is taken and another INR 2,500 crores is pending for us. (please refer note 1 on the 1st page of this transcript)
I think the order which we are targeting is quite possible from irrigation or from state highway projects which are now -- you have seen Maharashtra is flooded with the projects, this Maharashtra state government projects have also flooded, expressways are coming. And state governments are also calling up on a lot of outer ring roads, regional ring roads and major -- the

city development projects are also coming up.
So, with all these I think we have a good takeover, where NHAI is having now unhealthy bidding. So, it's not that we'll keep quiet, but we'll be bidding. But the status ratio, which I'm not

expecting to be very good in NHAI. But I think the target what we have, I think it is quite possible to achieve in 4, 5 months' time.
Moderator: The next question comes from Mr. Vasudev from Nuvama.
Vasudev Ganatra: I just had a few questions. So first one is, what is the capex that we've done in Q4? And what is the capex that we're planning for FY '24?
K. Venkatram Rao: So, for this year, we did entire capex of around INR 140 crores in this year. Q4, we did around INR 40 crores. And for FY '24, we are planning somewhere between around INR 130 crores to INR 140 crores, same what we did in this year, same thing will be there for next year also.
Vasudev Ganatra: Okay. Got it. And is it possibl

e to give the revenue split for Q4 between irrigation and the road projects?
K. Venkatram Rao: Yes, the revenue split for Q4 for irrigation is around 25.73%. And for HAM it is 40%. And for other EPC is 22% and back-to-back is around 12.5%.
Vasudev Ganatra: Okay. And sir, you said that our Telangana receivables currently is INR 650 crores, right?
K. Venkatram Rao: Yes, correct, sir.
Vasudev Ganatra: Yes. So, in Q4, what is the amount that we've received?
K. Venkatram Rao: In Q4 -- sir, what has happened that receivable as of 31 March is INR 502 crores. From March till today actually, we have received around INR 134 crores. For Q4 also -- we will check and give that data separately.
Vasudev Ganatra: Sure, sir, no problem. And so, you said that you're targeting around INR 4,000 crores to INR 5,000 crores of new orders for FY '24. So, is it possible to give a split between various segments like how much of that would be from roads and from urban and railways or if we are looking for any orders in FY '24 from segments?
S. Vaikuntanathan: See, majorly, we are concentrating on highway projects and as explained by ED also. We are also trying for the state highways and irrigation projects. So, the figures, the tenders are yet to be announced. So, it may take some more time for us to give the exact figure by which date we'll be bidding.
Vasudev Ganatra: Okay. No problem, sir. Then next question is on the irrigation payments. So, like what amount did we receive in Q4? And what is the irrigation debtors outstanding as of March?
K.J. Reddy: That's what sir, Q4 data, I will give you separately.
Vasudev Ganatra: Okay. No problem. And just lastly, sir, as far as I remember, we had some around INR 300 crores outstanding from the Cube deal which was pending approvals from NHAI. So, have we received that amount?

K.J. Reddy: This -- we have closed that transaction in this -- already 51% stake in the 2 projects and balance 100% stake in Srirangam. Entire deal is closed. We have received the entire amount.
Moderator: The next question comes from Mr. Nikhil Kanodia from HDFC Securities Limited.
Nikhil Kanodia: Congratulations on the decent set of numbers. Sir, I had 2 questions for you and one clarification. So, if I heard it correct, then you said that you are targeting somewhere around INR 4,500 crores of order inflow this year, of which INR 2,000 crores you have already achieved. Correct?
S. Vaikuntanathan: Yes. (please refer note 1 on the 1st page of this transcript)
Nikhil Kanodia: Sir, are we not kind of underestimating the targets because the thing is like when you are looking at other sectors also and like you have achieved 50% in just 2 days of the year, then I guess INR 4,500 crores is very much achievable. So, are we not kind of underestimating the targets over here?
S. Vaikuntanathan: We are not restricting particular orders or particular sector. We are on the lookout for different sectors. So, depending upon the receipt of orders from various sectors, we plan it. But overall, what we expect is up to INR 4,500 crores, INR5000 crores or we may be in the position to receive. It's also depending upon the number of tenders that the respective agencies like NHAI and other agencies are coming out with. Now in the last 3 months, suddenly NHAI tenders have slowed down. So, our overall order portion is that, but we will be open up for different sectors, and we will try to take within that target that we have.
Nikhil Kanodia: Okay. Sir, what is your bid pipeline currently?
S. Vaikuntanathan: See, actually, now we have to come out with some 5, 6 tenders in the month of May, which has

already been postponed once again. So, we have wait for the date.
K.J. Reddy: Actually, the order inflow is concerned, there is almost 26 projects are on bid out from Maharashtra state government, the Pune ring road all are there other, and there is a bi

g scope
that is coming up. And Telangana government is also coming up with some irrigation projects, I think around, I think 4 or 5 projects are in package. And apart from that, NHAI projects always -- they have awarded quite a big number of projects in month of March. So, they were all bit occupied in making those agreements and calculations on those projects which have been bided out.
So, I think that's why they postponed the tenders as of now. I think June onwards, the tenders will also be started for bidding. So, I think with all that and apart from that, in city works are also coming up with flyovers and all in many states. Like Karnataka has now just formed a new government, I think another couple of months we'll have to wait for their action to be taken. Like there is some bridges work which are coming up in Pune, Nagpur, even some bridges are coming up in Bihar also. NHAI is also -- Ministry is also calling some bridge works.
MORTH is also calling on some 2 lane projects. So, all our there in the bucket. I think going forward, apart from that, metros also coming up. Metros we'll be focusing in coming period. Initially, we are investing to go with a joint venture partner and all. So, let's -- the scope is open,

sir. Let's try. I think the target is very less what we have because if we would have not taken the INR 2,000 crores order earlier, we would have been under little pressure. Now, I think we have some time because we need to take a quality order which we are looking at. Otherwise, just for taking order, I could have taken many more.
Nikhil Kanodia: Okay. What I feel is like when you said that so many opportunities are coming up, the INR 4,500 crores for annual target seems a little bit on a conservative basis, but never mind.
K.J. Reddy: Yes. (please refer note 1 on the 1st page of this transcript)
Nikhil Kanodia: Sir and if you could give us some guidance on that --
K.J. Reddy: Sir, actually, it is not that we will not be taking more than that. It's the minimum target what we had in that mind. See, once the market is bad, if we go with our minimum target, that is better. If you take projects which are high competition in the huge order in size, then there will be every scope that you will go wrong, and you will end up with lesser margins. So here, we are only talking of INR 2,000 crores because the market is as such now. (please refer note 1 on the 1st page of this transcript)
Nikhil Kanodia: Okay. Fair point, sir. Sir, on the working capital days, if you can give us some guidance, how much are we expecting it to bring it down by?
K. Venkatram Rao: It is right now 67 days. Last year, it was 63 days. So, we assume that it will be there somewhere between the same -- because now NHAI has already extended this whatever the circular, Atmanirbhar circular, they have extended till 31 March 2024. So, we expect that we could be able to maintain this working capital for the next 1 year.
Nikhil Kanodia: Okay. And sir, one more point that I wanted is, what is the margin guidance?
K.J. Reddy: Margin guidelines, I think EBITDA levels and all we were reporting 14%, 15%, 16% levels could be there. Hope for the best, sir. Internally, we are targeting as good as we have delivered. But various components which are now coming up is that we are hearing more about in the news that crude oil may go up and all that, and recessions are -- many, many countries are entering into recessions. So even equipment supplies, and the prices are likely to go up and input prices like cement, steel are also likely to go up. Maybe this rainy season they will be a little bit down. Every year it is like that. But once they bounce, they bounce like anything. So those things are to be factored in. So, with all that, I think I'm very confident to deliver those levels. We'll try our best.
Nikhil Kanodia: Okay. Sir, one last question, if I may

. Sir, what is the irrigation receivable as of March?
K. Venkatram Rao: As of March, it's INR 500 crores.
Moderator: The next question comes from Bharani Vijay Kumar from Spark Capital.
Bharani Kumar: So, can you tell your sense of what will be NHAI's ordering numbers for FY '24, it was INR 1.26 lakh crores in '23.

K.J. Reddy: Those figures concerned; I think that figures are not with me. Maybe we will try to gather that

and give you.
Bharani Kumar: So, put another way, 6,000 kilometers was lower than their expectations. So, any idea of their target for FY '24, given there is still more than 10,000 kilometers to be awarded in Bharatmala Phase I. Will it all be awarded before the election? Or how will it be in your sense?
K.J. Reddy: Sir, actually -- yes, sir, before election, there should be a rally, which we are thinking. But NHAI has not come up with any bigger scheme that how many they are going to build. But bid pipeline is very heavy, which we have seen because they called the bids and they're getting postponed. So as of now, I can see almost 70, 75 tenders are there. But they are supposed to happen in May and April, but they could not happen. Now they are passing through June and July, I believe. And those kilometers are comprising almost 4,000, 5,000 crores kilometers. So overall a year, they'll do a better awarding.
Bharani Kumar: Better than last year?
K.J. Reddy: Yes.
Bharani Kumar: Okay. Secondly, on the continuing tightness as you call it, in competition or in the NHAI, it's basically due to higher competition, etcetera. So, when do you think that this will ease -- or because most contractors like yourself are concentrating on diversifying. So, is it almost like the roads as an opportunity is getting more and more uninteresting for contractors? Is it like how it is, or you think maybe 1 or 2 more years, it will again get better?
K.J. Reddy: Yes, sir. It's quite a good question. Actually, as of now, we are under the impression that NHAI has margin, but the margins were not just like that, but the responsibility is also heavy. You take an EPC project, hardly, we have a margin about 5% or 4% on that after PAT and all. But the responsibility to maintain that stretch is for 10 years. In some places, it is 7 years. So, the responsibility is concerned, it is very heavy.
So, one get a margin today, they may not be able to maintain it because the maintenance kitty what they are giving some NHAI, what they are paying in the contract, it is very less. It is not even supporting the staff maintenance and labor maintenance. Materials too, it is another big deal. So that way concern every project should have some buffer fundings, so that tomorrow if there is a maintenance that come up, they should spend on it. Major maintenance, any of they are externally paying, but minor maintenance comes heavily which nobody can do anything about it. So that's the risk which we are carrying.
So, every time we bid, we counter all these factors and put our bids. Even HAM project is 15 years maintenance. So there people are thinking 5% margin is enough for them, but tomorrow even that many banks are complaining of this that the bidders are considering very less amount for the maintenance.
As NHAI is considering very small amounts, they are also started continuing those small amounts and telling the bankers it is the standard thing. So, I think this perception needs to be changed. So, to change, I think people should learn by experience that whatever they are making

-- are catering fund for maintenance, it is not enough, then the changes will come. I think most of the people have learned. I think they will also learn in future.
So, until this time, I think this bidding is going to continue like this or if they are all the bidders whoever want the project, the

y get it funded and the additional supply of bids are there, then only the market should go well. I think I'm not thinking in coming 1 year it is going to be having a better perception.
So first, however, how much ever you need, you could take it and that too -- with a better margin. I think coming 1 year, we should rely upon state government, not on national highway, according to me. But it's not that I'll keep quite. I'll be trying my best. If I'm lucky enough, I would get some projects at the margins which I'm expecting.
Bharani Kumar: Okay. So, to summarize, maybe this year again will continue to be like this for you and for other contractors?
K.J. Reddy: And I'm expecting that. It is my expectation, nothing else.
Bharani Kumar: Got it. So final question, when you're talking about the state clients now, of course, the NHAI as a client is better given the payment history, etcetera. But when we go to states, it gets a little tricky. So, which are these clients that you like to work with? You mentioned Maharashtra state government. So, is it MSRDC or any other?
K.J. Reddy: MSRDC is quite good in payments. Tamil Nadu HD department is quite good in payments. KSHIP and Karnataka Road Development Corporation is also good in getting all the projects. Odisha PWD is good. And Madhya Pradesh is coming out with projects. It's also a good one. Madhya Pradesh there is irrigation projects are also coming up. They are also good players, which have been -- I heard. So, I think Southern states concerned, quite good, sir. There is no problem.

Bharani Kumar: So, in all these only, I think Telangana you didn't mention, of course, because of our history.
K.J. Reddy: Telangana is mentioned, sir, once the election is over, then we will be able to know what it is. The election is very near. I think in the November month, the election will be over. So, if the same government is coming up, I think they'll be bullish enough to invest and pay in time. If new government come up, we do not know what's happening.
Bharani Kumar: Okay. So, if this new government comes up, is there any threat for our INR 1,500 crores of orders -- order book in irrigation that we have?
K.J. Reddy: No. Actually, these projects are almost 60% above executed. Even the worst-case we have considered last time that whoever have done 25%, those projects were cancelled in Andhra Pradesh. So, 60%, 50% above projects are not likely to cancel. If they cancel, they don't amount that bad, they will scrap the project. So that is very remote chance that anybody just for the sake of showing opponents have done wrong, they will scrap the public money. This is normally not going to happen.

Bharani Kumar: So, hoping for the best, all the rest, and we'll keep at it, sir.
Moderator: Our next question comes from Mr. Vaibhav Shah from JM Financial Limited.
Vaibhav Shah: Sir, when do we expect to receive the ADs for the 3 newly won HAMs?

K.J. Reddy: Sir, actually, according to schedule, it is around 5 months from the date of signing the agreement. But again, it depends on the land that is available. All the 3 projects which we have taken, they have -- they are all greenfield express highways. So, the greenfield highway is concerned, it is quite difficult to say when they will be able to achieve the land acquisition. Now current stage is 3D is published. I think they should go for further 4D and 3H.
Vaibhav Shah: Okay. And sir, what could be the expected equity investment in these 3 HAMs?
K. Venkatram Rao: We expect around INR 80 crores each, around INR 240 crores will be the investment. But definitely, that is subject to the year financial closure. So tentatively, it is around INR 240 crores.
Vaibhav Shah: Okay. And sir, we received AD for Chittoor-Thatchur HAM in Jan end, but the execution for the quarter was nil. So, any particular reason for that as execution?
K. Venkatram Rao:

Because actually now because we have received in the month of Jan only. So, in the month of Jan only appointed it. So, there was no billing till March, but April -- so in this quarter, we will start the billing in this quarter.
K.J. Reddy: I think almost 14% to 15% progress is there on that project. I think the 10% threshold that we get -- the first start of payment from 10%. So, I think that was not processed before March. That's why this is not there. I think the April quarter, it will be there.
Vaibhav Shah: Okay. And sir, lastly, what would be your estimate for irrigation revenue in FY '24 and '25?
K. Venkatram Rao: Generally, irrigation revenue will contribute around 25% of order book. So definitely, '24, we are expecting somewhere around INR 1,000 crores, maybe around INR 900 crores to INR 1,000 crores actually. And balance will be the next year. If we are getting some further new irrigation projects as told by ED, then -- generally, irrigation is cutting between 25% to 30% in every year.
Moderator: Our next question is from Mr. Prem Khurana from Anand Rathi Shares.
Prem Khurana: Congratulations for the numbers. Sir, you spoke about some of these newer segments where we are going to venture into now because roads, the competition has been intense. But as I understand, I mean, even in some of these other segments, I mean there is competition. And when I look at the margin profile that these projects entail, I mean, some of the newer things that you identified are somewhat inferior to what we generally target with roads.
And roads, we already have efficiencies and economies of scale, which is that, I mean, we are somewhat able to kind of optimize our numbers. But since these would be somewhat new

segment where I mean, we don't have much size as of now, how would you kind of look at margin profile when you're bidding for these projects?
K.J. Reddy: Yes, sir. The first thing concerned is, major focus is given in highways. The rest of that metro and all, no doubt they have lesser margin. But there is a standard kind of margin per se. Now today, NHAI is not even giving 2%, 3% margins.
Some tender I have seen, which has gone about 42% less. So, at that point of time, how can you expect me that such tenders will give me some good results and what we are now getting from the other sectors like railways, we're talking about metros or flyover projects. So, these areas are -- okay, the -- they have some standard income kind of thing. Even they are lesser, but there is

some standard in it.
Prem Khurana: So, we are willing to settle for that?
K.J. Reddy: Actually, the problem is any company cannot be comfortable in any one sector. Like if I'm looking at only metros, definitely, I'll not be able to make a good balance sheet. But I'm in irrigation, I'm in highway, I'm in flyover project. I'm also in metros and all that is coming up. So, the percentage of risk that comes on each sector is distributed and somewhere we get good, somewhere we get little lesser. So overall, the balance sheet will be good.
Prem Khurana: And I think the recent past have we participated in any of these newer segments, I think in between, we were trying to get something in Lucknow on metro side.
K.J. Reddy: Sir, actually, yes, sir, we tried that. After that, we didn't try because we were quite busy in NHAI projects. As of now, we couldn't get the bid, because early April -- May only we -- there was no bid. Otherwise, the flood of bids were coming from past 6 months, 5 months, one that we were working, and we couldn't get time to focus on them. Now we are focusing lets see, sir. I think the newer sectors and all we will only go with 10% to 20% of our business in that time, initially to start with.
Prem Khurana: Sure. And also, I mean the highlight, I mean, you spoke about, I mean, targeting some new orders from Telangana on the irrigation side, at

least with the orders that we have today. I mean,
it's been -- although we are able to get our payments now, but then you took some time to be kind of able to stabilize in terms of payment cycles.
So where are we getting comfort from to go and bid for more projects there and also because of the fact that there are elections due right in November? And if you were to look at some of these instances that we've had in some of these states, like in Andhra and then now subsequently in Karnataka.
So does it make sense to go and bid for Telangana irrigation orders now because ultimately these will be state orders again. And with the existing, I mean, the payment cycle seems to be a little slower than our expected. Have you made any changes in the contract terms so that to kind of assure you of better payment cycle?

K.J. Reddy: Yes. Actually, sir, that concern is that now what is happening certain amount which is getting pending. But looking at the margin size, they're good enough margin -- only because the Telangana government is not offering any mobilized advances. So, the serious players who want to do the project, they are only coming up and there is a quite sensible bidding that is happening only in the State of Telangana.
Second, sir, if you have little bit sustainability, I think these margins and payments are assured because Telangana being a richer state than any other, since this is the election year and the previous experiences were there on the diversification of funds towards the COVID management and all, so there have been certain backlogs. I think they are even trying to clear and even the pump house project, if they clear that loan issues and all, I think we'll be having free flow of payments coming in.
And most of it, I think we are quite confident that, okay, there can be 5%, 10% of the payments would be pending, but rest all is getting clear. So, some days, we will get clear with all our payments. That's what the gut feeling is there. But if you go into the other state and all, there's no guarantee of such. I mean just for comparison, I'm saying... But it can be a little bit risky also, can't say. But looking at the margins, it is a bit tempting.
Prem Khurana: And just one last. So, our Palani project is already done and we completed 185 days ahead of schedule. So, any thoughts on monetizing this?
K.J. Reddy: The process is going on, sir. The monetization process is going on. I think Cube have given their quotes and I think further study which is going on.
Prem Khurana: Okay. So, EOD of 6 months should ideally be the day to kind of consider as early...
K.J. Reddy: Yes, yes. Company has taken a policy to be asset-light. So, which is likely to continue for all the coming up years.
Prem Khurana: Okay. And then not asking for the number, but then is it fair to think the valuations would have been somewhat better than the last transaction because your repo rates have gone up, bank rates have firmed up, which is where -- I mean, they are doing better than what these were doing, let's say when the repo rates were down.
K.J. Reddy: Sir, actually, now what happens after due diligence gets completed and then the complete valuation is out, then only we'll be able to say what is the real outcome that you compare with the previous ones.
Prem Khurana: No, I want to understand directionally. I mean, given the fact that the gap seems to have widened, right, I mean, in terms of bank rate of 300 and rate at which you are able to borrow, ideally, it should lead to valuation multiples which ideally could be better than what we could manage the

last time.
K.J. Reddy: I think it is better. Venkat, you just tell that.

K. Venkatram Rao: That's what they have quoted on it. We are working on that. It is under discussion. Definitely, once it is formalize

d, we will come back to you.
Moderator: Our next question is from Mr. Nikhil Abhyankar from ICICI Securities.
Nikhil Abhyankar: Most of the questions are answered, but you kept on going back to the same topic that the competition in the NHAI orders is very high. So as per you, sir, what are the measures that NHAI can take to reduce this competition while keeping all the serious players in the race?
K.J. Reddy: Yes, sir. Actually, NHAI is not taking any measure, sir. Because as of now, it is -- if I want to bid in any state government, so few of the projects I'm not getting qualified. Though I can qualify in NHAI for INR 3,000 crores ticket size or INR 4,000 crores ticket size, also I can get qualified here. The qualification criteria in NHAI is very, very liberal and has no sense. Any dam and dopes can come and take a bid here. So that is that the liberalized and due to which they are facing this problem.
And second, the bank guarantees and all earlier, it was a bit higher. Now they're cutting down to 3%, 3.5%, 2.5%, whatever they did all that. So, sir, actually, NHAI is not serious -- not seriously considering making things better.
Nikhil Abhyankar: Okay.
Nikhil Abhyankar: Any discussions around reducing the HAM grant to 20% from the government side? That might reduce the competition...
K.J. Reddy: Yes, the discussion was there, and they continue to be quite positive on that. But I think it is that PMO level the decision was not taken.
Nikhil Abhyankar: Okay. So most likely not before the next year's election.
K.J. Reddy: Maybe, sir.
Nikhil Abhyankar: Okay. Sir, just a final bookkeeping questions, can you give me retention on UBR and mobilization advance?
K. Venkatram Rao: Yes. The retention money, it was INR 237 crores. And mobilization advance is INR 156 crores.
Nikhil Abhyankar: Unbilled revenue, sir.
K. Venkatram Rao: Unbilled revenue is INR 450 crores.
Moderator: Our next question is from Mr. Faisal Hawa from H.G. Hawa and Co.
Faisal Hawa: Sir, I'm actually sensing that probably we are still a little afraid of getting into industries like metro and other, where we will not have enough experience as of date. So is it because of -- we may get stuck in something in more unknowns that we are not venturing more into something else, because now our balance sheet is actually very strong, and we can probably do a few new ventures. So, is it because of that that we are not going?

And second, sir, as the projects that we have already completed like to the tune of almost 25% or 50%, are we looking to sell those projects also like we did last time where we sold much before the rest of the people, and I mean that is really sending us in good state at the balance sheet level?
K.J. Reddy: So yes, sir, actually, it's not that we are a bit reserved in doing it. We are doing the cementing construction, similar as metros in Coimbatore flyover, and we did Salem flyover, that expertise we had. And the electromechanical works, nobody is doing themselves. Even track laying, nobody is doing that. There are agencies who are consulting the firms, they help in doing it. That's the scenario.
So, there is no big deal by which companies like us are restricting ourselves to go. It is only so actually this year, we haven’t considered because you’re right that we haven’t considered this year because only the reason is that we were having a target about INR 4,500 crores minimum target because it's a tight market, we were expecting only to get INR 4,500 crores.
So, the pipeline was very good from NHAI only. So, we refined or we stayed on NHAI to strike our luck kind of thing. So, I think almost 70, 80 bids we have completed in 4, 5 months span. So, all that time, we were busy. So, we didn't do. I think not much considerable except BMRC, that is Bangalore Metro Rail project is concerned. Rest all other, there is no big deal which have

come out also. So going forward, we'll look at it.

Faisal Hawa: And are we okay for selling the 2 Kerala projects and one more project to Cube or somebody just much before the completion?
K.J. Reddy: Actually, much before means that we are getting various offers from players, which we are now considering. I think as and when they get signed or it comes to solid conclusion, we'll definitely let you know on this. And we are considering to go asset-light as of now, and we want to go on asset-light.
Faisal Hawa: can you give an approximate range of what is the free cash flow that we could generate this year assuming that we do a turnover of around INR 4,700 crores or so?
K. Venkatram Rao: INR 4,000 crores of turnover, we could be able to generate -- we can generate around -- PAT plus depreciation will be somewhere around INR 550 crores.
Faisal Hawa: So INR 550 crores free cash flow we can generate.
K. Venkatram Rao: Yes.
Faisal Hawa: And any chances of this Muzaffarpur toll road also being sold further?
K. Venkatram Rao: Actually, we are -- it is there in our kitty to sale, but we are trying to get the investor. But because this project is due to -- there is some issue in the project as the adjacent stretch has not been completed. So that's why total revenue is not up to the mark. So, we are not getting the proper value for that. But it is under discussion. But so far, no investor has come further for that.

S. Vaikuntanathan: Already, the NHAI has awarded certain clients and also extension of concession, which we are now asking the NHAI to form a concession committee to take higher client value and also the concession period. And as we said, the discussion is going on. It may take some more time. So once -- we'll try to structure as a profitable project, then we'll sell it.
Moderator: Due to time constraint, that was the last question. I would now like to hand the conference over to Mr. Vaikuntanathan, VP, Finance, KNR Constructions Limited for closing comments. Over to you, sir.
S. Vaikuntanathan: Yes. Thank you all for joining us on this call. Please reach out to our investor relations consultant, Strategic Growth Advisers, or else directly, should you have any further queries. We can now close the call. Thank you.
K. Venkatram Rao: Thank you very much, sir.
Moderator: On behalf of KNR Constructions, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

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Date: 23rd August 2023 Ref: KNRCL/SD/2023 /613&614
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings Call for Q1 FY -24 held on 16th August 2023
Ref: Reg. 30 of SEBI (LODR) Regulations, 2015

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith submit to the Exchanges transcript of earnings call held on 16th August 2023.

This is for the information of the Exchange, please.

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

“KNR Constructions Limited Q1 FY24 Earnings Conference Call ”

August 16, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th August, 2023 will prevail

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR , KNR CONSTRUCTIONS LIMITED
MR. V. NARASIMHA RAMANA , SR. VICE PRESIDENT - TECHNICAL
MR. S. VAIKUNTANATHAN – VICE PRESIDENT FINANCE , KNR CONSTRUCTIONS LIMITED

Moderator : Ladies and gentlemen, good day and welcome to KNR Constructions Limited Q1 FY24 Earnings Conference Call.
This conference call may contain forward -looking statements about the company which are based on the be liefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict .
As a reminder, all participant lines will be in the li sten only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. K Venkat ram Rao – GM, Finance from KNR Constructions . Thank you and over to you , sir.
K. Venkatram Rao: Thank you. Good Morning everyone. Thank you for joining us today on the call to discuss the Financial Results for Q1 FY24.
Along with me, I have Mr. K. Jalandhar Reddy – Executive D irector , Mr. S. Vaikuntanathan - Vice President (Finance) and Strategic Growth Advisors , our Investor Relations A dvisors. We have uploaded Results and the Investor Presentation on the Stock Exchanges as well as in our company website. I hope everyone got a n opportunity to go through it.
We would like to touch upon a few key company updates and the industry events post which we will have our question and answers session . We have signed a Concession Agreement for our 3 HAM projects with NHAI for a total bid cost of Rs. 2,005 crores for Mysore to Kushalnagara HAM project Package 4 on 28th June 2023 , for Somvarappadu of Bengaluru - Vijayawada Economic Corridor HAM project on 27th April 2023 and Mysore to Kushalnagara HAM project Package 5 on 22nd May 2023. CRISIL has u pgraded its outlook on the long -term bank facility of KNR Constru ction s Limited from AA -/+ to AA /Stable. Further , the short term rating is reaffirmed at CRISIL A1+ for our strong financial stability and business operation process .
I would now like to share our per spective and the significant industry development. Based on the industry reports, it has been observed that there was a decrease in the road construction and awarding activities during the first quarter. In the first quarter of the fiscal year 2024, only around 600 kilometer was awarded for road construction with a cumulative construction length of approximately 2 ,000 kilometer . The projects annual awarding for the year is estima ted to be approximately in the range of 8 ,500 kilometer to 9,000 kilometer . With a General Election around the corner, the government continue s its thrust on overall infrastructure development. The same is also reflected in the MoRTH's commitmen t to utilize substantial portion of its FY24

budgeted capital expenditure by December 23. This also augurs well for this sector, as this will result in good project awarding activities towards H2 of current financial year.
In the first assets monetization deal of the year, NHAI will sell 2 Highway Bundles - Bundle 11 and Bundle 12 for over Rs. 6,000 crores. The Toll -Operate -Transfer mode is used to monetize these Bundle s. The NHAI expect TOT assets monetization to raise Rs. 10,000 crores to Rs. 15,000 crores this financial year. NHAI hope to monetize Rs. 45,000 crores in FY2023 -2024 including other models such as infrastructure investment plus NHAI S pecial Purpose Vehicle over assets securitization model. The 600-kilometer -long Varanasi -Kolkata Expressway connecting district in Bihar and Jharkhand before entering W est Bengal is named NH319B by NHAI . The cost of the project is estimated to be in the range of Rs. 34,000 crores to Rs. 35

,000
crores. The acquisitio n of land is likely to be expedited after the naming . The completion of the expressway will reduce the travel time between Kolkata and Varanasi by less than half.
The NHAI recorded a Toll collection of more than Rs. 4,300 crores , Rs. 4,500 crores and Rs. 4,300 crores in the month of April, May and June respectively . From vehicles equipped with FASTag the amount exceeded by average monthly FASTag fees collection for the fiscal year 2020 -2023, which amounted to Rs. 3,841 crores in each month of the year 2023 up to until the month of June . The monthly revenue has consistently exceeded Rs. 4,000 crores.
Now coming to key updates of the company, the percentage of physical progress as of June 30,

2023 for the HAM project is as follows : Magadi to Somwarpe t - 75%, Oddanchatram to Madathukul am - 93%, Valanchery to Kappirikkad - 42%, Ramanattukara to Valanchery - 40%, Chittor to Thatchur - 11%. During the quarter the execution has primarily been driven by HAM projects .

As of June 30, 2023, the company has already invested Rs. 404 crores out of Rs. 732.86 crore s to revive equity requirement for all the five HAM projects. The additional equity requirement of Rs. 330 crores t o be infused as rupees Rs. 146 crores and Rs. 161 crores and balance Rs. 22 crores in FY24, FY 25 and FY26 respectively. You can refer to slide number 24 as the investor presentation for the detail on each HAM project.

The Toll collection for the Bihar project that is Muzaffarpur to Barauni in Q1 FY24 is Rs. 11.63 crores . Now coming to the order book position as of June 30, 2023 , the company has an outstanding order book position of Rs. 6,265 crores , which comprises of EPC road projects and HAM projects, which is 75% of the total order book . While the irrigation project comprises of remaining 25% . When broken down by the client , 53% of the order book is from third party client and balance 47 % is from the captive HAM project s. The third party order books are non-captive order book accounts for 53% of the total order book position. This percentage is skewed between the state government contract at 38% and 11% for central government and balance 4% are the bookings from the other private players. The current order book position remains healthy and provides a clear visibility of the execution over the period of next 2 years.

Unde r the Bharatm ala project our robust project pipeline and completed DPR Detailed Project Report , should expedite the project regarding activity in the future . The company is t argeting an order inflow of Rs. 4,000 crores to Rs. 5,000 crores for F Y24. Even though there is a cut -throat competition for the NHAI tender, our company is actively exploring our merit of the opportunities within the infrastructure sector, including Urban Development such as Flyover , Metros with the primary objective of diversifying our order book.

Our company is diligently engaged in the pursuit of lucrative and appropriate bidding oppo rtunities in the Western and Central region of the Madhya Pradesh, including selected areas, Maharash tra, Madhya Pradesh and others.

I will now present the results for the quarter ended June 30, 2023. I will take you through first by the Q1 FY24 stand alone financial performance. The revenue for the quarter grew by 4% year -on-year to Rs. 930 crores. EBITDA for Q1 FY24 grew by 5% year -on-year to Rs. 173 crores as compared to Rs. 165 crores in Q1 FY23. EBITDA margin in Q1 FY24 stood at 18.6%. The net profit for the quarter was Rs. 110 crores as compared to Rs. 101 crores in Q1 FY23, a growth of 9%.

Now coming to the consolidated financial performance , The compa ny recorded flat year -on-year growth in the total revenue of Rs. 980 crores in Q1 FY23 to Rs. 981 crores in Q1 FY24. EBITDA came in at Rs. 216 crores in Q1 FY24 to Rs. 211 crores in Q1 FY2

3. EBITDA margin in the current quarter stood at 22%. Profit after tax stood at Rs. 133 crores in Q1 FY24 vis-à-vis Rs. 91 crores in Q1 FY23.

With , this we can open the floor for question and answer .

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Sir, the first question is on the order inflow , so we have already said that we are looking at Rs. 4,000 crores to Rs. 5,000 crore s for this year , so 2, 3 things to understand from this aspect , so first is how much orders that we have alr eady bid ed and the outcome is yet to be known ? Second is Rs. 4,000 crores to Rs. 5,000 crore s is it entirely from the road sector because we mentioned that we are, looking at segment like Urban and the Metro, so what kind of opportunities or the inflow are we looking at for this year? Second in terms of the competition related to this, because most of th e road companies haven't seen the order inflow till now , so do you think that there will be a competition and we will be able to get the orders at the required margin that we are looking at?

Jalandhar Reddy : Good morning, everybody , sir a ctually, the order inflow concerned first, I would like to place the issues before you that NHAI order bidding process has not been started. There have been few bids which have been done in this month first week , but later we found all of them have

gone postponed , I think last week of this month they have been postponed after few tenders and few tenders are postpo ned to the next month. So, kind of that we are heading in NHAI , so we are even trying some bids in the irrigation projects. There had been some pipeline which is coming up. I don't say that we have placed bids . They are coming up in a way that Telangana Irrigation projects also there . MP also there are irrigation bids and Rajasthan also there are irrigation bids whose Pipeline considerably from Telangana around Rs. 3,500 crores bidding is likely to happen in coming this month or next month and MP also, I think MP we will have in the last week of this month, around Rs. 2,900 crore s, Rajasthan also around Rs. 2,000 crore s bids are there. So, I think there are lesser size bids also, but we are focusing these sizes. As a token, we want a bigger one , so that we are trying and I think as of now, you asked the question that as of now, how many bids which you have already placed in the pipeline kind of thing . At present , I think the few bids placed in Tamil Nadu region that NHAI , they have not yet opened . So, except very few bids of Greenco (14.05) , we don't have anything on pipeline for this matter. And some pipeline projects also we are looking at and some North East also, we are looking at . In Rajasthan like some pipelines are also there . From that, we have Northeastern part of India , we have some tunnel projects around Rs. 1,500 crore s size projects , which we are trying to focus and the Joint ventures we are even starting with our old partner, Patel Engineering , we are discussing in contin uation and SEW also we are in continuation with discussions and even we are trying some discussions with NCC (Nagarjuna Construction). So, this time we have solid try that we are making to enter in all these and try to get a good shape and at least I can say that I will do all my efforts , whatever it happens, it is going to happen. We will be able to make whatever required order s.

Shravan Shah : Sir just to understand that further a bit more, you mentioned you have placed a few bids if you can specify how many projects ? And what is the value and in which segment we have already placed where the outcome is yet to come ?

Jalandhar Reddy: Actually, Sir Madurai -Rames waram road, there are 3 bids I think they are of size

800, 700 , all
that things only.

Shravan Shah : From the road side particularly, so you already mentioned in terms of the irrigation 3 States and the value, but from the road side, broadly how much are we looking at in terms of the planning to bid now ? And in terms of th e competition, so do you think that whatever the road projects that we are trying will it be mostly in the HAM or in the EPC because given the less order already there from the NHAI side, so there will be a more competition in the EPC space ?

Jalandhar Reddy : Yes, actually there some Maharashtra bids are there which are of EPC nature , but I think if you look at the EPC market concern, there is no healthy kind of margins that are available in any of the Indian S tate Government concerned or in the concern ed with the NHAI also. So, here most have come out with some tenders, they are mostly of nature EPC only , but NHAI is coming up with HAM . As of now, little bit bright scope is there in HAM only sir, so hopefully whatever the pipeline even I told about some Tamil Nadu projects, they are also in the HAM nature only.

So, we can hope to get some projects from HAM only as of now. MSRDC, that is what I said Maharashtra projects I said in the state gover nment, some MSRDC projects are also there. They are of EPC nature . We are trying our best in that.

Shravan Shah : Now coming to on the revenue part, so last time we said that we are looking at close to Rs. 900 crore s to Rs. 1, 000 crores, kind of the revenue from irrigation, but this quarter broadly, there is very less or nothing kind of a revenue in this quarter. So, whatever the outstanding Rs. 1,500 crores - Rs. 1,600 crore s irrigation order book is there , so how one can look at in terms of the revenue for this year and next year ?

Jalandhar Reddy : So, revenue concern, the order book is about say Rs. 8,000 crores , this 8 ,000 crores needs to be completed in 2 years ' time, so more or less we are sticking with the figures of Rs. 4,000 crores plus which we would like to do this year . Only that this rainy season has gone very bad during that August as well as July and even in June , so that we are a little bit of shaky, but otherwise overall we will be good in the year and we will try to catch up whatever we are lo sing in the rainy season , in upcoming 3rd and 4th quarters .

Shravan Shah : Yes, my major question was on the irrigation front , so this quarter end ed, but revenue booking was nothing , so whatever is the outstanding ?

Jalandhar Reddy : The payments are problematic in irrigation. It is again, we can even think of some election, so there should be some another trend which is likely to happen in irrigation. So, we are hoping this month or next month by 15th onwards, whatever th e remit we get, depending on that, we like to gear up the thing s, that is what we are thinking for now and I think revenue booking in irrigation has not happened in this quarter that Venkat a will briefly explain you.

K. Venkatram Rao: Actually, in this quart er we did irrigation around 23% that is close to Rs. 200 crores . In HAM we did around 45% and our R oad EPC s, we did around 27%. So, this Rs. 200 crores, Rs. 210 crores we did in Q1 for irrigation and definitely whatever the balance for Rs. 800 crores to Rs. 900 crores revenue definitely will come through the irrigation, but that will definitely subject to what will be the payment from the irrigation . So, there is outstanding of almost as of now around

Rs. 690 crores including billed and unbilled also. So, we expect that definitely there will be some clarity on the payment, then definitely we will achieve the revenue what we have projected.
Moderator : Thank you. Next question is from the line of Sandeep Agarwal from Naredi Investments. Please go ahead.
Sandeep Agarwal : Sir my question is , sir Magadi, Somwarpet and Oddancha

tram project physically progress is only 2% to 3% this quarter , so any specific reason?
Jalandhar Reddy : Magadi, Somwarpet, t he land is not available for another 39 kilometers. For rest all is concerned , we have already applied for PCOD and the authority engineer has approved that, but there is

some ADB clearance is required. So, it was sent to ADB for clearance. Once it comes down, I think they are going to announce PCOD, P rovisional Completion Certificate for that, but around 39 kilometers still pending , out of which bits and pieces they were providing around 2 kilometers , 3 kilometers , so that is where the progress is both Magadi and Somwarpet . Another good thing is around 7 .5 kilometers they just hand it over on 10th of this month , 5 days back. So, now we are gearing up in that area there is a full bypass is there and they are taking some decision in 12 kilometers which is in the complete forest. They want to go into the existing roads instead of going for a Greenfield development there, so that is going to little bit if they take that decision, another 12 kilometers will come into the hand. So, that is the reason there is no progress and Palani concerned that means Oddanch atram – Madathukulam concern we got PCOD and there is bits and pieces are left over . So, I think 7 kilometers, 7.5 kilometers they have provided in the past 4 months and we have almost completed and they are now requesting us to do around the half a kilometer length 0.26 kilometers and another, there is an approach to the under pass that is in the sta te highway. So, those areas if they hand over, we have to do it. I think it is only Rs. 20 crores, Rs. 25 crore s worth of work is pending , that is it. Which we will be doing in the subsequent 2 months, 3 months . Most of it I think Oddancha tram – Madathukulam, we got some bonus also around Rs. 2 crores bonus we have received .
K. Venkatram Rao: That is also accounted in the June quarter itself that Rs. 2 crores bonus .
Sandeep Agarwal : Sir my next question is regarding our three new projects , so what you have the cumulative equity investment required in these projects and the time period for these investments ?
K. Venkatram Rao: Actually, we have existing 5 projects for Somwarpet, Palani , this Kerala 2 project and Chittor – Thatchur. Equity requirement for this initially invested Rs.732 crores. Out of that, Rs. 404 crores were already infused , balance around Rs. 330 crores we expect that this balance for FY23 -24 we will infuse around Rs. 14 5 crores and for FY24 -25 which will be around Rs. 160 crores and balance in FY25 -26.
Sandeep Agarwal : Sir my question is regarding 3 new projects which will be ?
K. Venkatram Rao: Equity r equirements will be around Rs. 225 crores , so this year, actually FY23 -24, we may not require invest in this year, but based on the availability of the appointed date actually most probably you can see 50% in the next year only and balance 25 %-25% in the balance 2 years.
Sandeep Agarwal : Last one is CAPEX plan for the current year and next year?
K. Venkatram Rao: Current year , first quarter we did a CAPEX of around Rs. 33 crores and we expect that this year CAPEX will be in the range of around Rs. 100 crores to Rs. 120 crore s because it is definitely subject to ability of the receiving the good orders in the irrigation and other sector . But definitely , we expect that because these 3 project s also we may expect appointed date maybe somewhere in the end of this year. So, there m ay not be much requirement for the CAPEX this year, Rs. 100

crores to Rs. 120 crores and next year is definitely based on incoming of the order inflow. We have to plan next year.
Moderator : Thank you. Next question is from the line of Sandeep Dixit from Nest Egg Investments.

Please go ahead.
Sandeep Dixit : So, first question is the top line of the revenue and EBITDA on June ‘21, that is June quarter of last year, those included the 3 projects for 2Q , am I right?
K. Venkatram Rao: Yes, correct it is there .
Sandeep Dixit : So, that means that this Y-o-Y comparison of Rs. 980 c rores is not really comparable because this quarter you would not have those three, am I right?
K. Venkatram Rao: Yes, sir. Definitely, sir. These 3 project s are not there in this Q1 FY24 .
Sandeep Dixit : So, then can you please give us a comparable growth -rate for EBITDA and revenue s comparable those of last year? Instead of Rs. 980 crores , what could it have been?

K. Venkatram Rao: But generally, sir, what is happening , suppose 3 project is not there, other projects will be added in this year like this if this year we have started Chittor – Thatchur, that is there in this year, but then definitely when we present the financial, we present the financial not in project wise as a company ove rall wise. So, last year 3 project s were not there but this quarter this our Kerala project was there and Chittoor – Thatchur was there. So, definitely, we can compare as the company as a whole.

Sandeep Dixit : So, the second question was related to your gu idance last call you had said Rs. 4,000 crores topline for this year ? And what could be the guidance for the margins?

K. Venkatram Rao: Margin is definitely because right now we have achieved around 18.5.

Jalandhar Reddy : Election is coming down , sir, so little bit of shakiness will be there in this , that we are expecting, but I think it could be at the tune of 2% to 2.5% provided the input material variations are not there .

Sandeep Dixit : I am sorry , I did not understand the answer. Are you saying it would be 2% to 2.5 % lower or higher than last year?

Jalandhar Reddy : We are expecting 2% to 2.5% lower because this state is heading towards elections , so we hope irrigation payments will not be that even they are now irregular , but still they will be stopped during the election period that is what we are thinking. Apart from that, the most problematic thing is that they could not solve the problem with the Pump House project which is the NABARD loans and all , so regarding that we are a little bit worried as of now . So, the situation

is a little bit not favorable. And due to elections and all, then nobody is going to focus on these issues, I believe. But I think in a couple of months whatever you get you will get , we are trying to recoup as much as possible and keep ourselves in a safe zone which we are trying . So, that is why I say it could be 2%-3% we are expecting there should be a some downtrend towards it , but concerned most probably provided this variation will not go further down depending on the steel , cement, as well fuel prices and all.

Moderator: Thank you. Next question is from the line of Vasudev from Nuvama Wealth Management. Please go ahead.

Vasudev : So, my first question is, how much is our pending receivables from the Te langana government?

K. Venkatram Rao: Sir this pending receivables as of today is around billed and unbilled is around Rs. 690 crores.

Vasudev : And can you please help me with the debt and the cash levels at the standalone level?

K. Venkatram Rao : Standalone debt is zero actually, as of 30th June and cash is around Rs. 85 crores is there as of 30th June .

Vasudev : And s ir, if you can just speak a little bit more on our diversification plan , so you already said that we are looking into more segments , so what is the exact progress over there and something more on that?

Jalandhar Reddy : I have answered in brief to the first question I have answered about our entry into the various states in irrigation as well, some tunneling projects also we are focusing at North Eastern

part of India, some pipeline projects in Rajasthan, we are looking at , irrigation projects in MP, Telangana and Rajasthan also we are trying a nd MSRDC roads, MSRDC is a new area for us , we are now trying an entry into it. And apart from that, we will examine the metros and all, b ut as of now, there is no solid thing that has come before us. So, we will even open for that and urban infrastructure projects also we will look at a little bit closely on that . Earlier , we were only limited to Tamil Nadu as well and all , but now upcoming whatever, wherever the city developments are happening, we will focus on that.

Moderator : Thank you. Next question is from the line of Faisal Hawa from HG Hawa & Company. Please go ahead.

Faisal Hawa : What is the ROCE the R OE for this quarter in our company ? And secondly, sir, are we excluding any orders which have not been finalized from the final order book because if I remember correctly the order book was Rs. 9,200 crores in March a nd today yo u have said it is Rs. 6,200 crores ? And third is sir, a re the mines that we had bought in Kerala contributing now to reducing our purchase cost for the blue metal?

Jalandhar Reddy : In Kerala?

Faisal Hawa : In Kerala, we had bought the mine for our raw mater ial requirements , so are they now contributing to reducing our costs and increasing our EBITDA margin ?

Jalandhar Reddy : Yes, actually what is happening, earlier we have started procurement with Rs. 19 per cft in Kerala , now it has gone to Rs. 32. To that tune, we are little bit under control, but actually the problem is with one qu arry we have acquired and it is giving almost around 80 %-85% efficiency ,

but the other one we are able to do only 60% efficiency because in night times they are not allowing working in those quarry that is in the Manjeri areas there. So, that quarry, th ey are not allowing in the night time, the locals . We are even pursuing the matter seriously with the district administration as well as state administration also and the NHAI has also pursued the matter with the state government. If anything happens, it is okay. Otherwise , we are trying to buy certain aggregate s, I think to the tune of 30%-35%, we wi ll have to buy it.
Faisal Hawa : But it would have given us at least 2%-3% points more on EBIT DA for this project itself ?
Jalandhar Reddy : Of course that is giving already . I think it is contributing quite a good sum on that.
K Venkatram Rao : Sir, in your question of return of capital employee and return of equity, it is around 18 % as of June a nd as far as order book is concerned, we told actually Rs. 6,500 crores and that exclude this order book of three HAM projects because we have to yet to do the financial closure and achieve the appointed date , if you include this if you see , it is around Rs. 1,800 crores , it will be around Rs. 8,000 crores order book as of June.
Faisal Hawa : From the previous participant 's question, actually I think his question was that the last year's revenue included our sales of the projects to Cube , so there was a one time event , so if we remove that sale of the projects to Cube, what is our growth in sales in this first quarter?
K. Venkatram Rao : Actually, two things are there because we are doing EPC work for that project. As far as K NR is concerned, what are the profit we earn from Cube , we will show as the below item , extraordinary items. We will not include in the contract income. So, what we want to say that it is the three project what we have sold to Cube, the EPC work what we did in the Q1 that has been added in the last year Q1 and other pro ject like Kerala and this Chittoor -Thatchur that project added in Q1 FY24.
Faisal Hawa : Sir, will our debt reduce further in the coming quarters
K. Venkatram Rao : As of now, it is zero only.
Faisal Haw

a : No, on consolidated basis ?
K. Venkatram Rao : On consol basis debt has contained basically of our Muzaffarpur -Barauni project and Palani project . We are already working with the different investors for monetization of these assets. Muzaffarpur as we already told in the previous presentation, we are working on that, but we are

not getting any positive response from the investor , but as far as Pa lani and our new HAM project is coming, we are getting the positive response from the investor and definitely in the due course actually , we may enter the monetization of these assets . Once we monetize th ese assets, then our debt will definitely further reduce.
Faisal Hawa : That debt c ould be monetized in this financial year itself?
K. Venkatram Rao : Financial, w e will try it, sir. Already we are having the discussion with the prospect ive investor , sir and we may do actually . In this financial layer, definitely we can expect it.
Moderator : Thank you. Next question is from the line of Ji ten Rushi from Axis Capital. Please go ahead.
Jiten Rushi : Sir, on the joint venture which you highlighted, we are having joint ven ture with Patel Engineering, NCC and one more entity, s o can you just name the third entity and we are having joint venture?
Jalandhar Reddy : I said SEW, we are trying joint ventures in various projects to be entered from irrigation front. Irrigation, we already having the experience in dam construction as well as pump house construction , it is not complete yet. O nce it is 90% completed , then only the certificate is considered as a completion certificate for us. So, for that matter, as such all the dams, canals and all we have . Pipelines and certain specialized works in dams , we will be needing some joint ventures. So, which we are sorting that parallel ly three agencies we are in discussion with which I told you, one is with Patel Engineering Limited and second one is NCC and third one is SEW .
Jiten Rushi : And sir, this tunneling works in North East, w e can do it independently or it would be in joint venture?
Jalandhar Reddy : Tunneling project , we don't have expert ise, sir, so we will be going with the partner ship sir.
Jiten Rushi : But work will be done 100% by us , probably that is the thought process ?
Jalandhar Reddy : Yes.
Jiten Rushi : Also on the irrigation project, as you said, that is still pending and we are targeting revenue of almost to Rs. 900 crores, obviously we have booked revenue of 23 % Rs. 200 crores plus this quarter , so are you confident of achieving this revenue or you wil l slow down your execution?
Jalandhar Reddy : Actually, yes, this is a bit of dilemma which we are h aving, but we have spoken 2 weeks ago with the state government people. They are very keen and they want us to do the pump house , pump, suppl y of pump and addition of pump also they wanted to do.

Jalandhar Reddy : Palamuru irrigation also, they got clearance from NGT now stating that they are very bullish also, but payment they are expressing that yes we will do it but we don't have any solid a ssurance as of that. We will look at our own risk factor and do it.
Jiten Rushi : Yes, sir what has happened is our cash has come down and probably we then we will be looking for working capital loan in couple of months that can be another option for us if at all ?
K. Venkatram Rao : Jiten, as far as cash is concerned, definitely we have receivables of around Rs. 880 crores out of that HAM receivable s around Rs. 650 crores are there , so that we have not drawn the d ebt from the banks we have to save our IDC actually. So, definitely when cash requirement is there , so far we are able to manage with our internal accruals and definitely when require the money we will go for disbursement fro

m these and take the money . Cash conservation not an issue because receivable s are there which can be liquidated in the one month times only. So, we are not really seeing definitely there is any possibility of the cash, the cash is there in the system .
Jiten Rushi : Sir, you said that you have to procure aggregates from outside of 30%-35% for the Kerala project , so you said that the cost of aggregates per cubic feet has gone up from Rs.19 to Rs.32 , that is what you are trying t o say ?
Jalandhar Reddy : Yes, sir. Actually, earlier, why we bought the new quarries in that area i s only to keep the aggregating control. The two quarr ies for two projects we bought and there t he requirement of each project is about 20 lakhs metric ton. Wh ile buying also, we were very well known t hat we will have to procure a certain percentage from the market, s o given a thought that at least you have a captive qu arry, so your projects will be controlled in the market. So, initially to started with it worked very well, but later other projects are also started in the region of adjacent project s also picked up and everybody want to aggregate from the local people, so local people they started raising their demands and from Rs. 19 it has gone to Rs. 3 2 as of now and even that also, availability is a big question because whenever there is a rain they will announce the orange zone , red zone , then that time, we will have to keep the qu arry shut down because of environmental rules and one query know , I said in the Manj eri area we are operating a quarry where we are only allowed in the day, night times we are not allowed to do the quarrying operations as well, crushing operations . Generally, we do it day and night then we are having a good production , it will meet our production requirement. So, with all these around 30 %-35% we have to buy in the local market. So, we are even sourcing the permission from Tamil Nadu government also because we have completed the Oddanchatram -Madathukulam project where we have around supplies about 2,00,000 metric tons we have which we want to transport it to the railway. So, the permission is under progress. Once they give permission , we will be transferring those material s and which is falling very cheaper , I think Rs. 32 the market price is there , now within Rs. 30 we are able to reach the site by railways from Tamil Nadu. So, it is okay with the proposition , which we are trying also.

Jiten Rushi : Sir, so last question, you have identified the list of projects wh ich you are going to participate in future in multiple sectors so can you highlight the total size which you are going to bid for in next coming 6 months from roads, irrigation , pipeline , tunneling in various states for MSRDC , so what is the size we are going to participate for the value ?
Jalandhar Reddy : Around Rs. 49,000 crores now under pipeline that means I can see the list of selected projects.
Jiten Rushi : This is for NHAI you are talking about or total?
Jalandhar Reddy : Total , all of them , all put together.
Jiten Rushi : And NHAI how much?
Jalandhar Reddy : Actually, the NHAI pipeline, if you look at it, the pipeline was around Rs. 70,000 crores – Rs. 80,000 crores was there, but with all the postponements and all our collected project s are only around Rs. 20,000 crore to Rs. 2 5,000 crore in this. I think we have only 13 -14 projects li sted focusing in this month or upcoming month. Maybe we will add some more in future and irrigations and all concerned, ye s it is about say Rs. 45,000 crores we are now looking at.
Moderator : Thank you. Next question is from the line of Prem K hurana from Anand Rathi. Please go ahead.
Prem Khurana : I think in your comment somewhere, you said Telangana government needs to engage with NABARD for the payments fo r the pump house pro

ject and which is you are waiting for that clarity to come through and go-ahead pump house part , so could you please elaborate on this what exactly did you, I thought this project is funded and the money is suppo sed to come from NABARD and they already started disbursing money , so why is it that the incremental disbursements are taking time?
Jalandhar Reddy: Actually, sir, that there is some grant amount which need to be paid by the state government. That is one p roblem apart. Another problem is to sort that that debt ratio that is called FRMP

limit it has gone beyond the expectations or the limitations given by the Telangana Government . So, those areas, the BJP government is very serious on these guys. So, the banks have little bit stopped that funding and they need to support that issue once that is sorted out , these payments are likely to happen. I said we had a meeting with the state government personnel , they said if the banks are not paying , in fact, t hey wanted us to go ahead with the pump supply and erection of the pump. We said we wil l have to almost Rs. 200 crores we have to place as the investment. We were a littl e bit scared which we told them, then they were the opinion that if not, it is paid through the banks we will directly pay from state government kitty that is what they were assuring, kind of that which we need to little bit take a call on this and go ahead.

Prem Khurana : So, we were planning to place the order with BH EL for this pump hou se and you are waiting for the government to kind of extend you confirmation that you are allowed to go and open your LCs, fair to assume that till the time you get to have clarity from the government of comfort

from government that yes, you go ahead, open the LCs and we will pay you on time, till then you will go a little slow, at least on this procurement part , you will still continue with the civil part only or you could go and invest from your pocket and get the equipment required for the ?

V. Narasimha Ramana : No, right now we are going ahead with the LCs opening and all that because if you see, there is also a lot of expe nditure from overhead , so we are parallelly talking to the government and in fact LC and all that together we visited BHEL also for seeding of the supply of the pump and the space and everything. So, we will not stop , we maybe little slow that is it, o therwise will not stop.

Prem Khurana : And so the JV that you spoke about with the NC C, Patel and SEW that you intend to have for the projects, the se would only be for PQs or the work will also be shared ?

V. Narasimha Ramana : We will take the quali fication and execution we will do only.

Prem Khurana : So, you will pay some sort of royalty and keep the entire?

V. Narasimha Ramana : Whatever you said that to the comfort of JV we wi ll do that , otherwise full execution will be done by us.

Prem Khurana : And just one last bookkeeping, if you could share the consolidated debt and the co nsolidated cash balance, please?

K. Venkatram Rao : The consolidated debt is Rs. 575 crores.

Prem Khurana : And how much is the cash?

K. Venkatram Rao : Consolidated cash maybe around Rs. 100 crores.

Prem Khurana : 85 is standalone and console is 100, so Rs. 1 5 crores is the gap .

K. Venkatram Rao : Right.

Prem Khurana : But s ir, I think when I look at our presentation, it seems I may have received good amount of grants in this quarter from NH AI towards the construction activity and we also infused some money in these projects right around Rs. 110 crores .

K. Venkatram Rao : Yes.

Prem Khurana : And the number that you gave in terms of 45% of the total topline has come from HAM, s o which essentially would mean a lmost Rs. 400 crore is the number that you would have booked in terms of revenues , but then ideally the receivables from hy

brid annuity SPVs should have come down right, because we have done Rs. 400 crores worth of work and the SP Vs at Rs. 110

crores from you and significant money come from grant, so why is it that the exposure to SPV has gone up or there is hardly any cash balance in the SPV?

K. Venkatram Rao : Under-HAM section NHAI will pay only a grant of 40%. So, but E PC player would get money from the bankers and they put their equity and then they make the payment to the EPC contractor , so NHAI, what are the money we are receiving from NHAI that is not sufficient to clear the entire EPC deal . So, balance, 60% fo r that already we are tied up for equity and debt. So, definite ly that we have to draw the debt only, we can able to pay up to the EPC contractor , but as of June actually , we don't have the debt in the books , but as of now again because now cash position is comin g down because we are not able to get the receiv able from the irrigation. So, we will start taking disbursement from the bank actually and paying to the EPC contractor .

Moderator : Thank you. Next question is from the line of Deepesh Agarwal from UTI Asset Management. Please go ahead.

Deepesh Agarwal : My first question is, there seems to be a lot of opportunity coming up of pumped hydroelectric power projects given our experience in the water and irrigation domain would you be eligible to participate in thos e projects and would we be looking at those projects?

V. Narasimha Ramana : Hydroelectrical , we didn't yet look at it , we may, because our earlier joint venture partner is

already into hydro and we may see some exploring the possibility.
Deepesh Agarwal : And secondly, if I give you a comment, lot of projects you are looking at are outside the Southern region, so w hat is drivin g it, i s it over or urge to diversify or is it that in th e Southern region there are not much project ? And secondly , what will be the implication on our profitability out there once we are in a better margin than the certain project because of the mobilization ?
Jalandhar Reddy : Better we say that rather looking at the margin fronts at all, it is to keep us at lea st to lubricated, we need order inflow. So, wherever we get we want to go now.
Moderator : Thank you. Next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : So, did we receive any money from Telangana government in the year today?
K. Venkatram Rao : Transition from June t his quarter we received actually from package 3 actually , total around Rs. 180 crores of the payment we received from the Telangana government during this year actually.
Vaibha v Shah : In Q2?
K. Venkatram Rao : From April to as of date .
Vaibhav Shah : So, the outstanding amount is Rs. 690 crores or Rs. 650 crores and that is as of June or currently ?

K. Venkatram Rao : That is as of currently , Rs. 650 crores what we told in the last quarter that i s as of May actually , what Rs. 690 crores we are telling as of today .
Vaibhav Shah : And secondly, sir, on the bid pipeline side, you mentioned that for Rs. 49 ,000 c rores is the bid pipeline, so of that highway is Rs. 25,000 crores and rest is irrigation?
K. Venkatram Rao : Irrigation pipelines and tunnels.
Jalandhar Reddy : So, pipeline is very big. We are only choosing for tender in Northeast part of India. As far as tunnel is concerned it is smaller kind of size. So, going forward, we wi ll look at it, sir. First, we would like to understand how the bid goes and what sort of margin , it is kind of testing the water.
Vaibhav Shah : And sir lastly, what is our EBITDA margi n guidance for FY 24?
Jalandhar Reddy : FY24, I have really said that around 2.5% to 3% depends on irrigation cash inflows. It may increase or go down. It may be

as we are giving earlier or it may be around by 2% to 3% based on the irrigation investment, provided that fuel, cement , steel, all input prices are in control.
Moderator : Thank you very much. I now hand the conference to the management for closing comments.
K. Venkatram Rao : Thank you all for joining us on this call. Please reach out to our Inves tor Relations consultant, Strategic Growth Advisors or us directly should you have any further query. We can now close the call. Thank you.
Moderator : Thank you very much. On behalf of KNR Constructions, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

KNR Constructions Limited.
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Date: 21st November 2023 Ref: KNRCL/SD/2023 /656&657
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings Call for Q2 FY-24 held on 15th November 2023
Ref: Reg. 30 of SEBI (LODR) Regulations, 2015

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith submit to the Exchanges transcript of earnings call held on 15th November 2023.

This is for the information of the Exchange , please .

Thanking you,
Yours Truly,
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q2 FY202 4 Earnings Conference Call "

November 15, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 15th November 2023 will p revail

MANAGEMENT : MR. S. VAIKUNTANATHAN – VICE PRESIDENT (FINANCE) – KNR CONSTRUCTIONS LIMITED
MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR -

KNR CONSTRUCTIONS LIMITED
MR. K VENKATA RAM RAO – GENERAL MANAGER
(FINANCE & ACCOUNTS) – KNR CONS TRUCTIONS
LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to KNR Constructions Limited 's Q2 FY202 4 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinio ns and expectations of the company as on date of this call. These statements are not the guarantee s of future performance and involve risks and uncertainties that are difficult to predict. As a reminder , all participant lines will b e in the listen -only mod e and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this confe rence is being recorded. I now hand the conference over to Mr. S. Vaikuntanathan , VP (Finance), KNR Constructions Limited . Thank you and over to you Sir !

S. Vaikuntanathan : Good afternoon and wishing everyone present on the call a very Happy Diwali and a prosperous new year . Thank you for joining us today on the call to discuss the financial results for Q2 FY202 4. Along with me I have Mr. K. Jalandhar Reddy , Executive Director ; Mr. K Venkata Ram , General Manager (Finance & Accounts), and Strategic Growth Advisors, our Investor Relation Advisors . We uploaded the results and investor presentation on the stock exchanges as well as on our company website . I hope everyone got an opportunity to go through it . We would like to touch upon a few key company updates a nd industry events post which we will have a question -and-answer session .

During the quarter we have achieved financial closure of three of our new NHAI HAM projects with a total bid cost of Rs.2005.30 Crores that is number one for Mysore to Kushalnagar a HAM project P ackage 4 of NH AI declared September 27, 2023, as date of financial closu re whereas for Package 4 September 21, 2023, has been declared as financial closure date by NHAI. For Ma rripudi to Somvarappadu HAM project Package 13 NHAI has declared Se ptember 21, 2023, as financial closure date. Further , post closure of th

e
quarter on October 12, 2023, NHAI has issued a provisional certificate of completion for our Magadi -Somwarpet HAM project which is executed by our SPV - KNR Somwarpet Project Infra Private Limited declaring June 27, 2023, as PCOD date. Th e project has achieved PCOD three days ahead o f the revised schedule of comple tion dat e.

I would now like to share our perspectives on the significant industry developments . According to CRISIL Infra structure Yearbook 2023, India's infrastructure spending is projected to double to Rs. 143 lakh Crores between 2024 and 2030 compared to amount spend from 2017 to 2023 . This signifies the government 's strong determination to enhance the nation 's infrastruc ture and support economic growth through substantial investments in

 line with this estimate in FY2024 the target for highway construction has been increased to 13,800 km compared to 10 ,331 km constructed in FY2023. However active m onsoon and ongoing challe nges in timely obtaining vacant right of way i.e. ROW has caused a significant decline in highway construction during month of September with only 371 route kilometers being completed . NHAI has ambitious plans . Over the next three years NH AI aims to constr uct an average of 4500 kilometers of new highways ann ually. T hese projects will be monetized by a combination of InVIT and T oT model and this approach enable d NHAI attracting private sector participation and expertise. Industry sources indicate that the government plans to expedite the monetization of operational highways in the upcoming years aiming to raise approximately Rs.2 trillion funds by leveraging the value of existing highway a ssets , the government aims to unlock capital for further infrastructure development including a sustained investment flow. NHAI is expected to play a crucial part in achieving this target awarding new projects worth over 1.5 lakh Crores before the end of current financial year. Notably N HAI has alr eady taken proactive steps b y floa ting bids for projects worth Rs. 90,000 Crores. Contrary to the estimate stated earlier there is a slowdown in awarding activities . An ambitious target of 1 2,500 kilometers of new highways is set for FY 2024 by MoRTH, NHAI, and NHI DCL. NHAI is poised for meeting half of the s et target. This raises concern about meeting the set target and calls for a closer examination of the factors contributing to the subdued activity . Stakeholders will be closely monitor ing the situation and looking for strategies to revitalize the awarding process to ensure the timely development of our highway infrastructure. There is a shift in project timelines for bidding EPC and HAM projects. T he bidding is delayed and pushed to second half of the fiscal year . In a further devel opment not only have many new highway projects have been shifted from first half to second half of FY 2024 b ut even the bid due dates for several projects originally set for October 2023 have been postponed to Novembe r and beyond . This delay i n bid due da tes raises concern about the overall timeline o f further project execution and completion. It suggest s that there may be additional factors at play further complicating the awarding and initiation of this project. The industry recognizes the significance of timely resolution of land acquisition as it plays a pivotal role in expediting project execution . By addressing these issues promptly, the government can create a favorable environment for the bidding process and subsequent construction activities . Industr y experts remain optimistic that the government authorities will swiftly r esolve land acquisition and other pertinent issues thereby making funds available for bidding an d construction of proposed new projects . This proactive approach is crucial to achievi ng the ambitious highway awarding p

roject of 12,500 kilometers before the end of the fiscal year .
According to the ICRA report, the anticipated moderation in toll collection growth for FY2024 ranging from 6 % to 9% primarily attributed to the softening of Wholesale price

 index that is WPI . Looking ahead to FY 2025 we expect the to ll collection grow th to maintain a steady pace of 6 % to 8%.
Now coming to the key update to the company, the percentage of physical progress as of September 2023 for HAM project is as follows : Magadi -Somwarpet 78%, Oddanchatram -Madathukulam is 97%, Ramanattukara -Valancherry is 45%, Valancherry -Kappirikkad is 49%, and Chittor -Thatchur is 3 0%. During the quarter the execution is primarily driven by HAM projects . As of September 30 , 2023 , the company has already invested Rs.457 Crores out of 99 2 Crores revised equity acquirement for all the eight HAM projects. The additional equity requirements of 535 Crores will be infused Rs.95 Crores from 311 C rores and 65 Crores and 64 Crores for FY2024, FY2025, FY 2026 and FY2027 respectively . You can refer to the slide #27 of the investor presentation for detail s on each HAM project.
The toll collection for Bihar projects is Muzaffarpur -Barauni in Q2 FY 2024 is Rs.9.43 Crores and for H1 FY2024 it is Rs. 21.12 Crores. As mentioned earlier we have received financial closure KNR Rama theertham Infra Private Limited , KNR Sriranga natha Infra Private Limited , and KNR Kaveri Infra Private Limited. We expect the appointment date for this to be received du ring Q4 FY 2024. India rating and research has maintained its outlook for K NR Construction s, the rating of IND A A stable for long term bank facilities and IND A1 for short term bank facilities. This rating ind icates a stable outlook for KNR 's credit work in the long run reflecting strong ability to meet its financial obligations.
Now coming to the order book position , as of September 30 , 2023, the company has an outstanding order book position of Rs .5,673.2 Crores i t comprises of EPC road projects and HAM p rojects which is around 72% of the total order book while irrigation project comprise d of remaining 28%. W hen broken down by the clients 5 5% order is from third party clients and balance 45% is from captive HAM projects. Th e third -party order book on our noncaptive order book accounts for around 55% of the total order book position. The percentage is skewed between state government contracts a t 41% and 12% for central government and balance 2% of book is from other projects. The addition of three new HAM projects, the order book position will be R s.7,453 Crores which comprises of 79% from road project and rest 21% from irrigation. The current order book position remains healthy and provides a clear visibility of execution over the period of next two years. U nder the Bharatmala project s a robust project pipeline and completed DPR , detail project report should expedite the projects awarding activity in future. The company is targeting an order inflow of Rs.3,000 to 4 ,000 Crores for the balance of FY2 024. We hav e been actively pursuing diversification in our operations recognizing a paramount importance in ensuring resilience and sustained growth. D iversification is not merely a strategic choice it is a

 commitment to the future. Our company is resolutely engaged in seeking out lucrative opportunities in new geographies and unconventional project types such as tunnels, railways, irrigation and in other states on metro development. This deliberate effort aims to not only navigate the present challenges but also to p osition ourselves adva ntageously for the future. I will request Mr. K Venkata Ram Rao, our GM to present the results for the quarter ended September 30 , 2023. Over to Mr. Venkata Ram Rao

!
K Venkata Ram Rao: Thank you Sir. Let me take you through the Q2 FY2024 and H1 FY2024 standalone financial performance followed by the consolidated highlight s.
Before del ving into number I would like to highlight that Q2 FY2023 and H1 FY2023 include receipt of the bonus from one of the HAM project s for amount of Rs.7.26 Crores and share of revenue from two of its joint ventures from amount of R s.24.61 Crores on account of sale of its arbitration claims and therefore the performance on year-to-year basis is not comparable. I will start with quarterly highlight first. The re venue for the quarter grew by 11% year-on-year to Rs.941 Crores . EBITDA for Q2 FY 2024 was Rs.166 Crores as compared to Rs.189 Crores in Q2 FY 2023. EBITDA margin in Q2 FY 2024 stood at 17.7%. Net profit for the quarter was Rs.99.9 Crores as compared to Rs.107.6 Crores in Q2 FY2023.
Now coming to H1 FY2024 highlight s, revenue for H1 FY2024 grew by 8% year -on-year to Rs. 1871 Crores . EBITDA for H1 FY2024 was Rs.339 Crores as compared to Rs.354 Crores in H1 FY2023. EBITDA margin in H1 FY 2024 stood at 18.1%. Net profit for H1 FY2024 was Rs.210.1 Crores as compared to Rs.208.4 Crores in H1 FY 2023.
Now coming to consolidated financial performance, I will start with the quarterly highlight first. The company recorded year-on-year growth of 8% in the total revenue to Rs.1038 Crores in Q2 FY2024. EBITDA came in at Rs.232 Crores in Q2 FY 2024 as compared to Rs.263 Crores in Q2 FY2023. EBITDA margin in the current quarter stood at 22.3% . Profit after tax stood at Rs. 143 Crores in Q2 FY 2024 vis-à-vis Rs.99 Crores in Q2 FY 2023.
Moving on to H1 FY2024 highlight s, the revenue for H1 FY2024 grew by 4% year-on-year to Rs. 2019 Crores . EBITDA for H1 FY2024 was Rs.447 Crores as compared to Rs.475 Crores in H1 FY2023. EBITDA margin is H1 FY2024 stood at 22.2% . Net profit for H1 FY2024 was Rs.276 Crores as compared to Rs.189 Crores in H1 FY 2023.
Now moving on to standalone balance sheet, the company continued to maintain its strong balanc e sheet. The working capital days stood at 65 days compared to 62 days in June 2023. The consoli dated date as of September 30, 2023, is 734 Crores as compared to 611 Crores
 as of March 3 1, 2023. The debt-to-equity on consolidated basis as of September 30, 2023, stands at 0. 24 times as compared to 0.22 times in March 2023. With this we can open the floor for question and answer . Over to you !
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Shravan Shah from Dolat Capital . Please go ahead.
Shravan Shah : Thank you Sir. Relatively a better performance so congratulations on that . Sir now first the important thing s on the order inflow , so till last quarter we were looking at Rs.4,000 Crores to Rs.5,000 Crores , I understand there is a slowdown from the NHAI side so two, three aspects first is there any projects where we are L1, second in Rs.3,000 Crores to Rs.4,000 Crores that additionally we are looking at how much are we looking at from the NH AI and is there any state projects particularly MSRDC or where we are looking at and also the n ew segments whether it is a metro or any other so that is one and how much of the value of projects that we have already bided and where the outcome is yet to come ?
K. Jalandhar Reddy : Our inflow from NHAI is completely getting postponed as we are well awa re about that. So we were targeting about say Rs.4,000 Crores plus this year to be added. Last quarter was entirely a rainy season and actually this month also November I am sure it does not rain, 50% of No vember it has rained; now we are getting clear weather so we h opefully do better in coming days but would like to answer that order inflow. We are sourcing all the orders which are coming from railway . We ha

ve started joint venture for tunneling projects with
Patel E ngineering limited and a few of the pr ojects with NTC we are participating in JV just to make ourselves comfortable to return to new sector. So, in railways now we are starting our bid as well we are planning in tunneling projects which are coming from northeast part of India , Himachal all tha t places the t unneling projects have come up, s o we are also focusing those, and we will now even look at the mining projects also which we have on the pipeline . We want to bid now , so when m aking alignments discussions are going on with JV partners also f or that and certain certificate and in a new format, we have to take certificate. So, in some places in the mining project s, we are ourselves directly qualified. So, we are trying all these factors a nd then the railway bid also ha s got postponed . We are seeing some postponement. So hopefully there should be some clarity between February and March because after that is going to be election time. So, I think before election time they will call up much more tenders and they will go for election saying that thi s many projects we want to do, and we are doing like that. So, the political scenario which we are trying to observe and as of now what we heard from the various departments, so this time we were not ourselves expected to irrigation, not only for irrigatio n and highways we are

 even focusing on separate other projects like that. F or the time being we are even participating in many other sectors.

Shravan Shah : Got it Sir. So just to further delve on that so two, three aspects first how many value of projects we have participated and where bid is yet to open ?

K. Jalandhar Reddy : Four projects in irrigation in T elangana and they are yet to open. T wo of them are open, but I think two of them we are L1 but b ecause of the political scenario we do not know what is going to happen .

K Venkata Ram Rao: As the company policy on receipt of LOA only we will inform to stock exchange so that is why we have not informed but in two projects we are L1 actually what the information we got from the department.

Shravan Shah : So only two projects we are L1 and the rest we are not so apart from that any other projects that we have bided and yet the outcome has not come ?

K. Jalandhar Reddy : None.

Shravan Shah : Let us assume that Rs.3000 Crores to Rs. 4,000 Crores that we are looking at to add this year in terms of the new orders and assume let us say we get Rs.1,000 Crores or Rs.2,000 Crores in terms of how we will be compensating the same in the next year , so then the next year are we confident that we will be able to get much higher orde r inflow to compensate whatever the shortfall is there for this year?

K. Jalandhar Reddy : It should be b ecause NHAI has got very big robust pipeline that is there . No doubt initially there should be a lot of aggression also which we are expecting, but goin g forward little bit things will be normalized in the second, third quarter of next year, second quarter at least.

Shravan Shah : Apart from NHAI has mentioned that Rs.90,000 Crores bids is already there and Reddy Sir you have mentioned that you are looking at mining projects, tunneling projects, railway , So any broader value in terms of how much value of projects that are we planning to b id by end of March apart from the road sector?

K. Jalandhar Reddy : Andhra Pradesh we had three projects one is Rs.350 Cro res and another one is around Rs.1,350 Crores there is a tunnel in that railway project and other one which we are trying in Od isha is about Rs.1,100 Crores or it is Rs.950 Crores I am not very sure about it that is from railways and there have been many p rojects about Rs.12,000 Crores in a tenure of around 12 years . So those pockets are there and apart from that irrigation we

are even

 looking at a lot of projects from various states like Maharashtra and Karnataka , there are two, three bids only in Karnatak a which we are focusing and most of them we are focus ing from Jharkhand even for UP, a lso there are projects in Madhya Pradesh.

Shravan Shah : Sir these Rs.12,000 Crores mining projects that we will be bidding in JV, so 50 :50 JV and this is in which state, Sir?

K. Jalandhar Reddy : Jharkhand.

Shravan Shah : Jharkhand. So, this will be 50 :50 JV ?

K. Jalandhar Reddy : Actually, Sir that is what I said. We were trying to take the certificate in the format that they require. So, we were successfully able to take the format ted certificate . I think we are directly qualified there.

Shravan Shah : Sorry Sir just for clarification we will be bidding solely and not through the JV for mining projects ?

K. Jalandhar Reddy : The wording which they asked is transporting word they use. Obviously d ue to the earth work we have done transporting, s o they think the certificate as they ask, we need to take it from the department. We are now trying. If we are unsuccessful in taking that we will probably go with JV.

Shravan Shah : Sir I just wanted to clarify on the guidance front broadly so I understand this time in terms of the margin may be slightly lower, but from the third quarter again we will come back to 19% to 20% kind of EBITDA margin and the revenue guidance what we have talked Rs.4,000 Crores will it be slightly higher Rs.4,100 Crores to Rs.4,200 Crores possible in this year?

K. Jalandhar Reddy : Yes, quite possible Sir, but we are facing little bit rainy problems in the areas otherwise we would have done much, much better than th at. We will try our best. We are even trying towards it .

Shravan Shah : On the EBITDA margin front from the third quarter will it come back again to 19 .5% to 20% kind of a number for at least two quarters?

K. Jalandhar Reddy : Margins because of extended ra ins and all they are coming down because the overheads are going up and turnovers are coming down. So due to that, that impact will be there Sir, 3% impact will be there and nowadays the new orders which we are going to start that Mysuru

 two projects and t hat Guntur one project they have little bit lesser margins than what we have expected earlier, s o little bit decline is there Sir that we have to accept.
Shravan Shah : Thank you and all the best Sir.
Moderator: Thank you very much. The next question is fro m the line of Niteen S Dharmawat from Aurum Capital. Please go ahead.
Niteen S Dharmawat : Thank you for the opportunity . Sir as you mentioned that there is a slowdown in awarding the project and our order book has also come down now to Rs.5,600 odd Crores versus Rs.6,200 Crores and during last quarter you mentioned that we are expecting some projects to be awarded, but looks like there is some delay over there s o what is the way forward over here in this quarter, what is the visibility about the award of ne w projects and what is the order book that we are targeting now?
K. Jalandhar Reddy : We are targeting about Rs.4,500 Crores plus only we are targeting . As I earlier said in various sectors like railways and irrigation, N HAI, highway projects, irrigation pr ojects all put together , so this is going to be okay for us . Even mining we are even trying in this. So hopefully we get the orders what we require in this year Sir.
Niteen S Dharmawat : During this year or during this quarter ?
K. Jalandhar Reddy : Actually, it seems to be a little bit difficult for this quarter Sir because all the tenders are getting postponed, and I think they are lining up for the pre -election thing only. We will have to wait for pre -election rally.
Niteen S Dharmawat : I understand and the revenue guidance that

we have provided, we are maintaining that as of now?
K. Jalandhar Reddy : Yes, we are maintaining.
Niteen S Dharmawat : Got it. Thank you so much and wishing all the best.
Moderator: Thank you. The next question is fro m the line of Ash ish Shah from J M Financial. Please go ahead.
Ashish Shah : Good afternoon, Sir. Sir first thing is you can just come again on that railways part because the voice was not clear one could not make out. So, we said that we have already bid for

 these railway p rojects or that is something that we are planning to do can you clarify that Sir?
K. Jalandhar Reddy : Railways project the time is ext ended actually o therwise it would have been done in the last month 24th now it has gone to this month 24th.
Ashish Shah : Right and these are what these are line doubling, line tripling kind of projects or these are total composite scope ?
K. Jalandhar Reddy : This is tunnel and other structure work .
Ashish Shah : What is the total value of these contracts which we have bid for, and we are awaiting opening of the tenders?
K. Jalandhar Reddy : Some irrigation projects are there Sir that is all. Three irrigation projects we have put on bid. I think all are open , out of two bids we are standing L1 I think but LOI is not issued, and we do not know because of the election scenario here .
Ashish Shah : I was asking in railways what was the total value of the contracts which we have bid for?
K Venkata Ram Rao : No, we are supposed to bid actually .
Ashish Shah : Supposed to bid and not yet bid but what would be the approximately value what we are planning to bid?
K Venkata Ram Rao : All put together around Rs.3,000 Crores.
Ashish Shah : Around Rs.3,000 Crores worth of projects. Sir s econdly on the irrigation side in Telangana, so if you can just h elp with remaining order value for some of the major projects, we have like the Palamuru and the two packages of Kaleshwaram what would be the outstanding order book of these projects?
K Venkata Ram Rao : Sir for package 4 officially it is Rs.850 Crores, o ur package three actually it is Rs.493 Crores and Vettam is Rs,132 Crores, Mallanna Sagar is Rs.56 Crores, all put together is around Rs.1,594 Crores irrigation project .
Ashish Shah : Right and Sir in this particularly package four, so because this is the pu mp irrigation, so do we have now the visibility to continue with the residual value because I think what is left now is largely the value of the pumps that we need to install , the earth work, etc., may have

 been done , so any visibility that we have on prog ressin g with the remaining value ? My question is that we have been waiting for this qu arry to be emerged in the pump house package because it needs tie up f rom the financial institutions, s o do we have enough

visibility to proceed with this Rs.850 Crores residual value or we will still pause and see what happens?
K. Jalandhar Reddy : I think the election result is out by third of the upcoming month, s o I think it is very near and within 20 days we will get to know what to do and all that, until such time we will continu e to work on that project because almost project is completed about 50% and at this stage if you stop it also I do not think things will go in our favor.
Ashish Shah : Right and Sir we have opened the LCs for the pumps, have we already ordered o ut?
K. Jalandhar Reddy : I think most of the part has come, but the main pumps need to come . Main pumps I think we need to flow around another Rs.200 Crores to this thing that we will do only after the election.
Ashish Shah : Got it lastly is there any discu ssion for the monetization of the upcoming HAM s, the newer ones which we have in the portfolio or that is something which is going to take ?
K. Jalandhar Reddy : It i

s in the discussion stage Sir. I think MoUs are on. I think right now some sort of clarifica tions and all and the final stages are all there to enter into MoU kind of thing .
Ashish Shah : Sure. Thank you.
Moderator: Thank you. The next question is from the line of Jit en Rushi from A xis Capital. Please go ahead.
Jiten Rushi : Good afternoon, Sir. Th ank you for taking my question. Sir on the first question on the NHAI bid pipeline, so you highlighted almost Rs.90,000 Crores is the pipeline ; in terms of value what are we going to bid for in the coming two to three months?
K. Jalandhar Reddy : Actually, the bids are there and plenty number it is there. We are now trying to focus more than Rs.800 Crores tender only because down below are likely to go at a bad price, which we have already experienced in the last tendering season. So definitely a little sens ible bidding is likely to happen above Rs.800 Crores to Rs.1,000 Crores plus only. So definitely we are now focusing on those projects and certain projects which are just adjacent to the ongoing projects and on those we will be bidding even the below cost that being add-on
 thing will be. So those things will focus on the lesser price, but we will do about Rs.800 Crores plus only Sir.
Jiten Rushi : So, you will be bidding as you said some adjacent projects. So, what would be those value terms and how much you will be participating in south in terms of value out of these 800 Crores ?
K. Jalandhar Reddy : Rs.800 crores is the limit which we are just telling and there are certain projects going around our quarry areas and there are around our interested area s or the adjacent projects where we are working those areas, there are some smaller projects also which we would like to focus on .
Jiten Rushi : What would be the value of those projects ?
K. Jalandhar Reddy : Even the lesser price we would like to quote those areas and the new areas and all we are focusing above Rs.800 Crores .
Jiten Rushi : My question was like you said that you are focusing on s pecific areas where you have quarries and ongoi ng projects and offer interest, s o can you give value of how many projects a re in those areas and what is the value you are targeting in those areas?
K. Jalandhar Reddy : That I do not have it Sir, but I can share it later.
Jiten Rushi : Got it and Sir initially you said there are some projects of irrigation in AP, so those projects are already awarded that is what I understand. I think though Telangana projects awarded AP still the bids are yet to open am I right?
K. Jalandhar Reddy : Yes Sir.
Jiten Rushi : What would be the value Sir, you said?
K. Jalandhar Reddy : Rs.3,000 Crores.
Jiten Rushi : So, the AP irrigation is around Rs.3,000 Crores, this would get awarded when Sir you have already participated in the bid right and when and when is the tender going to open, Sir?
K. Jalandhar Reddy : I think two of them got opened, two of them w e were L1 and post election s only we will get to know all the detail b ecause during election the election code is there , soon after the y open
 the tenders, they are likely to see LoI, now the election code has been announced so they stopped all that .
Jiten Rushi : During the first participant question, your voice was not clear s o it was difficult to understand what you were trying to say , so I just wanted to understand like what is the project in which you have already participated and bids are yet to open , if you can just repeat, pardon that I could not hear you well, you said mining around Rs.12,000 Crores in Jharkhand and then some irrigation projects in various states you said but there was some

other projects also which you highlighted in the first questi on so can you please highlight
that if possible ?
K. Jalandhar R

eddy : If you look at that some railway projects which we had in our min e on which we are
studying , big stud y is going on in Andhra Pradesh we have one tunneling project say
Rs.1,350 Crores.
Jiten Rushi : Tunneling for railway.
K. Jalandhar Reddy : Tunnel with railway and formation all that is there in that . Apart from that we have some
Rs.850 Crores project is also there but there is no tunnel over there but only formation,
structures all that is there . We have project in O disha about Rs.1,100 Crores I am not very
sure Rs.1,050 Crores or Rs.1,100 Crores it should be around that.
Jiten Rushi : That is for ra ilways that Rs.1,050 Crores for railways Od isha?
K. Jalandhar Reddy : Odisha and apart from that we were also focusing on some J harkhand area. There is a
mining bit about say Rs.12,000 Crores which is about 12 years ' time, within 12 years ' time
we have to execute that. There I said my certificate which I have the experience according
to their termino logy. They use is that formation of rest by transporting it like that they have
asked one wording to be added into our certificates . Now we are focused on our irrigation
department and NHAI department because without transporting we have not done any
netwo rk, so they say directly we are qualifying with that. I f we do not get such qualification
mean if they a re not giving the certificates, then we can even go with the joint venture
partner to start that. Apart from that we are also thinking of doing irrigati on projects from
Maharashtra, MP and some extent UP , some extent we have project in various areas like
Telangana we have participat ed. Andhra Pr adesh we are not participating w e have not taken
a single tender also as of now , but we would look at even Odi sha also we are looking at .
Jiten Rushi : And Sir last thing from my side in terms of guidance. So for this year revenue you said
around Rs.4,100 Crores -Rs.4,200 Crores is possible in EBITDA would be the steady state
 guidance which you will give but what wil l be the guidance for FY 2025 in terms of
revenue , order inflow because we expect the spillover of order inflow s next year where we
are not able to recoup this year where we are talking about Rs.5,000 Crores to Rs.6,000
Crores?
K. Jalandhar Reddy : See e ven if I do not get order s the balance order whatever leftover needs to be executed in
the upcoming year only. So that to about say Rs.7,500 Crores balance is there but I think we
can assure about 15% growth we can even take . If we add up new orders and by thi s we are
able to work on it definitely we are going to do much better but Sir right now the figures are
a little bit clums y because I can not imagine that this is going to come and I am planning it
when its not yet come so that is not going to be a wise par t on me that I can add and tell you
let me try out that .
Jiten Rushi : That 15% steady state revenue growth we can assume for FY20 25 and Sir capex guidance
for 2024 and 2025 Sir?
K Venkata Ram Rao: For this year we did around Rs.60 Crores in the first six m onths, s o we expect that it will be
somewhere around Rs.100 Crores to Rs.120 Crores for this year and next year suppose we
are getting new orders actually otherwise normal Rs.100 Crores to Rs.130 Crores will be
there . If we are getting new orders in new sectors, then definitely requirement may go up.
Jiten Rushi : That is all from my side. Thank you and Sir wish you Happy Diwali to you and your team.
Moderator: Thank you. The next question is from the line of Vasudev from Nuvama. Please go ahead.
Vasudev : Thank you for the opportunity, Sir. Sir I just wanted to know that the pending equity
requirement of Rs.535 Crores this is including the three projects w here appointed date is
pending or excluding those three project s?
K Venkata Ram Rao: That pending equity requirement what is h

appened for old five project s actually and that it
will be supposed to put equity of Rs.732 Crores. W e already put equity at Rs.456 Crores on
that project and for this balance here we are going to put Rs,95 Crores in 2 023-2024 and
2024-2025 we put around Rs.180 Crores and for new three HAM project s which we accept
it may come in Q4 of this year, their equity requirement is Rs.258 Crores for that this year
we do need to contribute anything but next year actually it is 2 024-2025 maybe we need to
require to put Rs.130 Crores and 2 025-2026 around Rs.65 Crores and 2026 -2027 balance
Rs.55 Crores.
 Vasudev : That is helpful Sir and next question is if you can tell me how much is our pending
receivables from the Telangana state government ?

K Venk ata Ram Rao: Sir pending receivables as of date actually including unbilled is around Rs.650 Crores are there .
Vasudev : Sir just one last question if you can give me the revenue split for the quarter between road and irrigation ?
K Venkata Ram Rao: For this quarter actually irrigation contributed 24%, HAM contribut ed 47%, road EPC contributed 23% and back -to-back is 5% .
Vasudev : Sure, Sir that was helpful . That is, it from my side.
Moderator: Thank you. The next question is from the line of Uttam Kumar Srima l from Axis S ecurit ies Limited . Please go ahead .
Uttam Kumar Srimal : Yes, Sir thanks for the opportunity and congratulations on good set of numbers . Sir my questions pertains to the competitive intensity currently so how do you see the competitive intensit y panning out in both HAM and EPC projects moving ahead ?
K Ventaka Ram Rao : Sir actually as far as competitive intensity because you know for last six months actually NHAI has not awarded the project so really as of now there is nothing in place but what w e expect that now NHAI they are coming on very lower side more project around Rs.600 Crores to Rs.800 Crores of projects they are coming so definitely on that project intensity will be very, very high so that is why we are targeting to qu ote more than Rs.800 Crores on the projects where we may expect that intensity may be little bit lower but definitely we have to see.
Uttam Kumar Srimal : Couple of data points what was our receivables, unbilled revenue and retention money this quarter ?
K Venkata Ram Rao: Unbilled around Rs.665 Crores.
Uttam Kumar Srimal : Receivables and retention money ?
K Venkata Ram Rao: Receivables as of September Rs.840 Crores and retention is Rs,210 Crores.
Uttam Kumar Srimal : That is all from my side and all the best to all of you .
 Mode rator: Thank you. The next question is from the line of Ronald Siyoni from Sharekhan limited . Please go ahead .
Ronald Siyoni : Good afternoon, Sir. I had just one question regarding the other expenses like this quarter we had seen very high other expense so was there a one -off in this ?
K Venkata Ram Rao: Sir in other expenses what has happened we have one project that KNR T irumala that project has got the final completion certificate so on that project actually there was some descope actually in the overall project cost to the extent of around Rs.12.7 Crores so that has been charge up in this period actually that one -off is there . In this quarter actually we have subscribing a to electoral bonds one to the extent of 10 Crores so that is two one -off items are there in other expens es.
Ronald Siyoni : So approximately Rs.22-23 Crores one-offs are there so that the margins are subdued for Q2?
K Venkata Ram Rao: Yes, Sir correct.
Ronald Siyoni : Thank you very much and best of luck.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital . Please go ahead.
Shravan Shah: Hi Sir. Sir Kerala two HAM projects so how much now we

are expecting to execute so both the outstanding order book is close to Rs.1,773 Crores so how much are we planning to execute in the second half, and will the remaining be executed in the F Y2025 entirely ?
K Venkata Ram Rao: Definitely this year we may execute around 50% actually in this project and ba lance 50% definitely in the next year so you can say Rs.800 Crores we are expecting before this financial year.
Shravan Shah: Got it and broadly if we look at in terms of the irrigation so in the second half how much one can look at the execution from the irrigation and how one can look at the FY2025 ?
K Venkata Ram Rao : Because irrigation outstanding book is as of now around Rs.1,600 Crores so we expect that around maybe Rs.400 Crores to Rs.450 Crores will be there in this next six months Sir and balance will be in the next actually.
Shravan Shah: So broadly the remaini ng Rs.1,200 odd Crores most of would be executed in FY2025 ?
 K Venkata Ram Rao: Yes correct.
Shravan Shah: Got it and in this monetization that we said that with the Cube it is at final stage so whenever we will be doing this bid so this will be four HAM projects and the cas h that we will be getting that will be the entirely in FY2025 or that is some money that we can get in the FY2024 also ?
K Venkata Ram Rao: Because one project the we have received PCOD so that project we may expect to complete

in 2024 and other project because we have to complete the construction that project is going to complete in next year so that monetization will happen in next year only.

Shravan Shah: Got it Sir. Thank you.

Moderator: Thank you. The last question is from the line Nikhil Kanodia from HDFC Securities . Please go ahead .

Nikhil Kanodia : Good afternoon, Sir. Sir I believe that you said that the receivable s from the Telangana government as on date is Rs.650 Crores so if you can give me the receivable amount as on September ?

K Venkata Ram Rao: Generally, this we work out as on date but as of September receivable s is Rs.118 Crores actually but unbilled, we will work out as on date actually, so September receivable s is Rs.118 Crores.

Nikhil Kanodia : Telangana projects, right ?

K Venkata Ram Rao: Yes, Telangana irrigation only.

Nikhil Kanodia : What is the cash that we would have received till dat e from those projects ?

K Venkata Ram Rao: After that we received cash of around Rs.120 Crores and we have billed around Rs.140, total Rs.650 Crores is there as of date actually.

Nikhil Kanodia : Sir do you mind repeating in the sectors wherein you are looking to diversify since like we are not witnessing much on the road sector so which all sectors are you willing to diversify and what prefer ence?

K Venkata Ram Rao: As our ED Sir told we are looking to diversify in the railway sector , in irrigation other than Telangana state and mining development and tunnel project , in tunnel project some project

in railway actually tunneling projects are com ing so we are looking in these sectors and metros also , so we are okay to do what are the construction -related activities actually in infrastructure space.

Nikhil Kanodia : Understood. Thank you for answering the questions and all the best Sir.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments. Please go ahead Sir.

S. Vaikuntanathan: Thank you all for joining us on this call. Please reach out to our investor relations consultant, s trategic growth advisors or us directly if you have any further queries. You can now close the call.

Moderator: Thank you. On behalf of KNR Constructions Limited that concludes th is conference. Thank you for joining us . You may now disconn ect your lines.

Call: Feb 2024

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Date: 16th February 2024 Ref: KNRCL/SD/2024/679&680
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings Call for Q 3 FY-24 held on 09th February 2024
Ref: Reg. 30 of SEBI (LODR) Regulations, 2015

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith submit to the Exchanges transcript of earnings call held on 09th February 2024 .

This is for the information of the Exchange, please .

Thanking you,
Yours Truly,
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q3 FY '2 4 Earnings Conference Call "
Febru ary 09, 202 4

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 09 2024, will prevail.

MANAGEMENT : MR. S. VAIKUNTANATHAN – VICE PRESIDENT FINANCE
– KNR CONSTRUCTIONS LIMITED
MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR –
KNR CONSTRUCTIONS LIMITED
MR. K. VENKATRAM RAO – GENERAL MANAGER ,
FINANCE AND ACCOUNTS

Moderator: Ladies and gentlemen, good day, and welcome to the KNR Constructions Limited Q3 FY '24 Earnings Conference Call. This conference call may contain forward -looking statemen ts about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. S. Vaikuntanathan, VP - Finance, KNR Constructions Limited. Thank you, and over to you, sir.
S. Vaikuntanathan: Good afternoon. Thank you fo r joining us today on the call to discuss the financial results for Q3 financial year '24 and 9 months financial year '24. Mr. K. Jalandhar Reddy, our Executive Director, is in the site and he is likely to join within next 30 to 45 minutes. And along with me Mr. K. Venkatram Rao, General Manager of Finance, Accounts and Strategic Growth Advis ors, our Investor Relations Advis ors are available.
We have uploaded the results and the investor presentation on the stock exchanges as well as on our company website . I hope everyone got an opportunity to go through it. We would like to touch upon a very few company updates and the industry events, post which we will have a question -and-answer session.
I would like to share our perspectives on significant industry de velopments. The infrastructure continues to be a focused area for Government of India. This is reaffirmed by the hike in the allocation of budget to the sector. With an increase of 11.1% year -on-year, the capital outlay is of INR11 lakh crores. The allocat ion towards roads and highways is INR2.78 lakh crores and towards railways including the track laying and other things is around INR2.58 lakh crores.
The government is planning to bid out projects totalling to 5,200 kilometres on BOT toll mode during 2024 - 25, which will be based on the revised model concession agreement. With this, the government is trying to bring in greater participation of private sector investment.
Government believes that infrastructure plays an important role in enhancing the connect ivity and driving economic growth. As per industry sources, MoRTH is set to revolutionize India's infrastructure with 14 new expressways and high speed corridors spanning 2,239 kilometers, backed by INR1.3 lakh crores investment.
These projects spread acr oss states like Uttar Pradesh, Maharashtra, Gujarat, Kerala, Raipur, Bihar, Rajasthan, Madhya Pradesh, Assam, and Jharkhand. MoRTH is spearheading in

transformative initiatives that will unlock opportunities for the infrastructure players in the country su ch as our company.
The awarding of activities has been slow in this financial year, mainly due to slow land acquisition. For the current financial year so far, the overall length of new contracts awarded between April and November '23, was 2,815 kilometer s, down from 5,382 kilometers the year before.
Despite the challenges, there is optimism for robust project awarding activity for the coming months, particularly with MoRTH's ambitious plan to award projects totaling 6,000 kilometers in March / April 2024 . Once this project would be upcoming, construction of 9 NH worth 2,357, covering a length of 225 kilometers in Jabalpur district under bridge on Jamni river.
For ease of transportation and to promote tourism in MP's Jabalpur district, Mr. Nitin Gadkari recentl

y laid foundation stone for these highways. The ministry oversaw an 8% increase in National Highway construction with 6,215 kilometers completed between April and December 2023, compared to 5,774 kilometers in the same period of previous year.
Asset monetization is an important element for NHAI to fund the upcoming projects. Potentially, the new project launches in upcoming quarters, NHAI anticipates for financial year '24 to achieve the highest ever asset monetization in collection, targeting INR40,000 crores, which will be highest monetization amount per annum since financial year 2018 -19.
This milestone is expected to propel NHAI's total monetization revenue past the INR1 lakh crores mark. Such robust monetization efforts underscore the NHAI 's commitment to unlocking

the value of its assets as well as opening up of new and stable revenue to raise funds for future developments.

India's road toll income primarily sourced from National Highways has experienced a notable upstream escalating from INR17,759 crores in 2015 -16 to INR48,028 crores in 2022 - 23. Union Minister for road transport, Mr. Nitin Gadkari, has outlined an ambitious target aiming for revenues to soar to INR1.3 trillion by 2030 driven by projected annual growth rate of 15%.

Further to speed up the awarding while ensuring high -quality roads, there is likely to be a change in the bid process for selection of the project report consultants. As per industry sources, the government would like to reduce the bank guarantees, offered d eemed approval and have splitted the eligibility criteria. December 23, 2023 marked a significant milestone for toll collection, toll plaza, FASTag, daily user toll collection reached INR210.18 crores on this day making the highest ever electronic toll collection in a single day.

Now coming to the key updates of the company. The percentage of physical progress as of December 31, 2023, for the HAM project is follows: Magadi to Somwarpet at 80.5%, Oddanchatram to Madathukulam 97%, Ramanattukara to Valanch ery is 59.6%. Valanchery to Kappirikkad is 57.5%, Chittoor to Thatchur is 40%. During the quarter, the execution has primarily been driven by HAM projects.

As of December 31, 2023, the company has already invested INR480 crores out of these INR990 crores revised equity requirement for all the HAM projects. The additional equity repayment of INR90 crores to be infused INR290 crores from INR55 crores and INR65 crores for FY 2024, FY'25, FY '26, and FY '27, respectively. You can refer the Slide 27 of the inve stor presentation for detail on each HAM project.

The toll collection for Bihar project i.e. Muzaffarpur to Barauni in Q3 FY '24 is INR10.6 crores, which grew by 13% as compared to Q2 FY '24. For 9 months FY '24, the toll collection is INR 31.73 crores. As mentioned earlier, we have received the financial closure of KNR Ramatheertham Infra Limited, KNR Sriranganatha Infra Private Limited and KNR Kaveri Infra Limited. We expect appointed date for these by end of March 2024.

Now coming to the order book position. As on December 31, 2023, the company has an outstanding order book position of INR4,965 crores, which comprises of EPC projects and HAM projects, which is 69% of the total order book, while irrigation projects comprises of the remainin g 31%. When broken down to clients wise, 58% of the order book is for third party clients and balance 42% is from captive HAM project.

The third -party order book percentage is skewed between state government contracts at 43% and 13% for central government and balance 3% order book is from other private players. Kindly note that this order book does not include the contract aggregating to INR1,780 crores as we are yet to receive the appointed date for the 3 HAM projects.

If we include these projects, our or der book position will increase to

INR6,745 crores. The
current order book position provides a clear visibility of execution over a period of next 1 to 2 years . Under the Bharatmala project, a robust project pipeline and the completed DPRs should expedite the project awarding activity in the future. The company is targeting an order inflow of INR5,000 crores to INR6,000 crores during the next 1 year.

We have been actively pursuing diversification in our operations, recognizing its paramount importance in ensuring resilience and sustained growth. Diversification is not merely a strategic choice, it is a commitment to the future. Our company is resolutely engaged in seeking out different EPC opportunities in new geographies and unconventional project types s uch as railways, mining, energy, pipeline and metro development are among others.

This deliberate effort aims to not only to navigate the present challenges, but also to push ourselves advantageously for the future. As on date, the pending receivable from Telangana Irrigation is INR650 crores approximately, including uncertified portions.

Now coming to the liquidity position of the company. The liquidity position of the company is very strong as INR550 crores of HAM projects receivable is yet to be drawn. This is being done to save the IDC amount. The claim amount of INR250 crores out of Vivad Se Vishwas is received very recently. Irrigation department payment of INR400 crores is expected by the March as we have been given assurance by the government.

I will now request Mr. K. Venkatram Rao, our GM to present results for the quarter and 9 months

ended December 31, 2023. Over to Venkatram Rao.
K. Venkatram Rao: Let me take you through the Q3 FY '24 and 9 months FY '24 stand -alone financial performance first, followed by the consolidated financial performance. I will start with quarterly highlights first. The revenue for the quarter grew by 9% year -on-year to INR905 crores. EBITDA for Q3 FY '24 is lower by 6% year on yea r basis to INR147 crores as compared to INR156 crores in Q3 FY '23. The EBITDA margin in Q3 FY '24 stood at 16.3% due to lower revenue contribution from the irrigation projects.
Net profit for the quarter was INR85.5 crores as compared to INR162 crores in Q3 FY '23 due to an exceptional income of INR138 crores on account of sale of 3 HAM projects to the Cube Highways in Q3 FY '23.
Now coming to 9 months FY'24 highlights. Revenue for 9 months FY '24 grew by 8% year -on-year to INR2,777 crores. EBITDA for 9 months FY '24 witnessed a degrowth of 4% to INR487 crores as compared to INR510 crores in 9 months FY'23. EBITDA margin in 9 months FY '24 stood at 17.5%. Net profit for 9 months FY '24 was INR269 crores as compared to INR370 crores in 9 months FY '23, whi ch includes INR138 crores of the exceptional item during 9 months FY'23 on account of sale of 3 HAM projects to Cube.
Now coming to consolidated financial performance. I will start with quarterly highlights first. The company recorded year -on-year growth of 14% in total revenue from INR875 crores in Q3 FY'23 to INR996 crores in Q3 FY '24. EBITDA came in INR226 crores in Q3 FY '24 to INR197 crores in Q3 FY '23. EBITDA margin in the current quarter stood at 22.7%. Profit after tax stood at INR136 crores in Q 3 FY '24, vis -a-vis INR108 crores in Q3 FY '23.
Moving on to 9 months FY '24 highlights. The revenue for 9 months FY '24 grew by 7% year -on-year to INR3,015 crores. EBITDA for 9 months FY '24 was INR673 crores as compared to INR671 crores in 9 months FY ' 23. EBITDA margin for 9 months FY '24 stood at 22.3%. Net profit for FY '24 was INR412 crores as compared to INR298 crores in 9 months FY '23.
Now moving to the standalone balance sheet. The company continued to maintain a strong balance sheet. The working capital stood at 61 days compared to 65 days as of 30 September 2023 and 67 as of 3

1 December 2023. The consolidated days as of 31 December 20 23 is
INR1,048 crores as compared to INR730 crores as of September 30, 2023. Net debt to the equity on consolidated basis as of December 31, 2023 stood at 0.37x as compared to 0.24x as of September 30, 2023.
With this, we can open the floor for question a nd answers.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Sir, the first question is on the order inflow front. So we have menti oned in the opening remarks of INR5,000 cores to INR6,000 crores that we are looking at in the next 1 year. So a couple of things related to this. So first, how many projects and the value have we bidded, where bid is yet to open, that is first.
Second, h ow do you see by March end how much we can get? Third is don't you think even this INR5,000 crores to INR6,000 crores in next one year is also too less, given the INR6,745 crores order that we have, which is a 1.7x kind of revenue visibility and whatever, even if we get on the HAM front, it will take at least 9 months to 12 months to start the revenue.
So to sustain a kind of a 10% revenue growth, we need even at least INR9,000 crores to INR10,000 crores kind of order inflow by next 1 year. And which are the segments apart from the road we are looking at? And what are the opportunity size where we are confident that we can achieve this?
S. Vaikuntanathan: Yes. In the last two months, we could tender only on irrigation projects in Telangana is around INR550 crores in the Khammam district and that itself is yet to be announced.
And with regard to the HAM projects, most of the projects have been postponed, even in fact, 2 to 3 days back there were 4 projects that all have been postponed where we have made the survey and kept all our things ready, in fact we have submitted the bank guarantee also. Now these projects have been postponed.
And coming to the BOT side, yes, there are certain developments that we may go in for some tie-ups for doing the BOT project. That is yet to be finalized. It's in the very preliminary stage.
And we are also looking at the state road projects for Maharashtra state road projects, where the tender is in the month of March. So that we are yet to get further information on that. Eith er, even if we don't get it, we will go for as a subcontract also that we have decided.
So we are hopeful that in other areas where we are now opening up the area is that we want to do the EPC projects of railway projects we have tendered, but we could no t get it, 2 railway projects we have tendered with the joint venture, but we could not get, because a lot of

competitions have also came. And so in the future, we will be continuously tendering for railway projects, number one. Number two, the HAM projects will be tendering . Three is that the BOT projects also, we are on the lookout, we will be doing.
And next is that state road projects also, we are looking for it. And wherever that EPC projects for solar power or mining, so we are on the lookout for thos e areas also. So once the projects are announced where we are doing some study on that, we will be going for EPC of those tenders also. So this is what's the planning, but we are very hopeful that since the elections are all coming around May, there may no t be much projects in roads from NHAI or MoRTH, they are going on postponing it.
But what we feel is only after July, the real tender from roads may come up. So we may have to wait for it. And as we said earlier, we are all now concentrating on the liquid ity position where

we are trying to recover all these irrigation payments, which the government has promised, around INR400 crores b

efore March, that is one.
Second, we already got INR250 crores out of the Vivad Se Vishwas from NHAI. And further claims also we are negotiating. So first, we are trying to strengthen our liquidity position. So that when BOT or any other projects come, we can really do without any probability of funds concerned. And meanwhil e that HAM projects of Palani also, we are in the final discussions with the Cube for closing the project. Once that is over, then we may get the return on equity also to add, so this is what is the present development.
Shravan Shah: Got it, sir. Just on t hings. So now in terms of any number of projects or value that we have bidded and where bid is yet to open.
K. Venkatram Rao : Only that one of the irrigation projects that we have bidded, that further bid has to be opened in the state of Telangana. For oth er projects, actually in the last 2 weeks, actually, 2 bids were there for the HAM, but it all got postponed. But a lot of bids are there, but really as our VP sir told, really we are not sure whether they will come up for participation or not.
Shravan Sha h: Okay. Got it. So given this constraint, so for this year, in terms of confirming the guidance, so we were looking at more than INR4,000 crores revenue for this year and also the margin, now irrigation is on the lower side. So if you can help us in terms of how one can look at fourth quarter in terms of revenue and the margin and also for the FY'25. So how much order inflow is to come and that too, let's say, on the EPC front, then only it will start contributing revenue in FY'25.
On what assumption are we taking for FY'25 in terms of the revenue and the margin? So whatever the INR1,500 crores plus irrigation is left in terms of order book, how much we can execute in the fourth quarter, how much in the FY'25. So broadly trying to understand how the revenu e will come in fourth quarter and in FY'25 and how the margin one can look at?
K. Venkatram Rao : Actually, for Q4, actually, FY'24, we are targeting the entire turnover will be around INR4,000 crores, so around INR12,000 crores -- INR1200 crores. Definitel y, we are trying for Q4 FY'24 and guidelines will be somewhere -- because as you know that lower contribution of irrigation, it will be in the same range, around 16%, 16.5%.
So therefore, as far as next year, actually FY'25, we are getting some EPC projec t, so we can start contribution on that. So next year, our target is some INR4,000 and some 10% increase because we are expecting some projects from EPC project from MSRDC and some like Telangana irrigation project some we are expecting.
So definitely, ne xt year, we are targeting with some INR4,000 crores plus around 10%. And margin we have to see if the irrigation project we are getting, then contribution will increase. Otherwise, 16% and 16.5% is the sustainable EBITDA for the company for existing HAM an d EPC project. If irrigation is contributing more, then definitely, it will slightly increase. But as of now, we are thinking that we're around 16% is the sustainable EBITDA.

Shravan Shah: Okay. And if you can repeat the equity requirement for fourth quart er and '25, '26, '27 and consol cash?
K. Venkatram Rao : The equity requirements are actually what are the existing, actually 8 HAM projects is actually around INR990 crores. Out of that, around INR90 crores, we are expecting in this Q4 FY'24 and FY'25 will be around INR290 crores and FY'26, around INR65 crores and FY'27, around INR65 crores. So that includes our 3 new HAM projects for the appointed dates yet to come.
Shravan Shah: And the consol cash is how much, sir?

K. Venkatram Rao : Standalone de bt is INR30 crores and a standalone cash is INR44 crores. Okay, that we will let you know, consol cash flow.
Shravan Shah: Okay. And how much capex we have done in 9 months and for full year and mayb

e the next
year, how much capex we can look at?
K. Venkat ram Rao : For 9 months, we did capex of INR70 crores. For full year, we expect somewhere around INR90 crores to INR100 crores for this year. And next year is definitely based on a lot of the projects we are expecting. But at least INR100 crores to INR120 cr ores, definitely will be there. If we are getting good EPC projects basically, then definitely capex may slightly go up.
Moderator: The next question is from the line of Niteen Dharmawat from Aurum Capital. Please go ahead.
Niteen Dharmawat: On Slide 9, yo u mentioned a strong EPC order book of around INR5,000 crores. Do you really think it is a strong order book for a company with revenue more than INR4,000 crores. And our order book has been reducing continuously for the last 5 quarters from INR8,100 crore s in Q3 financial year '23 to now less than INR5,000 crores in Q3 financial year '24. We have been talking about new project wins for the last several quarters now, but nothing much has happened. So where are we going wrong in acquiring new projects? This is my first question.
K. Venkatram Rao : Our ED sir had joined actually.
K Jalandhar Reddy: I am Jalandhar Reddy joining this side. Yes. Actually, from March onwards, from NHAI, there is a very less number of bids, which have been floated out. In fact, ther e were many bids in the sequence, but there's a lot of postponement and the several number of postponement happened in this. So in order to address, then we have also started to go with micro irrigation projects -- we have placed in bids in micro irrigatio n projects as well.
We are also participating in HAM projects and some of NHAI projects, but very small. This time, we had very less inflow of tenders because of some issues with NHAI. So rather, we heard, again, they are even going to DBFOT mode for further bidding process. So to sort out that we are even discussing with major BOT players like Cube Highways and a few other concessionairs to bid along with us, they're going to bid for EPCs. So if the rally is started, definitely, we are going to pick u p in the highway section also.

And irrigation, they are in pipeline and the pipeline in the sense we have given some bids and those results is not yet out. So those 2 to 3 bids are under pipeline kind of thing. Apart from that, we have tried our bids in r ailway tunneling projects also we have done.
And we are also trying to participate in some of the solar EPC mode projects, we're also trying those. And of course, mining, we are thinking, but we haven't placed any bids, but in future, we would like to go for mining operation bids also. In order to improve the situation, we have been taking new engineering contracts in our hand, so that our order book is improved and all the efforts that whatever the best we can do, we are doing, sir. This is the situation .
Niteen Dharmawat: Yes sir, I got it. But the pace at which we are acquiring projects is not very healthy. That is what for the last couple of quarters when we were talking about acquiring new projects, that has also not happened. So I thought that I'll bring this to your attention.
K Jalandhar Reddy: We really understand the situation, and we also have come in a bit awkward situation this time, I agree. And we are trying our best to push the case.
Niteen Dharmawat: I understand. Now my next question is, what is the status of cash flows from Telangana payment recovery and the award of projects with new government in charge. Are new projects halted or is there any change in the status of the earlier awarded projects. Does this INR5,000 crores order book inv olve any projects from Telangana that is of risk?
K Jalandhar Reddy: Yes, sir. I think about INR900 crores is there in this order book available from irrigation. That is from that inflow canal and then the pump h

ouse project. Rest are almost have completed . So there only we have been having outstanding payments about, say, INR650 crores plus, which need to be paid by the state government.
We were discussing in the various forums – and department. Even the government, they say we will pay. As the new govern ment is formed, you may have to wait for one to two months' time to get these payments. So even the department is assuring to pay. And however, they need to resolve this -- for pump house project, they need to resolve the loan issues with the banks. So once that is done, I think all these will be streamlined.
We expect another one to two months delay on this. And for new tenders, if they are budgeted, then only we are thinking of bidding. Otherwise, maybe we will decide, but however, we gave some bids alrea dy.
Moderator: Next question is from the line of Bharani from Avendus Spark. Please go ahead.
Bharani: So just wanted to check according to you, what would be the major changes in the model

concession agreement in the DBFOT mode that we are expecting, whic h will be conducive for the concessionaires to bid?
K. Venkatram Rao : Draft concession agreement, is still under discussion in the NHAI, but what we got the information that, now actually in respect of this with the traffic, because alternate issues are

basically traffic. Because, as you know, there's now a lot of greenfield expressways coming. So if you are extending the existing road and new greenfield expressways coming there now, it will be the compensated.
So that is the concern from the developer sid e, and we are already telling in a different forum to toll -- this in respect of toll collection actually, that is not in our control. So what we expected there is some mitigation plan actually that NHAI is going to put in the concession agreement might be a target date actually, they may reduce rather than 10 years, it may reduce to five years.
So that's way, this discussion is going on.
It's still this first cut of DCA has not come, but we are expecting that with these all addition DCA will come and then we can submit our comments on that.
Bharani: Okay. So when do you expect this to be finalized? And when do you expect the BOT projects to come into the final tendering and bidding space.
K. Venkatram Rao : The NHAI is rigorously working because a lot of BOT toll project, they already floated actually. Anyway, they are postponing, because until that DCA is not come, it cannot be tendered. We expect that maybe in next one month, actually, they should be able to close it.
Bharani: Okay. My second question is on our three hybrid projects where we are yet to get appointed date. So this has been there without appointed date for more than three or four quarters. So when do we expect? And what is the reason why it is getting delayed?
K Jalandhar Reddy: Actually, t he AP project that is Ongole project, Vijayawada to Bengaluru highway. We have signed the memorandum, I think, three days ago. And it is likely to get another one week, we would get the pointed date for that Ongole project. And we are expecting the other M ysuru projects, there are two other projects are there. from Mysuru to Kushalnagar.
Those two projects, the second stage environmental clearance is not yet done. I think voting could take place by March end. Before that, I think the land availability, we have -- as per our site study, it says it is only 50% done in both the projects. So iff they do hedge for 80%, by March end it will happen, or otherwise, one more month is likely to take for those appointed dates.
Bharani: So in summary, the Vijayawada -Bangalore section, probably next one to two months and the two Mysuru projects may be one quarter?
K Jalandhar Reddy: Yes, within a week, I think the appointed date may come sir, because we have signed the memorandum

for that AP project. The Karnataka two pro jects, I think it will take March, April somewhere in this time it should happen.
Moderator: Next question is from Pratik Bhandari from Art Ventures.
Pratik Bhandari: You stated the number of order inflow that we have received up until nine months FY24?

K. Venkatram Rao : No, we have not received any order in FY24.
Moderator: Next question is from Faisal Hawa from H.G. Hawa and Company.
Faisal Hawa: Sir, what kind of message are we sending with the kind of new directors, which have come in. I mean they are very good names. And does it mean that we want to broad base our thinking within the Board and encourage more to and fro discussions and more diverse opinions. That's one.
Second is that do you feel that we are a little late on our strategy in diversifyin g to solar EPC and into railways? Or is it because the previous experiences with railways, not releasing orders on time and gestation period being so high, had dissuaded us from going in for these kind of orders?
And is there any quick fix to this where we could get orders, which can be executed quickly and so that the next financial year there could be at least some growth in these numbers because we have been almost flat in sales from the last two to three years. And third is, sir, we have always been protecting our EBITDA margins even at the cost of losing orders. So we will still continue with that strategy?
K Jalandhar Reddy: Yes, sir. Actually, the first order book concern, yes there are some challenges in new upcoming things like the railways and a ll. It's a real good situation now. It's there. But the quantum of

orders which are coming in large scale from railways also, which if we focus on it, I think we may not be focusing that as a core of our business. But we would take one or two projects to o ur order books and which may comprise about 15% to 20% of our business.
And even if I talk about the solar EPC also, it may be comprising about 5% to 10% of our whole business. So wherever this risk would be there, if the risk is there and all then we ma y not be able to go forward, as such there is a lot of ambiguity that is there in the NHAI because they want to only bid the DBFOT model. Rather, they want to discontinue the kind of EPCs and -- maybe partial HAM projects also could come, but takers for HA M projects have been increased and competitive intensity is going up.
So where we have to a little bit strategy -wise, we should change ourselves to take quite a good business in hand. And moreover, we are also focusing on state highways, like Maharashtra , we were thinking of taking some projects from Pune Highway with someone subcontracts and all which we are also in line with that.
So maybe future things will go better, sir. Definitely is all because of the problems that we are facing through NHAI slow bidding process, so for which only we are trying other ways. But otherwise, we were much comfortable in those areas actually.
K. Venkatram Rao: Sir, regarding directors also, sir, the question was there, new directors.

K Jalandhar Reddy: Yes, new director s. I think we have sorted and the director names and everything will be placed before you.
Faisal Hawa: The directors names are already there. I want to know the message that we are sending out because these are very illustrious names known almost all over the country. So what is the message that we are trying to send out? Because so far, we have been having family -related directors, more directors, which are in and around Hyderabad based, so...
K Jalandhar Reddy: Nothing like that. We have taken expertise from finance and like that, which is fixed up. And probably, do you mean to say, is there anything wrong which you are thinking in it? I rea

lly
didn't get the question because I was traveling, I couldn't hear properly.
S. Vaikuntanathan: It's like the clar ification is like this. This present two directors, their terms are getting expired in the month of September. And already their term will be over and further extension may not be possible under this so when they are there, then with their help and new dir ectors have been interviewed and then they have been taken as additional directors. So that when they will continue for another three, four meetings, they will be also knowing the entire operations of the company. So with that intention, they have been tak en in advance, that's all.
Moderator: The next question is from Vaibhav Shah from JM Financial Limited.
Vaibhav Shah: Sir, over what timeframe do you expect to execute the irrigation backlog?
K. Venkatram Rao : Right now actually we have irrigation project of around INR1,500 crores…
K Jalandhar Reddy : And all that, it is completely depending on the payment how we get and what sort of strategy we should go going forward. But seems to be positive this time that we have spoken to various departments and even we happen to meet on an official meeting, we have met concerned irrigation minister also.
He was so positive. But there are some failure projects on which there is some inquiry or some vigilance is going on. But the projects which are regularized, and they h ave no issues, those will be treated as a regular ones.
So that is a strategy that they're going to take, which I heard from them So there should not be any hassle, but within two months, if they don't sort out this payment problems and all, then it is go ing to be further burden to us. So that we would like to slightly mitigate in future.
Vaibhav Shah: So the irrigation -- what was the revenue in third quarter for irrigation?
K. Venkatram Rao : It is around 14%, INR127 crores.
Vaibhav Shah: So it should be a similar value in fourth quarter as well?
K. Venkatram Rao : We expect maybe similar –as our ED sir told, until the payment clarity may not come we may not but it will be the same we can consider.

K Jalandhar Reddy: Sir, actually, if we don't do the projects also, then the overheads will go up. And then as usual, we're likely to get some losses because the overheads are clocking but there is no turnover or it is not equating to the proper guideline. Even department also don't like to stop the work. Th ey assure that you do, we will try to pay, like that only they are speaking. But maybe we may slow down if at all we get any payment issues and all.

Vaibhav Shah: And sir, you mentioned that you have submitted bids in one of the irrigation projects. So wha t would be the size of the project?
K Jalandhar Reddy: So I think INR1,100 crores three projects, INR1,100 crores, INR1,150 crores, three projects we have placed in some micro irrigation projects in Telangana. And around INR600 crores, INR650 crores, there are from regular irrigation projects around three or four we have placed. And bids are not open so we don't know the result. Just I said, that as we were lagging with the order book, I just mentioned what certain efforts we are doing.
Vaibhav Shah: Sir, t hese are the same which we had mentioned in last quarter, those were the same projects?
K Jalandhar Reddy: I think because of the election code, which has come up, so they stopped it during that state election, they've stopped it. That's why things were no t in order. Otherwise, those would have been opened and then results would have been out by now.
Moderator: Thank you. Next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.

Jiten Rushi: Sir, we have given a guidance of INR5,000 crores to INR6,000 crores. And this year, the bids of Telangana project, yet to open irrigation around INR1,700 crores to INR1,800 crore

s. So even if we win or if we don't win, the bids get delayed, so the infra guidance seems to be very low for future gr owth. I think you can try and recoup the inflows next year for better visibility.
Because as you said, you are targeting subcontracting, back -to-back subcontracting to BOT toll projects and state highway projects and solar EPC and railway projects. So the pipeline seems to be humongous, but the guidance seems to be very low. So any thought that you can rework on your future inflow guidance and try to rebuild the order backlog?
K Jalandhar Reddy: Actually, let's have some successful projects inflow. Once we have projects coming in, definitely, we'll will do, because right now the situation is not seems to be very encouraging situation. Market is very heated up. Last time I have seen a bid, where 23 people -24 people have come on in 1 EPC project, wherein it has gone 42% less.
Such unhealthy situation we are now heading. So I'm a little bit scared enough to give you the higher guidance. But once I have confidence of winning the projects or even I get the inflow projects have started, then definitely I would r ather go for it, raising my EPC. Every company wants to grow and we are very passionate to grow the company.

Jiten Rushi: Sir, on the solar EPC, railways and other sectors, are you qualified to bid or you will be bidding in joint venture.
K Jalandhar Reddy : They are framing the eligibility criteria in such a way that we also benefited to it. Because they really know that entire equipment of many players have been becoming idle. And wherever there is possibility, they are trying to accommodate. Ministries ar e trying to attract more competition out of the situation. So they are making everybody eligible in that.
Jiten Rushi: But sir, execution will become a challenge because we are inexperienced in the sector, then we can end up...
K Jalandhar Reddy: Actually solar concerned, sir. If you have the panels, panel 's cost is fixed, so everything is same as what we are doing. And for anything, for any work, there have been lots of PRWs, lot of subcontractors which are available, who are expertise in such fields. While bidding on to it, we have done an extensive homework by which what all to be done and what methodology we are going to adapt and what are we -- who are the parties we are taking, who are my suppliers, everything is sorted sir. Then only we have gone f or bid.
Jiten Rushi: You mean to say, you have a professional team members for Solar EPC railways, which is sorted and...
K Jalandhar Reddy: Right now, professional team is not there with me, but we have taken consultants on board, who has guided us. And w e have gone to various suppliers. The major thing is buying panels itself is only the bigger exercise that, in fact. Once that is done, the rest all it is easy job for us.
Jiten Rushi: And for railways, we already have in -house team, right sir?
K Jalandhar Reddy: Railways, in a similar way, tunneling, we are trying to recruit some goods engineers for our staff. So once that is done, and we have one of our subcontractor earlier who worked in one of our highway projects, he is tunneling expert now. So he is j oining us hands with us. So we are trying such tie ups also.
Jiten Rushi: Basically, if we see competitive intensity in the roads , are you looking to move out of South India as you have been saying consistently. So are you looking out for more projects out of South India, especially in the roads and solar and other segments? Or we will be focusing only in our expert area, like South India.
K Jalandhar Reddy: No, no. We are focusing on all other parts of India also, only that UP, Bihar I am unable to go because of the quarries issue for me. And there is a little mafia that is there. And if you don't have your own captive quarries , then the prob

lem is with the mafia people. You never know --
every month, there is a change like cement, steel whatever they are c hanging the rates, it is in the similar way for the aggregates also there in those areas.

So there, I'm unable to become L1 because you had the captive quarry , they are able to give a lesser price than me. Otherwise, I was really bidding every time. Only UP, Bihar I am out, but rest of the part of India is free for me.
And I would also joining hands with some of the joint venture partners, I am in the discussion. It is in the discussion phase, so I'm unable to give you complete detail, for that who has a captive quarry and I will join as a joint venture partner, you give me some fixed price which we are doing a deal within and try to breakeven those areas also. I'm trying. It's not a complete confirmed thing as on. But we are taking a strategy.
Jiten Rushi : Last question only. The HAM projects which are in discussion are only 1 project, but last quarter, we were talking about 2 projects to HAMs. Any reason why we are not talking for only 1 HAM project, Palani only.
K Jalandhar Reddy: Yes, you are talking ab out other 3 projects were also under discussion, but MOU is yet to conclude .
K. Venkatram Rao : But concession is there, because Palani we got already PCOD, that is why we are put in advanced stage, but other 3 projects, discussion is going on, but we have time to -- because this construction is going to complete it in this year -end only December. So after that only we can look into. But meanwhile, we are discussing that project also. It is not like that we are not discussing.
Moderator: The next question is from Ashish Shah from HDFC Asset Management. Please go ahead.
Ashish Shah: Sir first question is that in the MSRDC projects that you mentioned that you are bidding or you're going to bid. Have you qualified for those bids in the MSRDC.
K Jalandhar Reddy: There I mentioned about subcontracting only. I was not qualified -- that express highway I couldn't have with me. So I could not get the qualification. So we were -- this time we were thinking to go for a subcontract for 1 or 2 projects -- then later, I al so get qualification, so that future is going to be more for express highways. So I really want to go have a label so that in future it is easy for me to bid.
Ashish Shah: Right. So it's because we have -- we are not qualified for express highways, that's the reason we've not qualified for bids.
K Jalandhar Reddy: Yes, I'm not qualified, I don't have the express highway this thing.
Ashish Shah: The second thing we spoke about some tie -up for BOT. So just to clarify, we're looking for a joint investment kind of a tie -up or we're looking for , somebody bids and wins and we do the EPC. What's the kind of arrangement that we are using?
K Jalandhar Reddy: Yes, sir. Initial model, what we worked out with the Cube is about - we give them EPC bid and they bid for th e BOT and later on the commitment, we will do their EPC and the price which I have given. So it's a pre -tender tie -up, and if they win, we will be the EPC player for that.

Ashish Shah: Right. Sir, third question is that just to clarify, we were L1 in some irrigation projects of INR1,500 crores or thereabouts. So now those L1s are not there in the pipeline? I mean, have they been canceled? Or we are still there in the frame for those L1s.
K Jalandhar Reddy: Sir, L1 status is not there with -- in official new s is not there, only it is the settlement between the contractor who applies the bid, that's it. So L1 is yet to announce and then it sums out. So then we have spoken to the minister last time, he assured that those bids we will not disturb and we will con tinue with the bidding process. That means, they may be all

ocating some funds and
then they would open up the bid, that's what their this thing is.
Ashish Shah: Okay. So basically, we have bid for them, they've not officially declared L1.
K Jalandhar Reddy: Yes. Yes. And the other projects, among the contractors we have spoken and then decided I'm L1, but it's really not there. Such things, no guarantees as it's kind of that. I don't know who have given you information, it is kind of that instance.
Ashish Shah: And sir, what you mentioned about micro irrigation and the other projects, that's different from the INR1,500 crores that you have mentioned earlier -- the INR1,100 crores, INR1,150 crores?
K Jalandhar Reddy: That's a different one. We have diffe rent 3 projects, which may have bidded, micro irrigation, they are different ones.
Ashish Shah: And that you have bid for? You have bid for these projects?
K Jalandhar Reddy: Recently, I think 3, 4 days back.

Ashish Shah: And lastly, what is the unbilled p ortion of the irrigation, which is outstanding?
K Jalandhar Reddy: I think as of now, 670 or…
K. Venkatram Rao : 650 is the total outstanding, including unbilled. We'll have to add this month, right? Including as of date -- INR81 crores is the receivables a nd balance is certified and unbilled portion, actually, around INR570 crores.
Moderator: Next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.
Lokesh Manik: Firstly, apologies. I've joined the call late. So if you've already covered this part. One is with the new announcement that has come in from the minister that they are now proceeding towards BOT project.
So would it be fair to understand that you will now shift now towards the EPC side of work or you would want to take t hese projects on your balance sheet. And are you exploring partnerships other than Cube, with other private equity firms. And the question is any progress on projects which are non -road related, which you have planned, metros, the highways of the likes .

K. Venkatram Rao : Basically, this actually, as already told on con call by the ED sir and VP sir. So definitely, we are looking for other sectors other than road also. So basically in that metros are there, railways are there, minings are there. So definitel y, we are looking in that sector, and we are trying to bid also in that sector.
So basically is that we are taking on EPC basis. So whatever our thought process is that, definitely, we don't want to do that. You can say that BOT type concept. We want to d o actually basically EPC for that project. Even for BOT toll also, we are looking as an EPC contractor more rather than as a developer.
We know we are basically the EPC company, and our focus is always in the EPC. So we will continue to be focused on that . That's why we are discussing with different investors in the BOT toll tie -up and to work as EPC contractor. So that's why we cannot take entire thing in our balance sheet. So that is our object and we are pursuing towards that only.
Lokesh Manik: Would this impact your profitability versus where you are doing, taking it on your books versus doing an EPC. Will that have any impact on your...
K. Venkatram Rao : It is basically the EPC contract only. So like our existing EPC contractor is there, rather than directly from the NHAI, it will be some of SPV of the EPC contractor. So it is nothing -- our balance sheet will be the same only because we have to bid, we have to give the EPC price actually for that bid and according to that, bidder will quote actually. And when awarded to us, we will get the EPC work and we will do.
Lokesh Manik: Any credit risk on this?
K. Venkatram Rao : EPC work is whatever the working capital requirement you have to do, for that definitely, we will go with our existing consortium, an d we will get it. So credit risk is towards the EPC work

only.
Moderator: That was the last question. I would now like to hand the conference back to the management team for closing comments.
S. Vaikuntanathan: Thank you all for joining us on this call. Pl ease reach out to our Investor Relations consultant and Strategic Growth Adviser or us directly, should you have any further queries.
Moderator: On behalf of KNR Constructions Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Jun 2024

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Date: 06th June 2024 Ref: KNRCL/SD/2024 /732&733
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings Call for Q 4 FY-24 held on 30th May 2024
Ref: Reg. 30 of SEBI (LODR) Regulations, 2015

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith submit to the Exchanges transcript of earnings call held on 30th May 2024 .

This is for the information of the Exchange, please .
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Thanking you,
Yours Truly,
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q4 FY '2 4 Earnings Conference Call "
May 30, 202 4

Disclaimer: E&OE. This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 30, 2024, will prevail.

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. K. VENKATRAM RAO – GENERAL MANAGER , FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED
STRATEGIC GROWTH ADVISORS -- INVESTOR RELATIONS ADVISORS – KNR CONSTRUCTIONS

Moderator: Ladies and gentlemen, good day and welcome to KNR Constructions Limited Q4 FY24 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of f uture performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should y ou need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. K. Venkat ram Rao, GM, Finance & Accounts , KNR Constructions Ltd. Thank you and over to you, sir.
K. Venkatram Rao: Good afternoon. Thank you for joining us today on the call to discuss the financial results for Q4 FY24 and for the year 2024. Along with me, I have Mr. K. Jalandhar Reddy, Executiv e Director and Strategic Growth Advisors, our Investor Relations Advisors. We have uploaded results and the investor presentation on the stock exchanges , as well as on our company website. I hope everyone got an opportunity to go through it. We would like to touch upon a few key company updates and industry events post which we will have a question and answer session.
I would now like to share our perspective on significant industry development. In the fiscal year 2023 -24, the Ministry of Road Transport and Highway achieved a milestone by constructing 12,349 km of national highways, marking the second -highest achievement in its history.
For the upcoming years, the momentum is likely to continue with MoRTH commitment to project completion and number of projec ts in the pipeline, and increased government funding. This is corroborated by the MoRTH’s spend of around INR545 billion on highway construction in April 2024, which is 20% of its annual allocated capex.
For the year 2024 -25, an industry research report predicts a 5 -8% increase in road construction activity which translates to an estimated 13,000 km of new roads to be built. This is further backed by the 100 Days Plan, shared by the MoRTH . This plan is to be implemented after the incoming of the new government.
The plan also includes construction of over 1,700 km of the highway in the first three months post-election and award contracts for over 3,000 km of the project highway. This is indeed very motivating for the industry. For FY24, NH AI spent 99.98% of the revised capital expenditure allocation of INR2.6 trillion, whereas on the award from the Minist ry was able to award a total of 8,551 km for FY23 -24.
The road construction is one of the country's priorities. India's Road Secretary has unveiled plans to integrate an additional 6,000 km of high -speed highways into the country's road network.

These ambi tious endeavours aim to enhance connectivity and improve transportation efficiency across the nation, benefiting both urban and remote areas. Monetisation continues to be important for both NH AI and MoRTH .
Both agencies have progressed well on this paramet er. NHAI has exceeded expectations in FY24 by raising INR40,314 crores through various asset monetisation channels, surpassing the target of INR28,868 crores. Notably, NH AI's asset monetisation endeavours have now crossed INR1 trillion mark. Further, NHI has identified 33 highway stretches of a total of 2,741 km for monetisation in FY2025 and MoRTH has set a target of INR600 billion from the asset monetisation in FY25.
Now, coming to the key updates of the company, the percentage of fiscal pr ogress as of March

31, 2024 for the HAM project is as under : Magadi to Somwarpet around 83%, Oddanchatram to Madathukulam around 99%, Ramanattukara to Valanchery approximately 73%, Valanchery to Kappirikkad approximately 75% and Chittor to Thatchur is 51%. As of March 31, 2024, the company has already invested INR488 crores out of INR992 crores revised equity requirement for the eight existing HAM assets.
The additional equity requirement for INR504 crores to be infused as INR350 crores, INR90 crores and INR64 crores for FY25, '26 and '27 respectively. You can refer to slide no. 28 of the

investor presentation for the detail on each HAM project.
During the year Q4 FY24, the company received a claim amount of INR135 crores towards principal and INR109 crores towards interest, which were shown in the revenue and other income respectively. And the expenses related to such claim of INR27 crores and tax of INR54 crores also accounted as other expenses and current tax.
During Q4 FY24, the company has mad e a provision towards impairment of equity of INR55 crores and towards doubtful advance of INR32 crores and towards doubtful trade receivables of INR10 crores for one of its subsidiary companies i.e., KNR Muzaffarpur Barauni Tollway Private Limited as the toll collection of the project is not sufficient to recover the cost of the maintenance and the debt obligation, which were included in other expenses.
And the above two items were included in result for Q4 and that impacted result to that extent.
In Q4 FY 24, INR9.6 crores collected as toll for Bihar project for that Muzaffarpur -Barauni and for FY24, the total toll collection is INR41.3 crores.
The company received 10th February 2024 as the appointed date for the 6-laning of Marripudi to Somvarappadu , which is a part of Bengaluru -Vijayawada Economic Corridor.
This project is the Greenfield Highway awarded by the NH AI on HAM model under Bharat Mala Pariyojana Phase -1 in the state of Andhra Pradesh. We are still awaiting the appointed date for 2 HAM project in the state of Karnataka namely, KNR Sriranganatha and KNR Kaveri Limited . The appointed date is yet to be declared.

Now, coming to the order book position, as of March 31, 2024, the company has a total order book position of INR5305 crores. This can be bif urcated as 60% for the EPC road project & HAM project and 19% the total order book is for irrigation project and balance 21 % is for pipeline project. The client -wide bifurcation is 61% is order book from the third party and the balance 39 % from the captive consumption. Out of 61% of order book of third party is skewed between state government contract of 50% where 9% from central government and balance 2% from other private player.
The order book includes the water supply project in 26 ULBs and sewerage project in 4 ULBs under AMRUT -II awarded by the Government of Telangana amounting to approximately INR1105 crores which is awarded during Q4 FY24. Key note , that this order book does not include contract aggregating to INR1200 crores as we ha ve not received the appointed date for two HAM projects. If we include this, the order book will increase to INR6505 crores.
The current order book position remains stable and provides visibility of execution over around 1.5 years. We are optimistic for ne w project awarding activities after the results are out and the new government takes chair. The company is targeting an order inflow of INR2000 -3000 crores during the next quarter s and however the total order inflow for FY24 is targeting around INR5000 -6000 crores.
The sustainable growth remains our priority and de -risking an essential part of our strategy. This provides a shield against potential downturn and unexpected events. We continue to explore new geographical and undertake unconventional projects like irrigation, metro, t unnel ling,

railway,
mining, solar, etc. This move is not only to safeguard against any uncertainty , but also ensure a more stable and sustainable growth trajectory in the dynamic business landscape. As of now, the receivables from the Telangana government amount to roughly INR800 crores which include portion awaiting certification.
Now let me take you through the Q4 FY24 and FY24 standalone financial performance first followed by the consolidated financial highlights. I will start with quarterly highlights first. The revenue for the quarte r has growth of around 12% year -on-year to INR1315 crores.
EBIT DA for Q4 FY24 has a year-on-year growth to INR 214 crores as compared to INR212 crores in Q4 FY23. EBITDA remain in Q4 FY 24 is at 16.3%. Net profit for the qu arter was INR198 crores vis -à-vis to INR129 crores in Q4 FY23. Now coming to FY24 highlights. The revenue for FY24 is INR 4900 crores with growth by 9% year -on-year. EBITDA for FY24 witnessed degrowth of 3% to INR701 cro res as compared to INRR 722 crores in FY23. EBITDA margin in FY24 stood at 17. 1%. Net profit for FY24 was INR494 crores as compared to INR 499 crores in FY23 which includes INR138 crores of exceptional profit booked during FY23 on account of sale of our HAM project. Now coming to the consolidated financial performance. I will start with quarterly highlights first. The company recorded a year -on-year growth of 14% in total revenue for INR1,245 crores in Q4 FY23 to INR1,410 crores in Q4 FY24. EBITDA came at INR 375 crores in Q4 FY24 vis -à-vis INR246 crores in Q4 FY23.

EBITDA margin in the current quarter stood at 26.5%. Profit after tax stood at INR341 crores in Q4 FY24 vis -à-vis INR 142 crores in Q4 FY23 a growth of around 140%. Moving on to FY24 highlights. The revenue for FY24 grew by 9% year -on-year to INR4,430 crores. EBITDA for FY24 was INR 1,048 crores as compared to INR917 crores in FY23 registering 14% growth. EBITDA margin for FY24 stood at 23.7%. Net profit include the ex ternal profit grew by 71% year-on-year to INR752 crores. Now moving on the standalone balance sheet. The company continuing to maintain a strong balance sheet. The w orking capital day stood at 89 days as on 31st March 2024 and 67 days as on 31st March 2023 due to higher irrigation receivables in March 2024. The consolidated debt as of March 24 is INR1,220 crores as compared to INR610 crores as of March 23.

The net debt to equity on consolidated basi s as of March 31, 2024 stand at 0.34 times. With this we o pen the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead. The next question is from the line of Alok Deora from Motilal Oswal. Please go ahead.

Alok Deora: Yes. Thanks for the opportunity. Sir I just had a few questions. First on the order inflow which has been pretty subdued and your order book is nearly at around INR6,500 crores . So what is the thought on the order inflow for I mean how are we seeing the order inflow for FY25 and what could be the execution now or any guidance on the execution for FY25 and FY26 based on the current order backlog? Because even within this INR1,200 crores worth of projects a re not under execution, I mean not received the appointed date . So, just if you could throw some color on that?

K. Venkatram Rao: Jalandhar sir is there. Yes. Hello. Yes. One second. One second. Sir yes. Definitely in respect of right now we have order book of around INR6,500 crores and the result is actually how now we are looking in order book is that definitely for next quarter actually we target to achieve between INR2,000 to INR3,000 crores of order book definitely and year end target is around INR5,000 crores to INR6,000 crores is order book. So, just

now Jalandhar sir also has joined. He will al so give the order book guidance.

K. Jalandhar Reddy: I think you are in discussion about order book issue s. So I think after election I think there will be lot of tenders which are going to come which w e are also eagerly waiting for h ighway sec tor concerned. We are also sorte d partners to participate into BOT toll projects so that we will be the minor partner and developer portions we will be giving the biggest stake and EPC we will take as a major part.

So in that way we are sorting out the things. So there the BOT toll why I am preferring BOT toll is that there could be some good price switch which could com e up and later we exit our minor portion also. So that is the strategy for going forward for this and apart from that HAM projects anyhow we will be bidding them.

Apart from that, sir, we have already sorted MOUs with Nagarjuna Construction Limited (NCC) for metro participation of metro and major irrigation projects also we have sorted one M oU with NCC. So these two areas now we are proceeding sir. I think first bid we are going to face in Bhubaneswar. Bhubaneswar metro we are facing along with NCC and mo st of other also online, sir.

And railway bids also we are considering even mining bids also we are considering. So going forward the target is about say INR5,000 crores to INR6,000 crore s immediately we need to recoup the others which we are trying to do it. Apart from that, I thi nk we are adding some of the discussions with that MSRDC main contractor who have got. So we will take from one project at least from that portion that is what we are now in discussion with. Once we get on to that I think we will also be comfortable to announce that.

Alok Deora: So this year based on the orders which we have what kind of growth we are looking at for FY25? What revenue numbers we are looking at?

K. Jalandhar Reddy: Sir actually FY25 is going to be little bit dull I believe. I am also not bit confident because all these orders we take and when they get started and all then there will be big issues, b ut however that Mysuru project is not yet started up as of now. Only that Ongolu project is started from out of that. A nd again then the INR1200 crores which we backed out of is that micro -irrigation project, public health department. That is also going to start now.

So with all that, I think really if we go -- that's the last year figure that will be the greatest thing what we can do in this. We will try our best in this. And again, the Kerala projects and all are all in the May, May month only it is started. First of May, the rain is started. So it is going on as of

now. Then, non -seasonal rain is also little bit bothering us.
So, little bit challenging on this year is there, sir. Whether there will be some ifs and buts, I think we will be able to deliver the last year figure only. So going forward, I think 2026 would be, touch wood, we'll do great. That is what I am thinking.
Alok Deora: Sure. And, sir, in terms of margins, we expect it to be in the 16 %, 17% range?
K. Jalandhar Reddy : Actually it depends on the quality of the orders which we intake. Definitely, I should always focus on such results. After bagging t he orders, then we will try to again come back on this, sir.
Alok Deora: No problem. Thank you, sir. That is all from my side.
Moderator: Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: Good afternoon, sir. Thank you for taking my question. S ir, my first question is on the partnership which you are talking about with NCC where you will do metro -projects and irrigation projects.

So what kind of, and also in BOT toll where you will be a small m inor partner and then you will be 100% EPC and probably you will sell your stake on projects that are operational. So in the BOT toll, you are looking for a partner. So who will be your major partner there, sir?
K. Jalandhar Reddy : Sir, one way -- a few pr ojects we have discussed with Cube. And the second one is under discussion, sir. It is not yet concluded. I think Cube is sorted now. I think after election, depending on the bid size and all, then we will go for MOUs. We are also getting qualification up to INR2,500 crore s direct participation into toll projects, sir. Sir, another version is there that around 74% will be held with Cube. Our Cube is offering one more method that they wanted us to give the EPC bid and they want to be the entire developer for that actually. So even that is being sorted out.
Jiten Rushi: Sir, can you please pardon me?
K. Jalandhar Reddy : More clarity is going to achieve in another couple of 10 , 15 days, we will get more clarity on this. This is the method which we are sorting. The partners, I think Cube is now almost discussed and it is in conclusion. And the rest are other parties which are under discussion.
Jiten Rushi: So basically, one project you are going to -- apply ing to bid with Cube and another couple of projects to other partners ?
K. Jalandhar Reddy : Yes, like that, sir.
Jiten Rushi: And, sir, with NCC, what would be your portion like? So NCC is already made…
K. Jalandhar Reddy : It is all back -to-back kind of arrangements only, sir. I think 51 -- if I do the project, I 'll take 51. If he takes my strength and he will do his project, he will take 51. Like that we have sorted . The MOE is between us.
Jiten Rushi: So EPC also will be done …?
K. Jalandhar Reddy : We will take back -to-back entire thing and we will do ourselves. And if there is any project by them they want from us, they will take from us and they will do it truthfully .
Jiten Rushi: So it is more of a JV where 100% EPC will do in one project and probably another 100% they will do that way ?
K. Jalandhar Reddy : They will do kind of that way.
Jiten Rushi: And, sir, in terms of the other sectors in your opening remarks …
K. Jalandhar Reddy : Patel Engineering also we have spoken with, sir, for some tunneling projects and all. I think MOU is yet to do. We are under discussion. Almost -- he said, okay, one bid he has offered also. One bid we have done. We were not s uccessful. But upcoming we will participate.

Jiten Rushi: But, sir, in irrigation we are already qualified. What I understand, you are already qualified. Why do you need to go for a partnership?
K. Jalandhar Reddy : There are certain irrigation projects, sir, wherein we will be requiring some expertise. Minor portions I will be requiring a partner , some portions actually wherever the -- I think dams and powerhouse, we have not completed . Once we complete 90%, that certificate is useful for us.
Jiten Rushi : Dams and lift irrigation you said , right?
K. Jalandhar Reddy : Yes, lift irrigation and everything.
Jiten Rushi: Lift irrigation, which you'll complete ...
K. Jalandhar Reddy : Then only the certificate is valid. That is the problem. Until such time, you have to depend on outside.
Jiten Rushi: Sir, on the tender pipeline, can you highlight what is the current outstanding tender pipeline, which you have bidded for and when it will open? And any targeted tender pipeline, which you are planning to bid for?

K. Jalandhar Reddy : Sir, I think there is nothing like target pipeline . There were some irrigation tenders were there in Telangana, but I think if the government is changing , so what view they will take, I don't know, really. Two projects were there in irrigation sector which we gave the bids and they have not opened and it is kept pending almost by six months onwards.
So once they open only, we will know . But whether

they will open or they will go for re -
tendering, which we don't know. In fact, they hav e asked for extension. We have given extension, bid extension. We will have to see, sir.
Jiten Rushi: Sir, right now there is no outstanding tender pipeline. We will be bidding everything afresh now going forward ?
K. Jalandhar Reddy : Yes, sir, going forwar d only. Actually, there is lot of gap that has come up in last year's order inflows and aggression was there, so winning was a bit challenging. So I think going forward, that's why we are not completely depending on highways. We are starting tunneling proj ects in…
Jiten Rushi: Solar also you mentioned, mining in -- solar E PC also you mentioned. Any joint venture with any partners for solar E PC?
K. Jalandhar Reddy s: Solar E PC, sir, I don't require a partner. I am qualifying directly.
Jiten Rushi: Sir, you are qualified directly.
K. Jalandhar Reddy : Yes.
Jiten Rushi: And mining also you are qualified directly.

K. Jalandhar Reddy : And for NTPC kind of projects, we may need a partner . For other areas, I am qualifying myself.
Jiten Rushi: Okay, sir, that's it from my side. Thank you and all the best.
K. Jalandhar Reddy : Thank you.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital . Please go ahead.
Shravan Shah: Hi, sir. Sir, just to dwell on the same thing in terms of the order inflow and the execution that we are looking at for FY '25 and '26. So broadly trying to understand first the INR6,500 -odd crores. So obviously two HAM projects we haven't received the appointed date. So also help me when we are likely to get the appointed date ? And out of that how much execution we can look at in FY '25. That is one aspect. So removing that, the remaining INR5,300 crore s order book, out of that how much we can do execution in FY '25?
K. Jalandhar Reddy : Sir, actually FY '25 is concerned , I think most of the order book should be executed by this time because I think Kerala projects and all other projects they are likely to be completed in coming year only. In fact, I think after June, July, I think they are on extension also beca use of some excessive rains and there were some school issues and all that. So a little bit extension we have taken.
So I think those all need to be completed in this year -end only, most of them. Except in that , that payment is not received in the irrigation portions. So we have put a court case on it to get the payment because we cannot wait for a long time that government should dissolve and we will not be -- if they don't pay and all again we will have issues.
So that's why we have even gone to the court for that payment. So I think if they don't continue to pay us or they don't show any courtesy to pay us then we will have to stop that project also.
So there a little bit ifs and buts are there. That's why I am little bit not comfortable on givin g the right figures in this year ’s execution .
Shravan Shah: But this irrigation when we are saying we are going to court , this is for package 4 we are talking about?
K. Jalandhar Reddy : Yes sir, package 4 . Package 5 I think partially we are receiving the payment. Package 3, - there is outstanding is not much. So, we are doing it, no problem.
Shravan Shah: Okay, okay. And for the 2 HAM projects when we are likely to get the appointed date and how much execut ion we can look at in FY25?
K. Jalandhar Reddy : Sir, pardon me sir. Mysuru 2 packages. I think because of these elections and all then there is only 50% land is acquired 45% land in one other project. So, I think they said after election code is completing I think all the officers will be put on job and 1 -1.5 month they will clear on that.
So, expecting somewhere in July end or August 2nd week kind of that.

Moderator: The participant got disconnected. Thank you. The next question is from the line of Parvez Qazi from Nuv ama Group. Please go ahead.
Parvez Qazi: Hi, good afternoon sir. Couple of questions from my side. Sorry, I joined a bit late. So, apologize if these questions have been answered. What is the total pending receivables from the Telangana irrigation project?
K. Venkatram Rao: Sir, total pending receivables Certified receivables is INR600 crores and with all uncertified put together is around INR800 crores.
Parvez Qazi: Got it. Secondly, in terms of how much equity we still nee d to put in our HAM projects and if you could give us how much do we need to infuse in FY25 and 26?
K. Venkatram Rao: Sir, we have to put around INR500 crores actually for the equity in our HAM project. So, out of that around INR350 crores in this year actually FY25 and around INR90 crores in FY26 and balance INR64 crores in FY27.
Parvez Qazi: Got it. And lastly, I mean in this quarter results there were a lot of claims etc. and I mean in your results we have given detailed notes on accounts regarding what proportion or what has been accounted in terms of revenues, taxes, other expenses etc. I mean if we adjust for all those one offs in terms of revenues, other expenses etc. then our EBITDA margin seems to be quite low I mean in si ngle digit. Is that fair?
K. Venkatram Rao: No, no, no. It is not like if you exclude all these things actually one-off even then our EBITDA for this quarter is 17.24 % and for the year is 17.4 %. So, I think there is some miscalculation in the working that we can have discussed separately and I will clarify you.
Parvez Qazi: Sure, that's it from my side and all the best. Thank you.
Moderator: Thank you. The next question is from the line of Shubham Shelar from IDBI Capital. Please go ahead.
Shubham Shelar: Yes, sir. Thanks for the opportunity. Sir, in terms of order inflow, we mentioned two things that for FY25, INR5,000 to INR6,000 odd crores and further we mentioned 2 to 3 months we are targeting INR2,000 to INR3,000 odd crores of orders. So, is this the initial 2 to 3 months order inflow target that is linked with the 100 days plan of MoRTH ?
K. Venkatram Rao: Yes, total year we have planned for, INR5,000 to INR6000 crores and immediately we are targeting in INR2,000 to INR3,000 crores. So, that is our target actually.
K. Jalandhar Reddy : It's not that sir entire, INR5,000 to INR6000 crores are to be achieved in this year and whichever is possible we are trying to flow in and get that.
Shubham Shelar: Okay. So, actually I mean my purpose of asking this question is this INR2,000 crores to INR3,000 crores like you know the target is heavy like zeroed down to particular sectors where exactly it will be coming or it is open as of now?

K. Venkatram Rao: It is open as of now but we are exploring in all the sectors like our sir told that metro, BOT toll, HAM, railway, mining, solar so all these sectors are there that's why we have achieved that we are planning to achieve that target.
Shubham Shelar: Okay, okay . Right sir. And then this, the MoRTH target of 100 days the 3,000 odd kilometer which you mentioned to be awarded in 100 days in your initial commentary so are the tenders out in the market or this will start fresh after the new government formation happe ns the ministerial location happens after that things will move?
K. Venkatram Rao: Definitely, they have targeted actually 2,700 kilometer but that has to, that took a month this new government will form and they have already made 100 days plan of around 1 ,700 kilometer of the highways actually so that definitely plans are there so post election we expect that this should be materialized.
K. Jalandhar Reddy : We will have to see only whether they come up with HAM or as I heard

mostly I am hearing
that they will go with toll only that we should notice that's it. Jobs are going to come there is no problem with that.
Shubham Shelar: Got it, got it sir, got it. Okay, thank you so much.
Moderator: Thank you. The next question is from the line of Prem Khurana from Anand Rati. Please go ahead.
Prem Khurana: Yes, thank you for taking my questions. Sir, I want to understand a little bit on this transaction or the arrangement that you want to have with the cube highways. So I think I mean at least in last quarter the thought process was we would go as a preferred construction partner. We don't intend to kind of invest in these assets and I mean if I heard you right.
K. Jalandhar Reddy : First preference is given for that. In that case if it is required 20 %-25% of the portion we can participate right now and later we can close it up. That's what we are thinking. For that also because to open up more opportunities for the company only. That's it. It will only give us more play area.
Prem Khurana: Sure. But I mean so just to clarify if cube is open to give it to you without any equity commitment

does it mean that margins could be a little lower because obviously then you are a pure subcontractor versus I mean if you commit money they will let you make some more money. Is it the thought process or which is why I mean you are open to kind of consider that investment or…

K. Jalandhar Reddy : Actually what it is that cube has an understanding they made a first understanding that let me give the EPC contract for that and that pri ce is fixed for me and we shall do the project in time and give them.

Prem Khurana: Okay. Sure.

K. Jalandhar Reddy : But we are also certain few partners they are not getting qualification there are new developers who have come they are not getting qualification so what they want us to do is that they want to take our strength and bid so there I am taking 26% partnership and complimenting the bids.

Prem Khurana: And exact commitment would be decided even before we get into I mean even before the…

K. Jalandhar Reddy : Yes ac cording to the bidding criteria eligibility criteria I mean how much ever I have to contribute I hav e to contribute at this stage later I may quit out of that kind of thing.

Prem Khurana: Sure. So I want to understand I mean let's say whenever you decide when to exit the 26% that is with you and you want to sell it to the other partner right the exit val ue would be decided beforehand or it will be done at the time when the project is complete you have COD

K. Jalandhar Reddy : We are discussing that only we want them that way what I am saying I will come as a partner but I may not be able to do major portion . Equity also you may give in my name I mean I can give in at the time of giving it but later after my final completion of the project . I may offer to get back my equity and then quit . So with a fixed interest rate which they are offering or at the time of that valuations they will do realistic valuations they will do . And then they will do some sort of NPV calculations to get out of it . Both the options are there sir which whichever is safe for the company which we would like to close upon . The majo r thing is to get the EPC business that is only target which I am looking at now .

Prem Khurana: True sure and the second was on this NCC arrangement that you have how would we decide ? I mean who would get to keep the EPC let's say , there is a project in th e market . And you both want to have that project I mean there could be a situation wherein NCC would say I want to keep it . And you could also I mean there could be a situation wherein you say I want to keep it . So how would you decide because you said we 'll decide before hand and which is how accordingly we will structure it wherein I will own majority a nd I wil

l get to keep and whether NCC decides to wants to have the EPC , they will take the majority . But there could be some sort of disagreement some project wherein I mean if you both are interested how would the arrangement work there ?

K. Jalandhar Reddy : So what we take , we have that Bhubaneswar I will tell you example with Bhubaneswar project there are three packages in it , the Bhubaneswar metro whi ch we are now placing on fifth of this month , I think coming month . So there the -- if we win one project KNR is doing . If we win two projects one will be done by NCC one will be done by KNR . And we are choosing my project this is my project so the rest of it like that

Prem Khurana: Okay, sure. And sir I missed your comment on the irrigation this year I mean if you could help me understand . When do you expect the INR600 crores specially for the package 4 because a large part of this is already certified the government has already acknowledged the payment is due. When do we expect this money to come to us ? And how would this shape up our pace of execution on irrigation projects because the money has been stuck for a while now ?

K. Jalandhar Reddy : Yes sir what happened , we have given as a court case we are not receiving this payment please make us , to get the payment along with the interest . And so we have already given in the court for getting that as a claim . Then what happened , there was a discussion with th e department saying that the NABARD loan which was there now that is not active . So whether they are going to make it active or whether they will pay from their own budgeted allocations , which has to be decided by the current government .

I think they will -- they said after these elections we will try to resolve this , that's what they said . But however we could not wait for so long time . We've been waiting for one and half year now . So we have given a court case for that because it is a huge amount so we ca nnot take risk for that.

Prem Khurana: Sure and since we have taken them to the court does it mean the work would stop now or how

would this work ? And we still have…
K. Jalandhar Reddy : Actually sir according to the thing which now we are continuing only , we have not stopped it . But we are just waiting for the decision to come out from the government of Telangana on these NABARD funded projects
Prem Khurana: Sure sir I have one more . Can I ask or I can come back in the queue
K. Jalandhar Reddy : Go ahead sir you can finish
Prem Khurana: Just one last , I think Venkat sir in opening remark s, you said we are expecting some INR2,000 crores, INR3,000 crore s of order by June itself which is essentially we are almost there . I mean is it fair to assume there is some project wherein there are advanced stages to get that project in place which is why you would commit INR2,000 crores - INR3,000 crore s by June ? And is it fair to assume I mean this is I mean some sort of arrangeme nt with someone I mean who has been able to manage the success with some project at MSRDC which is why you are confident that way?
K. Jalandhar Reddy : MSRDC they are under discussion with the major players who have got the project to take back to back contract with them and do it because I am also not having the qualification to win into that MSRDC because they were asking express highways completion . So I haven't done any express highway as of now , only that Greenfield express highway now I am doing , which have not yet completed .
So they are on the around 50 %-60% only the progress , so once that is until such time I am also thinking if they give us the back to back arrangement the contract . At least 40 %-50% of the certificate , official certificate I would get it . So that's why I want to work as a subcontract also for this . So we are now under discussion with various players . R

ecently only three days ago they have op ened the tender they have announced the L1 and all .
So I think discussions are going on sir. I think as soon we conclude I think definitely we will come back to you .

K. Venkatram Rao : I told next quarter not by June
Prem Khurana: Sorry next quarter . And how could the margins be different with these MSRDC project because these will be subcont ract let's say compared to…
K. Jalandhar Reddy : Definitely the margins are little bit diluted sir , there is no doubt in that . Actually this one I want to do for compan y's future because now the time is going to be for express highways only . You might have seen lot of green field highways they are doing NH AI. And all the major cities they are being connected with express highways only they are no w planning . So I think it's better choice to do one project under someone also . If you get the experience that is going to be further rocking for us I think it will be added advantage to the company for future participation s.
Prem Khurana: Sure sir . Thank you very much this is r eally helpful . And all the very best for future .
K. Jalandhar Reddy : Thank you .
Moderator: Thank you. T he next question is from the line of Mohit Kumar from ICICI securities . Please go ahead
Mohit Kumar: Good evening sir . And thank for the opportunity . My question is on the – again cube tie up , is it a blanket tie up ? Are you going to evaluate each and every project which is up there for the bidding ? Or is it for the few selective projects which you are looking for ? And is it fair to assume that you look only for the southern based project not the Pan India list ?
K. Jalandhar Reddy : Sir actually the BOT Toll really I would like to restrict myself to be in southern part of India . May be UP , Bihar also I am considering to go but north east part of India I am not interested because there are also likely projects could come up . But the traffic regularities are very heavy there and the working season is very less . So delivering timely also there are difficulties there . So rest of the areas we can think of doing it sir but first preference is given to southern part of India so that we have everything under control here.
Mohit Kumar: Sir, I believe Cube Highways were looking to bid for each and eve ry project, right, BOT project?
K. Jalandhar Reddy : Yes, definitely sir. They are under -- they said first special choice he will give me that's what he said, let me speak sir .
Mohit Kumar: Okay. First Right of refusal.
K. Venkatram Rao: We will identify the project with them actually and that project will be exclusive with us also.
Mohit Kumar: Okay. Understood sir. And sir w hat is the BOT pipeline as you see today is it fair to say it's around INR35,000 crore s worth ?
K. Jalandhar Reddy : Around yes I have seen around -- we have selected almost around 12 projects . 12 projects we have selected about all INR2,000 crores, INR3,000 crores ranging from that actually . There are couple of projects on INR1,000 crores, INR 1,050 crores also INR500 crores also but most of

them are bit above this thing INR2,000 crores to INR3,000 crores even INR4,000 crore s projects also there . But I am not eligible so I may take a partner . And all the order book it is only the question that you get one project which is INR3,000 crores INR3,500 crores. I t is sorting our most of the problems

Mohit Kumar: Last question on solar opportunity how do you think about EPC solar is it going to a big part of your pipeline or you are looking at very , very few projects which will not contribute meaningfully to the top line . Why I am asking this question because solar EPC margins will be between single digit right ?

K. Jalandhar Reddy : Sir actually I have participated to thre

e tenders they were disastrous . Actually I was -- somehow we managed to get on to top four but when it is gone with the auction opportunity , the reverse auction we were bit failure , that’s the major thing . And the prizes they went at not even single digit -- so I think little bit bigger league is going to help in this , that’s what I am thinking now

Mohit Kumar: Understood. So you are going to…

K. Jalandhar Reddy : Kind of testing water is running on that type.

Mohit Kumar: Understood. Thank you all the best sir , thank you .

Moderator: Thank you . The next question is from the line of Bharani from Avedus Park . Please go ahead

Bharani : Good evening sir . My first question is on the F Y’24 adjusted revenue EBITDA PAT can you tell me that ? Like adjusted for all the claims , one -offs, requirement s everything can you give me the FY ’24 revenue EBITDA and PA T adjusted ?

K. Venkatram Rao: FY ’24 you say revenue - revenue will be actually INR3955 crores and EBITDA will be INR690 crores and percentage is 17.4 % and PBT will be INR573 crores and PA T will be INR440 crores.

Bharani : Okay. And when we are saying that we will achieve flat kind of performance in F Y ‘25 in revenues we are talking about this INR3955 crores ?

K. Venkatram Rao: Yes. Correct .

Bharani : And margins would be lower than 17.4 % achieved in F Y ’25?

K. Venkatram Rao: As sir told because margin is based on what are the projects we are getting existing projects are there even new HAM projects it is we have quoted little bit aggressively to get these three new HAM projects definitely to maintain that even 17% margin is really challenging but our guidance is between 15 %-16% definitely we could be able to deliver .

Bharani : Okay, my last question is on the BOT projects can you refresh us on the some of the important parameters on BOT lik e in the earlier cycle we used to remember the qualification criteria would be based on networth , the complete exit after three years , so what are the now parameters which are important like that have they changed or are they similar ?

K. Venkatram Rao: Because this model concession agreement actually it has to get actually they have sent to offer the comments but still it has not been finalized actually . So once this agreement is going to be finalized , so definitely we can be able to tell actually what i s there in old one and new one so as of now …

Bharani : Broadly it will be 25 year concession period ?

K. Venkatram Rao: That's why it will depend upon the project actually how they are saying some is 20 years definitely it is not like HAM 15 years it will be 20 years and above so they have given some relaxation for termination payment also so differences are there actually but it is yet to be they have offered comments from all the stakeholders . So once this comment will come and it will be finalized then we will come back to you

Bharani : And qualification is based on highest revenue share , how will it be this time ?

K. Venkatram Rao: Definitely , based on that only , revenue share only.

Bharani : Is the same it is the same ?

K. Venkatram Rao: It is the same o nly.

Bharani : Revenue share and the exit will be after 1 year or 3 years exit by the equity partner developers ?

K. Venkatram Rao: That has to see actually . It has not - this document has not come for public domain , it is just only they are expecting they have a sked for the comments actually

Moderator: The next question is from the line of Ankita Shah from Elara. Please go ahead.

Ankita Shah : Yes hi, what is the timeline expected for the receivables that are pending from Telangana ?

K. Jalandhar Reddy : Actually ma'am that the new government is yet to decide on that these are having that NABARD loan things . So whether they are going to resolve the NABARD thing with the loans thing with the banks and then

central government or they will allow from their budget whic h the decision
is yet to be taken after this election only . So we are waiting literally for this decision to come out

Ankita Shah : Any other large receivables apart from this in the receivables apart from this?

K. Jalandhar Reddy : Large receivables is noth ing only this pending is only with this

K. Venkatram Rao: Other than this actually HAM receivables are there around INR695 crores but that we are not drawing the debt because as of March also we are having the sufficient cash flow . So based on our cash flow requirement at the parent level we will draw the money . But that is that's why that HAM receivables is not a challenge

Ankita Shah : And any claims or adjustments further are you expecting in the near term ?

K. Jalandhar Reddy : There are few claims which we are expecting under Vivad Se Vishwas there has been some deferment with the NHAI as per that , they are not supposed to touch the award issues but in few of our projects like in AP07 which is an annuity model Telangana project the y have said certain claims were not reasonable so we will cut down , so the cutting down we have not accepted . If they resolve , I think the legal division is viewing it very differently how can you touch when it was not asked to touch the award issues becau se once it is awarded means it is awarded by an expert agency like arbitration tribunal .

So there even some places that AP07 which I am talking about that single bench also we won the case in single bench also , now it is with the double bench court .So once these issues are there they cannot go into challenging the award portion which they are doing that is why we are not accepting that I think the legal division is after that to resolve with the technical division if it is resolved we may get it or oth erwise we will get through the courts itself . So except that I think there is not much .

Ankita Shah: Thank you so much

K. Jalandhar Reddy : There is small claims from Orissa is there and AS18 is also there AS18 also that is there in the courts only it will go with courts . AS18 is signed we are getting , AS15 we are not getting we are getting from court AS15 .

K. Venkatram Rao : For that we have signed supplementary agreement our portion is around INR70 crores that we will get in coming quarter and other AS18 and AP7 we have not accepted and we have gone for the court .

Moderator: Thank you. The next question is from the line of Faisan Hawa from HG Hawa . Please go ahead.

Faisan Hawa: So, sir, on the railway part can we expect something to happen soon or will tha t also take time ? And from your experience as a stroller do you mean to say that most people are bidding at negative margins or there are no margins at all ?

K. Jalandhar Reddy : According to me , there was no margins at this time whatever the bids I have examined literally no margins .

Faisan Hawa: Okay. And about the railway sir ?

K. Jalandhar Reddy : Railway is actually , sir, that we are now placed on one bid I think another bid we are going to place in coming couple of months -- that was -- there was also a little bit aggression was there I have seen some aggression now .

Faisan Hawa: So, I mean , do we now have to jump the old policy and going for orders at all costs and or do you still maintain the discipline that you have shown over so many years ?

K. Jalandhar Reddy : As of now , we were trying to maintain our discipline but I think the now market is teaching everybody a different lesson because of that lots and lot of job scarcity that is there in the phase .
So, definitely there is little bit aggress ion is there in this . So, unless if you cut down little bit

margins like 2 %, 3%, 4% definitely it may not be possible for you to win

the job at all, we have
a taken some calls by which we were successful in that Mysuru and Ongolu bids and going forward we would like to cut down margins by 3 % to 4% I think .

Moderator: Sir, your line is not audible. Please rejoin the queue. The next question is from the line of Veenit from Investec. Please go ahead.

Veenit: Good afternoon, sir, thanks for the opportunity. Just wanted to clarify that we are not eligible for any expressway projects ? Bidding for any expressway project?

K. Jalandhar Reddy : Actually sir, NHA I is not asking any special criteria for expressways but MSRDC they put that they need only express highways to be done .

Veenit: Okay, so, does that mean that we are not completely out of the race for any state government expressway projects but it will depend on a case -to-case basis ? Depending on whatever the terms

of the bidding are ?
K. Jalandhar Reddy : Yes, sir.
Veenit: Okay. Thank you so much , sir.
Moderator: Thank you. The next question is from the line of Shika Doshi from Axis Securities . Please go ahead .
Shika Doshi: Yes. Thank you for the opportunity . So, I would like to ask what is the capex that you expect for FY '25.
K. Venkatram Rao: Actually, this year we did around INR80 crores of capex because if definitely further for '25 it is based on whe n we are getting this project actually as of now the cape x requirement is not there . Only the regular capex we have to incur but suppose we are getting some big project actually , immediately so definitely then capex requirement will be there but we are expecting somewhere around INR100 crores to INR120 crores will be there actually .
Shika Doshi: Okay. And could you give an approximate amount that we are expecting from this Vivad se Vishwas scheme in for FY '25.
K. Venkatram Rao: Right , we've asked you , sir, we are right to sign only one agreement as of now so w e are expecting around INR70 crores out of that . So right now , one is there which we are expecting in this year and others is anyway we have gone to the court actually . So that when it will come depends upon the outcome from the court proceedings only .
Shika Doshi: This is expected in the first half or the second half of the year?
K. Venkatram Rao: Mostly , in first half because we already signed that agreement . So, we expected in first half it should come .

Shika Doshi: Okay , sir. Thank you .
Moderator: Thank you. As there are no further questions from the participants that will be the last question for the day, I will now like to hand the conference over to the management for closing comment over to you , sir.
K. Venkatram Rao: Yes. Thank you all for joining us on this call . Please reach out to our investor relations consultant strategic growth advisor or us directly should you have any further clarification . We can now close the call . Thank you .
Moderator: Thank you. On behalf of KNR Constructions Limited that concludes this conference . Thank you for joining us and you may now disconnect your lines . Thank you .

Call: Aug 2024

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Date: 23rd August 2024 Ref: KNRCL/SD/2024 /767&768
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings Call for Q1FY25 held on 16th August 2024
Ref: Reg. 30 of SEBI (LODR) Regulations, 2015

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith submit to the Exchanges transcript of earnings call held on 16th August 2024 .

This is for the information of the Exchange, please .

Thanking you,
Yours Truly,
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q1 FY '25 Earnings Conference Call"
August 16, 2024

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 16th August 2024 will prevail."

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. K. VENKATA RAMA RAO – GENERAL MANAGER, FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED

KNR Constructions Limited
August 16, 2024

Moderator: Ladies and gentlemen, good day, and welcome to KNR Constructions Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involves risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero, on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. K. Venkata Ram Rao, General Manager, Finance and Accounts, KNR Constructions Limited. Thank you, and over to you, sir.
K. Venkata Ram Rao: Good morning, everybody. Thank you for joining us today on the call to discuss our financial results for Q1 of FY '25. Along with me, I have Mr. K. Jalandhar Reddy, Executive Director; and Strategic Growth Advisors, our Investor Relations Advisors.
We have uploaded results and the investor presentation on the Stock Exchanges as well as on our company website. I hope everyone got an opportunity to go through it. We would like to touch upon a few key company updates and the industry events, post which we will have a question-and-answer session.
I would now like to share our perspective on the significant industry development. With the release of the interim budget, a substantial sum of INR11.11 lakh crores was earmarked for the infrastructure sector. This allocation underscores a pivotal role in the India growth story, signalling that the infrastructure sector shall remain a focal point of investment and development.
Additionally, the MoRTH had secured approval for a INR22 lakh crores investment in a comprehensive highway development plan, aiming to cover 30,600 kilometers by 2031-32.
Furthermore, the cabinet approved eight national high-speed road corridor projects with an investment surpassing INR50,000 crores.
Another promising development for the sector is that the MoRTH plan to award road contract worth INR3 lakh crores over the next 3 months, which aims to close the current financial year with a INR5 lakh crores in the award contracts despite a slow start earlier in this year.
The government has also expanded the completion deadline for Bharatmala Phase-1 by 6 years from its original completion schedule. Now as per the revised schedules of Phase-1 will be completed by 2027--28, the extension is on account of delay in the project awarding as the approval for the revised project cost was pending for cabinet's nod.
Upon the completion of the Bharatmala Pariyojana Phase-1 by 2028-29, MoRTH anticipate gathering INR1.25 lakh crores from user fees and monetization of the national highways, triple the amount collected in 2022-23.

The Union Budget has also allocated INR15,000 crores for the development of Andhra Pradesh capital city.
The government of Telangana also proposing to invest INR1.5 lakh crores in the next 5 years for rejuvenation of Musi riverfront.
This highlights the government dedication to expanding and modernizing the highway network, underscoring its commitment to create a solid transportation infrastructure that aligns with India's development and objectives.
Now coming to the key updates of the company. The percentage of physical progress as of June 30, 2024, for the HAM project is as follows: Magadi to Somwarpet approximately 84%, Oddanchatram to Madathukulam 100%, and we have applied for the final COD of the project; Ramanattukara to Valanchery approximately 77%, Valanchery to Kappirikkad approximat

ely
82% and Chittoor to Thatchur 63%.
As of June 30 2024, the company has already invested INR518 crores out of INR992 crores, revised equity requirement for the eight HAM projects. Out of balance, equity requirement of INR474 crores for these eight HAM projects, INR335 crores, INR72 crores and INR67 crores will be infused in 9 months of FY '25, '26 and '27, respectively. You can refer to the Slide number 24 of the investor presentation for the details. On toll collection, from the Bihar project, has a collection of INR10 crores in Q1 FY '25 as compared to INR11.6 crores in Q1 FY '24.
Now coming to the order book position. As of June 30, 2024, the company has a total order book position of INR4,922 crores. This can be bifurcated as 58% of the EPC road projects and HAM projects, whereas 20% of the total order book is for irrigation project and balance 22% is from

the pipeline projects.
Client-wise bifurcation is 63% of the order book is from the third-party clients and balance 37% from the captive HAM project. The third-party order book percentage is split between state government contract at 51%, whereas 10% is from central government and balance 2% from the other private players.
And we note that this order book does not include contract aggregating to INR1,200 crores as we are yet to receive our appointed date for two HAM projects. If we include these, our order book will increase to INR6,122 crores. The current order book will be executed over a period of 1.5 years.
Now with this election behind us and the strong focus on roads and highway development as indicated through budgetary allocation towards the sector, we expect new order awarding to be picked up, and we are targeting an order inflow of around INR6,000 crores to INR8,000 crores by the end of FY '25. Lastly, CRISIL Ratings has reaffirmed its outlook on the long-term banking facilities at CRISIL AA/Stable. And also, a short-term rating is reaffirmed at CRISIL A1+.
Now let me get through the financial performance for the quarter. Before discussing the financial numbers, I would like to highlight that during the quarter, the company has received an arbitration claim of INR60.8 crores, which is recognized as revenue from operations. And

against that, we recorded a cost of INR4.4 crores, which is part of other expenses. And the tax on the total arbitration claim is INR14.2 crores, which is included in current tax. This arbitration claim is from one of our JV that is Patel KNR joint venture.
Additionally, during the quarter, one of the associate company that is Patel KNR Infrastructures Limited. has paid dividend of INR14.5 crores, which forms part of our other income, and the tax on same of INR3.7 crores included in the current tax.
The revenue for the quarter stood at INR880 crores. EBITDA for Q1 FY '25 grew by 11% year-on-year growth to INR192 crores as compared to INR173 crores in Q1 FY '24. EBITDA margin in Q1 FY '25 is at 21.8%. Net profit for the quarter was INR134 crores as against INR110 crores in Q1 FY '24, representing a growth of 20% year-on-year.
Now coming to the consolidated financial performance. The company recorded a flattish revenue of INR985 crores in Q1 of FY '25. EBITDA came in at INR279 crores in Q1 FY '25 to INR216 crores in Q1 FY '24. EBITDA margin in the current quarter stood at 28.3%. Profit after tax stood at INR166 crores in Q1 FY '25 against INR133 crores in Q1 FY '24, a growth of 25%.
Now we move on the stand-alone balance sheet. The company continued to maintain a strong balance sheet. The working capital days stood at 78 days as on 30 June 2024. The consolidated debt as of June 30, 2024 is INR1,532 crores as compared to the INR1,220 crores as of March 31, 2024. The net debt to equity on consolidated basis as of June 30, 2024 has stood at 0.41x as compared to 0.36x as of March 31, 2024.
With this, we open floor for quest

ion and answer.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, the bigger question for us is the order inflow and the revenue. So wanted to understand a bit deeper in that. So starting on the order inflow front, so two, three aspects to understand. First, how much orders? And also in which segments, we have already bidded where outcome is yet to come?
And second, when we are saying that we are looking at INR6,000 crores to INR7,000 crores kind of order inflow now, so when can it can come and also how much we are looking at from HAM? So that is one. And then post that, I have a question on the revenue front.
K. Venkata Ram Rao: Jalandhar, sir?
K Jalandhar Reddy: So actually, as you have asked, the real concern is about order book as of now. So we are keen on addressing that actually. We have been extensively working for the orders So, we are closely working on that, sir. And now a days, as we all know that tenders from NHAI has been completely reduced. Maybe as per Gadkari's statement and all, there should be a good value which is coming up probably from third week of this month or from next month onwards. So that's one of the aspects which should be there.

However, we expect a little bit of aggression in the sector which will occupy the space. However, there are projects from Kerala, there are projects from northeastern part of India where we have already booked, those areas are also coming up. So mostly HAM projects are a little bit -- hopefully, we will get some -- our HAM projects which we are targeting about.

Apart from that, further, we are also very keen in working on some Maharashtra MSRDC projects we're also working. That means I'm not straight away qualified into it because we couldn’t finish our express highway projects timely. I mean to say The time the tender is quoted. That time, our projects are not ready. So we could not qualify on that. So we are starting some sort of back-to-back arrangement with Patel Infra. So now, it should get closed. So about 2,000 plus around would be interested in participating that.

So apart from that, we are also thinking as we have already seen that we have placed our bids in metros, with NCC’s JV. Apart from that, we are also planning to go with the irrigation projects as we would likely qualify in many of the projects in in the state of Madhya Pradesh, Chhattisgarh and even Jal Shakti Mission projects also, we are trying to participate this time. So we are very keen in this thing.

Apart from that, Telangana government is also coming up with some irrigation projects. So hopefully, we will try to get one project at least from that place. And Andhra Pradesh, you might have known now, new era is open in Andhra Pradesh better than earlier. So I think it is very premature to say anything.

But however, we have spoken to various ministers and all, they are very keen in coming up with tenders in highways and irrigation as well with the central government help or they are taking some bank’s help to get into those project completion. So that is also another area which is quite open for us.

Further, we are also examining on mining contracts. So I think the JV has also started out for that. If healthy margins are there, definitely we would participate in those areas Apart from that, we are also thinking of mass earthwork contracts like -- there are some back-to-back arrangements, from irrigation sector or from railway sectors, there's is a mass earthwork contract are also coming out, which we are keen on working on that, and we are also working in accordingly.

So these are the new areas -- even in railways , we would like to put bids, but I think last bid from went very aggressive, we will try to see to still participate and try to get the jobs fro

m that.

So this is the effort which we are doing, sir. And I think the efforts are enormous. And we were definitely targeting INR6,000 crores to INR7,000 crores by this year and hopefully, we will get it. That's the gut feeling we have.

Shravan Shah: Okay. Sir, just a bit further on trying to understand, so this INR2,000 crores subcontracting for MSRDC with Patel Infra, so that's the one that we are looking at, which as you said would be mostly kind of in the final stage. So apart from that, any further subcontracting in MSRDC are we looking at?

K. Jalandhar Reddy: No, sir. Actually, primarily, I'm looking at one. Let me closely work on it and see if at all things are working better, then some adjacent projects, participation also we can go because we are the people most wanted by the bigger contractors. I'm doing a back-to-back arrangement. Many people are there to ask me. But I think we are just taking one project right now. If I think that everything is safe and going good, then I can further also take some more projects with us.

Shravan Shah: Okay. And apart from that, sir, totally, how much we would have bidded in road, irrigation and the EPC, so HAM and EPC particularly how much -- where we have already bidded and final award is yet to come?

K. Jalandhar Reddy: Only 1 or 2 projects, sir. Not much. So anything -- new bids only we are hoping.

Shravan Shah: Okay. And that broader range if you can help us in terms of how much more are we planning to bid? If you can also specify in terms of the overall irrigation, metro, even you talk about the mining also -- railway, mining, because that will help us that this is the kind of opportunity that we are looking at in terms of bidding individual, segment-wise. So just trying to understand if the size is so bigger, then the chances of we are getting INR6,000 crores to INR7,000 crores inflow.

K. Jalandhar Reddy: Winning chances could increase, yes.

Actually, sir, that BOT tolls, we have told you that we are very keen in participating in BOT tolls with players like Cube or some other -- there are few other agencies are there. But if you wanted me to do EPC contract for them and it's exclusively with them. Apart from that, the size of projects are almost INR3,000 crores to INR4,000 crores as you have already seen in that bidding sector. Apart from that, we were also keen in participating in certain projects in which we would like to also compete with the JV with some of the investor groups that are under discussion as of now, so I can't tell you that.

Our participation will be to the tune of 26% to 27%, and balance will be with the developers only. So such arrangement we are doing. So that if I get even one project out of that, I think around INR3,000 crores, INR2,500 crores worth of EPC will be there with me. And apart from that, MSRDC is around INR2,000 crores, which we are thinking.

Apart from that, Telangana irrigation, which is coming out with INR1,200 crore, INR2,200 crore, all that size, they are coming out. So there is a quite good chance that if we get anything, they're saying about INR1,000 crores to INR2,000 crores, we can win one contract out of that. So even I heard the AP government is also grouping the contracts for the bigger size only. The clear details are not known, but they are also planning above INR800 crores to INR5,000 crores kind of arrangements there.

Apart from that railways and all, we are only participating in those tenders where there's a little bit higher -- more than INR700 crores to INR800 crores groups only we are trying to participate because below that, it's highly crowded and there is no good bid that is happening there. So these are the areas. MP also, there is a contract which is coming out thereof INR800 crores, INR1,200

crores also there, INR2,200 crores

also there. INR4,000 crores is also there, but I will be requiring a partner to participate into that.

So all that is there in that. But there are very small contracts also there in the same group, irrigation sector within MP. So these are all there, sir. And UP also, there are contracts which are coming out. And then most probably, UP, Bihar and all other places, it's a Jal Shakti thing, which are more active. So we can even get those contracts who are above -- INR800 crores only, we will be participating. That's what we are thinking.

Shravan Shah: Got it, sir. And lastly, sir, on the revenue front, so given this quarter obviously is on the lower side, so now for full year of FY '25, how much we can look at in terms of the revenue? And given if we get this INR6,000 crores to INR7,000 crores inflow in this year, so how much more or how much growth we can look at in terms of revenue in FY '26 next year, either growth or maybe absolute number would be fine?

K. Jalandhar Reddy: Yes, actually, to answer this question is a little tough. Certain assumptions and things would be taken into account. See, I would say, as of now, we could not start the work in that Mysore-Kushalnagara area, where around INR1,200 crores worth of contracts are pending for the appointed date. I think the department, the NHAI is saying that within 1 month will be resolved. So hopefully, they are really working on it.

I think the EC meeting could happen on, I think, the 20th or 22nd date for that to happen. So once that is coming in, then there will be a little scope for us to work in third quarter, not in the second quarter. Second quarter is highly disappointing for us because the complete projects are in rainy season, and this time, rains have rocked the states. In like Kerala, you heard about what sort of floods we are looking there. And even Mangaluru, we are facing the same situation. So most of the order book, which is around these areas and so, a little bit disappointing results we are expecting from the second quarter. But third and fourth quarter, we'll try to do as good as these. And so assumptions, as I rightly said that assumptions like I would get some more orders to execute in Q3 at least, and Q4.

So if I'm able to execute all these, then definitely, we will try to touch the last year results. I'm not very sure about growth on the revenue side this time. But however, we try our best in getting those things in order.

Shravan Shah: And for next, sir, FY '26...

Moderator: Sorry to interrupt, Mr. Shravan, we request you to get back to the question...

K. Jalandhar Reddy: Yes. Let me answer this question. Yes, I got that. Yes, actually, frankly speaking, on the FY '25, '26, the main thing we are, right now, targeting about INR6,000 crores to INR7,000 crores worth of contracts. If we receive in this year, definitely, we are quite good for that year what you are talking about. So I think we'll do better than what we have performed at least this year.

Moderator: The next question is from the line of Alok Deora from Motilal Oswal.

Alok Deora: Yes. Just one question, sir. Sir, you gave a pretty elaborate answer on the order inflow and what could be the opportunities ahead. But considering that you might receive some orders by end of this year and -- or early part of next year, so FY '26, what kind of growth we could look at here?

K. Jalandhar Reddy: Sir, actually, if we bag back around INR6,000 crores worth of contracts -- see, I rightly said that assumptions what we are taking into account is a major play what it happens. See, if I move to get and I could work from third quarter onwards at least, or our fourth quarter onwards. So FY

'25 would be very, very grateful.
So these assumptions should become true that's the major concern of this. But however, we are confident and we will definitely work towards that to get the other inflow

to our company from various sectors that I've spoken about.
And main thing is that the initial aggressions could be there from NHAI side, so little bit ifs and buts are there. But there would still, initial stages, even if there is an aggression, we are addressing through the BOT toll projects. As already said, that we will be participating into BOT tolls. So even the tenders happen in, say, next month, September, then I think those works can ground in the first quarter of 2025 concern. So let's hope for the best in this. And definitely, we are also hopeful and we are also confident about it.
Alok Deora: Sure. No, because when we look at the order book, it is of INR6,000 crores, including the INR1,200 crores of projects which have not received appointed date. So we're using roughly 1.5x order book to revenue. So it's quite critically low. So do you think we could see like...
K. Jalandhar Reddy: It's critically low, but the thing is that expected orders are also not under execution. That is the major thing.
Alok Deora: Right. So do you think we could see a couple of years of kind of really muted growth? Because even if you were to bag a BOT project or a HAM project by end of this year, nothing would really start before 8-10 months after bagging the project in terms of revenue contribution. So we could be looking at just around, at best, 5% to 10% growth in FY '26 and even FY '27.
K. Jalandhar Reddy: Sure. Definitely. we will work towards that, and we want to do that. I think that's very important.
Alok Deora: Sure, sir. I think that's all from my side. I was just looking at the revenue growth potential.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial Limited.
Vaibhav Shah: Sir, in the Marripudi HAM, we have received the AD in February '24 and there is no execution in Q1. So any particular...
K. Jalandhar Reddy: Actually -- yes, but once we started -- actually, it's a complete greenfield highway. So extensively, efforts are going on in that area. Even to start the structures, we would need that highway at least some earthwork to be done.
And you know that it's a rainy reason in the Vijayawada area, Mungaoli area, the area, it is completely rain season this side. So now I think Q2, we have recently, we have submitted 5%

bill. And 10%, we will complete and submit it in September. So we have reached around 9.5% by now.
Vaibhav Shah: So is the full year, what are the targets, around 30%, 35%?
K. Jalandhar Reddy: Yes, yes.
Vaibhav Shah: And also in case of Periya Shanthi, project execution was very low in first quarter. So...
K. Jalandhar Reddy: Periya Shanthi, it is actually -- the problem was that some time in April also, there were rains and completely May month is fully in the rains. And it's a CC pavement road and lot of earthwork development is also associated with that. So that's why the progress is very less over there. And I think last Friday, we had review meeting with our Nitin Gadkari, sir. We really asked about it. So we have explained all the problems with rain, we wanted an extension up to June next year. So June next year, we are very sure that we'll be competing because I think rainy season must get over by the mid of September 1st week onwards, so we should be getting the dry spell over there. So definitely, we'll work towards that, and we have targets to complete the project balanced by this June, at least.
Vaibhav Shah: Okay. And sir, depreciation for the quarter was very low. It fell down drastically. So what was the reason for that? And what could be the number going ahead on a quarterly or annual basis?
K. Venkata Ram Rao: Depreciation being below, the reason is that because last year, we did addition of only just INR18 crores. And this quarter the addition of INR10 crores only we did. With the last, one and half year almost, there is not much addition to depr

eciation. So that said, depreciation figure was low. And before that year, we used to do somewhere around INR150 crores of that addition. For our depreciation accounting policy, for the road assets, we are depreciating in the 7 years. Irrigation assets, we are depreciating in the 3 years. So there is not much acquisition we did in the irrigation projects. Due to that reason, depreciating was low. And we expect that if it is to continue, definitely, we are getting new projects, then we will add it. If it is like that situation, we may add some between INR100 crores to INR110 crores of the depreciation for the end of the year.
Vaibhav Shah: Okay. And sir, what kind of revenue are you targeting from irrigation segment for the year?
K. Venkata Ram Rao: For the year, maybe around INR200 crores to INR250 crores will be for entire year.
Moderator: The next question is from the line of Lokesh Manik from Vallum Capital.

Lokesh Manik: I had one question on your strategy where you have mentioned that you want to increasingly pick up more projects which require higher engineering skill. So if just qualitatively, if you can give us an idea of the current order book, what percentage, in your assessment, would constitute projects? What other the projects will be having this complexity or high engineering skill?
K. Jalandhar Reddy: Actually, the high-end engineering projects are, we have that Kerala with us, and there is a huge big structure that we are constructing, about 31 meters -- 32 meters-height flyover over there.

And apart from that we have Avinashi flyover, which is going on, I think by December, we are delivering that also.
And there are a couple of projects, new projects are also coming from that same region, which we are keen in participating those tenders right now. And apart from that, the high-end engineering projects are coming up in the city sector like in Hyderabad also, there is enough flyover projects coming up. So we will be keen in participating in those.
So generally complex engineering projects are more with NHAI as well as state governments.
And as I have spoken that MSRDC that express highway that we are constructing it, what we are now under the discussion that is also having high-end engineering structure as well as complex engineering.
Lokesh Manik: About 40%, 50% of your order book would that be a correct assessment?
K. Jalandhar Reddy: The pump house is going to be a complete high-end engineering only. So I think mostly it is 60%, 70% contributing towards that.
Lokesh Manik: Okay. And the second question was on your strategy for BOT projects. So you would want to be an investor or you would just restrict yourself to EPC kind of work on these projects?
K. Jalandhar Reddy: The target is to go as the EPC contractor only, but however if at all I have to take part for my compulsion, I am open to do it.
Lokesh Manik: Great. That’s it from my side. Thank you so much.
Moderator: Thank you. The next question is from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: So my first question would be on the subcontracting work which you are targeting to take in the MSRDC projects and again you said that there could be some BOT tolls projects either you will be in joint venture or you can take us back to back subcontracting. So in such situation what kind of EBITDA margin you are targeting?
K. Jalandhar Reddy: So actually BOT tolls mean the EBITDA could be as normal as it was early. So targeting levels are maybe good only, but we'll have to see at the end of the day what we're going to deliver.
That's important because any BOT contract that doesn't come up with an escalation factor.
So what happens once there is no escalation factor we put around every year overall 5% growth on every year we take it. So on average around 5% to 6% we will take towards the entire contract size if yo

u take it, that's going to be around 5% to 6% we would try to be putting it. So if that assumption goes good with that, definitely things are in line with it or otherwise some abnormal changes which are coming up in the input prices and all like diesel, bitumen steel, cement and all other aggregates sand and everything, then we will have a little bit of setbacks. Otherwise, everything goes normal definitely things are in normal manners..
And so the purpose of taking BOT Tolls there is a lot of risk involve in it because the timelines are very important for them. So definitely they also offer a good price to the contractors so that there should not be any ifs and buts in future for that. So aiming for the good margins only. So

we are entering to that sector to get the good margins, if I need an ordinary project rather I would win a HAM and I do it on my own. Definitely that much margin little bit reduced to a margins, I'm quite sure as earning it.
Jiten Rushi: So is it safe to assume that if you go for any subcontracting or BOT or MSRDC you can make 15%, 16% EBITDA margin. And that irrigation project which you're targeting in Telangana or some of the segment, if you say that there will be higher margin?
K. Jalandhar Reddy: Yes. Hopefully, the target is that only, definitely.
Jiten Rushi: So what could be the EBITDA margin guidance for FY '25, '26 broadly I'm asking? I understand difficult to say, but if you can highlight broadly?
K. Jalandhar Reddy: If the all input prices are normal, definitely, we are going to deliver around 16% to 15% kind of level.
Jiten Rushi: 15%, 16%. And this is also including the high-margin irrigation projects?
K. Jalandhar Reddy: Everything put together only. Otherwise, I don't have that much confidence to say that. Generally

I normally rate like 13%, 14% only it's still okay this time there is a little bit confidence that is there on irrigation project also to come up and BOT toll also to do some EPC for them. So all that in a bit of that will -- that I have.
Jiten Rushi: And sir the appointment dates for the two projects are being delayed. So now what is the reason why it is getting delayed? And what is the target timeline we are looking at to get these upon dates for this Mysore project?
K. Jalandhar Reddy: Actually, Mysore project is pending for the EC that environmental clearance. So I think the tribunal meeting is going to happen or the board meeting for the EC is going to happen in 20th or the 22nd, I'm not very sure about it the date and all, but approximately around that there is a meeting for them. And once that is through with that, I think circulation of minutes would take another 15 days then after that I think we can sort the issues with NHAI for getting the appointed date.
As of now, the land is also -- in one project it is already achieved about say 82%. And second project around 70% it is there. I think they are quite confident that by this month end they are able to achieve that also. That's what PD said with me when I have spoken.
Jiten Rushi: So this should get appointed at October, hopefully?
K. Jalandhar Reddy: Yes sir. Maybe mid of September or October kind of that.
Jiten Rushi: And sir one more question on the claims so…
Moderator: Sorry Mr. Jiten we request you to get back to the question queue for any follow up question. The next question is from the line of Vasudev from Nuvama. Please go ahead.

Vasudev: Yes, sir, I just have some data-related query. Firstly, what is our outstanding receivables on the Telangana and the capex that we are guiding for FY '25 and what you've done for the first quarter?
K. Venkata Ram Rao: As of date actually Telangana has certified receivables of INR600 crores, but with unbilled it will be around INR900 crores as of date. Receivables are pending from

the Telangana. As far as
fees are still there, this quarter we added around INR10 crores, addition has been made in the gross block.
Vasudev: Sir I was asking the capex that we are trying for FY '25 and what we've done in the first quarter?
K. Venkata Ram Rao: First quarter, we did capex of INR10 crores. And this year, because as our ED sir is telling that we are trying to get new projects definitely based on them and which quarter we are getting to the project. Based on that capex requirement may change, but if we go in a normalize way, there will be somewhere around INR80 crores-INR100 crores addition will be there in this year.
Vasudev: Okay sir. And sir, just if you can repeat the standalone cash levels?
K. Venkata Ram Rao: Standalone cash is INR33 crores.
Vasudev: INR 33 crores. Okay that's it from my side.
Moderator: Next, there's a follow-up question from Faisal Zubair Hawa from H.G. Hawa & Company. Please go ahead.
Faisal Hawa: Sir what is the kind of free cash flow and cash flow from operations that we hope to generate in FY25 assuming that we don't win too many more orders. That is one. Second is sir on the consolidated level, we are still having an interest burden of around INR37 crores per quarter. So is there any way that we can utilize the cash that we are continuously getting from the divestment of HAM projects, etc to reduce this interest burden on consol level also?
K. Venkata Ram Rao: But in console level definitely we are trying to get the monetization of project. So if we monetize the project then whatever the debt is there, it is taken there by the investor. So that is one thing that we are trying to do it. And this year, actually, because one project that is KNR Palani we already got the PCOD. So we expect that monetization will definitely happen in this year. And the other three assets, monetization is in discussion and we expect that this Kerala 2 and Chittoor -- Thatchu we should get POCD by end of December and from there 6 months.
So maybe by next year, September '25, you should be able to monetize that 3 assets also. So as our policy is there to be asset light we will continue to do the monetization of assets. And based on that definitely what are the big levers in the consolidated will be...
Faisal Hawa: And about some of the free cash flow and cash flow from operations that you hope to generate in this year assuming that Telangana payments come through?
K. Venkata Ram Rao: If the Telangana payment comes through, there will be very much positive might be more than INR300 crores cash from operations will be there.

Faisal Hawa: Okay. And has the Telangana government makes any kind of arrangements or banking arrangements to really get the payments through? And have you made any progress with the court case we had filed against them?
K Jalandhar Reddy: As far as the court case is concerned, there is no big developments because we have just placed it is very early to say anything about it. But I think the dates will come but we have discussion with the Telangana government. And they keen on paying payments by September end what they said. So let us pick on there. Otherwise, the court case also get admit to gets the dates from September onward. It will be taking a little time. It is not that -- I cannot guarantee that things will be parted with the court case. But the thing is at least they'll have a threat. And second thing, it's already delayed for 1.5 year. The main intention in placing the court cases that they haven't paid us from past 1.5 year,. so there is an accumulated interest also in losses for us. So that we want to gain, that's where we have placed the situation there.
And court case is done for that purpose. So I'm telling the department that you pay the regular payments, whatever you can pay. And after court verdicts only, you can pay the interest. Because they th

emselves voluntary they don't pay the interest part. So I think we will hopefully see that September end what happens.
Faisal Hawa: We can at least get half of the money?
K Jalandhar Reddy: Yes, sir. –Not half, I think if they pay, they will pay the full due but they don't pay the interest.
Faisal Hawa: Sir, would it be right to state that in BOT at least there's only 4 or 5 players who are going to now compete because of balance sheet strength? And what is your opinion of so many people who have taken up time order ...
K Jalandhar Reddy: No. It's not like that. One cannot guarantee about it like that. But I can say that there should be some sort of sensible biding, that's it.
Faisal Hawa: Okay. Because there is no escalation also.
K Jalandhar Reddy: Yes. I think BOT toll means they may not place it like EPC, they are placing like because earlier, many people have burned their hands in the toll projects. So definitely, this time, I don't think people will be brave enough to put the bids as they want to make. They will do R&D that's what our gut feeling is.
Faisal Hawa: And any progress with solar projects or how we have given up on that?
Management: Solar projects, actually there is progress. It's not that right now there is no good mix that are available in space. I think there is to come, new NTPC tenders are there likely to come out and Maharashtra also came in because green energy is now required all over because of increasing requirement of the power through EVs and other industrialization. So definitely, the power is required. And one can't say we can go for big solar. So I think there should be good rally upcoming from third or fourth quarter onwards.
Moderator: The next question is from the line of Amitosh Kumar from Master Trust. Please go ahead.

Amitosh Kumar: So my question is in 2 parts. The first key part is which type of projects give you the highest margins? And do we see the same margins in the future, and this is the first part. And second part is, what is the size of these projects in your order book?
K Jalandhar Reddy: Actually, so that is quite difficult to answer right now because as of now, the order book position, we may be knowing it. But actually, we have started a new sectors, then BOT Tolls, we want to go. We want to go in the irrigation sector in an extensive way. We want to further go in railway, we want to further go in metro, flyover also.
So that put together, I think it could be possible around 15% EBITDA levels are quite possible. That's what we are thinking. Input rates are under control because everything is subjected to some kind of assumptions only entire bid is an assumptions which are there right away. So that really that we should be getting through that.
Moderator: Thank you. Next question is from the line of Prem Khurana from Anand Rathi.
Prem Khurana: Sir, my question was with respect to the metro rail. I think last time you spoke, I mean, you were giving us a sense that for some of these projects in Bhubaneswar, in JV with NCC, I think the results are already out. Possible to talk about how the competition was, I mean, let's say, compared to roads was it as competitive?
K Jalandhar Reddy: That is also a right question. The thing is that we were not L1. I think we were standing at L6 at some positions in that. So definitely we need to improve ourselves to make things work for us.
So we are sorting some good consultants who can guide us in such biddings and these areas. So we also need to improve what I mean to say, and we are now trying to improve ourselves.
Prem Khurana: Sure. And even on BOT side, and you say, I mean, you are open enough consider back-to-back subcontracting or go at a minority partner. I think I mean there are some of these other companies started talking about the similar sort of arrangements. So when you say we're engaging some of these pe

ople. So there again, I mean, how easy or difficult would it be able to have it in your favor?
Because again, we have the similar situation where in some of these other companies could settle a little lower in terms of margins. So what base margin would you want to have? I mean, below which you won't go and bid for these projects?
K Jalandhar Reddy: So actually, the back-to-back arrangement contracts definitely, it's kind of only the lead we are paying and going into it. So it may not be a big difference that may come out. But however, wherever there is a back-to-back arrangement, little bit of lesser EBITDA we are assuming.
Earlier, we used to deliver, I think above 18% plus. That's why maybe we are discussing at 15% levels right now.
Prem Khurana: Sure. And just one last, if I may be with your permission. So we saw our net working capital cycle come down this quarter versus last quarter. But despite that, our cash balance has come down from INR230-odd crores last quarter to INR30-odd crores.

Possible to help us reconcile that, I mean how did we use this INR200-odd crores because our debtor days are down, our inventory cycle is down. So overall, I mean, NWC that you are reporting, in PPT is down. I mean, is it better than the unbilled revenues have gone up substantially, which is where the money would be parked for now?
K. Venkata Ram Reddy: Actually, this quarter, what we did, we did actually we have taken the disbursement from our HAM projects. Actually, this time, outstanding from our HAM project is just INR450 crores.
Previously, it was somewhere around INR700 crores. Around INR300 crores disbursement we have taken from the HAM company. So that's why with this cash and opening cash we have utilised to pay off our creditors and to reduce our inventory.
Due to this reason, we could be able to maintain that our net working capital. And definitely because we did actually a lot of work which has not been certified in some of the projects. So that's why that inventory has built up basically due to irrigation and some of the road assets. But our debtor certificate will definitely be taken the next quarter. And we will try to maintain that network capital to existing level onward.
Prem Khurana: Is it possible to share? I mean, how was the movement in terms of unbilled revenue over the last quarter? What's the number at the end of this quarter or the number last quarter, the unbilled revenue?
K Venkata Ram Rao: This quarter will be around INR743 crores. And compared to last quarter, it will be around INR500 crores.
Prem Khurana: Okay. And mobilization advances if possible please? What's the number now and what were the numbers?
K Venkata Ram Rao: Around INR57 crores is mobilization advances against INR103 crores.
Prem Khurana: Okay, thank you and all the very best with you.
K Venkata Ram Rao: Thank you.
Moderator: The next question is from the line of Parikshit Kandpal from HDFC.
Parikshit Kandpal: My question is on unbilled revenue in the Irrigation segment. So you said I think earlier Venkat Sir said that it's about INR900 crores with total exposure to Irrigation projects?
K Venkata Ram Rao: Yes correct.
Parikshit Kandpal: So is the now that matter is now sub-judice, so is the client now certifying the unbilled revenues?
K Venkata Ram Rao: Client they have annual revenues, out of INR900 crores, INR600 crores is the certification, INR300 crores is that unbilled. Out of INR300 crores, INR100 crores that has been certified post quarter results. So as of date, only INR200 crores are there, which is yet to be certified.
Parikshit Kandpal: But is the Telangana Government, I mean, the department is certifying the date?

K Venkata Ram Rao: Yes, they are certifying. We received a certification of INR100 crores actually after June. After post

June we've received a certification of INR100 crores.
Parikshit Kandpal: Now coming to the payments. I mean the payment comes from usually from state budget. So has the part of the payment or the entire amount? Is it now part of the state budget? How will you fund this? Is that all we have to make payment?
K Venkata Ram Rao: But Kaleswaram Package IVfor is still they are trying to get actually bank disbursement, but it's related to the bank funding from the PFC and NABARD. Package 3 is that there's no outstanding.
So Package 4 is come almost out of INR600 crores, INR557 crores from the Package 4 only and Package 4 still they're trying loan from the PFC and NABARD. So Package 4 is under the consideration with the bank actually. So once they get the bank disbursement, they will get

money.
Parikshit Kandpal: Because earlier, I remember this was funded by NABARD. So you said, I think, NABARD is not disbursing the loans, right? So they'll need to find out new lenders to this project.
K Venkata Ram Rao: No, that they are working on because they have that limit of FRMB. So they are working on that and they have to put their reported time duration to get their disbursement from funds and institution. So when we are discussing with the Government of Telangana, they are telling that they are working on that.
And because as you know that the government has its own commitment towards other things also. So they are just thinking how we can resolve it. The management is continue following with the Government of Telangana to get release of money.
Parikshit Kandpal: So when is the last time you got the payment from the government?
K Venkata Ram Rao: We got payment of -- INR150 crores in month of February, actually.
Parikshit Kandpal: So after that, there is no payment. And since how much of work you have done after February till now until this August?
K Venkata Ram Rao: It's just around INR300 crores of work done because they have certified INR577 crores in the March month.
Parikshit Kandpal: So because I know what gives you confidence now that you will get money because they are not paying so much of time as you're putting in your money.
K Jalandhar Reddy: Sir, so generally, if they don't want to pay, they insist us to stop the works. So, which they haven't done, that's the gut feeling, sir. Second, actually, I myself have spoken to the concerned minister also if you want us to continue, we'll continue. Otherwise, we'll stop the works because we cannot suffer this much payment delays.
Which I clearly told him that either you continue or you ask us to close, we'll close it also. That's what we gave him the payer offering to operate. But he himself said no, we're going to solve and we want to do it because after a project has reached almost 70% above, there's no question that we will abandon that because the state will be the biggest loser, if he does that.

That's what this thing. So he can himself said that word. So that's why we are continuing to and the overhead is also clocking and everything is clocking and then we have to close the contract or we have to completely do the contract. So there's no in between option for us to operate. That's the major issue, that's where we are continuing the thing.
Parikshit Kandpal: And sir, my last question is on the Andhra Pradesh, we've been talking a lot about ordering from that segment. So have you started seeing some bids coming and new bids coming in? And what do you think would be the realistic number based on your interactions with the government officials and the secretariat, how much awards and what segments they should be able to give in this financial year? And how much you're targeting from the state?
K Jalandhar Reddy: So actually, my target is about, say, INR1,000 crores to INR2,000 crores only. Lower side, I'm keeping it around INR1,200 crores, I'm keeping it. Only

1 project or 2 projects because I cannot get more on that as you know that. That's the thing. And the pipeline concerned, they have come out with the news that they are starting some village roads and all, viability gap methods.
And actually, I literally had discussion with them that the chief secretary, he asked, he called a small meeting to the contractors who are working in their sector. Mainly NHAI contractors they call them. So we have given our presentation stating that rural roads cannot be worked with the arrangement of, let's say, PPP models, the viability gap funding.
The major problem will be facing is of revenues and we don't know what sort of revenues are going to come and what sort of development do you want and what will be the cost towards that. So definitely, that's going to be ruled out sections. So we were purposing that hybrid model, if you have the growth fund, any of that to go for the village of this thing.
Normally, the grant asked by the agency will be more than 40%. So if more than 40%, we have to pay to take 40% and go for HAM model which is going to be more viable for you. And in future, you will get easy instalments to pay. That's what the suggestion we gave, sir. I think hopefully, they had come out with that actually.
And the contract size as what you have asked, contract sizes are around, say, INR800-plus crores onwards, there are contracts group because PPP model means, they have go for bigger size only. What we have seen is that above INR800 crores only all that products are there.
Parikshit Kandpal: Okay, sure sir. And thank you and all the best.
Moderator: Thank you. Next is a follow-up question from the line of Shravan Shah from Dolat Capital. Pease go ahead.
Shravan Shah: Yes. Sir, consolidated cash is how much as on June?
K Jalandhar Reddy: Yes, Venkata, consolidated cash he is asking.
K. Venkata Ram Rao: It is around INR70 crores, sir.

Shravan Shah: Okay. And sir, just for monetization. So just if you can repeat, so we are looking to monetize 4 HAM projects and we say that 3 will be done by September '25 and 1 we are looking at. So in

terms of the cash, when we are looking to get the cash and if possible in terms of a broad range in terms of the valuation, how many are looking at?
K Venkata Ram Rao: So that valuation discussion is going on. So we definitely will get very good valuation. But as far as Pallani is concerned, that we will do in this year and other project by September '25. And then because we are under discussion with them actually. So we will tell the actual value, but we're taking definitely very good value.
Shravan Shah: And this entirely with the 1 buyer, the entire 4 projects?
K Venkata Ram Rao: We are taking it as a bulk on it because for the entire 4 projects actually, we'll do with 1 of the investors.
Shravan Shah: Okay, thank you, sir.
Moderator: Thank you. Next follow-up question from the line of Jiten Rushi from Axis Capital. Please go ahead.
Jiten Rushi: One question which I have is on the claims part. So any more claims you are expecting in this year or what you receive in Q1?
K Jalandhar Reddy: Clearly, we are participating in VSV, we are participating in that Vivad Se Vishwas thing. So we have proposed all the projects, what are the pending claims that are there. We are proposed on it. Certain claims are getting agreed by NHAI. And I think you what I've seen that cash inflow is because of that only. We have some Odisha projects, one of the claim is submitted and another one is deferred by them. So that we are going with the court.
So around INR25 crores, they have been agreed and around INR70 crores, they have agreed from the Odisha contracts. And there is some 1 more in the AP-07, which is Islam Nagar to Kadthal project in the Telangana region. But that has got some claims and those claims refer to VSV only. So I think NHAI is going

for EC in next EC or coming EC. I don't know really. The queue is getting formed over there.
Jiten Rushi: So what was that amount for this AP-07?
K Jalandhar Reddy: I think the claim is around INR200 crores plus, sir. So after VSV calculation we have to see how much it will get.
Jiten Rushi: And sir, you said that Odisha project. The 1 which was admitted was INR25 crores and 1 which was deferred INR75 crores, right, sir?
K Jalandhar Reddy: One deferred was around INR25 crores. The other one admitted about INR70 crores. So after VSV calculation, it could be around, say, some around between 50%.
Jiten Rushi: Okay. And sir, this monetization, which you said for Palani, we can export the project at the end of this year and the balance for the Kerala and other Chittor will be by end of next year, right sir?

K Jalandhar Reddy: Yes, correct.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
K. Venkata Ram Rao: Thank you all for joining us on this call. Please reach out to our Investor Relations Consultant Strategic Growth Advisors or us directly so if you have any further clarification. We can now close the call. Thank you.
Moderator: On behalf of KNR Constructions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

KNR Constructions Limited.
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CIN: L74210TG1995PLC130199

Date: 20th November 2024 Ref: KNRCL/SD/2024 /818&819
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings Call for Q2 FY25 held on 1 3th November 2024
Ref: Reg. 30 of SEBI (LODR) Regulations, 2015

Pursuant to the provisions of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we herewith submit to the Exchanges transcript of earnings call held on 13th November 2024.

This is for the information and records of the Exchange, please.

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

Encl as above

"KNR Constructions Limited
Q2 FY '2 5 Earnings Conference Call "
November 13, 202 4

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 13 th November 2024 will prevail."

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR –
KNR CONSTRUCTIONS LIMITED
MR. K. VENKATRAM RAO – GENERAL MANAGER ,
FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to KNR Constructions Limited Q2 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the confe rence call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. K. Venkat ram Rao, General Manager, Finance and Accounts, KNR Constructions Limited. Thank you, and over to you, sir.

K. Venkatram Rao: Good morning, everybody. Thank you for joining us today on the call to discuss our financial results for Q2 and H1 FY '25. Along with me, I have Mr. K. Jalandhar Reddy, Executive Director; and St rategic Growth Advisors, our Investor Relations Advisors.

We have uploaded results and investor presentation on the stock exchange as well as on our company website. I hope everyone got an opportunity to go through it. You would like to touch upon a few k ey company updates and industry events post which we will have a question -and-answer session.

I would now like to share our perspective on the significant industry development. In the first half of the year, we observed a slowdown in awarding of the proje cts primarily due to general elections. However, the MoRTH has set target aiming to award project worth INR5 lakh crores for the current financial year. This commitment gained momentum in September with project bid pipeline amounting to INR1.1 trillion, primarily driven by HAM and EPC projects.

Looking ahead, the government is also preparing to approve additional highway projects, which could bring the total cost of sanctioned projects to INR2 lakh crores by the end of December. This robust pip eline affirmed the government commitment to maintaining an aggressive pace in highway construction . Additionally, the NHAI is undertaking several transformative initiatives, including collaboration with banks to implement advanced toll colle ction technology on expressway.

This state -of-art multi -lane free flow system will replace trailing toll collection removing the need for physical toll booth. Moreover, NHAI is constructing 74 new tunnel across India, spanning a total of 223 kilometres . This extensive project aim to significantly enhance the country's highway infrastructure with an estimated cost of around INR1 trillion. Lastly, the government decision to double that defect liability period to 10 years for the contractor of EPC mark are crucial steps towards enhancing the quality and longevity of the national highway infrastructure.

This policy change is expected to lower long -term maintenance cost for the government and improve road safety and user satisfaction by keeping infrastructure in optimal condition. Ultimately, this shift will support the development of more reliable and sustainable highway

network across India. With this initiative, a strong bidding pipeline and a diversified order book, we are confident that positive growth mo mentum lies ahead.

Now coming to the key update of the company. The percentage of physical projects as of September 30, 2024 for the HAM project is as follows :

- Magadi to Somwarpet : around 87%
- Oddanchatram to Madathukulam : 100%
- Ramanattukara to Valanchery : 82%
- Valanchery to Kappirikkad : 84%
- Chittor to Thatchur : 77%
- Marripudi

to Somvarappadu : 12%

As of September 30, 2024, the company has already invested INR556 crores out of INR992 crores revised equity requirement for all eight HAM projects.

The additional equity requirement of INR436 crores to be infused as INR200 crores INR120 crores and INR116 crores for H2 FY '25 , FY '26 and FY '27 respectively. You can refer to the Slide number 27 of the investor presentation for detail on each HAM project.

Pursuant to the settlement agreement signed between NHAI and KNR Muzaffarpur Barauni Tollway Private Limited, the company has received INR317.69 crores, including INR142 crores of the interest on unsec ured loan from the SPV. Additionally, as per the terms of the settlement agreement, the SPV has repaid its entire debt obligation to the lenders and the project will be foreclosed. The toll collection of Muzaffarpur Barauni toll project was taken over by NHAI with effect from 1st November 2024.

On 29th October 2024, the company has signed Sh are Purchase Agreement with JKM Infra Projects Limited and/or Mr. Gaurav Jalan, (Investor) for INR45.90 lakh, for which the company will transfer its entire stake, that is 0.65% in SPV and further KNRC Holding and Investment Private Limited, the wholly -owned subsidiary of the company will also transfer its entire state that is 100% to the Investor.

Now coming to the order book position. As of September 30, 2024, the company has total order book position of INR4,406 crores, which can be bifur cated as 52% of the EPC road project and HAM project, whereas 23% of the total order book is for irrigation project and balance 25% is for pipeline project.

Client wise bifur cation is 67% of order book is from third -party client and balance 33% is from the Captive HAM Projects. The third -party order book percentage is split between state government contract as 54% where 11% for the central government and balance 2% is from the other private players.

And we note that this order book does not include contract aggregating to INR1,200 crores as we have not yet received the appointed d ate for our two HAM project. If we include this, our order book will increase to INR5,606 crores . This order book will execute over a period of around one and a half years to two years. With a recent election behind us and clear government

emphasis on the road and highway development, we anticipate an increase in new order work. We are aiming for ord er inflow of approximately INR6,000 crores to INR8,000 crores for the next year.

Lastly, India Rating has affirmed its outlook on the long -term bank facility as IND AA/Stable and also a short -term rating is affirmed at IND A1+.

Before discussing the fina ncial number, I would like to highlight that during the quarter, the company has received an arbitration claim from its Orrisa project of INR28 crores, which includes in the total revenue and INR43 crores towards interest on such claim is included in other income. And also expenses related to such claim of INR 0.9 crores is included in other expenses and resulting tax of INR17.6 crores included in current tax.

I would like to further clarify an exceptional item of INR15 crores for this quarter, which resulted from two specific transactions.

First one is the Patel KNR Infrastructures Limited, our associate company brought back its 32,71,161 shares held by the company for a consideration of INR8.9 crores. And accordingly, the resultant profit on s uch buyback of INR5.6 crores, that is included in exceptional items in the statement of standalone profit and loss.

Secondly, the company has made a provision of INR21 crores towards the receivables from the CUBE Highways and Infrastructure III pte Limite d, which include d in the exceptional item. This was due to the non -fulfilment of some of the condition of the SPV executed between the company,

CUBE Highway and the respective SPV.

Now let me take through the Q2 and H1 FY '25 standalone financial performance first, followed by the consolidated financial highlights. I will start with the quarterly highlights first. The revenue for the quarter stood at INR884 crores. EBITDA for Q2 FY '25 is largely stable at 1% degrowth YoY to INR16 5 crores as compared to INR166 crores in Q2 FY '24. EBITDA margin in Q2 FY '25 is 18.6%. Net profit for the current quarter was INR334 crores as compared to INR100 crores in Q2 FY '24, registered a growth of 235% year -on-year.

Now coming to H1 FY '25 high lights. The revenue for H1 FY '25 stood at INR1,764 crores. EBITDA for H1 FY '25 grew by 5% to INR357 crores as compared to INR339 crores in H1 FY '24. EBITDA margin in H1 FY '25 stood at 20.2%. Net profit for H1 FY '25 was INR469 crores as compared to INR 210 crores in H1 FY '24. The adjusted turnover , EBITDA, PBT and PAT for the quarter and half year ended is INR856 crores, 16.12%, 14.94%, 10.92% and for the half year ended, it is INR1,675 crores, 16.33%, 14.44% and 10.4% respectively.

Now coming to the consolidated financial performance. I will start with the quarterly highlights first. The company recorded a year -on-year growth of 87% in the total revenue from INR1,038 crores in Q2 FY '24 to INR1,945 crores in Q2 FY '25. EBITDA came in at INR870 crores in Q2 FY '25 from INR232 crores in Q2 FY '24, a growth of 226% year -on-year. EBITDA margin in the current quarter stood at 44.7%. Profit -after-tax stood at INR580 crores in Q2 FY '25 vis -a-vis INR143 crores in Q2 FY '24, a year -on-year growth of 306%.

Moving on H1 FY '25 highlights. The revenue for H1 FY '25 grew by 45% year -on-year to INR2,930 crores. EBITDA for H1 '25 was INR1,148 crores as compared to INR447 crores in FY '24, registering a 157% growth. EBITDA margin for H1 FY '25 stood at 39.2%. Net profit grew by 120% year -on-year to INR746 crores compared to INR276 crores in H1 FY '24.
Now moving on the standalone balance sheet. The company continuing to maintain a strong balance sheet. The working capital date stood at 71 days compared to 78 days as of June 24. The consolidated debt as of September 30, 2024 is INR1,420 crores as compared to INR1,258 crores as of, 31 March 2024. The net -debt to equity on consolidated basis is as of September 30, 2024 stand at 0.33 times as compared to 0 .36 times as of, March 31, 2024.
The increase in consolidated turnover and PAT is due to pursuant to the settlement agreement that the KNR Muzaffarpur Barauni Private Limited was entitled to receive settlement amount of INR961.38 crores, which is included in revenue from operation, an amount of INR342 crores accounted towards EPC claim, which is included in construction cost and INR49.67 crores towards the interest, which is included in the finance cost and amount of INR221.83 crores of intangible assets, which has been amortized and included in the depreciation and amortization expenses in the consolidated statement of profit and loss.
With this, we can open the floor for question -and-answer.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mohit Kumar from ICICI Securities. Please go -ahead.
Mohit Kumar: Thanks for the opportunity. My question is what is the pipeline of tender from NHAI for EPC and HAM? And can you also help us with the pipeline of BOT separately?
K. Jalandhar Reddy : Sir, actually the pipeline in the sense there is nothing considerable that is there in pipeline kind of thing but there had been around 80 -85 tenders which we have studied on NHAI itself. So the 80 tenders which we are right away focusing and these are getting p ostponed. Actually there are certain tenders are supposed to be happening in this month, but many of them got postponed by

10 days, week and it's kind of a month.
So the gap is a little bit building up there. We just ask them why the delays that is happen ing. They say that the acquisition of land is not adequate. So until they achieve the 80% land position, they would like to hold these tenders. That is what NHAI is saying right now.
So probably second thing is after the new government has taken over t he power, I think considerable rally is not started by them. So maybe March quarter means fourth quarter of this year could be flooding with all these tenders. That's what I'm thinking because there is almost four and a half months time that is there. So it may start from Jan, February. It happened also earlier similarly.
So even NHAI is expecting that from January onwards, the tenders may partially start -- keep on pulling up and the peak will be in February and March. I think we'll have to wait for that sort of window wherein many tenders that come up and at least we have studied 80 on 80, definitely

we can try to get INR5,000 crores to INR6,000 crores from here and some certain state governance also we have studied and those tenders are addit ional .
Mohit Kumar: Anything expecting for the BOT, sir?
K. Jalandhar Reddy : BOT -- actually BOT, we are sorting the terms with other players and those also we would like to go on. As an EPC player, certainly we had a discussion with Adani also. They were also under discussion with us for a few projects and CUBE is also there. So whatever it is, we will give an exclusivity for them and we want an exclusivity from them. Certain -- these two are being now under discussion. There isn't actuall y the terms between the initial discussions are over for the Adani projects. So definitely we may strike some projects. And CUBE has already given us MOU, only we have to see the opportunities and participate.
Mohit Kumar: Understood, sir. My second que stion there. My second question is on the EBITDA margin. If I subtract the notes to account for INR27 crores and INR60 crores respectively for two notes to accounts, the EBITDA margin comes at 12.2%. I think you saw the lowest EBITDA margin. Am I right?
K. Venkatram Rao : No, no, no, sir. For the half year, if you adjusted with all the adjusted EBITDA is 16.33%, sir.
Mohit Kumar: For the half year?
K. Venkatram Rao: For the half year, yes.
Mohit Kumar: My last question is on the employee expenses, it looks to be slightly higher side compared to in the last three, four, five quarters. Is there any reason?
K. Venkatram Rao: Which expenses, sir?

Mohit Kumar: Employee expenses.
K. Venkatram Rao: Actually employee expenses, it's the same only I NR43 crores , but this quarter actually, as you know, we have paid variable to our directors amounting to around INR9.9 crores. So due to that reason, this quarter it has increased, but otherwise it is in the range of somewhere between INR41 to INR42 crores per quarter.
Mohit Kumar: Understood, sir. Thank you. Best of luck. Thank you.
K. Venkatram Rao: Okay. Thank you.
Moderator: Thank you very much. The next question is from the line of Shravan Shah from Dolat Capital. Please go -ahead.
Shravan Sh ah: Hi, sir. Continuing the same thing. So for us, the order inflow is the main concern. So just trying to bit understand further. So when we say, 80 -85 tenders that we are looking at, if you can help us in terms of what's the value and this is only the NHAI one? And in terms of the HAM and EPC is how much? So that is first one. And second, maybe if you can also elaborate in terms of the MSRDC, what we are looking at there .

K. Jalandhar R eddy: Actually, MSRDC, we are under discussion with Navayuga. Navayuga Constructions is there where they have three packages in Pune , which they were offeri

ng one project to us, which is under discussion. We need to examine the case and come back. Then one we have already given an MOU with Patel, pre -tender bidding we have done to Patel Infra . If they get the job definitely we will be executing that. So each is having around INR2,000 crores -plus values only. So that is one aspect.
Second, as you asked that 80 -85 tenders which we have studied, this is actually the quantum, I'm not totally summed it, but the projects are varying from INR800 to INR1,600 crores. The the minimum is INR800 crores and INR1,600 crores is the max. So those are the ticket sizes which we have sorted. Very few are there in INR600 crores to INR750 crores level, but most of them are above.
Shravan Shah: Okay. And roughly in terms of the EPC and HAM would be how much of 50 -50 would be out of this 80, 85 would be a HAM and EPC?
K. Jalandhar Reddy : HAM. As of entire HAM only, because EPC from I'm not hoping anything out of it. I'm really focusing on some Tamil Nadu bids in flyovers and all. Some flyovers and somewhere , even highway projects are actually also likely to come, which we have examined from their department. So we are waiting those tenders to happen. Once they happen, definitely, we'll try to grab some out of that.
And apart from that, we are also thinking about that whatever EPC mode projects which Adani bags or this C ube Highways which we have already spoken now. So those are also sorted and they are in line.
Shravan Shah: Okay. So this MSRDC Navayuga -- just to clarify that one project that we are looking at, so that itself is close to a INR2,000 odd crore and even for Patel Infra that we have a MOU, that value is also close to INR2,000 odd crore.
K. Jalandhar Reddy : Yes.
Shravan Shah: Okay. So let's say...
K. Jalandhar Reddy : If we already have got the job and from there we are discussing. So the price between us and them should be finalized. So we were waiting this right election go because we don't know which government is going to come in Maharashtra. And so what would you say? Who's going to come? So if they like to continue then it is good otherwise if there is any shock that – they may scrap these projects because just before the election , they h ave already given LOAs on this. So a little bit dilemmas are there, but still I think I'm a bit comfortable . Things will happen like what happened in AP and all. So only AP is exceptional state where the developmental projects have been hampered because of political movements and all. But I don't think such things will happen in Maharashtra …
Shravan Shah: Yes. So, sir, just to come back. So let's say if we get this INR6,000 crores to INR8,000 crore order inflow that we are looking at and I think the revenue got most likely to start in the next FY

'26 next year. So this year, so two things to understand. First, this year already in 1H, we have close to core revenue is INR1675 crore, 10% down.
So for full -year at a core revenue, how much we ar e looking for FY '25 and assuming that we get the INR6,000 crores to INR8,000 crore order inflow in this by March. So in FY '26, how one

can look at in terms of the revenue?
K. Jalandhar Reddy : FY '25, I am expecting that even we grabbed th e job in the last quarter of this year. So there is a six-month gap that will come out. So by the time we'll have to see that all the two quarters, we have to completely finish all the order book whatever we have. So, and after that, how many jobs which ha ve come in if Maharashtra is successful in '25. Maharashtra successful that can start in two, three months earlier.
So first -quarter we will leave , second -quarter will plan. Maybe there could be some rains and all, but we will start in the second -quarter, those projects. But HAM projects and all, it can be taken -up in six months later only because they a

re now they are coming up with the 80% land.
I don't have t he dilemma as I hav e in amongst that Mysore section .
So certain dilemmas are no t there in that. So we can set up and start in this month. Because that separatory works, we'll keep it in very strong way so that we 'll try to hit the thing . But sir, these are all assumptions . So I rate little less only in the coming year also. So maybe that we may have to bear with that. And after that I think things would be good.
Shravan Shah: Sir, still not able to understand -- still trying to unde rstand. So this year, can we do close to INR3,400 crores INR3,500 crore kind of a revenue
K. Jalandhar Reddy : Yes sir.
Shravan Shah : and assuming for next year, let's say -- as you said, even if we start the HAM exit...
K. Jalandhar Reddy : INR2,500 crore, we are -- no doubt we are targeting for INR4,500 crore provided this order book at least equal to INR5,000 crores to INR6,000 crores .
Shravan Shah: Okay. And then and margin to remain the same 16%..
K. Jalandhar Reddy : For first 2 quarters I am not guaranteeing, but the second -last two quarters, we will rock and we'll see that same kind of attitude.
Shravan Shah: And then at margin level, 16% or can be maintained.
K. Jalandhar Reddy : Very difficult to say because all the new orders which are coming. So EBITDA, since we have placed that bid and I win the bid has helped the market, then only I'll be able to answer this question, sir. But we will try where the thing is we t ried our best -in the industry as of now. So we will focus to have that.
Shravan Shah: Okay. Lastly, sir, when this pipeline projects, INR1,100 crore to start execution and two appointed date or when that appointed date to come? And lastly on the capex f ront?

K. Jalandhar Reddy : Two months -to go, sir. Actually that -- whose environment clearance, I think in another one month it could come. So there'll be formality to close -- one month they are saying, but I am envisaging within two months, we should start the job. That's what it is.
Shravan Shah: For pipeline or for the two HAM projects that we will be expecting the …
K. Jalandhar Reddy : HAM projects.
Shravan Shah: For HAM projects in two months appointed it and for pipeline projects when the execution will start?
K. Jalandhar Reddy : Pipeline projects has started .
Shravan Shah: Okay.
K. Jalandhar Reddy : Because I think there have been certain stage -wise constructions are there. Unless we achieve that stage, the payments are not eligible in that.
Shravan Shah: Then lastly, if you can touch upon on the...
K. Jalandhar Reddy : We have completed 11% job. I think upon reaching the 15% of the project value, we have a milestone to get paid. Like that.
Shravan Shah: Okay. And lastly, sir, irrigation payment, when we now expect because last payment we have received in February, so I think the outstanding is more than INR1,000 odd crore. So when we are expecting?
K. Jalandhar Reddy It is INR900 crores, I think what happened actually whatever it is billed around INR7 40 crore is billed. And this bill -- it is not recorded. I mean, we were insisting on them to record and we've been giving continuation letters to record the bill. But since the payment is not accessible to them by that loan component, so they are just looking at certain issues are there.
I think if they resolve that loan issue , then these things will be resolved. I am hoping, sir, very uncertain it is. I can say within two months it can be solved. I think they were saying that department and even we met the minister also, he said he will try to solve in one-two months .
Moderator: The next question is from the line of Ravi Naredi from Naredi Investment. Please go -ahead.
Ravi Naredi: Sir, how many more claims are pending with NHAI or other authorities?
K. Jalandhar Reddy : How m

any claims pen ding -- sir, how more claims are done. One claim will come in this quarter and the date is 07, which is there – HAM were there. Sorry, not HAM but annuity project whose

claim has already has come in this quarter. So this quarter we will be having that also.
Ravi Naredi: How much claim it will come in this quarter?
K. Venkatram Rao
: Around INR130 crores will come.

Ravi Naredi: INR130 crore and it will go in income only, right?
K. Venkatram Rao: I mean some part in income, some part in other income that we are working on.. .
Ravi Naredi: Sir, you are so knowledgeable person about the road construction. Sir, tell commentary on -road projects from NH AI, how many kilometres they have sanctioned and how many more kilometres will come in this financial year '26, can you give some commentary, it will help?

K. Venkatram Rao
: Yes. Actually this year they have targeted, it's around INR5 lakh crore actually in the current financial year. That is a MoRTH target. And out of that, around they have sanctions for INR2 lakh crores by end of December. So this is a lot of lot of projects are there actually, which is yet to come actually because almost last one, one and a half years, not much project was awarded. So we are expecting that definitely in Q4 actually, some definitely a big rally will come. So we want to capitalize that rally actually.
Ravi Naredi: Okay. So you mean to say maybe INR3 lakhs crores road project maybe come in the fourth -quarter for?
K. Venkatram Rao
: We are expecting -- we are expecting.
Ravi Naredi: Expecting. But we will be the only where our margin is reasonable, right?
K. Venkatram Rao
: Yes. That's why we are working on that actually. So definitely we will look into that.
Moderator: Thank you very much. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go -ahead.
Parikshit Kandpal: Sir, my question is on the irrigation receivable …

Parikshit Kandpal: So first thing is that I can see you have approximately INR500 crores, INR520 crores of cash -in the consolidated. So that is the right number, right, including investments, current investments.
K. Venkatram Rao: Yes. So this year September, our standalone cash is around INR347 crores and consol cash is sorry, I NR247 crores and consol cash is INR460 crores,
Parikshit Kandpal: INR460 crore and including investments about INR520 crores.
K. Venkatram Rao: Yes, investment is separate, yes.
Parikshit Kandpal: So my question is, if we were getting the receivables on -time and once we realize all this INR900 odd crores of receivables, which you pointed out. So in terms of billing, the pending work which -- in terms of progress and the receivables, which is due. So how much of this would have been

the cash if then these re ceivables were coming on -time. So how much of the receivables are overdue against the timelines.
K. Jalandhar Reddy : Except irrigation I think we don't have anything else. Everything is on -time – that's why we are surviving otherwise –
K. Venkatram Rao : We have INR435 crores receivable pending from the HAM project that we are not drawing because we have the surplus cash -flow in the parent company. So this INR435 crore any day we can draw, only around INR600 crores is certified receivables as on September. That is only due actually. Around that major is a package four.
Parikshit Kandpal: So from Irrigation, I'm asking INR900 crores, how much of receivables are overdue? I mean, which had come on -time would have resulted in cash si tting on our book. So how much is that number? So you said INR435 crores.
K. Venkatram Rao: Almost INR600 crores .
Parikshit Kandpal: So INR600 crore from there, if it gets realized and INR400 crores from H

AM s, it's about
INR1,000 cro res and you have another INR500 crore so totally INR1,500 crores of cash would have been in -place if you were going through a normal -course of business, right?
K. Venkatram Rao: Yes, correct, correct.
Parikshit Kandpal: So how much will you do with so much of cash once in six months time you get …
K. Jalandhar Reddy : What you will do with cash. B ecause we have to put lots of BOT projects are coming as well

annuities are coming, we have to run our business only and nowadays our -- EPC you may forget about EPC, EPC is very, very worse now today. So we have to focus more on this H AM project as well on BOT. So and second thing -- another irrigation due. If all t hat comes, we will be comfortably running the company without any hassles and without taking additional debt or anything.
That's what the plan for going -forward. And we will have a good scope also. See, since we have -- we are little bit sitting on a cash pile, we can focus more on with whatever the appetite we have, we will go up to that limit and we will try to do the business.
Parikshit Kandpal: The only thing is, sir, you are making the platforms with C ube or with Adani on one -way where you will need not invest in BOT so much, you will convert it into EPC.
K. Jalandhar Reddy : Adani is asking us for participating in a partnership also we are examining, but a big guy to participate. Rather tha n that, we are spotting another method that anything below INR2,000 crore tender and that to which has good potential. We would like to also participate in those tenders alone and try to do alone and as we did in the earlier that Walayar & Mu zaffar and all that we want to do in a similar pattern.
Parikshit Kandpal: Okay. So what is the standalone debt right now, sir, sorry, I missed that number standalone debt.
K. Venkatram Rao: Nothing is there, INR2.95 crores as of September …

Parikshit Kandpal: I think you should be stepping because we are not able to grow now and maybe you have structured our business that we are only into roads and we are not making any serious efforts to diversify beyond roads for many quarters we've been talking abou t. So I think it's better we should distribute some of this cash as and when it gets realized as a stepping up dividend or maybe buybacks because …
K. Jalandhar Reddy : Actually hoping what it is, see, even today if I focus on one BOT project whose value is around, say, INR2,000 crore, little bit below that only I want to look at it. It is 2% if I take, 30% is the equity which we have to put. Sir, if those projects are there then this will be used up but that will be under r otation and it is good application also.
Parikshit Kandpal: But sir, then after diversification you'll have to see right because you'll have to see…
K. Jalandhar Reddy : Diversification, yes, you tell me, I have examined – I went in solar, I went in metro every where we burned our hands. Did not even get money of tender. The situation is that much worse over there. And even railways quoted us, railway is also worse. Little bit of life is left is because of our highway, because we know about ev erything. So now I want to stabilize my business through these BOTs, tolls and annuity .
And then look at the -- something else, sir, because under panic , if I start looking at now, I'll be -- I'll be going wrong, which I'm thinking also. I mean -- it's not that I'm not examining the cases. I'm examining the cases, sir. I think I have predicated -- I have already -- last-time I told you that one CETP project was there . And quite a big project, it was actually INR5,000 crores worth of contract was there with hands in that fellows hand .
But he was asking for a wrong price. So we couldn't go because our return -on-equity was very less. So we have offered one price and we left it because he

is not coming to our price. I don't want to take something with a les ser thing.
Parikshit Kandpal: You said, CETP project,
K. Jalandhar Reddy : CETP project, what happened is you were showing wrong costs in the maintenance, which we caught and that is not agreeing to it and we have proven him, sir. So there he want to cheat us, so then we said no, he started cheating of itself with a going partnership, then things will be wrong directly.
Parikshit Kandpal: With this project.
K. Jalandhar Reddy : I mean we examine every good field, whichever ava ilable.
Parikshit Kandpal: Sorry, what project was this? CE TP?.
K. Jalandhar Reddy : CETP sir. Actually you know that the pharmaceutical waste -- that treatment, we used to bed the treatment to
Parikshit Kandpal: STV, STP project?

K. Jalandhar Reddy : That project we have examined actually. One company called Mother Earth that came to us for a 50% stake sale. We have examined that case and they were doing some wrong trading.
Valuation was not fixing into our business.
Parikshit Kandpal: So I was saying that you had last call you had said that you will maybe pursue legal options to

recover the receivables, irrigation receivables. So what are the progress on that? And you also mentioned that the Minister is saying that in two months some resolution will happen. So will the funding of this project only be dependent on loans or is there any possibility of any budgetary support or supplementary budgetary support being provided? So what will give us confidence that the project recovery or the collection is on -track now?

K. Jalandhar Reddy : Actually the irri gation, sir, it is completely political what is happening here is completely political. We met for this. We met the Chief Minister also and we told him our issues. He instructed the ministry that is irrigation ministry to consider to pursue the loan component also. So I think last -time we then but is -- yes, yes, sir. 2 months' tim e was given by Mr. Reddy within 2 months will resolve. That's what it is told to us. It is out of hand, our hands, but we are completely vigorously pursuing that. It's not only me that Meg ha is there and Navayuga is also pursuing there for their payments, we are all together fighting for that actually.

Parikshit Kandpal: And have you slowed down the execution on the balanced order book like how much was the revenue this quarter and for this year, how much is the projection as per the current collections?

K. Venkatram Rao: Overall, we are definitely last year we did INR4,000 crores. So this year we are targeting be cause there may be some shortfall. So we may touch somewhere around INR3,500 crores to INR3,600 crores turnover in this year because what are our existing asset projects are there like Kerala project and every project, almost 80% work is completed on the book. All the project by March '25, we should be able to complete and we'll achieve somewhere around INR3,500 crores of turnovers.

Parikshit Kandpal: No, sir, I am asking about irrigation. How are you looking at now?

K. Venkatram Rao: Actually this quarter also we did actually in irrigation around 17% we did actually around INR150 crores per turnover. The same turnover definitely we will do on the balance order book is there almost and irrigation is INR900 crores from these two projects ac tually package three and package four and one is that anyway this -- our pipeline project that is will start working giving billing from Q4.

But out of this INR900 crores, definitely actually INR150 crores around the -- you can say why we will do around INR150 crores of a turnover effluent from this project in every quarter. So fastening area, but still we have to execute because what is happening if we stop our machinery and because ultimate it will become cost to us and we have already going through

leg ally and
put our claim through court also.

So we are making all our efforts actually. We are talking to the concern ministry and as well as putting all the legal efforts both the way actually we are going. But we cannot completely stop the work actually. We will slowly execute …

K. Jalandhar Reddy: What happened actually to stop the work, I would like to add two words here. See, the situation here is that almost we have given order for all the pump and motors. Everything and I think three pumps, three motors have come and they are now under assembly. And one more to come. In the last hour, if we do such thing, definitely will become defaulter in the -- in-progress. So we are -- we have only lef t way -- we -- only the way we have left with this is that you do the work and through court also if we can fight for that once we finish the work. So that is where a little bit we hav e to think on it and do itself.

So -- and everything is mobilized, equi pment, everything is there. If you don't do the work, at least that revenue doesn't happen. So once completion is there, once we do the completion, definitely at the fag end and for commissioning and all we can stop like we can even get paid from cour t all that course will give us very fair things, right?

Parikshit Kandpal: Okay. Just the last question, sir, how much was the total order inflow in this year till -date? And when is this pipeline? And also can you elaborate a little bit on the pipeline project?

K. Venkatram Rao: Yes. So this year -- this year, no order inflow . There is no considerable pipeline for the pipeline, sir.

Parikshit Kandpal: No, sir, I am asking about the INR1,100 crores pipeline project?

K. Venkatram Rao: Actually this yea r we have not received any orders in this year s. This pipeline at INR1,100 crores. That's a pipeline. That is actually…

K. Jalandhar Reddy: That is a 12% execution is done for project. I think 15% say we will be getting to get paid with that. I think the funds are available because there are things they have been getting from Central Government .

Parikshit Kandpal: These are Jal Jeevan Mission projects.

K. Venkatram Rao: Yes. AMRUT 2.0 .

Parikshit Kandpal: Okay.

K. Venkatram Rao: Under 25% funding by the Central Government, under that project has awarded

Parikshit Kandpal: And 75% by the Telangana state?

K. Venkatram Rao: Now by the state government. Yes.
Parikshit Kandpal: This project is financially utilizable funds are avai lable for t his project?
K. Venkatram Rao: Yes, for that, they are already budgeted actually because Central Government is there, because that's why they have budgeted these projects. There won't be any payment issue for this project.
Parikshit Kandpal: Okay, sir. Sure. Thank you, sir.
K. Jalandhar Reddy : Hopefully, they don't divert.

Parikshit Kandpal: Thank you, sir. I wish you all the best.
Moderator: Thank you very much. The next question is from the line of Vaibhav Shah from JM Financial Limited. Please go -ahead.
Vaibhav Shah: Thanks for the opportunity. Sir, out of a INR1,000 crore s irrigation order book, what is the unbilled portion?
K. Venkatram Rao: Unbilled will be around INR400 crores .
Vaibhav Shah: So incremental revenu e potential should be actually around INR700 crores, which would less around INR600 crores?
K. Venkatram Rao: Yes, correct. Incremental revenue will be around INR600 crores.
Vaibhav Shah: Okay. Secondly, what is the outstanding irrigation receivables?
K. Venkatram Rao: Receivables is INR600 crores is there.
Vaibhav Shah: And the total -- the total number?
K. Venkatram Rao: Including unbilled everything, it will be around INR1,000 crores.
Vaibhav Shah: And sir, last -time you indicated that you are looking to

recover around INR300 -odd crores in
third -quarter. So what's the status on that?
K. Venkatram Rao: Our management had discussed recently with the concerned ministry. So we are expecting in the next 2 months actually will get paid -off actually.
Vaibhav Shah: So how much we are expecting in next 2 months?
K. Venkatram Rao: In that -- INR600 crores actually.
K. Jalandhar Reddy: During discussi on, we have asked a full payment to be done because now the project is under completion also, almost 85% is over only 15% will be executed. So with that holding also received, it's in the situation that I cannot go back or I cannot stop like that things ar e like this. So definitely we have spoken to Minister, I think they are resolvi ng what they're saying. The loan components are any movement it can be resolved actually. That's not a big deal also. Only some margin money they have to pay or which they are -- that doing. So I think if they do that, I think we'll be to go good .
Vaibhav Shah: And sir, on the inflow side, we guided for INR6,000 crores INR8,000 crores of inflows. So that is for FY '25, right?
K. Venkatram Rao: Yes correct.
Vaibhav Shah: Okay. And sir, in terms of execution, we are saying there will be a decline of around, say, 6%, 7%-odd for FY '25. So can '26 be a good amount of growth given the lower turnover in FY '25?

K. Venkatram Rao: That is based on what we told if we are receiving project of like MSRDC or other EPC project in Q4, so definitely we could able to do better in the '26. But if it is -- we are getting mostly HAM project, then again it will take further six months -to financial closure and after getting appoi nted date. So that's why '26 we have to really see in Q4 how much project is coming and in which sectors, whether EPC, HAM or BOT. So based on that '26 revenue we can able to tell, how much we will achieve in '26.
Vaibhav Shah: And lastly for the pipelin e order, we said that 15% is the -- at 15%, we can start booking the revenue the milestone. So can we reset milestone by Q4 or it will be in next year?
K. Venkatram Rao: Then we can start with Q4. We will achieve milestone in Q4.
Vaibhav Shah: Okay. Thank you, sir. Those are my questions.
Moderator: Thank you very much. The next question is from the line of Vasudev from Nuvama. Please go - ahead.
Vasudev: Thank you for the opportunity, sir. Just one question from my side. What is the capex that we did in Q2 a nd how much are we planning for the second -half now?
K. Venkatram Rao: Actually, so -far we did in Q2, we did around INR4 crores only. So first -six months, we did around INR13 crores only. So definitely next this year, we are not really seeing any capex we are going to incur. But what are the project in Q4 is we are getting some project or based on that, we will really see. But based on current or whatever the order book is there for that not much

capex is required.
Vasudev: Okay, sure, s ir. Thank you. That's it from my side.
Moderator: Thank you very much. The next question is from the line of Faisal Hawa from HG Hawa & Co . Please go -ahead.
Faisal Hawa: So sir, when we are now looking at taking Andhra Pradesh orders and even telling them more orders. So are we now changing our stance that we will now be a little more flexible in late payments and the usual difficulties associated with State Government? That's one.
Second is, sir, our now increased cash balances which increase our chances a lot in the large ticket BOT orders? And third is, sir, when do we plan to sell our projects to Cube or whoever other is interested for Kerala and other ones which are going to complete and what is the kind of return -on-equity that we are expecting on these projects?
K. Venkatram Rao: So first one is regarding for what, sir?
Faisal Hawa: We are going to now bid a lot for a lot

of this Andhra Pradesh development projects and
Telangana projects and even this Telangana river side projects. So -- and even telling that I did the State Government payments are usually not on -track and there's lot of follow -up to be done. So is the management now taking a change of stance that we can get that kind of heada che and still try to get the orders?,

K. Venkatram Rao: AP, we are expecting projects they may start in coming couple of months onwards they start coming up because I think they are budgeting some amounts and Central Government is also sanctioning them som e amounts. So with all that, they will start something and tenders will happen in couple of months. So maybe that is a lso expected by March -end only.
So that I think I heard about, say, INR20,000 crore worth of contracts may come up from that in this year . So we are not -- actually, sir, the main purpose of aiming the State Government fees generally see, they are very eager in developing their state, Andhra Pradesh.
And if they don't pay their development will stop and they will not be able to do. And we are also -- we will also go for a strategic way of doing it. We only invest 10%. If they don't pay for that 10%, we'll stop doing it. The other things are like that . And so we will have an alternate work.
These projects, equipment around to the same state we'll have -- even we have -- we are running projects are there with because in HAM projects are there other projects are there, there we can double the resources and speed -up the central government p rojects. So that can happen. So State Governments are focused because of the EPC model only sir. EPC is always give us more cash flows back and you know working capital is also less in that.
Faisal Hawa: When do we propose to sell our HAM projects and what is the kind of return -on-equity that we can make? Because I feel that will add another, I think, INR150 crores to INR200 crores extra cash-flow to us whenever that comes?
K. Venkatram Rao: Yes. Sir, we are discussing with a the prospective investors regar ding the sale of our four HAM project. Out of that one project that's KNR that is our project is already we got the PCOD.
Definitely by March actually, we should be able to close that project. And other three projects also because we are expecting that we will receive PCOD in the March, it will take further six months from there.
So you can say by March '26 actually, we could be able to on the sell -off our four BOT assets and return is definitely it is better than the last -- what we did in the last year, but return definitely is quite good actually.
Faisal Hawa: What is the total we have invested in these four HAM projects and what do we expect to get -out of them in March '26? Total?
K. Venkatram Rao: We have invested somewhere around INR500 crores actuall y. INR550 crores in these projects and we will definitely achieve better than our previous deal actually.
Faisal Hawa: So at least INR800 crores could come out of that total?
K. Venkatram Rao: We are just discussing with them actually, but better than the last deal what I can say.
Faisal Hawa: And sir, I missed about the Adani JV. So are we saying that we will bid together with Adani for most of the BOT projects and they will also put up money and s o will we put up the money also?

K. Jalandhar Reddy : That they were asking for that and I'm not a little bit picking on it, because there are big people so do a EPC, take -away your money and then that's better having 30 years, 20 years relations per BOT project is going to be a bit tough I think ve ry big people now. So tomorrow we don't even get appointment to discuss anything further with them. So same thing. So EPC is okay, do the work they pay and

that's okay. We can walk out with our segment. That's what I'm thinking.
Faisal Hawa: You would pref er that you would just do the EPC from them not too much of their?
K. Jalandhar Reddy : EPC bid to them wherever there are INR3,000 crores, INR2,000 crores, INR4,000 crore s projects are coming here. Size are the BOTs are now going to be in a big size. So that the competition is also going to be less when serious players are only going to participate because whose big guarantees are thirstly for that.
Faisal Hawa: So now our competition would be only I RB and very, very big companies?
K. Venkatram Rao: Very, very big companies. So -- and toll will be getting filtered. Those many people will not come.
Faisal Hawa: Correct.
K. Venkatram Rao: So we also in INR2000 below, we want to be a participate ourselves. Second, we even want to think of doing EPCs for the good player. We will give pre -tender EPC bid to them and they would exclusively. Their timing were exclusively is fine. That's what we are thinking.
Faisal Hawa: Correct. So sir, mo re on an intangible basis, this is one of the first times that in the last eight or nine quarters that I have seen you very relaxed and quite optimistic about getting orders. So can we read more into it than it looks at this time you are very confident of getting most of the orders through?
K. Jalandhar Reddy : Sure, it is all assumptions only. And of that, I can say that I'm very confident in getting one project at least and I'm struggling to get two projects, but at least one is -- one I'm going to get from Maharashtra, say about INR2,000 crores kind of thing. I think that wil l be a subcontract thing only.
Second, around 80, 85 projects which we have studied in this thing, HAM projects and we are quite confident of getting at least INR4000 crores to INR5,000 crore s out of that. And even BOT tolls we are participating so around INR2,000 crore INR3,000 crore s easily we can make from BOT tolls also. Maybe the time may increase, but that is possible.
Second, we are also hoping certain projects from Tamil Nadu sections. There are some EPCs and flyover projects are coming and we are now completing our Coimbatore flyover. So right before that, there are tenders coming up. So we are rightly placed. So we will be definitely participating in those ten ders and we will try to get the jobs and at least one, two jobs we get, whose size is about INR1,000 crores to INR1,500 crores. That will be the thing.
And AP I, I am at least INR2,000 crore AP I may be and Karnataka al so may come up with certain tenders, which are a bank funded or something that we are also looking up. And in the

department, we made an inquiry. The land acquisition is going on very serious on a few projects, which we will be trying to participate. And T elangana also there is some irrigation projects, there is road project, but time may vary.
Faisal Hawa: But there is some talk of some very River side big project also coming in the Telangana .
K. Jalandhar Reddy : Yes. That is also likely to come. I'm gearing up myself to participate in some of the STP projects also from there.
Faisal Hawa: We are qualif ied for that?
K. Jalandhar Reddy : So we have to take it in some JV.
Faisal Hawa: We can qual ify for that river side project?
K. Venkatram Rao: For STP project we have to go with JV.
Faisal Hawa: Okay. Thanks a lot, sir. Wish you all the best.
Moderator: Thank you very much. The next question is from the line of Subrata Sarkar from Mount Intra Finance Private Limited. Please go -ahead.
Subrata Sarkar: Yes, sir, actually my question I think you have partly addressed. My point was like since we are not finding this HAM, this entire road sector as of now that attractive, why we are not trying to diverse into other areas, given that I believe we should have capability to

address other areas
also? I suppose you have addressed partly, but still if you want to add something.
K. Jalandhar Reddy : Yes. That's what I said. First of all, we would like to -- see, the scope is there. If you go for irrigation sector, it is very seasonal . If you go to railways and all , there is some contract but overcrowded is there and lesser margins are observed there. But if you focus on highways in NHAI, first thing is that t he HAMs and all , a little bit sensible bidding may happen that is what we are thinking , better than EPC mode of contract.
Second , we are thinking that toll projects could be having good margins than HAMs . So there is bright scope that we can get some stab ilization on this thing. Right now , we have very less order in hand. I do agree one year visibility is also not there as of now. So we were thinking to stabilize

from the own captive field what we have.
And then later we will also think of diversifying i nto several sectors. As I rightly said that we have examined quite few other diversification sectors also. Like I said , CETP s we have examined and all that. So the troubles are on there. So definitely , if we are successful and the company returns are safe , definitely we are going to put in the money and we are going to do it.
Moderator: The next question is from the line of Abhishree Bang from JHP Securities Private Limited.
Abhishree Bang: So sir, act ually I just have one request. If you would please come up with a comprehensive slide on one -offs, which would give us like -to-like comparison on financial performance, that would be very helpful for us.

K. Venkatram Rao: Actually we have given the detail in our listing format note. But okay , if you want -- because this is all -- one-off is there in one quarter only. May not be in the next quarter. But if you want any clarification , you can reach our investor advisor. We can clarify you.
Moderator: The next question is from the line of Uttam Kumar Srima l from Axis Securities Limited.
Uttam Kumar Srimal: Sir, last time you had mentioned that you have bidded for an irrigation project in JV with NCC. So wha t is the current status of that?
K. Venkatram Rao: That is NCC -- we have bidded for metro actually . That is metro project in Bhubaneswar. We have not got actually. We are not L1 on that project.
Uttam Kumar Srimal: Okay. And sir, what is the current status of ordering in the Andhra Pradesh government since the new government has come ? Are you seeing any meaningful order coming from this new government?
K. Jalandhar Reddy : Yes. That Amravati Development Authority is now being formed. Earlier , it was scrapped. So now they are starting from scratch. So it is taking some time that is what they are saying. So I think within two months , I think they will be able to call the bid. And because they are getting allotment from central government as they are helping the central government to be in power. So they will likely to get more funds also.
Uttam Kumar Srimal: So, what kind of bidding pipeline would be there , if you can quantify that if yo u have some information on that?
K. Jalandhar Reddy : I heard about say INR20,000 crores. Around INR 3,500 crores they are budgeting themselves. And INR15,000 crores were committed by the central government through some bank loan or something . So those are all proposals have been now prepared. So around INR20,000 crores is in their flow.
K. Venkatram Rao: They are also tying with World Bank and AD B also for funding of that .
Uttam Kumar Srimal: So this will be, sir, basically in the road or irrigatio n or it will include everything?
K. Venkatram Rao: It will be consider ed. That's what in the news, sir.
Moderator: The next question is from the line of Abhishek Pipariya from ICICI Bank Limited.
Abhishek Pipariya: My query is

regarding the NHAI dependency on the overall order book. So what is our -- currently we have around INR4,406 crores of order book. So what is our NHAI funded or dependency projects?
K. Venkatram Rao: NHAI related project it is around 42% actually.
Abhishek Pipariya: 42%. Okay.
Moderator: The next question is fro m the line of Saket Kapoor from Kapoor Company.

Saket Kapoor: Sir, firstly, you alluded to this INR1,100 crore s pipeline project. If you could just dwell, sir , what is the scope of work here and which segment it is this pipeline related to , oil and gas or water?
K. Jalandhar Reddy : No. It is on drinking water supply and sewage management.
Saket Kapoor: In which state it is, sir?
K. Jalandhar Reddy : In Telangana only.
Saket Kapoor: In Telangana?
K. Jalandhar Reddy : Yes.
Saket Kapoor: Sir, you also mentioned...
K. Jalandhar Reddy : We need to construct the water tank and that STP and pipelines and we have to give it through taps to the public actually.
Saket Kapoor: So this falls under the Jal Jeevan Mission scheme ? Come again , sir.
K. Venkatram Rao: It is like Jal Jeevan, but it is under AMRUT 2.0 scheme of the central government. It is awarded under AMRUT 2.0 scheme. It is the same like you told Jal Jeevan only. We have to provide the drinking water to each house basically . This is basically the scope.

Saket Kapoor: Sir, there is lot been spoken about the river linking project also. And what do you see things on ground, sir, in terms of this picking up and the scope compa nies like us would be gardening?
K. Venkatram Rao: Sir, definitely , we are expecting under this Modi 3.0, this river linking project, they will take -up this project because this term they are more concentrating on railway and other sectors other than road wha t we have seen that. So definitely river linking project is there in Madhya Pradesh and Uttar Pradesh and now in even our area also like in Krishna and Kaveri also they are linking, so their projects will come definitely. So we are expecting that once this project will come, we could be able to bid that project.
Saket Kapoor: Right, sir. And sir, you mentioned about your lacklustre performance from the solar EPC and the railway part of the story. Can you dwell further where are you finding the issues croppi ng up in terms of solar EPC and also work from railways, which is being a cause of concern you mentioned in your earlier remarks?
K. Venkatram Rao: Yes, because basically concerns of solar EPC is very, very thin margin actually project. So we want to diversify in the other sectors, but now we are seeing lot of visuality is there in even roads and other sectors , actually other state projects like sir told in Tamil Nadu, Andhra Pradesh, Telangana and even in Karnataka.
So that's why now we are not much focused on that sector because they are the thin margin and these are the project s is there where we are very expert. So definitely we thought that let concentrate on these projects, NHAI and these state project and bag actually most of the projects from these entities.

Saket Kapoor: And sir, for H2, you are pointing towards lower turno ver than what we did for H1. This is what you alluded to.
K. Venkatram Rao: H2 actually we did lower turnover.
Saket Kapoor: Okay, sir. What should be tentatively closing in terms of our execution ? On a con sol level, we did around INR2,900 for the first half. And last year, it was INR4,430 crores.
K. Venkatram Rao: There is a one -off of there actually in this quarter regarding our Muzaffarpur project. That's why it is more, but you can say it will be in the same range as the last year only , except if you exclude the exceptional item.
Saket Kapoor: Right. And sir, of late there are also som

e tendering which happened for the BharatNet project.
Also, we are not an expertise there, we have seen road developing companies also l ike DBL and all participated in that. So what's the thought process sir here and we did not opted for it.
K. Venkatram Rao: We have not seen that project actually as of now. So we are not able to comment on it. We have not seen that type of project, sir .
Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Regarding all these claims, so all the money has been r ealized. Cash has come?
K. Venkatram Rao: All money is realized, yes.
Parikshit Kandpal: So only INR130 crores which you said in this qu arter will come like additional?
K. Venkatram Rao: That is from another project actually, that is what has been our numbers. That is high. So that will come in this Q3.
Parikshit Kandpal: And just on the , one last question on this Muzaffarpur -Barauni project, so how much is the investment and loss funding and total outgo from our side and how much we have received overall?
K. Venkatram Rao: Actually, around INR175 crores investment from other side actually , our side , that we have received entire and additionally INR140 crores we have received , so total around INR317 crores we received from that SPV.
Parikshit Kandpal: So this is in line with the termination payments, which generally happens in case of any ch ange.
K. Venkatram Rao: It is definitely . Because it is against that settlement of entire and handing over the project and so based on that settlement agreement, so this figure has arrived.
Moderator: The n ext question is from the line of Saket Kapoor from Kapoor and Company. M r. Saket, your line has been unmuted.
Saket Kapoor: Yes, ma'am. Sir, for the AMRUT 2.0 scheme, can you give us some color how the pipeline looks like, the bid pipeline especially?

K. Venkatram Rao: This pipeline project that was there in AMRUT 2.0 scheme of the central government , so we have not seen the entire scheme of that actually, but this project was coming to Telangana and we are there from Telangana. So we thought that that's why take this project, but we have not

seen that pipeline from AMRUT 2.0 project actually. Pipeline will be there because it is there for pan India , but we are very focused in our part of the territory . That's why we have not seeing that.
Saket Kapoor: So for the state of Telangana and Karnataka and Tamil Nadu, do we see other bids being floated for these type of projects which falls under the AMRUT scheme or the Jal Jeevan scheme? Do you find other projects also wherein we will participate?
K. Venkatram Rao: We have seen only in the Telangana where we have participated. Other state we have not looked actually into.
Saket Kapoor: Okay. And sir, out of the total revenue for the first half of INR2,900 crores , what should we exclude as the exceptional part ? Because in other income, we have mentioned at INR168 crore s. So in the revenue also, we have booked some extraordinary income or is it only the other income part?
K. Venkatram Rao: Revenue from operation also there for the fir st six months around INR88 crores has been booked actually, revenue from the operation.
Saket Kapoor: Okay. So we need to exclude INR88 crores from INR2930 crores . That is what you were saying.
K. Venkatram Rao: You have to exclude INR960 crores also in the consol level. If you are talking about the consol, then you have to exclude that INR960 crores also.
Saket Kapoor: Okay. So from INR2 ,930 crores we have to include INR960 crore s?
K. Venkatram Rao: Yes, INR 960 crores plus INR88 crores.
Saket Kapoor: Plus INR88 crores. Okay. So that works out to around INR1,800 crore s. INR1,882 crore s is the revenue profile.
K. Venkatram Rao: You can work out. It will be that only.
Saket

Kapoor: Yes, I can work out. And we are looking again closer to INR4,000 crores on the basis of the core work that is left to be executed.
K. Venkatram Rao: But on a stand -alone basis, definitely INR4,000 crores looks so difficult. We may close somewhere between INR3 ,500 crores to INR3 ,600 crores only.
Saket Kapoor: INR3,500 crores to INR3,600 crores . And the margins will be maintained, sir, the way we have done H1 ?
K. Venkatram Rao: We are trying to . Because our guidance is always actually between 13% to 14%. We will try to achieve more than our guidance only.

Saket Kapoor: Okay. And sir, what are the ways to reward your investors since now you are in comfortable position, the cash balances are there and the project completion are there and you are looking to diversify, but in a very proactive manner. So what should investor community look forward from KNR management?
K. Venkatram Rao: Definitely , whatever the cash is available because we have our future plan to invest in the HAM project and BOT project. So we have to generally use our cash for the growth of the company. So that's why we have to give that good return to the investors by growing the company to the next level. So we are working towards that only. So that is the reward actual ly investor is going to get.
Saket Kapoor: Okay. So we have to look forward in the way how the order pipeline works out for the HAM and the BOT segment and how we participate. That is what we should be looking forward to.
K. Venkatram Rao: Yes. Definitely.
Moderator: Thank you very much. I will now hand the conference over to the management for closing comments.
K. Venkatram Rao: Thank you all for joining us on this call. Please reach out to our Investor Relations Consultant Strategic Growth Advisor or ask directly should you have any further queries. We can now close the call. Thank you.
Moderator: Thank you so much, sir. On behalf of KNR Constructions Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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Date: 21st February 2025 Ref: KNRCL/SD/202 5/848&849
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON
Dear Sir/Madam,

Sub: Trasncript of Q3FY25 Earnings Call held on 14th February 2025
Ref: Regulation 30 of SEBI (LODR) Regulations, 2015

We refer to the above captioned subject, we herewith submit the transcript of the earnings call held on 14th February 2025.

This is for the information and records of the Exchange, please.

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q3 FY '2 5 Earnings Conference Call "
February 14, 202 5

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th February 2025 will prevail."

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. K. VENKATRAM RAO – GENERAL MANAGER , FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED
STRATEGIC GROWTH ADVISORS -- INVESTOR RELATIONS ADVISORS – KNR CONSTRUCTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to KNR Constructions Limited Q3 and FY '25 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. K. Venkata Ram Rao, General Manager, Finance and Accounts, KNR Constructions Limited. Thank you, and over to you, sir.

K. Venkata Ram Rao: Yes. Thank you. Good morning. Thank you for joining us today on the call to discuss the financial results for the Q3 and 9 -month FY '25. Along with me, I have Mr. K. Jalandhar Reddy, Executive Director; and Strategic Growth Advisors, our Investor Relations Advisors.

We have uploaded results and investor presentation on the Stock Exchanges , as well as in our company website. I hope everyone got an opportunity to go through it. W e would like to touch upon our key company's update and industry events, post which we will have a question -and-answer session.

The recent union budget for FY '25 -'26 reaffirm s the government's strong commitment to the infrastructure development with budg etary allocation of INR2.87 trillion for the Ministry of Road Transport and Highways. This substantial investment is poised to accelerate road development, enhance connectivity and strengthen our transport network, paving the way for the more robust and re silient economy.

Although the first 9 months of FY '25 witnessed a slowdown due to macroeconomic factors with approximately 5,853 kilometers the roads constructed , the sector continued to demonstrate a strong foundation for growth with a large chunk of pr oject already to be awarded. The sector has already gained significant traction with the second quarter averaging around 600 kilometers of the projects awarded. The momentum has further increased in Q3 also.

Additionally, the MoRTH is prioritizing corrido r-based approach, which will have enhanced user convenience and improve logistics efficiency. As of December 2024, MoRTH has operationalized 4,693 kilometers of the highways speed corridor with a target to reach 4,827 kilometers by the end of FY '25.

Looking ahead, India's ambition vision of 2047 aims to reshape the national infrastructure landscape. Under this long -term road map, the government is set to approve a series of future highway projects, ensuring the seamless expansion of national highway n etwork. Notably, project awards are progressing at a steady and comfortable pace, reflecting continued momentum in the sector.

This increased focus on infrastructure will, not only boost construction activity, but also improve logistics efficiency, create employment opportunity and drive economic progress. With this strategic development, India's road infrastructure sector remains a cornerstone for national growth and connectivity.

Now, come to the key updates of the company. The percentage of physical progress as of December 31, 2024 for the HAM project is as follows: Magadi to Somwarpet, approximately 88% completed; Ramanattukara to Valanchery approximately 90% completed; Valanchery to Kappirikkad approximately 86%; Chittor to Thatchur approximately 84%; Marripudi to Somavarappadu 23%.

As of December 31, 2024, the company has already

invested INR589 crores out of the INR990 crores revised equity requirement for all the HAM projects. The additional requirement of INR401 crores to be infused as INR108 cror es in 2025, INR205 crores in FY 2026 and INR88 crores in FY 2027. You can refer to the Slide number 23 of the investor presentation for detail on each HAM projects.

In January, the company received letter of acceptance for two irrigation projects in the state of Telangana. Both projects together account for INR429 crores of our share of revenue.

Now, coming to the order book position. As of December 31, 2024, the company's total order book stands at INR3,888 crores. This is di vided in to 46% for the EPC road projects and HAM project, 26% for the irrigation project and remaining 28% from pipeline project. Client -wise bifurcation is 71% of order book is from the third -party client and balance 29% for captive HAM

projects. The thir d-party order book percentage is further split as state government 58%, whereas 10% is the central government and balance 3% from the other private players.
As to note that, this order book does not account for the two HAM projects totaling to INR1,200 crores as the appointed date is yet to be received. Additionally, it exclude s 2 irrigation projects awarded in January '25 value at INR429 crores. Including this, the total order book would be at INR5,517 crores.
The current order book will be execu ted over a period of 1.5 to 2 years. With the government emphasis on the infrastructure development, we anticipate new order award in the coming quarters. We are aiming for an order inflow of approximately INR6,000 crores to INR8,000 crores by the end of S eptember '25.
Before discussing the financial figure, I would like to highlight that during the quarter, the company received an arbitration claim from one of our associates that is Patel KNR Heavy Infrastructures Limited. This includes INR35.6 crores rec orded in the revenue from operation and INR103.5 crores as interest on such claim. That is reflected in other income. The related

expenses of INR1.3 crores has been included in other expenses and resultant tax of INR34.6 crores is accounted under current t ax.
Now, let me take through the Q3 and 9 months FY '25 stand -alone financial performance, followed by the consolidated performance. I will start with the quarterly highlights first. The revenue for the quarter stood at INR743 crores. EBITDA for Q3 FY '25 grown by 3% to INR151 crores as compared to INR147 crores in Q3 FY '24. EBITDA margin is at 20.4%. Net profit for the quarter was INR182 crores vis -a-vis to INR86 crores in Q3 FY '24, registering a growth of 113% year -on-year.
Now, coming to 9 months FY '25 highlights. Revenue for 9 months FY '25 stood at INR2,507 crores. EBITDA for 9 months FY '25 grew by 4% to INR508 crores as compared to INR487 crores in 9 months FY '24. EBITDA margin in 9-month FY '25 stood at 20.3%. Net pro fit for 9 months FY '25 was INR650 crores as compared to INR296 crores in 9 months FY '24.
Now, coming to the consolidated financial performance. I will start with the quarterly highlights first. The revenue for the quarter stood at INR848 crores. EBITDA came in INR256 crores in Q3 FY '25 vis -a-vis to INR226 crores in Q3 FY '24, a growth of 13% year -on-year. EBITDA margin in the current quarter stood at 30.1%. Profit after tax stood at INR248 crores in Q3FY '25 vis -a-vis INR136 crores in Q3 FY '24, a growt h of 83%.
Moving to 9 months FY '25 highlights. The revenue for 9 -month FY '25 grew by 25% year -on-year to INR3,778 crores. EBITDA for 9 months FY '25 was INR1,404 crores as compared to INR673 crores in 9 months FY '24, registering 109% growth. EBITDA margin for 9 months FY '25 stood at 37.2%. Net profit grew by 142% year -on-year to INR994 crores.
Now, moving on the stand -alone balance sheet. The compan

y continued to remain a strong
balance sheet. Working days stood at 69 days compared to 71 days as of September '24. The consolidated debt as of December 2024 is INR1,486 crores (it was wrongly mentioned as INR 14,086 crores during the call) as compared to INR1,220 crores in March 31, 2024. The net debt to the equity on consolidated basis as of December stood at 0.33 compared to 0.3 4 as of March '24.
With this, we can open the floor for question and answers.
Moderator: We have our first question from the line of Shravan Shah from Dolat Capital. We'll move on to the next participant. The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: Jalandhar Reddy, it is so far good result. We received so many arbitration claims this year. How many more in pipeline? Can you describe this?
K. Jalandhar Reddy: So actually, for the claims concerned, there is no much pending as of now. I think due to Vivad Se Vishwas scheme, we could get settled with all other claims and very minor claims are there, one Penchalakona -Yerpedu proje ct, there is a claim about, say, INR15 crores whose receivables through this Vivad Se Vishwas maybe INR11 crores and all. That's all the claims for this thing concerned.

And there are a couple of other claims in some HAM model projects and Madurai to Ramanathapuram project, there is a claim. And there is a claim in around INR300 crores, I think, in Madurai -Ramanathapuram. And this Dindigul -Bangalore package, there is Coimbatore to Pollachi,. That project also has about, say, INR150 crores plus claims.

But the arbitration is still to commence. I think those claims were launched, and we have asked for some consultation committee, there is a consultation committee in NHAI for settlements of these claims. If they defer with our argument, then probably we w ould go for other forum like go to arbitration and then they can start that to the channel .
Ravi Naredi: Okay. And we have INR5,200 crores 12 months top line, while we have only INR5,500 crores value of contract in hand, which is equal to 1 year. Will you comment on this?
K. Jalandhar Reddy: Yes. Actually, as 1, 1.5 years onwards, there is no significant orders which have been received by the company because there is a big slowdown in NHAI was the major client in our industry to get the jobs from highway an d HAM model or toll model projects. So those were completely -- there were tenders, but not in large numbers like they used to happen in every year.
So the rally was very small and the aggression in the market was very heavy. Some tenders went at 20%, 25% HAM model, 20%, 25%, it is unimaginable. Certain tenders have gone in that way. So there is aggression in the market a little bit, but there is a huge pipeline, which is there in NHAI's website, as you can also see it, we have keenly studied on certain ar ound 60 -- 70, 80 projects we have studied as of now.
So we were making our moves as and when these tenders come up, we can put a bid. So there's a lot of time which we have got. So there's a keen study is being done utmost design care was taken, almost a ll the care was taken. So hopefully, we should be able to get out with this -- apart from this, the highway NHAI divisions.
We are also participating through state government projects in highway sectors like Tamil Nadu is coming out with a few projects an d Karnataka is coming out with a few projects. And irrigation projects are also in a major way that are coming from MP projects , which we are focusing now. And in Rajasthan, there is an interesting thing that we have in HAM model irrigation projects, which are also there on the board, which we are preparing our bids to submit over there.
And apart from that, urban infrastructure projects are coming up in large -scale in Tamil Nadu as well in Telangana as well in Andhra Prades

h also. So those areas also like flyovers and all other many infrastructure development projects in the cities and all that coming up, so which we are also focusing there.
Apart from that, recently, we have placed bids in open mining operation contracts. So those areas also we have give n our bids. And we continue to go on them. And certain other care also has been taken. There are large -scale projects like INR5,000 crores, INR8,000 crores, INR7,000 crores size of projects which are coming out on BOT toll model, for which I think we have spoken to Adani, and we have submitted Agra -Gwalior bid EPC bid to them. So hopefully, if it goes well, then we would get the EPC, that's kind of arrangement which we have got.

Apart from that, we are also thinking to give some certain bids where Cube is also participating in toll bids. So there also, we would like to go. So there is quite an interest which we are capturing. I think an extensive efforts and hard efforts are being made by us to get enough order book in hand. Our target is to have around INR8,000 crores minimum in coming 2, 3 months' time.
Ravi Naredi: So by 31st March, we might receive some NHAI contract?
K. Jalandhar Reddy: Actually, we may be bidding, but I don't think the bids will get open by that sooner. Now we submit the bid, it is tak ing almost 45 to 50 days to open it also. So probably most of the bids could be submitted. I think most of the tenders, which may happen in March. So those tenders, we will be definitely placing our bids.
Ravi Naredi: Okay. And what is the status of our de btors amount from Telangana government?
K. Jalandhar Reddy: Actually, that we have given a court case also. As a safer sake I have given, but we have even spoken -- department had a serious meeting with us stating that when do you pay us. Then the department and Minister that Mr. Uttam Kumar Reddy (it was wrongly m entioned during the call as Mr. Uday Basu) who is the Minister of Irrigation in Telangana, who also spoken to us saying that this Link 5 projects, which is in the pump, we were doing Pump House project, which comes under Link 5 of that Kaleshwaram thing.
So that is with the bank funding. So they are trying to solve, but I think it is not solved as of now. So we were expressing that . Either you take in the budget or you get that resolved so that we get paid. Otherwise, so much payment we cannot wait. So th ey were asking us to withdraw the case and always said, no, we cannot withdraw as you have delayed beyond our expectations. Mostly 1 and 1.5 years, it is delayed.
So the interest part itself is becoming huge in this. So we said, okay, let the interest als o to be collected. If you pay the principal, we will continue to fight for the interest part, which we have clarified with the department.
Ravi Naredi: Okay. Okay. So how much amount due today as on today?

K. Venkata Ram Rao: Sir, certified is INR577 crore s for package 4 bills are certified by them actually that we have to get the money immediately. And around INR400 crores actually we did the work, but bill has yet to be certified. So put together around INR977 crores is there in that particular project.
Ravi Naredi: And in the last 6 months, we do not receive any single pie?
K. Venkata Ram Rao: For this project, we have not received, sir. For another project, one Vettam project was there, that we received INR37 crores in the month of January actually.
Ravi Naredi: Sir, Jalandhar Reddy, you are a so senior person in the industry, and we hope definitely you will do something for company, and we wish all the best.
K. Jalandhar Reddy: Yes, yes. Thanks for having trust in us, and we'll try our best in this.

Moderator: We have our next question from the line of Shravan Shah from Dolat Capital. Mr

. Shravan, we
request you to rejoin. We have our next question from the line of Jainam Jain from ICICI Securities.
Jainam Jain: Yes. So, sir, my first question is, wha t would be our margin, revenue and order inflow guidance for this year for FY '26?
K. Jalandhar Reddy: Actually, sir, FY '26 is concerned, I think the projection is that we are expecting a little lesser projections only from this year as the order book is very less and it is coming to an end also.
And -- where we can do the job in irrigation and all, there is a little bit problem in payments. So that's how we expect around 10% to 15% dip which we are expecting in the top line. But bottom line concerned, it may be at par or a little bit good only.
Jainam Jain: Sorry, what did you said for the bottom line?
K. Jalandhar Reddy: Actually, it could be at par because the turnover is coming down. But since the claims and all were received, so saving will be there in that.
Jainam Jain: Okay. So we will be maintaining margins that we've been maintaining right now roughly around 16%, 17%?
K. Jalandhar Reddy: Yes, I think, yes, sir. I think...
K. Venkata Ram Rao: Sir, we will be somewhere around 15% definitely, we could be able to achieve, sir.
Jainam Jain: Okay. And what about order inflow? Like how are we seeing the order inflow for next year?
K. Jalandhar Reddy: Order inflow is concerned, sir, that we have just spoken about it that we are seriously focusing on various sectors like highways and irrigation projects as well. We are also focusing on mining operation projects. Apart from that, there are a lot of state government projects, which we are focusing there also we expect jobs to come down.
And apart from that, we are also sorting partners who can do the concession and they can give us EPC model like Adani and Cube Highways and all, which we have spoken and MOU is are under discussion with Adani (it was inadvertently mentioned during the call as done) . So certain progress is there in that side also.
So there's a serious effort which we are also keeping on it, sir, as the order book is serious concern to our company as of now. So definitely, we try to do a better job here. I'm also targeting about, say, near about INR10,000 crores order book inflow coming 2, 3, 4 months' time.
Jainam Jain: Yes. So, sir, coming to the order pipeline, like what is the amount of project that we have quoted for right now? And like how much we are expecting to win within the March month itself for the tenders which will be opening before the March?
K. Jalandhar Reddy: I think there is no that this thing is there now because the tenders are still not yet happened, major tenders, which we are focusing on them. So in March, we expect a litt le bit lesser figures

because if at all any state government tenders that happens, then there is a chance of winning tenders.
Otherwise, NHAI concerned, even if there is a big rally in March also, they get open in April or May. So kind of that. So another 3 months to 4 months' time, reasonably, we should be having the order in hand, that is what we are targeting.
Jainam Jain: Okay, sir. And sir, coming to the working capital, can you just give some numbers on the unbilled revenue, mobilization advance, inv entory, debtors and creditors number as of now? As of December '24?
K. Venkata Ram Rao: Yes. As far as debtors is concerned, debtors is INR1,221 crores of debtors.
Jainam Jain: Okay.
K. Venkata Ram Rao: And unbilled revenue is INR113 crores, sir. And retention is INR300 crores. And mobilization advance is INR30 crores.

Jainam Jain: Okay. And sir, what about inventory, creditors?
K. Venkata Ram Rao: Inventory is INR196 crores, sir. And creditors is INR332 crores.
Jainam Jain: Yes. S o, sir, what's the issue with the Kushalnagar project? Like we achieved the financial closure of 1.5 ye

ars back and still we haven't received the appointed date for that. Like how are we seeing it progressing further?
K. Jalandhar Reddy: So the Mysuru proj ects you are talking about?
Jainam Jain: Yes.
K. Jalandhar Reddy: Yes, Mysore to Kushalnagar. Yes. Actually, sir, that they have received the clearance from forest department to go ahead. So there is a land now being handed over to the concessionaire. I th ink in a week's time, we shall be commencing those projects.
Jainam Jain: In the week time, okay.
K. Jalandhar Reddy: Yes, sir. Actually, the Package 5 has full length land, but Package 4 is not that much -- not to the expected level like 80% is there. But still NHAI is pushing us to take. And since I also need some break, so at least to run the projects, I will need the job in hand. So I'm also cooperating NHAI to go ahead.
Moderator: We have our next question from the line of Lokesh Manik from Vallum Capi tal.
Lokesh Manik: My first question was on the EBITDA margins. So they are a little elevated from what we have guided at about 17%. So just some clarification on whether this is due to many of the projects nearing the end in the portfolio mix. Would that be the reason? Or you are seeing lower raw material or raw material prices coming down?

K. Venkata Ram Rao: Definitely, sir, most of the projects is there, our road projects are there, almost 80% is completed. The project are on the fag end and also that i rrigation, which is our very good contribution in EBITDA , their portion of the total turnover is also reducing. So basically, these are the main reason actually. So that's why there is a little bit low in our EBITDA.
Lokesh Manik: Fair enough. Fair enough. Sir, my second question was on your previous comment on Package 4. So although we do appreciate you are very risk averse, but do you see any risk on that front because you said they are just 80% of the land acquisition and not towards your comfort level, but also given the reputation of the customer, that is NHAI. So are you seeing any risk in terms of that front going down, there may be some bottlenecks towards once you start the project or commence the project?
K. Venkata Ram Rao: Generally, sir, as per the contract condition, 80% land is there, we will take the appointed date and balance 20% while execution of the project actually. So it will come actually. And as per the concession agreement, whatever the land they will hand over within 180 days from th e appointed date. On that land only we have to do the entire work.
And on that basis, they will give the PCOD. So we are very much clear that as per the agreement, whatever the land is there as on appointed date plus 6 months, we have to execute the work on that land and we have to get the PCOD. So really, we are not facing much issue in this because we have so far completed actually almost 5 HAM projects and still 4 are there. So we have seen that, that issue has not come actually in any of our project as of now.
Lokesh Manik: Right, right. Any update on the metro projects where you are planning to diversify?
K. Jalandhar Reddy: So actually, metro project is concerned, the tenders which we have quoted, we have lost the tenders. I think we are waiting for u pcoming tenders, sir.
Lokesh Manik: And railways?
K. Jalandhar Reddy: Railways also, we have lost tenders. We didn't get anything, but we will continue to focus on this.
Moderator: The next question is from the line of Bhavin from Anand Rathi Institutional Equities.
Bhavin: I just wanted to get your insights that we have placed bids for the MDO projects, mining projects. So what do you feel is the chances of probability as our background project is a bit different from MDO projects?
K. Jalandhar Reddy: Sir, actually, these projects, many operation projects that we have evaluated carefully and whateve

r the price that has come, we put it down. Just is the first project. So I don't have a big feel that what happens there and all. But regularly, it's a complete machinery -oriented project. So the operations are likely to continue for 5 years. So we expect a good outturn, but EBITDA is not as good as highways or irrigation kind of that.
Bhavin: Right, sir. Right. And sir, second thing, as a company's policy, we pro bably try to maintain the EBITDA margins. We generally do not compromise on that. So when you say -- you previously

mentioned there is a lot of competition in NHAI projects. So then what is the strategy the company is adopting? Like we will be directly bid ding for the NHAI projects or we will then go -- we will have a back -to-back arrangement of EPC projects to maintain our margins. So how are we strategizing?
K. Jalandhar Reddy: Actually, sir, toll project concerned, I'm going as an EPC player. And HAM pro ject continues to -- actually, I was even qualifying for INR5,000 crores projects in this. So definitely, the large -scale projects also there in the bid, like Assam, there is around INR5,200 crores project was there. So we are focusing on such projects. So the ticket size this time, luckily, even PMO is reviewed last year and they said to go for large -scale projects only because the quality is deteriorating with the small -scale contractors and all. So that was the call taken by the NHAI.
Bhavin: Okay. So ju st wanted to know out of curiosity, what is our limit for the HAM project, like how much is the cutoff? Like are we able to bid for INR3,000 -plus projects, INR3,000 crores plus projects? Or what is the limit? Or you don't know we are not eligible for INR5,000 crores plus project?
K. Jalandhar Reddy: We are eligible. We are eligible for INR5,000 crores project means all such categories which are there, they can be qualified, right?
Bhavin: Okay. And sir, just last question. Sir, we have experience in the BOT toll projects side previously. So -- and seeing the government preference of PPP. So shouldn't we strategize to participate in the BOT toll projects. I understand there's a traffic risk involved. But...
K. Jalandhar Reddy: Yes, you're right question, sir. I got the question. Most of the bids are coming on this greenfield highway projects, sir. There is a little bit predictions are not so encouraging. I don't think some sort of confusions are there. Wherever I'm very clear with the traf fic growth and all there, I'll try to participate on my own also. As we have enough equity in hand, we can focus, sir, but our equity is very precious, so we want to put in good ones, not in any other...
Bhavin: Right. Got your point And sir, last thing ab out the monetization plan. We were under discussion and the share purchase agreement was in advanced stage. So what is the update on that like for the four matured assets?
K. Venkata Ram Rao: Sir, this SPA is in discussion, sir. So we expect that we should be able to sign the, I mean, the SPA for these 4 assets by end of Q1. And after that, actually, we have to go because Palani project, we got the PCOD. So immediately after that, we'll go for NHAI and lenders approval. So we expect that by end of June, act ually, you should be able to monetize our 1 asset, Palani, and other 3 assets, we are expecting PCOD by March. So maybe by December end, actually, we should monetize the other three assets.
Bhavin: Okay, sir. Okay, sir. Sir, I have got a few balance sheet questions. So I will join back the queue and come back again.
Moderator: We have our next question from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, my call dropped off. So sorry if the questions are repeated. Sir, firstly, you mentioned that 10% to 15% revenue decline. So tha

t is for FY '25, right?
K. Venkata Ram Rao: FY '25. Yes.
Vaibhav Shah: Yes. And for FY '26, what are we targeting?
K. Venkata Ram Rao: Because these are the projects when we are going to receive based on that, actuall y FY '26 revenue will be there. But if we get suppose any HAM project, it is taking almost 1 year to start that project. Even EPC project also, it will take at least 6 months to start. So definitely, '26 also, we are also thinking that if we could able to at least par something INR3,500 crores to INR4,000 crores we are target '26.
But definitely, '27 will be the good because a lot of the projects what we are targeting in Q1 and Q2 of this FY '26. So '25 will be around 10% to 15% degrowth and '26 will be so mewhere INR3,500 crores to INR4,000 crores.
Vaibhav Shah: Sir, secondly, on order inflow side, we have received around INR430-odd crores in year -to-date. So for FY '25, what will be our guidance and same for FY '26, if you can just split in annual terms?
K. Venkata Ram Rao: Sir, for FY '25 now time is not only 1.5 months is there. So that's why our ED, sir, told that we are targeting between INR8,000 crores to INR10,000 crores order book in next 3 to 4 months actually. So -- because March is almost 1.5 months, so we are not very much sure, but target is that, between 3 to 4 months, we should get at least INR8,000 crores to INR10,000 crores of order book.
Vaibhav Sh ah: So by Q1 we should around INR8,000 crores to INR10,000 crores of new inflows?

K. Venkata Ram Rao: Yes, sir, that we are targeting it.
Vaibhav Shah: Okay. And sir, secondly, on the HAM, so when do we expect to receive the ADs for both the HAM?
K. Venkat a Ram Rao: Actually, sir, has already explained for Package 5 actually that we are expecting in a week time actually. So maybe you can say around 10 days actually, we'll get. And other one is maybe by end of March.
Vaibhav Shah: But execution would largely be start in next year only in Q1?
K. Venkata Ram Rao: This one will start. First Package 5 will start execution actually. Package 4 may take some time.
Vaibhav Shah: Okay. And sir, you mentioned that Package 4 certified and unbilled around INR977 crores. And what about Package 3? So total receivables would be how much?
K. Venkata Ram Rao: Package 3, actually, total Package 3 will be around INR120 crores is there, Package 3. So total irrigation receivables, including unbilled as of date is around INR1,200 c rores is there. Out of that, INR600 crores is certified and the balance INR600 crores is uncertified.

Vaibhav Shah: And sir, lastly, on the irrigation side. So our order book is roughly INR900 crores -- INR990 crores. It is constant for last couple of quar ters. So actual revenue potential would be somewhere around INR400-odd crores incrementally?
K. Venkata Ram Rao: Yes, yes, it will be incrementally around INR500 crores will be there
Vaibhav Shah: Okay. And sir, lastly, in terms of EBITDA margin, it should be around 16%, 16.5% going ahead?
K. Venkata Ram Rao: That's because now turnover is depleting. So we expect that EBITDA in the range of around 15% actually between 15% to 15.5% will be there.
Moderator: We have our next question from the line of Faisal H awa from H.G. Hawa.
Faisal Hawa: There is a big drop in employee expense, as well as finance costs even quarter -on-quarter. Finance cost has halved and employee cost has almost gone down by 25%. What is the key reason for that? Second is, sir, on the...
K. Venkata Ram Rao: Finance cost, is higher than in last quarter, actually, we have received a lot of -- some of the claims actually. For that finance expenses also, it is included in the finance cost also. So that was included in finance cost of last year.
And as far as employee expense is concerned because there was variable pay actually, we paid in the last quarter ti

ll Q2 of our management. So that variable pay is only onetime thing, so that's why it was there in more in Q2, but not there in Q3.
Faisal H awa: And sir, what do we expect to gain from this HAM portfolio that we are going to sell these 4 projects? So I believe that 1 project will be sold off by June and the rest will be sold off by December. So what is the gain on the equity that we have inves ted? What is the gain that we are expecting on them? And second, sir...
K. Venkata Ram Rao: One of them. We are also discussing with that, gain will be definitely very good actually. we can say, but it will be very good prices, definitely better than what the deal we did actually earlier.
Faisal Hawa: So -- and sir, what is the -- is it the right statement to make, sir, suppose in 1 year's time, we get about INR1,200 crores irrigation dues from Telangana government and we make another, say, from the equity portfolio, we make another similar amount. So is it the right statement to make that we will be having almost INR2,400 crores free cash flow in 1 year from now?
K. Venkata Ram Rao: But we have to invest in our equity also INR400 crores is there. We have to invest in our equity contribution. We have to do the capex for our future project...
Faisal Hawa: The company will also earn some money in the next 4 quarters, some more money from existing orders and revenue.
K. Venkata Ram Rao: Definitely, your statemen t is to the extent it's true, but subject to considering all these costs also BOT project.
Faisal Hawa: And sir, what is the...

K. Venkata Ram Rao: And we are also targeting BOT toll project where actually suppose we have to put some marginal equity also. So that also we have to put from all these money. So whatever the cash flow available for next 1 year of you're telling almost INR2,400 crores, it is going to be utilized on all these basis.
Faisal Hawa: In a recent newspaper article, it was also mentioned that most of the HAM projects taken up by many EPC projects are in not any state of any completion and been left even halfway. Is that true? That's one.
And second is, is it true that in BOT projects, we would be having a maximum of 3 to 4 players

only w ho would be competing against us?
K. Venkata Ram Rao: As far as HAM is there, definitely because you have seen that almost last 2 years actually, how the bidding has been there. It is very, very aggressive bidding. So definitely, it has the impact on the q uality and the delay in that project. So we know that actually because some projects are there quoted as minus 25%, minus 30%. We don't know actually how it is going really viable as far as we're concerned. So we are thinking that, that might be the reason that's why there is definitely real poor construction quality or delay in the project. So that might be the reason what we are expecting.
As far as BOT toll is there, definitely toll project also, we are looking on that. So if some toll project, as alrea dy ED sir is telling that we are already in tying with Adani and tying with Cube actually to do the EPC work for their BOT toll assets. So we are also working in that area also.
Faisal Hawa: But is the competition limited to only 4 to 5 players in BOT?
K. Venkata Ram Rao: Because what is happening in BOT toll because equity contribution is more. So you have to be very good. So right now, limited actually 3 to 4 players are there who can be able to put the equity. if the BOT toll project is coming between INR2,000 crores to INR2,500 crores of the size. So definitely that much equity contribution actually -- like KNR actually, we can also individually bid 1 to 2 projects, not more than that because that equity is huge actually. So that's why we are tying up wi th other investors or other developers actually to do their BOT toll.
Faisal Hawa: And sir, what is the chances that

we get that MSRDC order, which we felt that we could get from Patel Engineering now that the Maharashtra elections are over?
K. Jalandhar R eddy: Sir, actually, that there is some LOA delays because of the land acquisition. When we have spoken to the authorities, they said they will take a couple of months to clear that and issue LOA.
Faisal Hawa: Okay. So we plan to complete this Karnataka pr oject for which appointed date will be received in the next 1 week, we plan to just concentrate on that and complete it in next financial year so that our revenues are...
K. Jalandhar Reddy: Yes, sir. We will continue to focus that completions, yes. Defini tely. All the resources and all everything we will put and try to finish with bonus and all that. We are targeting that, sir.
Moderator: We have our next question from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Sir, my question is on what is th e type of NHAI pipeline are you seeing in terms of kilometers and value in EPC, HAM and BOT separately?
K. Jalandhar Reddy: Pardon, sir?
Ketan Jain: What is the size of orders in NHAI tenders, which is currently going to come up in HAM and EPC, BOT is how much, sir?
K. Jalandhar Reddy: Actually, sir, the size of orders, they started with -- even today, there are INR800 crores, INR700 crores projects are there. But recently, they have started withdrawing those such size projects, and they are just trying to group bigger size projects, like INR2,000 crores, INR3,000 crores levels they are now, I think, putting on a bid.
So definitely, we are waiting for that move, sir, because the smaller contractors, really, they are creating huge havoc in the bids and takin g at a very bad price. And they are also ruining the quality of the roads, which was noticed by our Sri Narendra Modiji also. So I think the corrective measures have been started to be taken up. We hope for the better...
Ketan Jain: I was asking the total value of projects, total value of projects.
K. Jalandhar Reddy: Value of projects as of now, I think we have around, say, INR55,000 crores, I think, for NHAI.
Ketan Jain: And how much is HAM and EPC?
K. Jalandhar Reddy: HAM, EPC, I've not bifurcated so if you want I would like to do it and send it to you.
Ketan Jain: Okay. But around INR55,000 crores of projects, right, sir?
K. Jalandhar Reddy: Yes. Actually, it is there, but I don't have it right now. That's the point.
Ketan Jain: Understood. Okay. Sir, if you can help us with the adjusted revenue, EBITDA, PAT for 9 months and 3Q?
K. Venkata Ram Rao: Yes. Actually, for Q3 FY '25, the adjusted EBITDA is around 16.57%, amounting to INR117 crores. And adjusted PAT actually for Q3 will be INR78.35 crores, sir, around 11%. For 9 months, adjusted EBITDA is 16.4%, amounting to INR390 crores. And PAT is concerned, it is INR252.59 crores, amounting to 10.6%.
Ketan Jain: Understood, sir. Sir, my next question is like how is the progress on the Andhra Pradesh capital city project? Are we seeing any tenders for that?
K. Jalandhar Reddy: Yes, sir. Actually, they have called on some small -scale projects which are supported by that INR200 crores, INR300 crores level projects have been already on the bid. Right now, the tick et size is smaller and competition is going to be as envisaged there. So we were waiting for the bigger scale projects to come down.
So that INR200 crores, INR300 crores level projects have already come up. So now I think --

what I mean to say is that, th e capital growth is now being planned. I heard that the CRDA, that

Capital Development Authority is now being formed and they have been given serious tasks to take up the construction.
Ketan Jain: Understood. Understood, sir. Sir, my last question is on -- you spoke about orders in T

amil Nadu,
Karnataka and the BOT project with Adani, the Gwalior project with Adani. Sir, if you could help us in the size of these projects, Tamil Nadu and Karnataka, what are the sizes of these projects?
K. Jalandhar Reddy: Actually, Tamil Nadu, actually, which now I think we are preparing a bid about, say, INR1,900 crores size project for some flyover project, and around INR900 crores for highway projects, and around 1 more flyover in Coimbatore which is coming up at INR600 cr ores, I think. Yes.
Ketan Jain: Understood. And what about the Adani BOT project, what would be that size, EPC?
K. Jalandhar Reddy: Sir, Adani BOT that -- I think INR3,400 crores is the estimated cost, that Agra -Gwalior.
Ketan Jain: Agra -Gwalior, correct. And last year, the Karnataka and Telangana, sir?
K. Jalandhar Reddy: Karnataka, Telangana, sir -- Karnataka, I think there are 2 projects only of size around INR1,600 crores and 1 is about INR1,800 crores. The 2 projects are there at the state government s ide. And Karnataka, that is Karnataka, sir. And Telangana also, there have been certain bids which have now floating. I think it is in the pipeline. It's not yet announced, around INR1,900 crores, flyover is coming up and INR900 crores, another flyover is coming up. Those are also areas also we are focusing now.
Ketan Jain: Understood. I'm sorry, just last thing, sir, you also spoke about Rajasthan irrigation, any size of those things? What type of projects are there?
K. Jalandhar Reddy: Actually, yes, they have started from INR500 crores, but even INR5,000 crores project is also there in that.
Ketan Jain: Okay. INR500 crores to INR5,000 crores.
K. Jalandhar Reddy: Yes, quite big, also there. INR500 crores is only 1 project, but rest of all INR1,900 crores a nd other projects are about, say, INR3,000 crores like that. INR2,000 crores INR3,000 crores, even INR5,000 crores is there.
Moderator: We have our next question from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Are you able to hear me now, c learly?
K. Jalandhar Reddy: Yes, sir.
Shravan Shah: Yes. Sir, most of the questions has been answered, just a couple of things. So total size of irrigation in terms of the opportunity in MP and Rajasthan would be how much?
K. Jalandhar Reddy: MP, not yet c ome, sir. Actually, that we went to the department and we have collected some data that is not yet announced actually. In pipeline, they are signing for Ministry approval and all

that. So those are about, say, INR25,000 crores worth of contracts in differe nt 4, 5 projects in the number.
And Rajasthan, as I mentioned that it is irrigation projects, HAM model they are coming up.
They are also varying from INR500 crores to INR5,000 crores, it is there. Almost 6 projects are there.
Shravan Shah: So total would be INR25,000 crores, INR30,000 -odd crores the size?
K. Jalandhar Reddy: Yes, roughly, sir, roughly. Yes, sir.
Shravan Shah: Okay. And in terms of for HAM, the equity requirement from us, let's say, if we win INR3,000 crores, how would it would be in terms of broadly -- for normal road, we have a 40/60, EPC 40.
So here, how it would be? And in terms of the equity requirement, let's say, if it is of INR1,000 crores project for simplicity, how much equity we will be needing?
K. Jalandhar Reddy: Sir, actually, equity concerned, HAM model around 12% to 15% could be the equity of the project size. So definitely, I think we are now focusing about, say, INR2,000 crores to INR5,000 crores projects.
So maybe it depends on the project size only, sir. Right now, it is quite difficult to say what will be the requirement. But I think we are well geared up. We have enough cash inflow. Once we get paid from that irrigation department also, we were through with that problem.
Shrav an Shah: So for Rajasthan irrigation, HAM, I'm asking.

So there also the 12% to 15% kind of equity is needed and not the road I'm asking.

K. Jalandhar Reddy: Rajasthan only needed, sir. It is not in MP and all. It is coming with the EPC model only.
Shravan Shah: Okay. And then in terms of the irrigation, obviously, you have explained, but do we see that any kind of a payment? Obviously, INR60 crores we have received in January, any more likely to come in by March or maybe, let's say, by June?
K. Jalandhar Reddy: Yes, we are focusing likely to come up from the...
Shravan Shah: Okay. Okay. And let's say, if we get a INR10,000 -odd crores in order inflow, so I'm assuming that the INR3,400 crores is from Adani toll and maybe Patel MSRD C project there also would be close to INR2,000 crores, INR2,500 -odd crores. So both these put together would be close to INR6,000 -odd crores. So maybe only just INR4,000 crores, we will be needing from other things.
So let's say, if we get it by, let's sa y, by June and from July to March, how much more than we will be looking at or we will -- then we'll stop for some time and then we'll look at? And also in these projects will -- in terms of the margin level, that at least we will be maintaining 15.5% to 16-odd percent, 15% to 16% margin will be there even if it is a subcontract rate?
K. Jalandhar Reddy: Sir, actually, now it is all the predictions only, assumptions only. We will try our best, but it is more better to take between 14% and 13%. But we will t ry our best to get delivered because it's

all upcoming projects, and we do not know what sort of strategies the bidders are going to adapt and the designs which we are also taking up. So right now, we will take it granted like that, sir.
Shravan Shah: Okay . And then individually, when we are talking that we can also bid the toll projects. So there only we are looking at INR2,000 -odd crores or less than that projects only we can bid on a stand -alone basis?
K. Jalandhar Reddy: I didn't get the question, sir.
Shravan Shah: I'm saying when we are saying that we can also bid the BOT toll projects on a stand -alone basis, there we are looking at only INR2,000 crores or less than that kind of a size. But are the projects are there less than INR2,000 crores BOT toll?
K. Jalandhar Reddy: Actually, sir, right now, generally, wherever it's very lucrative, I would like to think about it. As of now, I haven't seen any bids which are a bit of lucrative like Agra -Gwalior, definitely, it is out of my budget. So I haven't give n a thought for that. But we would like to see some upcoming projects, which they are now considering. Mostly, if I get any idea on that the traffic inflows are good and all that, then I'll take my views on it, sir. As of now, I think any bid which have be en -- have selected not such good ones actually.
Shravan Shah: Okay. And lastly, the MDO one, so in terms of the size, let's say, from the EPC revenue perspective, how much that would be? And do we also need to put in equity how much equity we would be nee ding?
K. Jalandhar Reddy: Where, sir, where?
Shravan Shah: MDO, mining project, which you have mentioned.
K. Jalandhar Reddy: Actually, sir, mining concerned, it is main capex only that happens. So it depends on the size of the project and depends on the d emand what they make in the project actually. Right now, what we have placed around 200 to 300 Volvos are required. So we have around 200 Volvos. So we -- another 100 Volvos we need to buy when that project comes up. Recently, we put that Singrauli , which I'm talking about.
Shravan Shah: So in terms of the EPC size, how much it will be if we -- let's say, if we win this, which we have bid, so will it be INR1,000 crores, INR2,000 crores or it will be a much bigger project?
K. Jalandhar Reddy: That's all, si r, INR1,200 crores only.
Shravan Shah: Okay. And, sir, the recent

2 projects that we have won, that we will be getting or starting the execution by March the last 2 projects that we have received INR430-odd crores?
K. Jalandhar Reddy: All the EPCs, yes, th ey can be started. But HAM and all it is going to take time. The financial closure time minimum itself is there. And before agreement 2 months is there. So almost 8 months' time, it will go away. And even the land acquisition, if it is not there, again, th ere will be some issues. A little bit delays, we are expecting around 7 to 8 months from the HAM model or BOT toll also for that matter.

Shravan Shah: Got it. And so, broadly, when we say in FY '25 or let's say, FY '26, INR3,500 crores to INR4,000 -odd cror es revenue that we will be doing, but if we get the INR10,000 -odd crores kind of inflow by June, for FY '27, then we should be having a INR4,700 crores plus kind of revenue that one can look at?

K. Jalandhar Reddy: If it is happening really.
Moderator: The next question is from the line of Vasudev from Nuvama Wealth.
Vasudev: So, sir, first question is, if you can give what is the progress on the pipeline and the irrigation projects? And also, like how much revenue have we recognized in these segments in Q3 ? And how much we expect in Q4 and FY '26?

K. Venkata Ram Rao: So for this quarter, actually, we did revenue of around INR112 crores that is around 16% from irrigation. And for 9 months, it is around INR370 crores, that is around 15.7%. So we expect that around same INR100 crores, we will do in the next quarter also because almost all the projects of irrigation is completed.
Only this our pipeline project that will start contributing in this quarter. And other 2 irrigation recently, what we received in the January, definitely, they will start contributing somewhere from the next year Q2 onwards only.
Vasudev: Okay. Sure, sir. And sir, just a couple of data points, what would be our stand -alone debt, cash and the capex guidance, again, like what we did in Q3 and how much are we expecting in Q4 and FY '26?
K. Venkata Ram Rao: Yes. Stand -alone debt is around INR27 crores and stand -alone cash is around INR19 crores. Consolidated debt is INR1,486 crores and consolidated cash is INR87 crores. 9 months capex is around INR20 crores. So for our existing order book, definitely, we may not look at the capex .
We are targeting to receive INR8,000 crores to INR10,000 crores of the order book in the next 3 to 4 months. So based on receipt of the LOA and based on our mobilization, so definitely, we have to rework actually what is the capex is going to come in the next year.
Moderator: The next question is from the line of Saket Kapoor from Kapoor Co. .
Saket Kapoor : Sir, thank you for a very descriptive analysis of the number and the business environment. Sir, but when we investors analysts analyze the current state of affair for EPC players across the board, there are pain points in terms of receivables. There are pain point in terms of visibility.
And even, sir, just 2, 3 participants earlier, you were clarifying or giving answer in terms of speaking to the PMO and getting further understanding on how the visibility and the execution cycle will get back to its original proportion. So can you give the investors and analysts the thought process has been how these 9 months have been for EPC in genera l for the country?

And what are the key bottlenecks currently being faced, whether it is the Jal Jeevan scheme, whether it is -- has been told by you that the visibility is not there? So just if you could paint the picture, you people are in the business for a very, very long time. So just a few more color on it would suffice, sir.

K. Venkata Ram Rao: Right. Sir, definitely, if you see what your question is, it is ver

y content what we will say is that,
definitely, you have seen that almost last 2 years ac tually, there are not much awarding is there. And whatever the awarding is there, that is also very, very aggressive. If you see the EPC projects, they are going on minus 40% like that. And as far as even HAM is there, that is also going between minus 25% to minus 30%.
So if we have bided some of the projects, there also, we are always in somewhere H2, H3 level only. We could not be able to get that level. So these are really pain point. We really do not understand actually how these things are going. But this is a market that's why it is just a lost of opportunity if you see that almost last 2 years, not much award has come to the listed players.
So a lot of unlisted players have come in this sector actually.
And NHAI also they have downsized the project size. They are project size of between INR600 crores to INR700 crores are coming, not a big project. So due to this, what has happened that this qualification for a lot of small players are coming and they are quoting aggressively.
And this addressability has to complete it with their poor quality and even delay in construction.
So due to this reason, actually, as you know the last 1 month the PMO has reviewed that. And again, we are expecting that they will increase the order side b ecause what has happened, if we are getting any project of INR600 crores to INR700 crores, and we are getting project like Kerala, it will be somewhere of INR2,500 crores.
If we are going project with INR2,500 crores, definitely, we could be able to do a good work actually because almost efforts will be the same only. So that's why we expect that now NHAI will accumulate all the small, small projects and make as a big one. So really, it will help to the industry and help to the company like us. So these ar e the paining points are there in our industry, and we are definitely in a different, different forum actually through our NHBF or through whatever the discussion we are having with NHAI, we are always telling that.
And as far as BOT toll projects are the re. So basically, what is happening as we are the EPC

company, so toll is most driven to the toll revenue. So we may not have that expertise in expecting that because as far as construction is concerned, definitely, if any engineering is requirement, we ar e there.

But that is when toll revenue is there, that we cannot expect, we cannot predict. If we have to predict toll, which is very difficult actually. So that is not our cup of tea. But even then we have to bid actually. So that's why these are the pain points actually. And always we are telling to our different authorities. So we expect that now all these things will come to the shape and we again regaining in the industry.

Saket Kapoor: Sorry sir, you mentioned about minus 40% and minus 23% and the num erical number is about the size of the projects that have been awarded or what were you referring to that, sir?

K. Venkata Ram Rao: Sir, if suppose INR700 crores projects are there. So minus 40% it is coming. That is the HAM project, quote by the -- you ca n say the winning bidder will be around minus 35% to 40%.

Saket Kapoor: Okay. Sir, then the projects will not be profitable and those will not see the day of light going ahead?

K. Venkata Ram Rao: Yes. That's why it is going to the poor construction quality and delay of the project. So that's why it is happening.

Saket Kapoor: Okay. But then they are getting qualified, sir, if they are quoting below and these will be serious issues to the nation, because these infrastructure are for public.

K. Venkata Ram Rao: But sir, as of now, NHAI bidding criteria is L1 only. There is no other criteria other than L1. So they are following that criteria. So until there is some sensible bidding or they will change so

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bidding criteria like until that, it will be the same.

Saket Kapoor: Okay. And we have highlighted this to the authorities that these are the anomalies or the misproportion done by these players. We have already highlighted these aspects.

K. Venkata Ram Rao: Definitely, in different forum, we are alread y highlighting actually.

Saket Kapoor: Okay. And last second point is, sir, regarding the issuance or the receivable part, sir. Are we seeing there is also there any limitation of fund crunch from the exchequer in terms of releasing the payments or the pay ment terms are in order as per the order award and the rules?

K. Venkata Ram Rao: Sir, as far as NHAI is concerned, definitely, NHAI is good payment master. So we are not saying any delays as far as NHAI is concerned. But definitely, receivable from the st ate government authorities, that is based on their own commitment, based on their fund position of the respective states. So there is really challenges there. But as far as NHAI or MoRTH is there, they are good pay master.

Saket Kapoor: Okay. And last point on the, sir, INR10,000 crores order booking, sir, which you mentioned that you are anticipating. So what are we building in, in terms of this INR10,000 crores gardening of order? Yes, I'm joining the queue, sir. Actually, it was an ext ension only since I will not get an opportunity. So please allow me just to complete, please.

K. Venkata Ram Rao: Okay. On this question, sir, again, sir, please.

Saket Kapoor: Sir, what gives us the visibility of this INR10,000 crores order booking, which we are eyeing within 3 to 4 months order book we will create? And again, what kind of margins are we looking to close these orders with and the execution period? If you could just give some more color to it, sir?

And just to add to it also, sir, I will j oin the queue. INR1,400 crores net debt is on account of these receivable dues longer than the time limits also give that? The debtors days are much

higher than what the normal cycle is? How much proportion, you mention that also? That's all from my side.

K. Venkata Ram Rao: Sir, as far as order book is concerned, definitely in our call, ED sir explained how we are targeting between this INR8,000 crores to INR10,000 crores order book that is definitely from the different sector like Rajasthan irrigation and some project in Madhya Pradesh irrigation and some MSRDC project and some project in Tamil Nadu, Andhra Pradesh, Telangana and Karnataka.

So all this put together, actually, we are targeting something between INR8,000 crores to INR10,000 crores and one of the projects with this Agra -Gwalior bid also. So if we accumulate so we are really seeing that there is a visibility that we will get actually between INR8,000 crores to INR10,000 crores of order book in the next 3 to 4 months.

So as well as profitability is concerned, definitely, actually, we have to work out actually which sector we are getting. If it is irrigation, definitely, we expect that there will be good margins will be there. So we have to really see in which sectors we a re getting this order book. On that basis, only we can comment actually on that our profitability.

So as far as receivables are there, that INR1,200 crores receivables are there. Out of that, around almost INR600 crores receivable from the irrigation depa rtment and around INR590 crores receivables from our HAM project. So HAM project receivables is based on our fund position in the parent company. We will go into draw actually because what is happening in the last quarter, we have the sufficient cash becau se a lot of the cash has come from the claims. So we utilized that cash actually in this year. So that's why debtors has not been -- as far as HAM debtors is concerned, that is a steady growth. But now we expect that now the company required cash t

o execu te the work in this Q4. So definitely, there will be some disbursement in the SPV we will take that debt actually in SPV level.

Moderator: We have our next question from the line of Bhavin from Anand Rathi Institutional Equities.

Bhavin: Sir, can you just help me with the breakup of the debtors? Like what are the outside debtors, what are the HAM SPV debtors? Can you just help me with that number?

K. Venkata Ram Rao: Sir, just now -- HAM debtors will be around INR590 crores actually HAM debtors. And irrigat ion debtors is INR600 crores.

Bhavin: Okay, sir. Sir, if you can help me with the revenue breakup? So in this quarter, what is the revenue come from the SPV HAM from the EPC project, road projects and from the irrigation? So can you just help me with that breakup?

K. Venkata Ram Rao: Actually, HAM contributed almost 60% actually in this quarter and our irrigation is around 16% and our road EPC is 23%.

Moderator: We have our next question from the line of Parth Thakkar from JM Financial.

Parth Thakkar: Sir, I just wanted to ask that there was a sharp decline in the employee expenses. So would this be the run rate going forward? Or will it bounce back to previous levels?

K. Venkata Ram Rao: Actually, what has happened in last quarter, there was some variable p ayment to our management actually. So that's why it was more. But around INR40 crores to INR45 crores, that will be the employee benefit will conti nue will to be there.

Parth Thakkar: Okay. And are we still targeting to recover INR600 crores from the Telangana government for the irrigation in this quarter?

K. Venkata Ram Rao: Yes, definitely. Actually, sir told that we are rigorously following with the government actually to get this money.

Parth Thakkar: And also last question, sir, what would be our pipeline project revenue for FY '25 and FY '26?

K. Venkata Ram Rao: 2025, '26, maybe actually, we will execute around maybe around INR300 crores to INR400 crores will be there in FY '26 and '27.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the management for closing comments. Over to you, sir.

K. Venkata Ram Rao: Thank you all for joining us on this call today. Please reach out to our Investor Relations Consultant, Strategic Gro wth Advisors or us directly, should you have any further queries. We can now close the call. Thank you.

K. Jalandhar Reddy: Thank you very much.

Moderator: Thank you very much, sir. On behalf of KNR Constructions Limited, that concludes this conference. Th ank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

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Hyderabad -500 033 Phone.:+91 -40-40268759 ,40268761/ 62, Fax : 040- 40268760 ,
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CIN: L74210TG1995PLC130199

Date: 05th June 2025 Ref: KNRCL/SD/202 5/901&902
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON
Dear Sir/Madam,

Sub: Transcript of Earnings call held on 30th May 2025
Ref: Reg 30 of SEBI (LODR) Regulations, 2015

We refer to the above captioned subject, we herewith submit the transcript of the earnings call held on 30th May 2025.

This is for your information and records of the Exchange, please

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q4 FY '2 5 Earnings Conference Call "
May 30, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 30th May 2025 will prevail."

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. K. VENKAT RAM RAO – GENERAL MANAGER , FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY '25 Earnings Conferen ce Call of KNR Constructions Limited . Please note that this conference call may contain forward - looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predi ct.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressin g star then zero on your touch - tone phone.

I now hand the conference over to Mr. K. Venkat ram Rao, General Manager, Finance and Accounts, KNR Constructions Ltd. Thank you and over to you, sir.

K. Venkatram Rao: Good morning. Thank you for joining us today on the call to discuss the financial results for Q4 & FY25. Along with me, I have Shri K. Jalandhar Reddy, Executive Director and Strategic Growth Advisor s, our Investor Relations Advisor.

We have uploaded results and the investor presentation on the stock exchanges , as well as on our company website. I hope everyone got an opportunity to go through it. We would like to touch upon a few key company updates and industry events, post which we will have a question and answer session.

The road infrastructure sector witnessed a slowdown in the previous financial year, but the last quarter showed a promising sign of the recovery with improved project awarding and execution activities. The positive momentum has been supported by key policy reforms from the Minist ry of Road Transport and Highways. The enforcement of the fixed timeline for land acquisition and statutory clearance ; including forest and wildlife approval which is a much -needed step to expedite project execution and minimize delays.

Additionally, the r evised policy to impose additional performance security on aggressive projects , encourage more responsible and financial sound bidding practices. These measures are designed to streamline execution, reduce cost overrun and ensure timely delivery, which als o addresses long -standing bottlene cks in the project approval process.

One of the most ambitious initiatives by MoRTH is a plan to upgrade 25,000 to 30,000 kilometers of the two -lane highway into the four -lane corridor with an investment outlay of INR8 lakh crores to INR10 lakh crores . The large -scale transformation will significantly boost

highway capacity, road safety and regional connectivity. These are expected to bring greater transparency, enhance quality accuracy, and reduce execution delays.

FY26 is poised to maintain robust momentum with MoRTH targeting the construction of over 10,000 kilometers of the highway, prioritizing the modernization of existing infrastructure and improve connectivity across the northeast region. Furthermore, the planned rol lout of 5,800 - kilometer high -speed corridor network is expected to significantly enhance national connecti vity and drive economic growth. Finally, the convergence of the policy reforms and greater capital investment painted a highly promising picture for the sector.

Now, coming to the key updates of the company, the percentage of physical progress as of March 31st, 2025, for the HAM project is as follows ; Ramanattukara to Valanchery , approximately 95%, Valanchery to Kappirikkad , approximately 93 %. Chittoor to Thatchu r, approximately 91%, Magadi to Somwarpet, approximately 89 %, a nd Marripudi to Somvarappadu , approximately 37 %.

As of March 31, 2025, the company has already invested INR651 crores out of INR990 crores revised equit

y requirement for all the HAM projects. The additional equity requirement of INR339 crores to be in fused INR210 crores in F Y26 and around INR130 crores in F Y27. You can refer to the Slide number 26 of the investor presentation for detail on each HAM project.

As per the share purchase agreement in October 24, KNR Holding and Investment Pri vate Limited, which is a wholly -owned subsidiary of the company, has successfully completed the transfer of entire shareholding in KNR Muzaffarpur Holdings for consideration o f INR1 lakh.

And further, the company KNR Construction s Ltd has transferred its entire shareholding of 0.65% in KNR Muzaffarp ur Barauni Tollway Private Limited for a consideration of INR45.90 lakhs.

Moving ahead, in April, the company secured appointed dat e for both the project Mysore to Kushalnagara Package IV and V. In May, the company received the provisional completion certificate for Chittoor -Thatchur Package III, making its completion 40 days ahead of the schedule. The early delivery has made the company eligible for a bonus of INR3.26 crores.

On May 21, 2025, KNR Construction Limited, along with its wholly -owned subsidiary KNR Ramatheertham Private Limited, has received a show cause notice from the NH AI for a partial damage of an under -construction BOT in Kerala , this was caused due to some indeterminate subsoil conditions and high water table . One of the approach ramps with RE wall of the VU P has yielded and caused excessive settlement.

As a result, the service route is slightly distorted and all efforts are exercised to re instate the service ro ad facilities on either side of the main carriageway. Further, we are still evaluating the financial impact of the ev ent.

Now, coming to the order book position, as of March 31, 2025, the company's total order book stood at INR5,052 crores. This is divided at HAM, 37% (Errata: actual number to be read as

40%) ; irrigation, 28%; pipeline projects, 21%; and other road proje cts of 13%. (Errata: actual number to be read as 11%) The current order book will be executed over a period of around 1.5 to 2 years.

With the government emphasis on infrastructure development, we anticipate new outwards in the coming quarters and which aims o rder inflow of approximately at least INR8,000 crores to INR10,000 crores by the end of '26.

Now let me move to the Q4 and FY '25 stand -alone financial performance, followed by the consolidated financial highlights. I will start with quarterly highli ghts first. The revenue for the quarter stood at INR851 crores. EBITDA for Q4 FY '25 stood at INR118 crores as compared to INR2 14 crores in Q4 FY '24. EBITDA margin in Q4 FY '25 is at 13.8%. Net profit for the quarter was INR75 crores as against INR198 cro res in Q4 FY '24.

Now coming to FY '25 highlights , revenue for FY'25 stood at INR3,359 crores. EBITDA for FY '25 stood at INR62 6 crores as compared to INR 7 01 crores in FY '24. EBITDA margin in FY '25 stood at 18.6%. Net profit for FY '25 grown by 47% at y ear-on-year to INR726 crores as compared to INR494 crores in FY '24.

Now coming to consolidated financial performance. I will start with the quarterly highlights, the company reported a total revenue of INR9 75 crores as compared to INR1,4 14 crores. EBITDA came in INR221 crores in Q4 FY '25 to INR3 75 crores in Q4 FY '24. EBITDA margin in the current quarter stood at 22.7%. The profit after tax stood at INR8 crores in Q4 FY '25 due to consolidation adjustment on account of sale of stepdown subsidiary company.

Moving on FY '25 highlights. The revenue for FY '25 grew by 7% year on year to INR4,753 crores. EBITDA for FY '25 was INR1,625 crores as compared to INR1,048 crores in FY '24, posting 55% growth. EBITDA margin for FY '2 5 stood at 34.2%. Net profit grew by 33% year - on-year to INR1,002 crores.

Now moving to stand -alone b

alance sheet. The company continues to maintain strong balance
sheet. The working capital days stood at 93 days compared to 89 days as of March '24. The consolidated debt as of March 31, 2025 is INR1,8 47 crores as compared to INR1,258 crores as of March 31, 2024. The net debt to the equity on a consolidated basis as of March 31, 2025 stand at 0.41x as compared to 0.34x as of March '24.

With this, we can open the floor for question and answer.

Moderator: The first question is from t he line of Shravan Shah from Do lat Capital. Please go ahead.

Shravan Shah: Thank you, sir. A couple of questions, but entirely the questions is pertaining to the order inf low and the revenue front. So, I will try to break it as simple as possible. First, sir, in terms of unbille d revenue as on March is how much sir?

K. Venkatram Rao: It is INR9 68 crores.

Shravan Shah: So, now if we remove this INR 968 from our order book, INR5,052 odd crore s, so roughly INR4,085 odd crore s order book comes. So, first, out of this, h ow much we can execute in FY26 numbers t hen we will come back ?

K. Venkatram Rao: Sir, what you said is correct, out of INR5,000 crores if we remove around INR1000 crores, almost INR 4,000 crore s order book is there. So, definitely we ca n execute this year between INR2,500 to INR 3,000 with existing order book only. If we a re receiving good project maybe by end of third quarter or fourth quarter, if we receive right now, the execution may start end of third and fourth quarter, then we can look into.

Otherwise, definitely as I already told our previous ly also, this FY26 also will be based on the one we are receiving, based on that only we can really predict, but based on existing order book, we can go up to INR2,500 crores to INR3,000 crores .

Shravan Shah: Okay. So, now coming to in terms of the order inflow and the bid pipeline. So, if you can help us that what we are l ooking at 8,000 t o 10,000 odd crores? So, previously also we have mentioned in terms of MSRDC project where Patel Infra, we are looking at our subcontracting there.

So, if you can specify from NHA I, from state level, from this MSRDC, what kind of projects are we looking a t and when can we expect to receive this INR8,000 crores to INR10,000 odd crore s and likely in terms of the execution from this new order inflow, how m uch one can look at in the FY26?

K. Jalandhar Reddy : Actually, so that MSRDC one we speak about is that a ctually that cabinet approval is due for that. I think it has been recommended by all the other parties and finally it is due for that. I think within a month we should get the cabinet approval. After that, I think within a month, I think couple of months we shall get that LOA for that. That is what we are expecting.

So, soon after we get the receipt that work may come to revenue after two, two and a half months from that issuance of that LOA because it is an EPC project, it can be started as soon as possible.

Shravan Shah: And here the value would be a INR2,500 odd crore s MSRDC?

K. Jalandhar Reddy : Sir, actually 2,400. Maybe some margins and all we should take out and consider at 2,200 kind of levels.

Shravan Shah: Okay, go ahead, sir.

K. Jalandhar Reddy : And apart from that, sir, we are also pursuing severely in many mining areas and all of this. We have placed a bid in NTPC, we have placed now we are planning in Singareni , we are planning in western coa l field bids. We have placed certain bids also there. The results are due and we shall get back to you with the details whenever it is all right. And the state government tenders also we are focusing. In couple of months, certain tenders are likely to float down.

I think in two, three months down the line we shall have the considerable bids we are having in t

he hand, actually.

Shravan Shah: Okay, so, sir, if you can specify the value in terms of this mining state level and NHA I, the total value that we are looking to bid in next couple of months. And maybe even previously we were looking at water also. So, if you can MP Rajasthan we were looking at?

K. Jalandhar Reddy : I think that overall total we are looking at almost INR30,000 crores, INR40,000 crores are NHAI bids. And state h ighways also were around INR10,000 crores to INR 15,000 crores likely to come up, in coming two, three months time. And apart from that mining INR2,000 crores, INR5,000 crores, in a tenure of four years, three years, t wo years, five years also there the tenure are different in that.

Shravan Shah: Okay, got it. And lastly, sir, in terms of the margin, EBITDA margin. So, this quarter, obviously, it has come down slightly. So, normally we used to target close to 15% to 16% kind of a number. So, now how one can look at the EBITDA margin?

Kamidi Reddy: I think actually around 13 %-14% it is possible. Maybe little bit tough minus 1%, 2% we are expecting because that overheads will be higher and that turnover is lesser. So, that may count a little bit problematic to us. That's why we are a little bit downgrading the expectations also.

Shravan Shah: Yes. S ir, lastly irrigation, have we received any mone y? When can we expect the money b ecause this INR1,200 crores , INR1,300 crores is pending. So, how are we confident that we will be getting this money?

K. Jalandhar Reddy : Irrigation, sir. we have even spoken to the Minister last week, sir. They said a couple of months, we shall solve this. That's what they are saying. We are hoping for the best in this, sir. We are pursuing and in both cases also we would like to move, but the department said, wait for one more month and then move it like that.

As it is likely to get settled down in one and a half months' time. So, we have given it to the lawyer and they are ready to file it also. The day we say yes, it will go on.

Shravan Shah: Okay, sir. Got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Sir, of our irrigation water backlog, what will be the unbilled portion?

K. Venkatram Rao: Unbilled will be around almost INR500 crores, actually.

Vaibhav Shah: Sir, last time also it was around INR500 crores. So, it is similar number?

K. Venkatram Rao: Similar number, actually. Because this quarter certification has happened in package III and some certification in package IV. So, number is the same.

Vaibhav Shah: Okay. So, basically out of INR1,400 c rores of water book of irrigation, we can expect an incremental revenue of INR920 crores?
K. Venkatram Rao: Yes.
Vaibhav Shah: Around INR900 odd crores?
K. Venkatram Rao: Around 900 yes.
Vaibhav Shah: Sir secondly what would be our revenue guidance for FY26? So, we mentioned that from current backlog, we can do INR2,500 crores to INR3,000 crores. So, what more can we do from maybe if we get this MSRDC order started and some few more orders as well?
K. Jalandhar Redd y: Sir, MSRDC could start in coming 3 to 4 months' time. Actually, 2 months will take for LOA. After that, 2 months for mobilization and then start on it. So, it may take 4 months. From now, the revenues will start because most of it is on the earthwork side. So, expecting maybe structures also will be going on parallelly.
So, I think around 400 to 500, 300 to 400 crores , we can book on this year because it will come in the last quarter kind of time. So, maybe now I think one quarter is almost over this year.
Vaibhav Shah: So, entirely, what would be our guidance on an overall basis for FY26 in term s of revenue? Can it be flattish or some growth or we may see some decline?
K. Venk

atram Rao: Sir, guidance is definitely right now we cannot put it. What we t old is existing order definitely we can do between 2 .5 to 3. And based on when we are expecting this project, new orders based on this MSRDC or other projects. So, based on only that we can tell. So, that is why once we receive the LOA of that project, aft er that we can really give the correct guidelines to you.
Vaibhav Shah: So, secondly, on the water pipeline order, so how do you see the execution moving in FY26 ? Can we do somewhere around 35%, 40% odd in that project?
K. Venkatram Rao: Yes, we can expe ct that.
Management: Around INR300 crores to INR400 crores definitely we can target.
Vaibhav Shah: And lastly, I wanted some order backlog numbers for a couple of projects. So, what wou ld be the backlog for Valanchery toKappirikkad ?
K. Venkatram Rao: Valanchery to Kappirikkad it is INR108 crores.
Vaibhav Shah: And for Ramanattukara to Valanchery ?
K. Venkatram Rao: It is 98 crores .
Vaibhav Shah: And for Chittoor -Thachur?

K. Venkatram Rao: Chittoor -Thachur is 122 crores .
Vaibhav Shah: And lastly we have not done nothing in the new irrigation project, right? It is yet to start, two new ones we won?
K. Venkatram Rao: So, two new ones we have appointed date only la st month.
Vaibhav Shah: That we have given in the presentation. So, what would be the runrate for these two newly won projects, irrigation ones? And have you bid for any other projects you are expecting in the irrigation side in FY26?
K. Jalandhar Reddy : Irrigation, we are bidding, sir. Actually, there are some bids from Telangana, very few bids are there. But Andhra Pradesh, there are two bids coming up. Some APGENCO projects are also coming up. And then Bihar, there are projects in irrigation. And Madhya Pradesh also, there are projects in irrigation. So, we are pursuing all these very closely. Raj asthan HAM irrigation is also there.
Vaibhav Shah: I think sir on the Amravati development. So, over there, are you seeing any opportunity to have we bid for any projects?
K. Jalandhar Reddy : Actually, sir, that I think upcoming bids we are now placing, few bids we have placed, but we didn't get it. But upcoming we are now doing. I think there is a big bunch is likely to come up now.
Vaibhav Shah: Okay, sir. Lastly, on the show cause notice you received, so are we all both subsidiary and the parent compan y, both are banned from bidding for a month ?
K. Jalandhar Reddy : No, sir. Actually, that order could be very clear that this concessionaire is barred from bidding from NHAI .
Vaibhav Shah: We as a parent company can bid for NHAI projects now?
K. Jalandhar R eddy : That's what our interpretation and we are even telling the department, sir.
Vaibhav Shah: Okay. Thank you, sir. I will join back in the queue.

K. Jalandhar Reddy : They are not mentioned about parent company at all. In the show cost notice they have asked why we should not take action against you like that.
Vaibhav Shah: Okay. Got it. Thank you, sir.
Moderator: Thank you. The next question is from the line of Niteen Dharmawat from Aur um Capital. Please go ahead.
Niteen Dharmawat: Yes. Thank you for the opportunity. Am I audible?
K. Jalandhar Reddy : Yes, yes. Correct, sir. Okay, sir.

Niteen Dharmawat: Yes, sir. So, sir, last quarter, our order book was INR3,800 odd crores and this quarter, the order book has gone to INR5,000 crores. So, it's an addition of around INR1,100 crores. Can you please elaborate what projects got added over here and what is the visibility for these projects?
K. Venkatram Rao: Actua lly, this, because what has happened, these two projects, we got the appointed date, , th e package IV and package V. That is, it is almost INR1,200 crores project,. And w

e got around
INR400 crores of the irrigation project. So, that has also added in our o rder book. So, with this and in some of the projects, we got actually COS . So, all put together, around INRR 2,000 crores has been added, actually, in this year. So, that's why it has come to last year INR3,800. Now, it comes to INR5,200 crores.
Niteen Dhar mawat: Got it. And any more appointment dates which are pending now?
K. Venkatram Rao: No, no, no. We 've got all appointed dates for our existing project s.
Niteen Dharmawat: Got it, sir. If I have any additional question, I will come back. Thank you.
K. Venkatram Rao: Yes. Thank you, sir.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor and Company. Please go ahead.
Saket Kapoor: Namaskar, sir. And thank you for the opportunity. Sir, when you have mentioned about the to p line in the vicinity of 2,500 to 3,000, we are talking on a stand -alone basis or on the consolidated platform?
K. Venkatram Rao: That is on a stand -alone basis only.
Saket Kapoor: Okay. So, what should be the likely number on a consolidated basis?
K. Ven katram Rao: Consolidated basis, maybe, because now, maybe, you can say, 400, 500 crore extra will come there, sir.
Saket Kapoor: Okay. So, at the best -case scenario -- yes, sir, please. Hello?
K. Venkatram Rao: Yes, sir. Carry on, sir.
Saket Kapoor: Yes, yes. So, at best -case scenario, we will fall flat in the top -line part as on last year's numbers are, when we compare it with last year's numbers. So, it was 33, 59 . Last year, we are really closer to that at best, depending upon how the intake pipeline lo oks like going ahead. That should be the understanding.
K. Venkatram Rao: Sir, that's why we told that, based on our existing order book, we can reach to that extent, between 2,500 to 3,000 crores . But based on when we are expecting these projects, these p rojects will come actually and they will start contributing from end of Q3 or Q4. Then, we can target a little bit more. But that visibility we can get when we receive the LOA . So far, we have not

received the LOA . That's why we could not really predict it. If there was spillover and it's still over the next year, then definitely, this year, we cannot. We will end between 2,500 to 3,000.
Saket Kapoor: Okay. S ir, secondly, on the irrigation part, I think so, the Ken Betwa project DPR is also there, and som e order changing has happened. So, have you participated in this, out of the order book? Do we have any portions for execution for the Ken Betwa project also?
K. Venkatram Rao: Sir, we are not. But definitely, we want to participate. So far, we have not lo oked at that. Interlinking of projects are coming. That is coming in the southern part also. So, we are definitely really looking forward to participate in the project, which is backed by the central government like that, like interlinking of projects. So, we are looking at that.
Saket Kapoor: Okay. And sir, secondly The only point was in the pipeline project, do we have exposure to the Jal Jeevan scheme, wherein our receivables or the execution phase has slowed down, if you could comment? And also, the last point was on the different payout ratios, sir. Being an investor, I would like to understand how do we conclude with a different payout of INR0.25 per share on a consistent b asis for the last 4 years. These are the two my concluding questions. I'll join back .

K. Venkatram Rao: Sir, in respect of this pipeline project, definitely, this is backed by the Amrit scheme of the central government, and their central government will f und 25 %, and 75 % of the state government. So, we are not seeing there any delay as such. We have put the bill, and we have received the money as such. So, let's say, as of now, we are seeing any funding constraint. So

, as far as dividend payout is there, d efinitely, because this is our practice is that actually, what are the accumulated results are there. Definitely, we want to intact our cash for our future expansion, like that we are getting some mining projects, and we are also looking for some BOT Toll assets also, if we can participate.

So, definitely, what ever the money we want to keep in the system, to put to enhance our capability and do the diversification in the other sectors. So, that's why we we maintain the same dividend ratio as of now . But future, definitely, based on company performance and future cash flow, we definitely look to consider that , your point, sir.

Saket Kapoor: Thank you, sir. I'll join the queue for my follow -up.

Moderator: Thank you. The next question is from the line o f Jainam Jain from ICICI Securities. Please go ahead.

Jainam Jain: Thank you for the opportunity. So, my first question is, why did we have such lower margin in this quarter compared to previous quarter, and what kind of margins are we looking going forwar d?

K. Venkatram Rao: Hello, sir. The reduction in EBITDA is explained because we basically now what ever our -- there is some disturbance …

Jainam Jain: Hello . Am I audible right now? Sir, I hope you got my question. Or should I repeat?

K. Venkatram Rao: No, no. We understand there is some background disturbance was there that we are telling. If you kindly mute your line, then we can explain better. In respect of this reduction in EBITDA , that already we explained that the reason is being that now whatever our existing order book is there for almost all projects, except the new one, all projects is almost frag end . Almost we have completed , almost 90% to 95% of that project. So, if we are executing in that project, because project s will be in the l ast phase, then we could not be able to generate that much of revenue. Accordingly, expenditure will be a little higher.

So, tha t's why, because due to this frag end of the project, we could not be able to get the, what are the EBITDA we are adjusting. But definitely, as always, we are telling that between 13 % to 14%, what is our guideline, definitely we are there and we will achieve that. As far as future margin is concerned, so existing order book will give the same between 13 % to 14%.

And when we are add ing the new projects, like in MSRDC or mining or other sectors, so definitely, and if we are getting some good irrigation project, because irrigation projects have very better margin . So definitely in that case, it will be improved in the future.

Jainam Ja in: Okay, sir. And second question is, what is the kind of bid pipeline which we are seeing for F Y '26 and what sort of total order inflow which we are looking to add in our order book?

K. Venkatram Rao: So, this year, we are targeting somewhere between INR8,000 crores to INR10,000 crores. We are targeting to add in our order book. And as the pipeline is already, sir, has explained, for NHAI project, INR30,000 crores to INR40,000 crores, NH AI projects are there that we want to bid actually. And the state government projects also, they are between INR10,000 crores to INR15,000 crores are there. So, plenty of orders are there definitely, but we have to bid and we have to get it, because due to this aggressiveness, we are really seeing that how we can get the se orders.

Moderator: Thank you. The next question is from the line of Bhavin Modi from Anand Rathi Financial Services. Please go ahead.

Bhavin Modi: Yes. Hi, sir. Thanks for giving the opportunity. So, first thing, I wanted to know the breakup of the reve nue contribution. So, how much is the road hybrid, irrigation, EPC? So, can you just help me with the percentage for the Q4?

K. Venkatram Rao: Sir, Q4, actually, that's around 46 %, sir .

Bhavin Modi: Okay.

K. Venk

atram Rao: Irrigation, 19 %, road EPC 30 %.

Bhavin Modi: 30?

K. Venkatram Rao: 30,. And back -to-back is around 4 %.
Bhavin Modi: Yes. So, second thing I asked, sir, since there has been like a negotiation and doing finalization going right for the monetization of the upcoming assets. So, now I think the management must be clear with the tentative consideration that will be received in the timeline. So, can you just help us with what is the consideration that we are looking for?
K. Venkatram Rao: So, the consideration aspect, we are just that the final discussion is going on. So, right now, sir we cannot. So, definitely, it is in a very advanced stage, and almost all discussion has happened. And so, final one, two sittings is only required, to do the final negotiation. So, we expect that by maybe by mid of July we should be able to conclude that transaction and sign the SOP.
Bhavin Modi: And so, third thing, as you mentioned, now we are looking for the diversification of the order book. So, are you looking for any like a partnership or something like tha t for projects like, example, railways or airports or river interlinking projects? So, there are many opportunities coming there.
And even in case of suppose if our focus is on road projects. So, are we like, you know, looking for some complex projects, yo u know, where there's a tunneling or elevated structures are involved. So, can you just help you know, how the management is now looking to ramp up or diversify the order book?
K Jalandhar Reddy : Yes, sir. We are pursuing all the opportunities, sir. Actually, we have started a JV with the NCC for some certain projects. And there are some mining projects we have started with Sushee and Harsha. Wherever we are non -qualifying, sir, we have tunneling, we have Patel Engineering is ready with us to go with the, for the joint ventures. So, we have wherever the new sectors that we would like to be, we have opening floor for all that, because, you know, now that road sector is a bit heated up.
So, we would l ike to go other sectors and recoup our order book and then once the road sector becomes okay, then we would probably even go in the roads also, kind of that which we are planning. So, for which we are tunneling, we are open in the metros, we are open in th e flyovers projects in various cities, we are open in irrigation projects, we are open in pump house, powerhouse projects, all that we are pursuing, sir. Then, you know, recently, for mining also, we are severely pursuing for tenders. So, hopefully, I thin k, sir, down the line, 2, 3 months down the line, we shall have enough orders in the hand. That's what we are expecting.
Moderator: Thank you. The next question is from the line of Mudit Bhandari from IIFL Capital. Please go ahead.
Mudit Bhandari: Hi, sir. Thank you. If you look at standalone balance sheets or receivables , as well as other current assets or other financial assets have significantly expanded. So, is there has been any declassification or any reason why other current assets, other financial a ssets have expanded?

K. Venkatram Rao: So, basically, other finances, as the unbilled revenue was there , in last year, it was around INR497 crores and this year it becomes to INR 968 crores. So, basically, this is the reason that's why other financial asse ts has gone up.
Mudit Bhandari: And this is majorly of irrigation?
K. Venkatram Rao: Yes, basically of irrigation and trade receivables have actually gone down from INR13 64 crores and now it is 1244 crores.
Mudit Bhandari : Okay. Got it. And secondly, in terms of the projects which you are highlighting from NTPC, either Singar eni or Western Goldfield or either the mining area. So, whether we are looking in a sort whether we will be doing only

EPC work o r any other arrangement basis?
K. Venkatram Rao: These are the EPC work, MDO like mining development operation.
K. Jalandhar Reddy : And EPC kind of operation projects an d MDOs both we are pursuing because wherever the margins are important. So, we will focus to have margins only.
Mudit Bhandari : Okay. Got it, sir. Thank you.
Moderator: Thank you. The next question is from the line of Vasudev from Nuvama Wealth. Please go ahead.
Vasudev: Thank you for the opportunity. So, sir, circling back again on the Kerala project issue. So, how long do you think this ban c an extend because there are a few media articles which say that the ban is for one y ear. And even on our intimation to the stock exchanges, we have mentioned that it is one month or the conclusion of investigation whichever is later. So, what is the exact extent we expect this ban to be and do you think this can extend to the parent company as well?
K. Jalandhar Reddy : Actually, sir, that the notice clearly says that 15 days notice is given for us to show cause, telling which why we should not debar you for one year and then some small penalty is there, 0.5% of the value. Then these, actually we have given the confident, we are very confident that we have not done any mistake in there . It's a complete waterlogged area where the technically, because of the water loggedness somewhere in between the beneath the foundation, that particular area

has been submerged.
It has bee n settled. So, there because of that under construction only, it is not operated or we have not given t hat road for any operation also b ecause, see this everybody says that in the s how cause notice, they have used the word you have compromised the safety o f the public. We said it is not operated, it is not even open for the traffic actions. That's what we have said.
And we have confidently replied with our designs, whatever the designs which we were envisaged before DPR or before exhibition. I think all th e approvals, whatever we have taken from the concerned authorities and concerned IE, independent engineers, all that we have kept forward.

So, with all that, I think this issue should be settled with NH AI so that we wi ll not have any further course of thi s thing , but however, we can even have an option to go legally to protect ourselves from all this.
Vasudev: Okay. Sure, sir. That is helpful. And for second question, just a few bookkeeping questions, are capex numbers execution that we have done in FY25 in the pipeline and the irrigation project and outstanding receivables from the Telangana government?
K. Venkatram Rao: The capex we have done for the year is INR 22 crores and the execution for the irrigat ion is for the quarter it is INR 152 crores, it is 19%.
Vasudev: Okay. And sir, in the pipeline projects and the Telangana outstanding?
K. Jalandhar Reddy : Pipeline projects, we have done INR 30 crores of turnover. And one more, what do you ask ed?
Vasudev: Outsta nding from the Telangana government?
K. Jalandhar Reddy : Including unbilled revenue, it is INR1,200 crores.
Vasudev: Okay, sure sir. That is it from my side. Thank you.
Moderator: Thank you. The next question is f rom the line of Dheeraj from Avendus Spark . Please go ahead.
Dheeraj: So just one question. Can I get th e adjusted revenue EBITDA and PA T for the full year FY25 adjusting the arbitration claim and the other things?
K. Venkatram Rao : For the full year?
Dheeraj: Yes for the full year and the current quarter if possible?
K. Venkatram Rao : Current quarter, there are no oneof f the items , but for the full year, it is 15.94%.
Dheeraj: EBITDA margin and the revenue, sir?
K. Venkatram Rao : Revenue, it is INR 3,234 crores .
Dheeraj: PAT number for full year adjusted?
K. Venkatram Rao : PAT number, adjusted number, it is INR339 crores

.
Dheeraj: INR339 crores. And sir, what you said for t he EBITDA, sorry I missed that, a djusted EBITDA?

Dheeraj: Adjusted EBITDA for the same thing?
K. Venkatram Rao You can say 15.94%.

Dheeraj: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Balasubramaniam from Arihant Capital . Please go ahead.
Balasubramaniam: Actually, I am Bala from Arihant Capital. Sir, my first question is regarding what percentage of the current receivables is over 180 days and how we are mitigating the counterparty risks, especially from the state government projects . I think INR 921 c rores is on the receivable side?
K. Venkatram Rao : Basically, most of the receivables a re from the irrigation only, the pending r eceivables, which is almost INR 500 crores. And the rest of the money is from our SPVs only, HAM SPVs, that we can draw money at any time. And on the irrigation receivables, it is already intimated that we are follo wing up with the authority and we may receive in near future.
Balasubramaniam: Okay sir. And, sir, like any specific reason for delayed progress in you r HAM projects, especially in KNR Sriranganatha and KNR Kaveri Infra?
K. Venkatram Rao : There is no delay in the execution. We have received the appointed date at a later point of time because of the ROW issues. Because the authority took their own time to issue the -- take the ROW and issued the appointed date at a later time. There are no delays because it has been, we have received in the previous month only, we have started our execution.
Balasubramaniam: Sir, like wha t kind of impact or like from FY 25 union budget on EPC tendering volumes in irrigation and highway sectors?
K. Venkatram Rao : EBITDA margin.

Balasubramaniam: No, sir. I am asking this union budget on EPC tendering volumes in irrigation and highway sectors ?
K. Venkatram Rao: Sir, this i s definitely, sir, this infrastructure sector has to grow actually. So, there is a lot of opportunities are there and governm ent is definitely pushing that, b ut due to now NH AI has made the policy that until the clearance, they are not going to bid the proj ect. That's why bid is getting postponed. But we expect that definitely there is a lot of opportunities there in this sector. And, but there are some delays actually due to this election and dec ision making, but now we expect that next, this year onwards, it will definitely pick up actually. And as we told that government is now planning from two lanes to four lanes actually, almost 30,000 kilometers, that outlay of around 8 lakh to 10 lakhs crores. So, that's why there is a lot of opportunities are there , but we have to just wait actually when it is coming and we have to take it.
Balasubramaniam: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Parth Thakkar from J M Financial. Please go ahead.

Parth Thakkar: Sir, hi. Thank you for the opportunity. Just wanted to know what is the current outstanding irrigation revenue?
K. Jalandhar Reddy : What is outstanding in irrigation?
K. Venkatram Rao: Irrigation, for receivables it is around INR790 crores is there .
Parth Thakkar: Okay. And are we trying to monetize any of our HAM assets a nd if we do, what would be the multiple we would expect?
K. Venkatram Rao: Yes, definitely our four assets actually. We are in the pro cess of actually financing the share purchase a greement. And as you t old that by mid of June actually, we will try to close it. So and that negotiation is going on actually. At thi s stage, we cannot disclose it, b ut definitely we want to monetize these our four assets.
Parth Thakkar: Okay. Thank you . Those are my questions.
Moderator: Thank you. The next question is from the line of Jainam Jain fr

om ICICI Securities. Please go ahead.
Jainam Jain: Thank you for the opportunity again. Sir, what is your mobilization advance as of now, as of March 25?
K. Venkatram Rao: Mobilization advance is around INR20 crores.
Jainam Jain: Okay. And what about retention money?
K. Venkatram Rao Retention money is INR846 crores.
Jainam Jain: 846. Okay. And so my second question is what is the total executable order book as of now in a book out of total order book of INR4,000 crores? And like, is there any slow moving orders going on?
K. Venkatram Rao: No, sir. INR4,000 crores is now net executable order book is there, sir.
Jainam Jain: And is there any slow moving orders as of now?
K. V enkatram Rao: No, sir. All are good order book.
Jainam Jain: Good progression. Okay. And sir what sort of arbitration claim are we looking going forward in FY26 and 27?
K. Venkatram Rao: Sir, we have received the award from some of the project, but that counterparty has gone to the court. So, definitely this year we may not know how much this is going to come because it will take at least four to five years to close that. So, now basically this Odisha, one of the – Arunachal Pradesh we got the award of ar ound INR319 crores of the p roject, b ut that has gone to the court . So, it will take at least four years.

Jainam Jain: Okay, sir. That answers my question. Thank you so much.
Moderator: Thank you. The next question is from the line of Parikshit from HDFC S ecurities. Please go ahead.
Parikshit: Yes, sir. Hi. So, in this case where the show cause notice has come, so we have to correct the bridge where there is a damage? So, I want to understand what could be the impact and whether it is covered in our insuran ce?
K. Jalandhar Reddy : Yes, sir. Actually, it may not get covered in the insurance. May not or we have intimated and that they are examining the case. And the main cause of failure is because of the poor subsoil below the foundation. Actually, we cannot s ay that because while working the foundation was very good.

But somewhere between the layers of the earth below the foundation, much below the foundation, there could be some pools or some tapped, what you call slushy kind of soil in between layers. So, that has caused this thing. It is nowhere intentional because proper approvals were taken and total examination of the foundations were done during the earthing because subsoil investigations were also done.
But not in this location but a little bit away f rom that. B ut in that, I think in that particular area, we couldn't tap anything of that kind of sound that it is having some weaker foundation kind of results we are going to get. So, accordingly the designs and all were made. St rata Geosystems, one of th e best RE Walls agency was done the work for this actually.
And they have designed and that design was also verified, approved by the concerned authorities. And then after that only the execution was taken place. So, as such we didn't see anything. It's a kind of accident only.
We also treat this as an accident only. But however, getting through insurance and all, maybe that will be after their examination and their concerns only we will be able to know. But you know, as far as NHAI is concerned, now bec ause of that situation, there is a local demand for making a viaduct. So, viaduct is almost costing about say INR30 crore nearby. If the length is increased a little bit in length, it may go up.
But otherwise, INR25 crores to INR30 crore s is a rough estim ate what we have made. I think I am saying around INR30 crore s. So, that INR30 crore s impact will be there. And it is a change. Actually, you know, the proposals, you know, when the DPR consultant who made the DPR, he has proposed RE wall on the service ro ad side, where we have observed some water loggedness on the s

ervice road side and we have done retaining wall instead of RE wall. RE wall cannot be done also.
But main carriageway side, we have seen a big clarity was there during that time. So, that time we have done RE wall only. So, maybe that somewhere in the subsoil, there is a weakness, but what I told you earlier, that's because of this.

But we do not know any sort of, again, file investigation and again, designs are going on. So, I think viaduct will be a proper solution so that, future also, we should not have any doubts. Because, we have to maintain this road for another 15 years.
And if we have any certain doubts and it's and buts and things will not work. So, what we are also proposing with NH AI that to go for viaduct and solve this problem once for all, so that in the future, we shouldn't see anything, anything kind of that.
Parikshit: Okay. And this is the ban …
K. Jalandhar Reddy : Is around INR25 crores to INR30 crore proper estimation.
Parikshit: Got it. And the second question is about the ban period for you. Sorry, I missed it earlier. So, you were saying it will be one month or the period of investigation and it will not be for one year, which was reported by media, right?
K. Jalandha r Reddy : Yes, actually, we have to immediately close. Actually, we have closed ourselves that we have our designs are at work now to prepare that viaduct proposals. And NH AI is we are writing a letter for NH AI with our proposal. NHAI has asked you come up with your proposal also. So, since they're asked for our proposal, then we are bringing up all these matters. And since it is a original contract is to go for RE Wall and now we are going for a viaduct .
It's a complete contract and it is a complete change from the existing scope. Okay, I may not take money for whatever I have done. But the thing which I'm going to do, it's a new proposal and it could be under change of scope.
But how ever, we will deal that with NHA I. Rather, if they don't pay, we may have an option to go for arbitration also. But anyhow, we are hoping that the problem should be solved and the public should be off with the problem.
Parikshit: Okay. And just on the revenue guidance, last thing, sir. So, what kind of guidance for MSRDC is there in FY '26? What kind of revenue or growth you're looking at or the growth you're looking at?
K. Venkatram Rao: Actually, as I already explained, because right now, base d on our existing order book of INR5000 crores, we can execute between INR2500 crores to INR3000 crores in our existing order book. And further, based on when we are issuing this order from MSRDC or other things, based on that. So, that's once we receive the LOA or we receive some like definitive LOA like that, then only really we can comment on our order book. But based on our existing order book, we can execute between INR2500 crores to INR3000 crores.
Parikshit: Got it. Okay, thank you.
K. Venkatram Rao: Thank you.

Moderator: Thank you. We'll take our last question from the li ne of Sharvan Shah from D olat Capital. Please go ahead.
Shravan Shah: Yes, just two things, sir. capex for FY '26 will be given that if we receive this INR8000 crores - INR10,000 crore s and maybe in the new segment, what kind of a capex, maybe not this year , maybe in FY '27, do we have to incur a decent capex?
K. Venkatram Rao: Definitely, sir. based on existing capex, we can take care of our existing and maybe we can use 50% of this capex in our new project. But when we receive new projects like MSRDC or some mining or some other things, definitely capex requirement will be ther e, maybe not '26.
Shravan Shah: Sorry, sir, 20 %. I missed the last line.
K. Venkatram Rao: Maybe not in '26, might be in '27, actually we have to incur a capex for these ne w projects.
Shravan Shah: Okay, so '26 would be the similar kind of a INR20 crores, INR30 -odd crore s, but FY '27 can see maybe a INR100 crore s, INR200 crore s kind of a capex ?
K. Venkatram Rao: Yes.
Shravan Shah: Okay, and lastly, sir, in terms of the bonus, I think you mentioned some INR3 crores, INR 4 crore s kind of a, so a total put together in FY '26, how much bonus are we likely to book?
K. Venkatram Rao : Bonus that INR3 crores what I think these are , Chittoor -Thatchur that have come in time , but other than these…
K. Jalandhar Reddy : I think it is true, actually that, Chittoor -Thatchur project, it is true, approvals have come in time and we have bonus.
Shravan Shah: Sir, this INR3 crore s bonus will be booked -- in the first quarter of FY '26, this quarter or it will be in 2Q?
K. Venkatram Rao : It should r eceive from the NOC, which is due in first quarter.
Shravan Shah: Okay, got it and all the best for order inf low. Thank you. Thank you.
Moderator: Ladies and gentlemen, in the interest of time, we will take this as our last question. I now hand the conference over to the management for closing comments.
K. Venkatram Rao: Thank you all for joining us on this call. Please reach out to our Investor Relation Consultant, Strategic Growth Advisors or ask directly, should you have any further queries . We ca n now close the call. Thank you.
Moderator: Thank you. On behalf of KNR Constructions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

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Date: 21st February 2025 Ref: KNRCL/SD/202 5/848&849
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON
Dear Sir/Madam,

Sub: Trasncript of Q3FY25 Earnings Call held on 14th February 2025
Ref: Regulation 30 of SEBI (LODR) Regulations, 2015

We refer to the above captioned subject, we herewith submit the transcript of the earnings call held on 14th February 2025.

This is for the information and records of the Exchange, please.

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q3 FY '2 5 Earnings Conference Call "
February 14, 202 5

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 14th February 2025 will prevail."

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. K. VENKATRAM RAO – GENERAL MANAGER , FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED
STRATEGIC GROWTH ADVISORS -- INVESTOR RELATIONS ADVISORS – KNR CONSTRUCTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to KNR Constructions Limited Q3 and FY '25 Earnings Conference Call.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. K. Venkata Ram Rao, General Manager, Finance and Accounts, KNR Constructions Limited. Thank you, and over to you, sir.

K. Venkata Ram Rao: Yes. Thank you. Good morning. Thank you for joining us today on the call to discuss the financial results for the Q3 and 9 -month FY '25. Along with me, I have Mr. K. Jalandhar Reddy, Executive Director; and Strategic Growth Advisors, our Investor Relations Advisors.

We have uploaded results and investor presentation on the Stock Exchanges , as well as in our company website. I hope everyone got an opportunity to go through it. W e would like to touch upon our key company's update and industry events, post which we will have a question -and-answer session.

The recent union budget for FY '25 -'26 reaffirm s the government's strong commitment to the infrastructure development with budg etary allocation of INR2.87 trillion for the Ministry of Road Transport and Highways. This substantial investment is poised to accelerate road development, enhance connectivity and strengthen our transport network, paving the way for the more robust and re silient economy.

Although the first 9 months of FY '25 witnessed a slowdown due to macroeconomic factors with approximately 5,853 kilometers the roads constructed , the sector continued to demonstrate a strong foundation for growth with a large chunk of pr oject already to be awarded. The sector has already gained significant traction with the second quarter averaging around 600 kilometers of the projects awarded. The momentum has further increased in Q3 also.

Additionally, the MoRTH is prioritizing corrido r-based approach, which will have enhanced user convenience and improve logistics efficiency. As of December 2024, MoRTH has operationalized 4,693 kilometers of the highways speed corridor with a target to reach 4,827 kilometers by the end of FY '25.

Looking ahead, India's ambition vision of 2047 aims to reshape the national infrastructure landscape. Under this long -term road map, the government is set to approve a series of future highway projects, ensuring the seamless expansion of national highway n etwork. Notably, project awards are progressing at a steady and comfortable pace, reflecting continued momentum in the sector.

This increased focus on infrastructure will, not only boost construction activity, but also improve logistics efficiency, create employment opportunity and drive economic progress. With this strategic development, India's road infrastructure sector remains a cornerstone for national growth and connectivity.

Now, come to the key updates of the company. The percentage of physical progress as of December 31, 2024 for the HAM project is as follows: Magadi to Somwarpet, approximately 88% completed; Ramanattukara to Valanchery approximately 90% completed; Valanchery to Kappirikkad approximately 86%; Chittor to Thatchur approximately 84%; Marripudi to Somavarappadu 23%.

As of December 31, 2024, the company has already

invested INR589 crores out of the INR990 crores revised equity requirement for all the HAM projects. The additional requirement of INR401 crores to be infused as INR108 cror es in 2025, INR205 crores in FY 2026 and INR88 crores in FY 2027. You can refer to the Slide number 23 of the investor presentation for detail on each HAM projects.

In January, the company received letter of acceptance for two irrigation projects in the state of Telangana. Both projects together account for INR429 crores of our share of revenue.

Now, coming to the order book position. As of December 31, 2024, the company's total order book stands at INR3,888 crores. This is di vided in to 46% for the EPC road projects and HAM project, 26% for the irrigation project and remaining 28% from pipeline project. Client -wise bifurcation is 71% of order book is from the third -party client and balance 29% for captive HAM

projects. The thir d-party order book percentage is further split as state government 58%, whereas 10% is the central government and balance 3% from the other private players.
As to note that, this order book does not account for the two HAM projects totaling to INR1,200 crores as the appointed date is yet to be received. Additionally, it exclude s 2 irrigation projects awarded in January '25 value at INR429 crores. Including this, the total order book would be at INR5,517 crores.
The current order book will be execu ted over a period of 1.5 to 2 years. With the government emphasis on the infrastructure development, we anticipate new order award in the coming quarters. We are aiming for an order inflow of approximately INR6,000 crores to INR8,000 crores by the end of S eptember '25.
Before discussing the financial figure, I would like to highlight that during the quarter, the company received an arbitration claim from one of our associates that is Patel KNR Heavy Infrastructures Limited. This includes INR35.6 crores rec orded in the revenue from operation and INR103.5 crores as interest on such claim. That is reflected in other income. The related

expenses of INR1.3 crores has been included in other expenses and resultant tax of INR34.6 crores is accounted under current t ax.
Now, let me take through the Q3 and 9 months FY '25 stand -alone financial performance, followed by the consolidated performance. I will start with the quarterly highlights first. The revenue for the quarter stood at INR743 crores. EBITDA for Q3 FY '25 grown by 3% to INR151 crores as compared to INR147 crores in Q3 FY '24. EBITDA margin is at 20.4%. Net profit for the quarter was INR182 crores vis -a-vis to INR86 crores in Q3 FY '24, registering a growth of 113% year -on-year.
Now, coming to 9 months FY '25 highlights. Revenue for 9 months FY '25 stood at INR2,507 crores. EBITDA for 9 months FY '25 grew by 4% to INR508 crores as compared to INR487 crores in 9 months FY '24. EBITDA margin in 9-month FY '25 stood at 20.3%. Net pro fit for 9 months FY '25 was INR650 crores as compared to INR296 crores in 9 months FY '24.
Now, coming to the consolidated financial performance. I will start with the quarterly highlights first. The revenue for the quarter stood at INR848 crores. EBITDA came in INR256 crores in Q3 FY '25 vis -a-vis to INR226 crores in Q3 FY '24, a growth of 13% year -on-year. EBITDA margin in the current quarter stood at 30.1%. Profit after tax stood at INR248 crores in Q3FY '25 vis -a-vis INR136 crores in Q3 FY '24, a growt h of 83%.
Moving to 9 months FY '25 highlights. The revenue for 9 -month FY '25 grew by 25% year -on-year to INR3,778 crores. EBITDA for 9 months FY '25 was INR1,404 crores as compared to INR673 crores in 9 months FY '24, registering 109% growth. EBITDA margin for 9 months FY '25 stood at 37.2%. Net profit grew by 142% year -on-year to INR994 crores.
Now, moving on the stand -alone balance sheet. The compan

y continued to remain a strong
balance sheet. Working days stood at 69 days compared to 71 days as of September '24. The consolidated debt as of December 2024 is INR1,486 crores (it was wrongly mentioned as INR 14,086 crores during the call) as compared to INR1,220 crores in March 31, 2024. The net debt to the equity on consolidated basis as of December stood at 0.33 compared to 0.3 4 as of March '24.
With this, we can open the floor for question and answers.
Moderator: We have our first question from the line of Shravan Shah from Dolat Capital. We'll move on to the next participant. The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: Jalandhar Reddy, it is so far good result. We received so many arbitration claims this year. How many more in pipeline? Can you describe this?
K. Jalandhar Reddy: So actually, for the claims concerned, there is no much pending as of now. I think due to Vivad Se Vishwas scheme, we could get settled with all other claims and very minor claims are there, one Penchalakona -Yerpedu proje ct, there is a claim about, say, INR15 crores whose receivables through this Vivad Se Vishwas maybe INR11 crores and all. That's all the claims for this thing concerned.

And there are a couple of other claims in some HAM model projects and Madurai to Ramanathapuram project, there is a claim. And there is a claim in around INR300 crores, I think, in Madurai -Ramanathapuram. And this Dindigul -Bangalore package, there is Coimbatore to Pollachi,. That project also has about, say, INR150 crores plus claims.

But the arbitration is still to commence. I think those claims were launched, and we have asked for some consultation committee, there is a consultation committee in NHAI for settlements of these claims. If they defer with our argument, then probably we w ould go for other forum like go to arbitration and then they can start that to the channel .
Ravi Naredi: Okay. And we have INR5,200 crores 12 months top line, while we have only INR5,500 crores value of contract in hand, which is equal to 1 year. Will you comment on this?
K. Jalandhar Reddy: Yes. Actually, as 1, 1.5 years onwards, there is no significant orders which have been received by the company because there is a big slowdown in NHAI was the major client in our industry to get the jobs from highway an d HAM model or toll model projects. So those were completely -- there were tenders, but not in large numbers like they used to happen in every year.
So the rally was very small and the aggression in the market was very heavy. Some tenders went at 20%, 25% HAM model, 20%, 25%, it is unimaginable. Certain tenders have gone in that way.
So there is aggression in the market a little bit, but there is a huge pipeline, which is there in NHAI's website, as you can also see it, we have keenly studied on certain ar ound 60 -- 70, 80 projects we have studied as of now.
So we were making our moves as and when these tenders come up, we can put a bid. So there's a lot of time which we have got. So there's a keen study is being done utmost design care was taken, almost a ll the care was taken. So hopefully, we should be able to get out with this -- apart from this, the highway NHAI divisions.
We are also participating through state government projects in highway sectors like Tamil Nadu is coming out with a few projects an d Karnataka is coming out with a few projects. And irrigation projects are also in a major way that are coming from MP projects , which we are focusing now.
And in Rajasthan, there is an interesting thing that we have in HAM model irrigation projects, which are also there on the board, which we are preparing our bids to submit over there.
And apart from that, urban infrastructure projects are coming up in large -scale in Tamil Nadu as well in Telangana as well in Andhra Prades

h also. So those areas also like flyovers and all other many infrastructure development projects in the cities and all that coming up, so which we are also focusing there.
Apart from that, recently, we have placed bids in open mining operation contracts. So those areas also we have give n our bids. And we continue to go on them. And certain other care also has been taken. There are large -scale projects like INR5,000 crores, INR8,000 crores, INR7,000 crores size of projects which are coming out on BOT toll model, for which I think we have spoken to Adani, and we have submitted Agra -Gwalior bid EPC bid to them. So hopefully, if it goes well, then we would get the EPC, that's kind of arrangement which we have got.

Apart from that, we are also thinking to give some certain bids where Cube is also participating in toll bids. So there also, we would like to go. So there is quite an interest which we are capturing. I think an extensive efforts and hard efforts are being made by us to get enough order book in hand. Our target is to have around INR8,000 crores minimum in coming 2, 3 months' time.
Ravi Naredi: So by 31st March, we might receive some NHAI contract?
K. Jalandhar Reddy: Actually, we may be bidding, but I don't think the bids will get open by that sooner. Now we submit the bid, it is tak ing almost 45 to 50 days to open it also. So probably most of the bids could be submitted. I think most of the tenders, which may happen in March. So those tenders, we will be definitely placing our bids.
Ravi Naredi: Okay. And what is the status of our de btors amount from Telangana government?
K. Jalandhar Reddy: Actually, that we have given a court case also. As a safer sake I have given, but we have even spoken -- department had a serious meeting with us stating that when do you pay us. Then the department and Minister that Mr. Uttam Kumar Reddy (it was wrongly m entioned during the call as Mr. Uday Basu) who is the Minister of Irrigation in Telangana, who also spoken to us saying that this Link 5 projects, which is in the pump, we were doing Pump House project, which comes under Link 5 of that Kaleshwaram thing.
So that is with the bank funding. So they are trying to solve, but I think it is not solved as of now. So we were expressing that . Either you take in the budget or you get that resolved so that we get paid. Otherwise, so much payment we cannot wait. So th ey were asking us to withdraw the case and always said, no, we cannot withdraw as you have delayed beyond our expectations.
Mostly 1 and 1.5 years, it is delayed.
So the interest part itself is becoming huge in this. So we said, okay, let the interest als o to be collected. If you pay the principal, we will continue to fight for the interest part, which we have clarified with the department.
Ravi Naredi: Okay. Okay. So how much amount due today as on today?

K. Venkata Ram Rao: Sir, certified is INR577 crore s for package 4 bills are certified by them actually that we have to get the money immediately. And around INR400 crores actually we did the work, but bill has yet to be certified. So put together around INR977 crores is there in that particular project.
Ravi Naredi: And in the last 6 months, we do not receive any single pie?
K. Venkata Ram Rao: For this project, we have not received, sir. For another project, one Vettam project was there, that we received INR37 crores in the month of January actually.
Ravi Naredi: Sir, Jalandhar Reddy, you are a so senior person in the industry, and we hope definitely you will do something for company, and we wish all the best.
K. Jalandhar Reddy: Yes, yes. Thanks for having trust in us, and we'll try our best in this.

Moderator: We have our next question from the line of Shravan Shah from Dolat Capital. Mr

. Shravan, we request you to rejoin. We have our next question from the line of Jainam Jain from ICICI Securities.
Jainam Jain: Yes. So, sir, my first question is, wha t would be our margin, revenue and order inflow guidance for this year for FY '26?
K. Jalandhar Reddy: Actually, sir, FY '26 is concerned, I think the projection is that we are expecting a little lesser projections only from this year as the order book is very less and it is coming to an end also.
And -- where we can do the job in irrigation and all, there is a little bit problem in payments. So that's how we expect around 10% to 15% dip which we are expecting in the top line. But bottom line concerned, it may be at par or a little bit good only.
Jainam Jain: Sorry, what did you said for the bottom line?
K. Jalandhar Reddy: Actually, it could be at par because the turnover is coming down. But since the claims and all were received, so saving will be there in that.
Jainam Jain: Okay. So we will be maintaining margins that we've been maintaining right now roughly around 16%, 17%?
K. Jalandhar Reddy: Yes, I think, yes, sir. I think...
K. Venkata Ram Rao: Sir, we will be somewhere around 15% definitely, we could be able to achieve, sir.
Jainam Jain: Okay. And what about order inflow? Like how are we seeing the order inflow for next year?
K. Jalandhar Reddy: Order inflow is concerned, sir, that we have just spoken about it that we are seriously focusing on various sectors like highways and irrigation projects as well. We are also focusing on mining operation projects. Apart from that, there are a lot of state government projects, which we are focusing there also we expect jobs to come down.
And apart from that, we are also sorting partners who can do the concession and they can give us EPC model like Adani and Cube Highways and all, which we have spoken and MOU is are under discussion with Adani (it was inadvertently mentioned during the call as done) . So certain progress is there in that side also.
So there's a serious effort which we are also keeping on it, sir, as the order book is serious concern to our company as of now. So definitely, we try to do a better job here. I'm also targeting about, say, near about INR10,000 crores order book inflow coming 2, 3, 4 months' time.
Jainam Jain: Yes. So, sir, coming to the order pipeline, like what is the amount of project that we have quoted for right now? And like how much we are expecting to win within the March month itself for the tenders which will be opening before the March?
K. Jalandhar Reddy: I think there is no that this thing is there now because the tenders are still not yet happened, major tenders, which we are focusing on them. So in March, we expect a litt le bit lesser figures

because if at all any state government tenders that happens, then there is a chance of winning tenders.
Otherwise, NHAI concerned, even if there is a big rally in March also, they get open in April or May. So kind of that. So another 3 months to 4 months' time, reasonably, we should be having the order in hand, that is what we are targeting.
Jainam Jain: Okay, sir. And sir, coming to the working capital, can you just give some numbers on the unbilled revenue, mobilization advance, inv entory, debtors and creditors number as of now? As of December '24?
K. Venkata Ram Rao: Yes. As far as debtors is concerned, debtors is INR1,221 crores of debtors.
Jainam Jain: Okay.
K. Venkata Ram Rao: And unbilled revenue is INR113 crores, sir. And retention is INR300 crores. And mobilization advance is INR30 crores.

Jainam Jain: Okay. And sir, what about inventory, creditors?
K. Venkata Ram Rao: Inventory is INR196 crores, sir. And creditors is INR332 crores.
Jainam Jain: Yes. S o, sir, what's the issue with the Kushalnagar project? Like we achieved the financial closure of 1.5 ye

ars back and still we haven't received the appointed date for that. Like how are we seeing it progressing further?
K. Jalandhar Reddy: So the Mysuru proj ects you are talking about?
Jainam Jain: Yes.
K. Jalandhar Reddy: Yes, Mysore to Kushalnagar. Yes. Actually, sir, that they have received the clearance from forest department to go ahead. So there is a land now being handed over to the concessionaire. I th ink in a week's time, we shall be commencing those projects.
Jainam Jain: In the week time, okay.
K. Jalandhar Reddy: Yes, sir. Actually, the Package 5 has full length land, but Package 4 is not that much -- not to the expected level like 80% is there. But still NHAI is pushing us to take. And since I also need some break, so at least to run the projects, I will need the job in hand. So I'm also cooperating NHAI to go ahead.
Moderator: We have our next question from the line of Lokesh Manik from Vallum Capi tal.
Lokesh Manik: My first question was on the EBITDA margins. So they are a little elevated from what we have guided at about 17%. So just some clarification on whether this is due to many of the projects nearing the end in the portfolio mix. Would that be the reason? Or you are seeing lower raw material or raw material prices coming down?

K. Venkata Ram Rao: Definitely, sir, most of the projects is there, our road projects are there, almost 80% is completed. The project are on the fag end and also that i rrigation, which is our very good contribution in EBITDA , their portion of the total turnover is also reducing. So basically, these are the main reason actually. So that's why there is a little bit low in our EBITDA.
Lokesh Manik: Fair enough. Fair enough. Sir, my second question was on your previous comment on Package 4. So although we do appreciate you are very risk averse, but do you see any risk on that front because you said they are just 80% of the land acquisition and not towards your comfort level, but also given the reputation of the customer, that is NHAI. So are you seeing any risk in terms of that front going down, there may be some bottlenecks towards once you start the project or commence the project?
K. Venkata Ram Rao: Generally, sir, as per the contract condition, 80% land is there, we will take the appointed date and balance 20% while execution of the project actually. So it will come actually. And as per the concession agreement, whatever the land they will hand over within 180 days from th e appointed date. On that land only we have to do the entire work.
And on that basis, they will give the PCOD. So we are very much clear that as per the agreement, whatever the land is there as on appointed date plus 6 months, we have to execute the work on that land and we have to get the PCOD. So really, we are not facing much issue in this because we have so far completed actually almost 5 HAM projects and still 4 are there. So we have seen that, that issue has not come actually in any of our project as of now.
Lokesh Manik: Right, right. Any update on the metro projects where you are planning to diversify?
K. Jalandhar Reddy: So actually, metro project is concerned, the tenders which we have quoted, we have lost the tenders. I think we are waiting for u pcoming tenders, sir.
Lokesh Manik: And railways?
K. Jalandhar Reddy: Railways also, we have lost tenders. We didn't get anything, but we will continue to focus on this.
Moderator: The next question is from the line of Bhavin from Anand Rathi Institutional Equities.
Bhavin: I just wanted to get your insights that we have placed bids for the MDO projects, mining projects. So what do you feel is the chances of probability as our background project is a bit different from MDO projects?
K. Jalandhar Reddy: Sir, actually, these projects, many operation projects that we have evaluated carefully and whateve

r the price that has come, we put it down. Just is the first project. So I don't have a big feel that what happens there and all. But regularly, it's a complete machinery -oriented project. So the operations are likely to continue for 5 years. So we expect a good outturn, but EBITDA is not as good as highways or irrigation kind of that.
Bhavin: Right, sir. Right. And sir, second thing, as a company's policy, we pro bably try to maintain the EBITDA margins. We generally do not compromise on that. So when you say -- you previously

mentioned there is a lot of competition in NHAI projects. So then what is the strategy the company is adopting? Like we will be directly bid ding for the NHAI projects or we will then go -- we will have a back -to-back arrangement of EPC projects to maintain our margins. So how are we strategizing?
K. Jalandhar Reddy: Actually, sir, toll project concerned, I'm going as an EPC player. And HAM pro ject continues to -- actually, I was even qualifying for INR5,000 crores projects in this. So definitely, the large -scale projects also there in the bid, like Assam, there is around INR5,200 crores project was there. So we are focusing on such projects. So the ticket size this time, luckily, even PMO is reviewed last year and they said to go for large -scale projects only because the quality is deteriorating with the small -scale contractors and all. So that was the call taken by the NHAI.
Bhavin: Okay. So ju st wanted to know out of curiosity, what is our limit for the HAM project, like how much is the cutoff? Like are we able to bid for INR3,000 -plus projects, INR3,000 crores plus projects? Or what is the limit? Or you don't know we are not eligible for INR5,000 crores plus project?
K. Jalandhar Reddy: We are eligible. We are eligible for INR5,000 crores project means all such categories which are there, they can be qualified, right?
Bhavin: Okay. And sir, just last question. Sir, we have experience in the BOT toll projects side previously. So -- and seeing the government preference of PPP. So shouldn't we strategize to participate in the BOT toll projects. I understand there's a traffic risk involved. But...
K. Jalandhar Reddy: Yes, you're right question, sir. I got the question. Most of the bids are coming on this greenfield highway projects, sir. There is a little bit predictions are not so encouraging. I don't think some sort of confusions are there. Wherever I'm very clear with the traf fic growth and all there, I'll try to participate on my own also. As we have enough equity in hand, we can focus, sir, but our equity is very precious, so we want to put in good ones, not in any other...
Bhavin: Right. Got your point And sir, last thing ab out the monetization plan. We were under discussion and the share purchase agreement was in advanced stage. So what is the update on that like for the four matured assets?
K. Venkata Ram Rao: Sir, this SPA is in discussion, sir. So we expect that we should be able to sign the, I mean, the SPA for these 4 assets by end of Q1. And after that, actually, we have to go because Palani project, we got the PCOD. So immediately after that, we'll go for NHAI and lenders approval. So we expect that by end of June, act ually, you should be able to monetize our 1 asset, Palani, and other 3 assets, we are expecting PCOD by March. So maybe by December end, actually, we should monetize the other three assets.
Bhavin: Okay, sir. Okay, sir. Sir, I have got a few balance sheet questions. So I will join back the queue and come back again.
Moderator: We have our next question from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, my call dropped off. So sorry if the questions are repeated. Sir, firstly, you mentioned that 10% to 15% revenue decline. So tha

t is for FY '25, right?
K. Venkata Ram Rao: FY '25. Yes.
Vaibhav Shah: Yes. And for FY '26, what are we targeting?
K. Venkata Ram Rao: Because these are the projects when we are going to receive based on that, actuall y FY '26 revenue will be there. But if we get suppose any HAM project, it is taking almost 1 year to start that project. Even EPC project also, it will take at least 6 months to start. So definitely, '26 also, we are also thinking that if we could able to at least par something INR3,500 crores to INR4,000 crores we are target '26.
But definitely, '27 will be the good because a lot of the projects what we are targeting in Q1 and Q2 of this FY '26. So '25 will be around 10% to 15% degrowth and '26 will be so mewhere INR3,500 crores to INR4,000 crores.
Vaibhav Shah: Sir, secondly, on order inflow side, we have received around INR430-odd crores in year -to-date. So for FY '25, what will be our guidance and same for FY '26, if you can just split in annual terms?
K. Venkata Ram Rao: Sir, for FY '25 now time is not only 1.5 months is there. So that's why our ED, sir, told that we are targeting between INR8,000 crores to INR10,000 crores order book in next 3 to 4 months actually. So -- because March is almost 1.5 months, so we are not very much sure, but target is that, between 3 to 4 months, we should get at least INR8,000 crores to INR10,000 crores of order book.
Vaibhav Sh ah: So by Q1 we should around INR8,000 crores to INR10,000 crores of new inflows?

K. Venkata Ram Rao: Yes, sir, that we are targeting it.
Vaibhav Shah: Okay. And sir, secondly, on the HAM, so when do we expect to receive the ADs for both the HAM?
K. Venkat a Ram Rao: Actually, sir, has already explained for Package 5 actually that we are expecting in a week time actually. So maybe you can say around 10 days actually, we'll get. And other one is maybe by end of March.
Vaibhav Shah: But execution would largely be start in next year only in Q1?
K. Venkata Ram Rao: This one will start. First Package 5 will start execution actually. Package 4 may take some time.
Vaibhav Shah: Okay. And sir, you mentioned that Package 4 certified and unbilled around INR977 crores. And what about Package 3? So total receivables would be how much?
K. Venkata Ram Rao: Package 3, actually, total Package 3 will be around INR120 crores is there, Package 3. So total irrigation receivables, including unbilled as of date is around INR1,200 c rores is there. Out of that, INR600 crores is certified and the balance INR600 crores is uncertified.

Vaibhav Shah: And sir, lastly, on the irrigation side. So our order book is roughly INR900 crores -- INR990 crores. It is constant for last couple of quar ters. So actual revenue potential would be somewhere around INR400-odd crores incrementally?
K. Venkata Ram Rao: Yes, yes, it will be incrementally around INR500 crores will be there
Vaibhav Shah: Okay. And sir, lastly, in terms of EBITDA margin, it should be around 16%, 16.5% going ahead?
K. Venkata Ram Rao: That's because now turnover is depleting. So we expect that EBITDA in the range of around 15% actually between 15% to 15.5% will be there.
Moderator: We have our next question from the line of Faisal H awa from H.G. Hawa.
Faisal Hawa: There is a big drop in employee expense, as well as finance costs even quarter -on-quarter. Finance cost has halved and employee cost has almost gone down by 25%. What is the key reason for that? Second is, sir, on the...
K. Venkata Ram Rao: Finance cost, is higher than in last quarter, actually, we have received a lot of -- some of the claims actually. For that finance expenses also, it is included in the finance cost also. So that was included in finance cost of last year.
And as far as employee expense is concerned because there was variable pay actually, we paid in the last quarter ti

ll Q2 of our management. So that variable pay is only onetime thing, so that's why it was there in more in Q2, but not there in Q3.
Faisal H awa: And sir, what do we expect to gain from this HAM portfolio that we are going to sell these 4 projects? So I believe that 1 project will be sold off by June and the rest will be sold off by December. So what is the gain on the equity that we have inves ted? What is the gain that we are expecting on them? And second, sir...
K. Venkata Ram Rao: One of them. We are also discussing with that, gain will be definitely very good actually. we can say, but it will be very good prices, definitely better than what the deal we did actually earlier.
Faisal Hawa: So -- and sir, what is the -- is it the right statement to make, sir, suppose in 1 year's time, we get about INR1,200 crores irrigation dues from Telangana government and we make another, say, from the equity portfolio, we make another similar amount. So is it the right statement to make that we will be having almost INR2,400 crores free cash flow in 1 year from now?
K. Venkata Ram Rao: But we have to invest in our equity also INR400 crores is there. We have to invest in our equity contribution. We have to do the capex for our future project...
Faisal Hawa: The company will also earn some money in the next 4 quarters, some more money from existing orders and revenue.
K. Venkata Ram Rao: Definitely, your statemen t is to the extent it's true, but subject to considering all these costs also BOT project.
Faisal Hawa: And sir, what is the...

K. Venkata Ram Rao: And we are also targeting BOT toll project where actually suppose we have to put some marginal equity also. So that also we have to put from all these money. So whatever the cash flow available for next 1 year of you're telling almost INR2,400 crores, it is going to be utilized on all these basis.
Faisal Hawa: In a recent newspaper article, it was also mentioned that most of the HAM projects taken up by many EPC projects are in not any state of any completion and been left even halfway. Is that true? That's one.
And second is, is it true that in BOT projects, we would be having a maximum of 3 to 4 players

only w ho would be competing against us?
K. Venkata Ram Rao: As far as HAM is there, definitely because you have seen that almost last 2 years actually, how the bidding has been there. It is very, very aggressive bidding. So definitely, it has the impact on the q uality and the delay in that project. So we know that actually because some projects are there quoted as minus 25%, minus 30%. We don't know actually how it is going really viable as far as we're concerned. So we are thinking that, that might be the reason that's why there is definitely real poor construction quality or delay in the project. So that might be the reason what we are expecting.
As far as BOT toll is there, definitely toll project also, we are looking on that. So if some toll project, as alrea dy ED sir is telling that we are already in tying with Adani and tying with Cube actually to do the EPC work for their BOT toll assets. So we are also working in that area also.
Faisal Hawa: But is the competition limited to only 4 to 5 players in BOT?
K. Venkata Ram Rao: Because what is happening in BOT toll because equity contribution is more. So you have to be very good. So right now, limited actually 3 to 4 players are there who can be able to put the equity. if the BOT toll project is coming between INR2,000 crores to INR2,500 crores of the size. So definitely that much equity contribution actually -- like KNR actually, we can also individually bid 1 to 2 projects, not more than that because that equity is huge actually. So that's why we are tying up wi th other investors or other developers actually to do their BOT toll.
Faisal Hawa: And sir, what is the chances that

we get that MSRDC order, which we felt that we could get
from Patel Engineering now that the Maharashtra elections are over?
K. Jalandhar R eddy: Sir, actually, that there is some LOA delays because of the land acquisition. When we have spoken to the authorities, they said they will take a couple of months to clear that and issue LOA.
Faisal Hawa: Okay. So we plan to complete this Karnataka pr oject for which appointed date will be received in the next 1 week, we plan to just concentrate on that and complete it in next financial year so that our revenues are...
K. Jalandhar Reddy: Yes, sir. We will continue to focus that completions, yes. Defini tely. All the resources and all everything we will put and try to finish with bonus and all that. We are targeting that, sir.
Moderator: We have our next question from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Sir, my question is on what is th e type of NHAI pipeline are you seeing in terms of kilometers and value in EPC, HAM and BOT separately?
K. Jalandhar Reddy: Pardon, sir?
Ketan Jain: What is the size of orders in NHAI tenders, which is currently going to come up in HAM and EPC, BOT is how much, sir?
K. Jalandhar Reddy: Actually, sir, the size of orders, they started with -- even today, there are INR800 crores, INR700 crores projects are there. But recently, they have started withdrawing those such size projects, and they are just trying to group bigger size projects, like INR2,000 crores, INR3,000 crores levels they are now, I think, putting on a bid.
So definitely, we are waiting for that move, sir, because the smaller contractors, really, they are creating huge havoc in the bids and takin g at a very bad price. And they are also ruining the quality of the roads, which was noticed by our Sri Narendra Modiji also. So I think the corrective measures have been started to be taken up. We hope for the better...
Ketan Jain: I was asking the total value of projects, total value of projects.
K. Jalandhar Reddy: Value of projects as of now, I think we have around, say, INR55,000 crores, I think, for NHAI.
Ketan Jain: And how much is HAM and EPC?
K. Jalandhar Reddy: HAM, EPC, I've not bifurcated so if you want I would like to do it and send it to you.
Ketan Jain: Okay. But around INR55,000 crores of projects, right, sir?
K. Jalandhar Reddy: Yes. Actually, it is there, but I don't have it right now. That's the point.
Ketan Jain: Understood. Okay. Sir, if you can help us with the adjusted revenue, EBITDA, PAT for 9 months and 3Q?
K. Venkata Ram Rao: Yes. Actually, for Q3 FY '25, the adjusted EBITDA is around 16.57%, amounting to INR117 crores. And adjusted PAT actually for Q3 will be INR78.35 crores, sir, around 11%. For 9 months, adjusted EBITDA is 16.4%, amounting to INR390 crores. And PAT is concerned, it is INR252.59 crores, amounting to 10.6%.
Ketan Jain: Understood, sir. Sir, my next question is like how is the progress on the Andhra Pradesh capital city project? Are we seeing any tenders for that?
K. Jalandhar Reddy: Yes, sir. Actually, they have called on some small -scale projects which are supported by that INR200 crores, INR300 crores level projects have been already on the bid. Right now, the tick et size is smaller and competition is going to be as envisaged there. So we were waiting for the bigger scale projects to come down.
So that INR200 crores, INR300 crores level projects have already come up. So now I think --

what I mean to say is that, th e capital growth is now being planned. I heard that the CRDA, that

Capital Development Authority is now being formed and they have been given serious tasks to take up the construction.
Ketan Jain: Understood. Understood, sir. Sir, my last question is on -- you spoke about orders in T

amil Nadu,
Karnataka and the BOT project with Adani, the Gwalior project with Adani. Sir, if you could help us in the size of these projects, Tamil Nadu and Karnataka, what are the sizes of these projects?
K. Jalandhar Reddy: Actually, Tamil Nadu, actually, which now I think we are preparing a bid about, say, INR1,900 crores size project for some flyover project, and around INR900 crores for highway projects, and around 1 more flyover in Coimbatore which is coming up at INR600 cr ores, I think. Yes.
Ketan Jain: Understood. And what about the Adani BOT project, what would be that size, EPC?
K. Jalandhar Reddy: Sir, Adani BOT that -- I think INR3,400 crores is the estimated cost, that Agra -Gwalior.
Ketan Jain: Agra -Gwalior, correct. And last year, the Karnataka and Telangana, sir?
K. Jalandhar Reddy: Karnataka, Telangana, sir -- Karnataka, I think there are 2 projects only of size around INR1,600 crores and 1 is about INR1,800 crores. The 2 projects are there at the state government s ide. And Karnataka, that is Karnataka, sir. And Telangana also, there have been certain bids which have now floating. I think it is in the pipeline. It's not yet announced, around INR1,900 crores, flyover is coming up and INR900 crores, another flyover is coming up. Those are also areas also we are focusing now.
Ketan Jain: Understood. I'm sorry, just last thing, sir, you also spoke about Rajasthan irrigation, any size of those things? What type of projects are there?
K. Jalandhar Reddy: Actually, yes, they have started from INR500 crores, but even INR5,000 crores project is also there in that.
Ketan Jain: Okay. INR500 crores to INR5,000 crores.
K. Jalandhar Reddy: Yes, quite big, also there. INR500 crores is only 1 project, but rest of all INR1,900 crores a nd other projects are about, say, INR3,000 crores like that. INR2,000 crores INR3,000 crores, even INR5,000 crores is there.
Moderator: We have our next question from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Are you able to hear me now, c learly?
K. Jalandhar Reddy: Yes, sir.
Shravan Shah: Yes. Sir, most of the questions has been answered, just a couple of things. So total size of irrigation in terms of the opportunity in MP and Rajasthan would be how much?
K. Jalandhar Reddy: MP, not yet c ome, sir. Actually, that we went to the department and we have collected some data that is not yet announced actually. In pipeline, they are signing for Ministry approval and all

that. So those are about, say, INR25,000 crores worth of contracts in differe nt 4, 5 projects in the number.
And Rajasthan, as I mentioned that it is irrigation projects, HAM model they are coming up. They are also varying from INR500 crores to INR5,000 crores, it is there. Almost 6 projects are there.
Shravan Shah: So total would be INR25,000 crores, INR30,000 -odd crores the size?
K. Jalandhar Reddy: Yes, roughly, sir, roughly. Yes, sir.
Shravan Shah: Okay. And in terms of for HAM, the equity requirement from us, let's say, if we win INR3,000 crores, how would it would be in terms of broadly -- for normal road, we have a 40/60, EPC 40. So here, how it would be? And in terms of the equity requirement, let's say, if it is of INR1,000 crores project for simplicity, how much equity we will be needing?
K. Jalandhar Reddy: Sir, actually, equity concerned, HAM model around 12% to 15% could be the equity of the project size. So definitely, I think we are now focusing about, say, INR2,000 crores to INR5,000 crores projects.
So maybe it depends on the project size only, sir. Right now, it is quite difficult to say what will be the requirement. But I think we are well geared up. We have enough cash inflow. Once we get paid from that irrigation department also, we were through with that problem.
Shrav an Shah: So for Rajasthan irrigation, HAM, I'm asking.

So there also the 12% to 15% kind of equity is needed and not the road I'm asking.

K. Jalandhar Reddy: Rajasthan only needed, sir. It is not in MP and all. It is coming with the EPC model only.
Shravan Shah: Okay. And then in terms of the irrigation, obviously, you have explained, but do we see that any kind of a payment? Obviously, INR60 crores we have received in January, any more likely to come in by March or maybe, let's say, by June?
K. Jalandhar Reddy: Yes, we are focusing likely to come up from the...
Shravan Shah: Okay. Okay. And let's say, if we get a INR10,000 -odd crores in order inflow, so I'm assuming that the INR3,400 crores is from Adani toll and maybe Patel MSRD C project there also would be close to INR2,000 crores, INR2,500 -odd crores. So both these put together would be close to INR6,000 -odd crores. So maybe only just INR4,000 crores, we will be needing from other things.
So let's say, if we get it by, let's sa y, by June and from July to March, how much more than we will be looking at or we will -- then we'll stop for some time and then we'll look at? And also in these projects will -- in terms of the margin level, that at least we will be maintaining 15.5% to 16-odd percent, 15% to 16% margin will be there even if it is a subcontract rate?
K. Jalandhar Reddy: Sir, actually, now it is all the predictions only, assumptions only. We will try our best, but it is more better to take between 14% and 13%. But we will t ry our best to get delivered because it's

all upcoming projects, and we do not know what sort of strategies the bidders are going to adapt and the designs which we are also taking up. So right now, we will take it granted like that, sir.
Shravan Shah: Okay . And then individually, when we are talking that we can also bid the toll projects. So there only we are looking at INR2,000 -odd crores or less than that projects only we can bid on a stand -alone basis?
K. Jalandhar Reddy: I didn't get the question, sir.
Shravan Shah: I'm saying when we are saying that we can also bid the BOT toll projects on a stand -alone basis, there we are looking at only INR2,000 crores or less than that kind of a size. But are the projects are there less than INR2,000 crores BOT toll?
K. Jalandhar Reddy: Actually, sir, right now, generally, wherever it's very lucrative, I would like to think about it. As of now, I haven't seen any bids which are a bit of lucrative like Agra -Gwalior, definitely, it is out of my budget. So I haven't give n a thought for that. But we would like to see some upcoming projects, which they are now considering. Mostly, if I get any idea on that the traffic inflows are good and all that, then I'll take my views on it, sir. As of now, I think any bid which have be en -- have selected not such good ones actually.
Shravan Shah: Okay. And lastly, the MDO one, so in terms of the size, let's say, from the EPC revenue perspective, how much that would be? And do we also need to put in equity how much equity we would be nee ding?
K. Jalandhar Reddy: Where, sir, where?
Shravan Shah: MDO, mining project, which you have mentioned.
K. Jalandhar Reddy: Actually, sir, mining concerned, it is main capex only that happens. So it depends on the size of the project and depends on the d emand what they make in the project actually. Right now, what we have placed around 200 to 300 Volvos are required. So we have around 200 Volvos. So we -- another 100 Volvos we need to buy when that project comes up. Recently, we put that Singrauli , which I'm talking about.
Shravan Shah: So in terms of the EPC size, how much it will be if we -- let's say, if we win this, which we have bid, so will it be INR1,000 crores, INR2,000 crores or it will be a much bigger project?
K. Jalandhar Reddy: That's all, si r, INR1,200 crores only.
Shravan Shah: Okay. And, sir, the recent

2 projects that we have won, that we will be getting or starting the execution by March the last 2 projects that we have received INR430-odd crores?
K. Jalandhar Reddy: All the EPCs, yes, th ey can be started. But HAM and all it is going to take time. The financial closure time minimum itself is there. And before agreement 2 months is there. So almost 8 months' time, it will go away. And even the land acquisition, if it is not there, again, th ere will be some issues. A little bit delays, we are expecting around 7 to 8 months from the HAM model or BOT toll also for that matter.

Shravan Shah: Got it. And so, broadly, when we say in FY '25 or let's say, FY '26, INR3,500 crores to INR4,000 -odd cror es revenue that we will be doing, but if we get the INR10,000 -odd crores kind of inflow by June, for FY '27, then we should be having a INR4,700 crores plus kind of revenue that one can look at?

K. Jalandhar Reddy: If it is happening really.
Moderator: The next question is from the line of Vasudev from Nuvama Wealth.
Vasudev: So, sir, first question is, if you can give what is the progress on the pipeline and the irrigation projects? And also, like how much revenue have we recognized in these segments in Q3 ? And how much we expect in Q4 and FY '26?

K. Venkata Ram Rao: So for this quarter, actually, we did revenue of around INR112 crores that is around 16% from irrigation. And for 9 months, it is around INR370 crores, that is around 15.7%. So we expect that around same INR100 crores, we will do in the next quarter also because almost all the projects of irrigation is completed.
Only this our pipeline project that will start contributing in this quarter. And other 2 irrigation recently, what we received in the January, definitely, they will start contributing somewhere from the next year Q2 onwards only.
Vasudev: Okay. Sure, sir. And sir, just a couple of data points, what would be our stand -alone debt, cash and the capex guidance, again, like what we did in Q3 and how much are we expecting in Q4 and FY '26?
K. Venkata Ram Rao: Yes. Stand -alone debt is around INR27 crores and stand -alone cash is around INR19 crores. Consolidated debt is INR1,486 crores and consolidated cash is INR87 crores. 9 months capex is around INR20 crores. So for our existing order book, definitely, we may not look at the capex . We are targeting to receive INR8,000 crores to INR10,000 crores of the order book in the next 3 to 4 months. So based on receipt of the LOA and based on our mobilization, so definitely, we have to rework actually what is the capex is going to come in the next year.
Moderator: The next question is from the line of Saket Kapoor from Kapoor Co. .
Saket Kapoor : Sir, thank you for a very descriptive analysis of the number and the business environment. Sir, but when we investors analysts analyze the current state of affair for EPC players across the board, there are pain points in terms of receivables. There are pain point in terms of visibility. And even, sir, just 2, 3 participants earlier, you were clarifying or giving answer in terms of speaking to the PMO and getting further understanding on how the visibility and the execution cycle will get back to its original proportion. So can you give the investors and analysts the thought process has been how these 9 months have been for EPC in genera l for the country?

And what are the key bottlenecks currently being faced, whether it is the Jal Jeevan scheme, whether it is -- has been told by you that the visibility is not there? So just if you could paint the picture, you people are in the business for a very, very long time. So just a few more color on it would suffice, sir.

K. Venkata Ram Rao: Right. Sir, definitely, if you see what your question is, it is ver

y content what we will say is that,
definitely, you have seen that almost last 2 years ac tually, there are not much awarding is there. And whatever the awarding is there, that is also very, very aggressive. If you see the EPC projects, they are going on minus 40% like that. And as far as even HAM is there, that is also going between minus 25% to minus 30%.
So if we have bided some of the projects, there also, we are always in somewhere H2, H3 level only. We could not be able to get that level. So these are really pain point. We really do not understand actually how these things are going. But this is a market that's why it is just a lost of opportunity if you see that almost last 2 years, not much award has come to the listed players. So a lot of unlisted players have come in this sector actually.
And NHAI also they have downsized the project size. They are project size of between INR600 crores to INR700 crores are coming, not a big project. So due to this, what has happened that this qualification for a lot of small players are coming and they are quoting aggressively.
And this addressability has to complete it with their poor quality and even delay in construction. So due to this reason, actually, as you know the last 1 month the PMO has reviewed that. And again, we are expecting that they will increase the order side b ecause what has happened, if we are getting any project of INR600 crores to INR700 crores, and we are getting project like Kerala, it will be somewhere of INR2,500 crores.
If we are going project with INR2,500 crores, definitely, we could be able to do a good work actually because almost efforts will be the same only. So that's why we expect that now NHAI will accumulate all the small, small projects and make as a big one. So really, it will help to the industry and help to the company like us. So these ar e the paining points are there in our industry, and we are definitely in a different, different forum actually through our NHBF or through whatever the discussion we are having with NHAI, we are always telling that.
And as far as BOT toll projects are the re. So basically, what is happening as we are the EPC

company, so toll is most driven to the toll revenue. So we may not have that expertise in expecting that because as far as construction is concerned, definitely, if any engineering is requirement, we ar e there.
But that is when toll revenue is there, that we cannot expect, we cannot predict. If we have to predict toll, which is very difficult actually. So that is not our cup of tea. But even then we have to bid actually. So that's why these are the pain points actually. And always we are telling to our different authorities. So we expect that now all these things will come to the shape and we again regaining in the industry.

Saket Kapoor: Sorry sir, you mentioned about minus 40% and minus 23% and the num erical number is about the size of the projects that have been awarded or what were you referring to that, sir?
K. Venkata Ram Rao: Sir, if suppose INR700 crores projects are there. So minus 40% it is coming. That is the HAM project, quote by the -- you ca n say the winning bidder will be around minus 35% to 40%.
Saket Kapoor: Okay. Sir, then the projects will not be profitable and those will not see the day of light going ahead?
K. Venkata Ram Rao: Yes. That's why it is going to the poor construction quality and delay of the project. So that's why it is happening.
Saket Kapoor: Okay. But then they are getting qualified, sir, if they are quoting below and these will be serious issues to the nation, because these infrastructure are for public.
K. Venkata Ram Rao: But sir, as of now, NHAI bidding criteria is L1 only. There is no other criteria other than L1. So they are following that criteria. So until there is some sensible bidding or they will change so

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bidding criteria like until that, it will be the same.
Saket Kapoor: Okay. And we have highlighted this to the authorities that these are the anomalies or the misproportion done by these players. We have already highlighted these aspects.
K. Venkata Ram Rao: Definitely, in different forum, we are alread y highlighting actually.
Saket Kapoor: Okay. And last second point is, sir, regarding the issuance or the receivable part, sir. Are we seeing there is also there any limitation of fund crunch from the exchequer in terms of releasing the payments or the pay ment terms are in order as per the order award and the rules?
K. Venkata Ram Rao: Sir, as far as NHAI is concerned, definitely, NHAI is good payment master. So we are not saying any delays as far as NHAI is concerned. But definitely, receivable from the st ate government authorities, that is based on their own commitment, based on their fund position of the respective states. So there is really challenges there. But as far as NHAI or MoRTH is there, they are good pay master.
Saket Kapoor: Okay. And last point on the, sir, INR10,000 crores order booking, sir, which you mentioned that you are anticipating. So what are we building in, in terms of this INR10,000 crores gardening of order? Yes, I'm joining the queue, sir. Actually, it was an ext ension only since I will not get an opportunity. So please allow me just to complete, please.
K. Venkata Ram Rao: Okay. On this question, sir, again, sir, please.
Saket Kapoor: Sir, what gives us the visibility of this INR10,000 crores order booking, which we are eyeing within 3 to 4 months order book we will create? And again, what kind of margins are we looking to close these orders with and the execution period? If you could just give some more color to it, sir?
And just to add to it also, sir, I will j oin the queue. INR1,400 crores net debt is on account of these receivable dues longer than the time limits also give that? The debtors days are much

higher than what the normal cycle is? How much proportion, you mention that also? That's all from my side.
K. Venkata Ram Rao: Sir, as far as order book is concerned, definitely in our call, ED sir explained how we are targeting between this INR8,000 crores to INR10,000 crores order book that is definitely from the different sector like Rajasthan irrigation and some project in Madhya Pradesh irrigation and some MSRDC project and some project in Tamil Nadu, Andhra Pradesh, Telangana and Karnataka.
So all this put together, actually, we are targeting something between INR8,000 crores to INR10,000 crores and one of the projects with this Agra -Gwalior bid also. So if we accumulate so we are really seeing that there is a visibility that we will get actually between INR8,000 crores to INR10,000 crores of order book in the next 3 to 4 months.
So as well as profitability is concerned, definitely, actually, we have to work out actually which

sector we are getting. If it is irrigation, definitely, we expect that there will be good margins will be there. So we have to really see in which sectors we a re getting this order book. On that basis, only we can comment actually on that our profitability.
So as far as receivables are there, that INR1,200 crores receivables are there. Out of that, around almost INR600 crores receivable from the irrigation depa rtment and around INR590 crores receivables from our HAM project. So HAM project receivables is based on our fund position in the parent company. We will go into draw actually because what is happening in the last quarter, we have the sufficient cash becau se a lot of the cash has come from the claims. So we utilized that cash actually in this year. So that's why debtors has not been -- as far as HAM debtors is concerned, that is a steady growth. But now we expect that now the company required cash t

o execu te the work in this Q4. So definitely, there will be some disbursement in the SPV we will take that debt actually in SPV level.
Moderator: We have our next question from the line of Bhavin from Anand Rathi Institutional Equities.
Bhavin: Sir, can you just help me with the breakup of the debtors? Like what are the outside debtors, what are the HAM SPV debtors? Can you just help me with that number?
K. Venkata Ram Rao: Sir, just now -- HAM debtors will be around INR590 crores actually HAM debtors. And irrigat ion debtors is INR600 crores.
Bhavin: Okay, sir. Sir, if you can help me with the revenue breakup? So in this quarter, what is the revenue come from the SPV HAM from the EPC project, road projects and from the irrigation? So can you just help me with that breakup?
K. Venkata Ram Rao: Actually, HAM contributed almost 60% actually in this quarter and our irrigation is around 16% and our road EPC is 23%.
Moderator: We have our next question from the line of Parth Thakkar from JM Financial.

Parth Thakkar: Sir, I just wanted to ask that there was a sharp decline in the employee expenses. So would this be the run rate going forward? Or will it bounce back to previous levels?
K. Venkata Ram Rao: Actually, what has happened in last quarter, there was some variable p ayment to our management actually. So that's why it was more. But around INR40 crores to INR45 crores, that will be the employee benefit will conti nue will to be there.
Parth Thakkar: Okay. And are we still targeting to recover INR600 crores from the Telangana government for the irrigation in this quarter?
K. Venkata Ram Rao: Yes, definitely. Actually, sir told that we are rigorously following with the government actually to get this money.
Parth Thakkar: And also last question, sir, what would be our pipeline project revenue for FY '25 and FY '26?
K. Venkata Ram Rao: 2025, '26, maybe actually, we will execute around maybe around INR300 crores to INR400 crores will be there in FY '26 and '27.
Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. And I now hand the conference over to the management for closing comments. Over to you, sir.
K. Venkata Ram Rao: Thank you all for joining us on this call today. Please reach out to our Investor Relations Consultant, Strategic Gro wth Advisors or us directly, should you have any further queries. We can now close the call. Thank you.
K. Jalandhar Reddy: Thank you very much.
Moderator: Thank you very much, sir. On behalf of KNR Constructions Limited, that concludes this conference. Th ank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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Date: 20th August 2025 Ref: KNRCL/SD/202 5/933&934
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings call for Q1FY26
Ref: Regulation 30 of SEBI (LODR) Regulations, 2015

We refer to the above captioned subject, we herewith submit transcript of earnings call for Q1FY26 held on 12th August 2025.

This is for the information of the Exchange, please.

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q1 FY '26 Earnings Conference Call "
August 12 , 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 1 2th August 2025 will prevail.

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. K. VENKATA RAM RAO – GENERAL MANAGER , FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to KNR Constructions Limited Q1 FY '26 Earnings Conference Call. This conference may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as o n the date

of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode and then will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing sta r then zero on your touchtone phone.
I now hand the conference over to Mr. K. Venkata Ram Rao , General Manager, Finance and Accounts, KNR Constructions Limited. Thank you, and over to you, sir.
K. Venkata Ram Rao : Good morning. Thank you for joining us today on the call to discuss the financial results for Q1 FY '26. Along with me, I have Mr. K. Jalandhar Reddy, Executive Director and Strategic Growth Advisors , our Investor Relations Advisors .
We have uploaded results and investor presentation on the stock exchanges as well as on our company website. I hope everyone got an opportunity to go through it. We would like to touch upon a few key company updates and industry events, post which we will have the question - and-answer session.
The first quarter of this fiscal year saw muted ordering activity in the road sector with the NHAI awarding only 166 kilometer s of the highway project between April and June. On the execution side, however there was a modest improvement with NHAI consisting 1,092 kilometer s of the highway in the quarter, slightly ahead of Q1 FY '25 levels.
One of the key factors contributing to the slowdown in the project rollout has been the government prudent decision to initiate bidding only after securing 90% of the required land and this measure aims at minimizing delay and ensuring smooth execution. However, the upcoming project pipeline remains strong with a robust portfolio worth of INR3.4 trillion encompassing 124 highways and expressway projects spanning 6,376 kilometers.
Of these projects , 84 are expected to be under the HAM model, 28 through the EPC mode and 12 under the BOT model. Despite the slower pace of new awards, operational indicators remain strong. FASTag toll col lection recorded robust growth , with a toll user volume rose by 16% year-on-year and the total collection increased by 19% in Q1 FY '26.
The government is actively addressing key challenges by tightening bidding norms through the additional performance security requirement and introducing strict eligibility criteria for DPR consultants and engineers . At the same time, the highway sector is implementing smart construction technology and innovative practices to enable real -time monitoring, enhance transparency and boost productivity. Together, these reforms and technological advancements are set to significant ly elevate the efficiency, speed and quality of the infrastructure development.
Now coming to the key update of the company. The percentage of physical progress as of June 30, 2025 for the HAM project is as follows: Ramanattukara to Valanchery approximately 99%,

Valanchery to Kappirikkad approximately 98%, Chittor to Thatchur approximately 94%, Magadi to Somwarpe t around 89%, and Marripudi to Somavarappadu approximately 43%.
As of June 30, 2025, the company has already invested INR6 76 crores out of INR990 crores of the revised equity requirement for the HAM project. The additional requirement of INR314 crores to be infused as INR185 crores in FY '26 and INR129 crores in FY '27. You can refer to the Slide number 23 of the investor presentation for the detail on each HAM project
On May 21, 2025, the National Highway Authority issued a show -cause notice to the KNR Ramanattukara Infra Private Limited , a wholly owned subsidiary of KNR Constructions Limited as well as to the parent company itself regarding certain concern s r

elating to the main
carriageway , service road and the associated structure. This notice led to one month suspension for participating in the future bidding process.
In response, the concessionary promoter submitted a detailed reply to the NHAI addressing the concern raised subsequently given the implication of the suspension, the concessionary approach to the Honorable High Court of Delhi seeking relief to allow conti nued participation in ongoing

and future bid.
On July 21, 2025, the Honorable High Court of Delhi is of considered opinion that the impugned order by the NHAI has lived its life and further observed that under the rise of the suspension, the bar on the petition right to bid in the future bidding seems to be a drastic measure.
The investigation is completed and also the one month period as mentioned in NHAI request is completed. Therefore, the suspension order should not be treated as disqualification anymore. The department, however, shall be at liberty to take further action in accordance with the extant policy.
Furthermore, the company in the joint venture with Harsha Construction s Limited has received a Letter of Acceptance from NTPC for development and operation of Banhardih coal mine block in the Jharkhand with the company's share of 74% and the other partner share of 26%.
The project has a contract value of INR4,800 crores, exclud ing GST with a five years operation period plus initial development period of 360 days. The coal quantity to be extracted approximately 34.5 million tons. The project marks the company's strategic entry into the new business segment, expanding its presence beyond core infrastructure.
Now coming to the order book position. As of June 30, 2025, the company's total order book stands at INR8 ,305 crores, which is divided into 27% of the road project, 17% for the irrigation project, 13% for the pipeline project and 43% for the mining project.
Client -wise, the bifurcation is 79% of order book is from the third -party client and balance 21% is from the captive HAM project. The third -party order book percentage is split between the State Government contract of 74%, includes this mining project, whereas 4% for the Central Government and balance 1% is from the other private sector.

The current order book will be executed over a period of one and a half years to two years, excluding mining project. With the government emphasis on infrastructure development, we anticipate new order awards in the coming quarter. We hereby aim at order i nflow of approximately INR10,000 crores to INR12,000 crores by the end of FY'26. It's a mix of NHAI projects, irrigation project, mining projects and other state government projects.
Now let me take through the Q1 FY ' 26 stand -alone financial performance first, followed by the consolidated performance. The revenue for the quarter stood at INR483 crores. EBITDA for Q1 FY '26 stood INR66 crores as compared to INR192 crores in Q1 FY '25. EBITDA margin in Q1 FY '26 is 13.6%. Net profit for the quarter was INR51 crores vis -a-vis INR134 crores in Q1 FY '25.
Now coming to Q1 FY '26 consolidated financial performance. The company recorded a total revenue of INR613 crores in Q1 FY '26 as compared to INR985 crores in Q1 FY '25. EBITDA came at INR183 crores in Q1 FY '26 compared to INR279 crores in Q1 FY '25. EBIT DA margin in the current quarter stood at 29.9%. Profit after tax stood at INR123 crores in Q1 FY '26.
Now moving on the stand -alone balance sheet. The company continued to maintain a strong balance sheet. The working capital days now stood at 169 days compared to 93 days as of March '25. The consolidated debt as of June 30, 2025 stood at INR2,018 crores as compared to INR1,847 crores as of 31st March 2025. The net debt to equity on a consolidated basis as of 30 June 2025 stands at 0.43x as compa red to 0.41x as of 31st

March '25.
With this, we can open the floor for question and answer. Over to you.
Moderator: Thank you very much. The first question is from the line of Shravan Shah from Dolat Capital. Please proceed. As there is no response from the current participant, the next question is from the line of Alok from Motilal Oswal. Please proceed.
Alok : So sir, I just had a few questions . One is execution has been very muted in this quarter. So, first is, what led to such a low execution even if we look at Y -o-Y basis or considering it was not even a monsoon quarter still we have delivered pretty soft execution?
So how are we seeing the coming quarter? Because again, now we are in the monsoon quarter. So again, the execution will be slow. So, for full year, you had guided for nearly INR2,500 crore s to INR3,000 crore s revenue in the last earnings call. So, any update on that?
K. Venkata Ram Rao : Definitely actually this quarter, the revenue has muted. The reason is being that actually whatever the existing order book is there. So, except four projects, other projects is almost over 90% has been completed. And the four projects, what is there, that is basically two these HAM projects where we have got appointed in the month of April only. And another one project is the Mangalore and one is project we got appointed in the last year.
So due to actually the project has achieved almost complete, except these four projects, almost all projects have been completed. And this quarter also the revenue from the irrigation has been

very, it is just 6% of the total revenue. Because the project has achieved all projects and order book is also very less and the projects have achieved almost more than 90%. And whatever the new projects are there, they have just started. So that's why this quar ter is a muted turnover.
Alok Deora : So what's the outlook now since we got appointed date also for a project in April? So what's the outlook on execution for 2Q as well as the remaining part of FY '26?
K. Jalandhar Reddy : Actually, sir, that Mysuru project we are talking about there are two projects inside. I think that EPC value may come Rs. 1,200 crore . So here we have a focus to complete this project by coming October, November. So, one more year we are planning bonus also as the resources are free. So, we would like to give more thrust to complete this project as soon as possible.
So anyhow it is going to take another one year. Now up to November we 'll be able to complete it. So entire revenue whatever that is there , periodically it will come , rainy season it is less. But during the dry season it is almost equal. So more or less dry season will be about INR40 crores, INR40 crores in each of the project.
So, INR80 crores we can expect in dry months. During the rainy month this is hardly around INR10 crores to INR15 crores side of business because most of the progress is not so fast.
Alok : So for full year, what is our guidance? Any number you want to share?
K. Jalandhar Reddy : I think up to this March, I think we'll be able to do around say …
Alok : For the stand -alone entire company?
K. Jalandhar Reddy: INR2,000 to INR2,500 crore we are taking on it. But however, any new orders which are coming up and their commitments are happening those will add to that actually.
Alok : So sir, actually, INR2,000 and INR2,500 is a big range actually. And I mean, we had started last quarter.
K. Jalandhar Reddy: While we are anticipating like this as most of the projects have come to an end, one thing. And the new projects under pipeline, which were considered to be started, we do not know when they get started. So that is the major reason this is unpredictable , a little bit dilemma.
Alok : Okay. Because last quarter also, we knew about these projects getting over. So we mentioned about approximately INR2,500 to INR3,000 r

evenue.
K. Jalandhar Reddy: Yes, sir, I'm very sorry this time. We have done our best in pushing for orders. Whenever there is a tender regression, we have seen and all that, we have done our best. But due to the market being very, very aggressive, so we couldn't achieve the L1 status in any of the projects.
There are certain projects which we have already told you that some pipeline projects, they would likely to come down in two months' time which is Maharashtra one MSRDC and few

other projects in Telangana we have some flyover projects, say INR7 00 crores, L1 status we are enjoying I think . I think by the time they come up another one - two months
Alok : Sure. Sir, so if I just take the first quarter number, I mean, then the quarterly run rate will remain largely the same only of INR500 crores. There is no improvement in the second half if we are going to do INR 1,000 crore s revenue?
K. Jalandhar Reddy: Because the pace is like that as well further you might have seen that rainy season is very aggressive this time. Where m ost of the time, it is aggressive but we are a very aggressive rainy state like in Karnataka , some Mangaluru project is also a little bit , work is left out in that, but there are also heavy rains going on. And the Kerala is, you know the Kerala is kind of bad. S o rest all other areas Mangaluru , AP and all they are okay. Mysore also, to some extent, we are able to do job…
Alok : And sir, just one last question. This working capital has spiked quite significantly if we look at just as compared to March, especially the debtor days has gone up from 4.5 months to nearly 8 months now. So what's happened there?
K. Venkata Ram Rao : Basically, out of debtors, actually, irrigation is around INR800 crores is irrigation actually and INR1,200 crores HAM project is there out of INR1,200 crores of debtors. And irrigation is still with unbilled and everything is still around INR1,300 crores pending with the state government .
So in this quarter, we got only just INR14 crores actually. That's a small amount only we got in this quarter. So that's why the irrigation debtors are more and now that corresponding turnover has also reduced. So that's why if we compare with that, that's why the working capital cycle has come more actually.
Alok: Okay, sir. That’s all from my side. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please proceed .
Shravan Shah : Sir, again, coming on the execution front and the order inflow. So that's the two pain points for

us. So let me bifurcate all these things. So, in terms of the mining order that we have received, INR3,500 -odd crore s, how much revenue this year, next year are we looking to get from that?
K. Jalandhar Reddy: So this year, actually that means after commencement, within one year, we can only spend about INR90 crores. And later we should go by INR700 crores per annum kind of thing. So that is the expected revenue that we get.
Shravan Shah : Okay. Got it. Second, in the water pipeline, this INR1,000 -odd crores that we have. So there, how much INR1,073 crores is the kind of a value is there. So out of that, how much revenue are we likely to get this year and next year?
K. Jalandhar Reddy: Actually, sir, by March, I think around INR500 crores we are expecting out of that. And balance we need to complete within November next year.

Shravan Shah : Okay. Balance in the entire will be in FY '27. Got it. Third, you already said the two HAM projects are INR1,200 crores that we will be completing in next year. And one more HAM project is there, so Marripudi to Somavarappadu , so that we will be entirely completing this year?
K. Venkata Ram Rao : Yes, yes. We will complete most in this year

.
Shravan Shah : Okay. Got it. Then the balance is the irrigation projects. So, first of all, the old one, how much more do we think -- so first is on the payment. So, INR1,300 crore s is pending. Do we think that we will be able to get the money from there by this March and how much? And second is the two new irrigation projects that we have got in Telangana, around INR430 -odd crores. So, from there, how much more revenue are we looking to get in this year?
K. Jalandhar Reddy: Actually, around one week back, our MD sir and the concerned Minister had a meeting and they have promised to pay within a month 's time. And there n ow actually we will process that they have moved to get the loan on track. So once the loan coming on to the track, I think we will get paid. So, this time, we have a strong assurance to get paid from the dues. So that is one good news, sir.
And rest of it, the balance work we will complete and once this is on track, so there should not be any problem. I think by March, we will be able to complete the entire project. Only that is that the canal project, which is having land problems. I think if they pay for the land acquisition also, I think that project get s completed because the pump out project they can commence by another 2 -3 months.
But what happens once we get the payment, we will take 2 to 3 months to commence the project actually. But inflow canal is not ready because we are doing the inflow canal. So, that will be a meaningless thing. So, they'll be very keen to do that also. And we heard from the secretarial sources one more thing that central government wanted this entire kaleshwaram project to be completed.
Once they completed and they are ready to take over to pay instalment to the bank. Central government is going to pay the instalment to the bank. So they have got certain assurance to go ahead. So further there should not be any problem, we are thinking .
Shravan Shah: Still I wanted -- so out of INR1,300 crores that we will still have to get from the government for this irrigation, how much do we think that by March, we will be able to receive?
K. Jalandhar Reddy : So actually, if everything is in track , I think INR1 ,200 crores should come in our hand. But if the cuts are there because of the land acquisition.
K. Venkata Ram Rao : Out of that INR800 crore s is certified itself. So INR800 crores once this issue is sorted out INR800 crores, they will immediately release. And balance is once the bill has been approved. So that will also they will release the balance amount.

Shravan Shah : Okay. Okay. Got it. Second, sir, this INR10,000 crores to INR12,000 crore s order inflow that we are looking at. So, I hope that excludes this INR3,500 crores. So, we will be additionally looking at INR6,500 crores to INR8,500 crores order inflow. So there also, if you can help us how much value of projects, we have already bidded? Is there any L1? And second, do we think that this INR3.5 lakh crore s NHAI pipeline initially, will there be a decent competition? And how much are we looking to b ag from NHAI particularly?
K. Venkata Ram Rao : Sir, what we are projected INR10,000 crores to INR12,000 crores is excluding mining project. So right now we are targeting INR10,000 crores because INR8,300 crores is order book and above that INR10,000 crores to INR12,000 crores we are targeting. Out of that actually almost around INR2,500 crores we are targeting in Tamil Nadu and MSRDC INR2,200 crores is there

and around INR2,000 crores we are targeting in Andhra Pradesh .
And around INR700 crores projects -- that flyover projects are there in GHMC Hyderabad and some projects in mostly river front also we are expecting some project and definitely some of the projects in irrigation sector in Madhya Pradesh, Rajasthan and some projects in Bihar and definitely, NHAI is also coming wit

h INR3.5 lakh crores of order. On that also, we are targeting.
So after considering all aspects, we are targeting around INR10,000 crores to INR12,000 crores of order.
Shravan Shah : Okay. So net -net this INR10,000 crores plus this INR3,500 crores, INR13,500 crores, at least we will be targeting for this year. That's great. And last, sir, in terms of this mining project and whatever the new, do we think that 13%, 14% margin guidance EBITDA level, that will be maintained? Or will there be a possibility t hat we may have to maybe lower down to maybe 1 -odd% lower?
K. Jalandhar Reddy : Yes, 1% or 2% lower, we can think of it , as it’s very early to say anything on that as a new project with us and all the care that has been taken with the available data bank and the consultant we have taken on board. So with all those inputs we have quoted the tender. But however margins are a little less in mining. You also know that.
Shravan Shah : Okay. But at a blended level for company still 13%, 14% EBITDA margin is doable now or maybe 12 -odd percent is the way one can look at it?
K. Jalandhar Reddy : Yes, it depends. Main thing is that we are thinking it should be doable because we are expecting some more orders to add in this coming quarter. So main thing is that if we add some more order s and started execution on those orders, then the dilution will happen on the manpower expenditure and assessment expenditure. So then that will stand too. Otherwise little bit here and there, things will happen.
Shravan Shah : Okay. Lastly, two things, sir. Monetization has anything we were supposed to do by this July. So any progress there? And how much capex because for mining, we have to do a decent INR300 crores, INR400 crores kind of capex . So, for this year and next year, what would be the capex ?

K. Venkata Ram Rao : Monetization process is under advanced stage and we are expecting that within next month actually, by one month, we should sign the SPA with the prospective investor. As far as capital requirement for this mining project so initially because early removal will be there.
So that we will do with our existing assets. But once we will go in depth and start accepting the coal at that time, we may require some big machineries and equipment. So not much requirement in this year, but definitely in the next year, there will be big requirement for mining assets.
Shravan Shah : What would be the PAT company level...
K. Venkata Ram Rao : Shravan, you can go last question.
Shravan Shah : Yes. The capex number only sir, wanted for next year, will it be INR300 crores, INR400 crores kind of capex in FY '27?
K. Venkata Ram Rao : It could be. It could be.
Shravan Shah: Thank you, sir, and all the best for order wins .
Moderator: Thank you. The next question is from the line of Niteen from Aurum Capital. Please proceed.
Niteen: Thank you for the opportunity. Sir, my question is since now our order book is getting built during the current financial year, so what will be the revenue and EBITDA guidance for the year? Will there be a negative growth during the year?
K. Venkata Ram Rao : Because as we explained in the earlier our questions this year because right now, we have order book of around INR8,300 crores. Out of that, around INR3,500 crores pertaining to mining. And in mining this year, we may not expect much turnover, maybe around INR90 crores to INR100 crores turnover will come from the mining projects only. So this year, that's why our target is around INR2,000 crores to INR2,500 crores we are going to execute in this year.
Niteen : Okay. No, because in the last call, we mentioned about INR2,500 crores to INR3,000 crores. So is there any reduction in the target for the revenue?
K. Venkata Ram Rao : Because last call, we thought that actually we will receive this order actually, but we have not got

any order except mining and mining order has its own gestation period. So still if we receive some order immediately and which can be executable, so defini tely, we will achieve that target.
But now almost already five months has gone.
If we receive any HAM project, definitely, it is not going to contribute in this year. If we receive some EPC projects, then we may try to do some contribution in the Q4. But as our guidance now, we are small, we have just decreased our guidance. Now it is around INR2,000 crores to INR2,500 crores for this year.
Niteen : And EBITDA, sir, what is the range?

K. Venkata Ram Rao : EBITDA will be somewhere around 13% to 13.5%.
Niteen : And my second question is, sir, we had filed a court case against regarding the payment delay from the Telangana government. And if I remember, the payment amount was INR977 crores, something like that. So, what is the status of that?
K. Venkata Ram Rao : That's why now actually , sir has already explained last month, we have one very progressive meeting with the government of Telangana. So now they are starting out that bank funding issue for the project. And we expect that now they will clear at the earliest. So, by this March, definitely, whatever the certified bill is there aro und INR800 crores, we should get it. And balance also what ever the unbilled balance around INR400 crores, INR500 crores is there. That also we are targeting to b uild it and take the money .
Niteen : And this includes the interest due also since there is a delay or any other amount also or just the billed amount that we are recovering?
K. Venkata Ram Rao : We have put a claim along with the interest, but we have to see actually how interest we have to get done. But first, we are targeting to get our principal amount. And definitely for interest, whatever action is required from our side, definitely, we will t ake it.
Niteen : Thank you and wishing you the best.
Moderator: Thank you. The next question is from the line of Hiten Jain from Avendus Spark. Please proceed
Hiten Jain : Thank you for the opportunity. Sir, my first question was on the order inflow part. I understand that there's been a slowdown due to land acquisition issues and NHAI has put up a pipeline of INR3.4 lakh crore s in FY '26. I just wanted to understand, is there also a delay because every project needs to get a cabinet approval for NHAI to award? That is first question, first part of the question.
And second part of the question is when do you expect any new long -term plan on roads from the cabinet, something like a Vision 2047. Yes. I just wanted to understand what the government is thinking in terms of order inflow for roads.
K. Jalandhar Reddy : Actually, sir, internally, NHAI has , is at compulsion to get the approval. So, that is right. Further, they are also linking to the land acquisition issues so the delay that is causing all this. And the second question, what was that?
Hiten Jain : Vision 2047.
K. Jalandhar Reddy : Yes. That's what the main thing is as it is linked to the land acquisition issues may be really that is quite difficult to say how much they are going to. But I think a little bit dilute on the term because any HAM project, I think likely HAM project could come up at around INR2 lakh plus crores to be on HAM only, but what the new s it’s on . So according to that, once this so much HAM is coming out, definitely, we all have our own role to play.

But second thing, sir, the land acquisition can happen in phases. So if they have confidence to complete the land acquisition within six months' time, they can as well go for tender ing. So the tender ing time would be around 45 days further again, another one month to issue the LOA. And further announce LOM and do the LOA also. And after

that this agreement will take another
nine months to 10 months package they will have in hand.
So within that, they can do wonders if they plan it well. So, what they are really looking to push the case because they are targeting so much. So probably they will dilute this and come to this time. That is what I am estimating, sir.
Hiten Jain : Understood. Understood. Sir, just for my understanding to summarize what you said, NHAI first has to acquire the land 90% and then get a cabinet approval and then award the project or first the cabinet approval comes and then the land acquisition comes?
K. Jalandhar Reddy : Actually, cabinet approvals, I think they will put the status of the land -once they are sending the file, they will put the current status of the land acquisition and they are sending it. And assurance to complete the balance land acquisition, they are mentioning some date and sending it. That is what is happening, what I heard.
Hiten Jain : Okay. But they do need a cabinet approval, right, after above INR1,000 crores project worth of project?
K. Jalandhar Reddy : That's what you see.
Hiten Jain : Understood. So it’s more like a check this cabinet wants to do…
K. Jalandhar Reddy : So below INR1,000 crores, they may not be sending . But below INR1,000 crores, there is no meaning also to quote down because what is happening...

Hiten Jain : Understood. So just the last point to conclude. So everything depends on the land acquisition, how fast and how well planned the NHAI does the land acquisition. Am I right?
K. Jalandhar Reddy : Yes, or if they have confidence then it can be acquired
Hiten Jain : It can be acquired, understood. Thank you and all the best, sir.
Moderator: Thank you. The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers. Please proceed.
Rehan Saiyyed : Thank you for the opportunity. Most of my questions are already answered. I just want more clarification on…
on diversification side, you have mentioned an ambition to enter metro and railway etcetera , What tangible steps have been taken towards that's this so that it bids in advance st age just put some light on that?

K. Jalandhar Reddy : Yes, actually once there are bids -- in the quantum of size which we are expecting. Definitely we are there sir. We have already discussed with NCC to quote in metros and earlier also we have quoted and in future also we 'll continue to quote this.
Rehan Saiyyed : Like sir, if you could clarify , from which year we have seen contribution from the sector like FY '27 or in next quarter ?
K. Jalandhar Reddy : Sir, there is an echo, we could not able to understand.
Rehan Saiyyed : Sir, I will join back in the queue.
Moderator: Thank you. The next question is from the line of Faizal Hawa from H.G. Hawa. Please proceed.
Faizal Hawa : Once this money comes in from the HAM projects of the equity as well as the profit, do you feel that we will be net cash positive? And from December -- assuming that this money comes in, in October, will the interest of this INR48 crores go down to less th an INR10 crores December ended quarter? That is one question.
Secondly, sir, in this quarter, the consolidated EBITDA has come to 30%, whereas you are guiding for 13% to 14% -- so what has happened in this quarter that we have had this 30% EBITDA?
K. Venkata Ram Rao : One thing is there definitely as of now also, we are cash positive in stand -alone, we have INR5.5 crores of the debt and INR81 crores is there in the cash. So as of now also, we are there cash surplus. Definitely on the monetization of these assets, it wil l further improve our liquidity position. I think you are telling about consol figures.
So definitely, once we will wipe off these assets. So we will be going to the prospective investors. So definitely, this whatever the finance cost is there

. So the four assets will be diluted,
definitely that debt actually will definitely pass on to the investors. That is one thing and ...
Faizal Hawa : How did we manage this 30% EBITDA ?
K. Venkata Ram Rao : That is in consol idated level, sir.
Faizal Hawa : But even in consol idated , I mean, what is the …?
K. Venkata Ram Rao : Stand -alone is EBITDA 13.5%, sir, stand -alone...
Faizal Hawa : Any kind of extraordinary payments from any kind of sale of projects?
K. Venkata Ram Rao : No, nothing, sir. That will come in stand -alone also. We sell in our investment also. So that amount also will reflect in the stand -alone. But I think you are talking about the consol perspective. Yes, yes. So definitely because whatever finance cost is there, that is below EBITDA. So that is why it is showing comparative more. Otherwise, on an average basis it is because PBT is around 23% and PAT is round 20%.

Faizal Hawa : Yes. But sir, again this financial year itself, if we get this around INR1,000 crores from Telangana previous used and say another INR1,000 crores comes as HAM equity profit and we generate another INR500 crores cash. You said that the capex is hardly something like INR200 crores for this year. So and our stock has reached almost where the book value of the stock is. So why is the company not using this money to go in for a buyback or more aggressive dividends?
K. Venkata Ram Rao : Sir, definitely
Faizal Hawa : The cash which is going to come in this financial year is almost half of our market cap ?
K. Venkata Ram Rao : But actually, whatever the money we are there -- because now we are targeting to get actually -- we want to diversify in other sectors. So we are targeting some even BOT toll assets also. But we are talking to the investors suppose at least one or two projects if required, we can put our own also. So we are seeing that options also.

That's why whatever the cash actually available with the company, definitely, we are going to
use in our future projects only because now we are divesting some metro or some other sectors
like in mining has started and other sectors, solar also. So definit ely there cash requirement will
be there. So whatever the money available in the company, we are going to use for the growth
of the business of the company.
Faizal Hawa : And sir, once the proceeds from the HAM project equity sale comes through, is my assumption
right that the interest cost even on a consolidated basis will be almost less than INR10 crores?
K. Venkata Ram Rao : We have to see. Because a lot of debt will also wipe off on the balance sheet. So definitely
interest will be reducing. But new projects also will add actually. So we have to really see. But
definitely, we have almost INR2,000 crores debt in the existing four assets. So definitely, it is
going to be reduced.
Faizal Hawa : Okay. Thanks a lot, sir.

Moderator: Thank you. The next question is from the line of Bhavin Modi from Anand Rathi. Please
proceed.
Bhavin Modi : Hi, sir. Thank you for giving the opportunity. Sir, can you give me the breakup of the revenue
with respect to the different segments, how much revenue each segment cater this quarter?
K. Venkata Ram Rao : Yes. This quarter actually, we got 58% revenue from the HAM road project and 6% from the
irrigation and 31% from our EPC road project and 5% will be our back -to-back projects.
Bhavin Modi : Okay, sir. My second question is with respect to, sir, what is our unbilled revenue standing
today?

K. Venkata Ram Rao : Unbilled is INR996 crores.
Bhavin Modi : So sir, my order book of around INR8,000 crores, does it include this INR996 crore s also?
K. Venkata Ram Rao : You have to exclude that INR996 crore in order book.
Bhavin Mod i: So then my net order book is something aroun

d INR7,000 crores, something like that, right?
K. Jalandhar Reddy: Yes, yes, correct.
Bhavin Modi : Okay, got it. And sir, this INR996 crore s is entirely belongs to the irrigation unbilled revenue?
K. Venkata Ram Rao : No, It belongs to irrigation as well as road. Entire, all put together.
Bhavin Modi : Okay. So I will take the breakup of this unbilled revenue offline.
K. Venkata Ram Rao : Yes, yes.
Bhavin Modi : Thank you, sir.
K. Venkata Ram Rao : Right. Thank you.
Moderator: Thank you. The next question is from the line of Shrey Mehta from Nuvama Wealth
Management. Please proceed.
Shrey Mehta : Hello. Hi. Thank you for the opportunity. Sir, with respect to the coal mining block that we have
been recently awarded, how much capex and depreciation should we factor in for this project?
K. Venkata Ram Rao : Sir as you told because this year is first year this project is 5 -year operation and 1 -year
development and the first year will be the development stage. So this year, definitely, we are not
expecting much capex, and we may do some overburden removal in this year and that we will
do with our existing assets only.
So, this year, capex requirement may not be much, but definitely, once we start extracting the
coal, then we require heavy mining machinery. So that will be not in this year, maybe from the
next year onwards, that requirement will come. For entire project, we are expecting somewhere
between INR300 crores to INR400 crores of the capex.
Shrey Mehta: Okay, sir. And sir, regarding depreciation?
K. Venkata Ram Rao : Depreciation because we will work in three shifts actually on that project so almost 5 years will
be there. So entire 5 years actually, we will depreciate the entire asset.
Shrey Mehta: Okay, sir. Understood. Sir, what will be the net working capital cycle for this project?
K. Venkata Ram Rao : For this -- specific this project, isn't it ?

Shrey Mehta: Yes, yes, regarding this project.
K. Venkata Ram Rao : That we have to really assess because that we will pay the money when we extract the coal only.
So whatever the overburden we have removed, we will get only 10% of payment against
overburden only. So we have to just assess actually we have to see the minin g plan and we have
to do roadblock and where coal is nearby. So like that, we have to do the entire planning only,
then only we can really tell us.

Shrey Mehta: Sure, sir. Noted. Sir, what is the amount of capex that we have incurred in Q1 FY '26?
K. Venkata Ram Rao : This one?
Shrey Mehta : In this quarter, yes.
K. Venkata Ram Rao : INR3 crores , I think .
Shrey Mehta: INR3 crores?
K. Venkata Ram Rao : Just INR2 crores actually.
Shrey Mehta: Okay, sir. Noted. And sir, for the entire year, it's INR200 crores, right? You mentioned INR200 crores for this entire year.
K. Venkata Ram Rao : No, no, not this year actually. Next year might be. Next year some mining project actually will be required INR300 crores to INR400 crores. But this year depend upon when we are getting these projects done.
Shrey Mehta: Sir, I'm asking the capex for the entire company -- for the entire company as such. How much capex have we incurred in Q1 FY '26 for the entire company operation s?
K. Venkata Ram Rao : Only INR2 crores thats it.
K. Jalandhar Reddy: For the entire company , it is only INR2 crores.
K. Venkata Ram Rao : Entire year may be maximum INR100 crores.
Shrey Mehta: INR100 crores. Okay, sir. Sir, lastly, what is our bid pipeline?
K. Venkata Ram Rao : Bid pipeline is almost INR3,500 crores is there.
Shrey Mehta: INR3,500 crores.
K. Venkata Ram Rao : Yes. Yes.
Shrey Mehta: Sir, can you give a bifurcation of the same?
K. Venkata Ram Rao : On that MSRDC is INR2,200 crores.

K. Jalandhar Reddy: And up to INR700 crore

s standing L1 in Telangana flyover project .
K. Venkata Ram Rao : So that is almost equal to INR3,000 crores.
K. Jalandhar Reddy: Yes, yes. It is around INR3 ,000 crores.
Shrey Mehta: Okay, sir. Thank you so much and all the very best.
K. Jalandhar Reddy: Yes. Thank you.
Moderator: Thank you. T he next question is from the line of Vaibhav Shah from JM Financial. Please proceed.
Vaibhav Shah: Yes. Sir, you mentioned that FY '26 revenue would be impacted. But can we see a sharp growth in '27 given the uptick in the HAM projects and also revenue coming in from the water and the new mining project? So can we see a revenue of around, say, INR3,000 crore s, INR3,500 crores?
K. Jalandhar Reddy: It is an assumption kind of that. So definitely, we are focusing on this around INR12,000 crore order intake. If we are able to get this next year that upcoming year will be a complete full scale execution year. So definitely, we will come into the normal mode of turnover as well.
Vaibhav Shah : Okay. Okay. Sir, secondly, what was the execution on the water project in Q1? And what are you targeting for the entire year?
K. Venkata Ram Rao : Q1 actually, we have done just very minimal only we have done not much in this year, for entire year we are targeting somewhere around INR500 crores .
Vaibhav Shah: The execution will pick up from second quarter itself for the pipeline project?
K. Venkata Ram Rao : It actually, we did around INR200 crores of the work in th at project, but it is not billed because that until we put tap and water is coming , then only we are able to get the revenue. So, a lot of overhead tanks, pipelines, that work we completed. But we could not able to bill it and this work we generally have given to our subcontractor work we have given.
That's why we cannot consider in our unbuilt also , because we have not incurred that expenditure. So, once actually they will achieve that milestone, so immediately billing will be there . So that's why we are targeting around INR500 cores worth is going to certify in this year.
Vaibhav Shah : Okay. And sir, lastly, out of the unbilled revenue of INR996 crores, irrigation will be around INR500 crores. So the remainder is entirely roads or some water also is there?
K. Venkata Ram Rao : Water is not there. I told you water there is no WAC, bu t…
Vaibhav Shah : So it is INR500 crores each from highways and irrigation?
K. Venkata Ram Rao : Yes, it is. Total INR990 crores is there. Out of that, almost INR500 crores is irrigation and left is roads.

Vaibhav Shah : Sir, and what execution are we targeting from irrigation segment in '26 and '27?
K. Venkata Ram Rao : Right now, we have almost INR1,400 crores order book is there of irrigation. Out of that

INR1,400 crores, INR500 crores is anywhere we have built. So now net order book is only just INR900 crores. So out of INR900 crores this year, we may execute you can say around -- INR300 crores to INR400 crores in this.

Vaibhav Shah : Okay. And sir, lastly, on the MSRDC project, when do we expect to get the LOA? And what execution are we targeting in FY '26?

K. Jalandhar Reddy: Sir, I think another 2 months within that because of the land acquisition only they are hanging there, I think. And I think final approval the CM is pending. So another 2 months they said.

Vaibhav Shah : And so in this year, can we expect revenue of around INR200 -odd crores or 10% execution .

K. Jalandhar Reddy: Actually let the order comes then only I can comment. Okay. Though I have taken some assumptions to the turnover expectation, maybe yes, INR200 crores is possible if it comes in 2 months. Definitely, we can do some earthworks and all that. And we'll have at least 4, 5 months in hand. Okay.

Vaibhav Shah: Okay. Thank you, sir. Those were my questions.

K. Jalandhar Reddy: Yes, yes. Thank you.

Moderator: Thank y

ou. The next question is from the line of Shravan Shah from Dolat Capital. Please proceed.

Shravan Shah : Sir, just a clarification. Sir, when we -- in the previous question answer when you said that the bid pipeline is INR3,500 crores, that means that this is the INR3,000 crore value -- INR2,200 crores MSRDC and INR700 crores Telangana, we are kind of L1.

Telangana, obviously, we are L1 flyover and INR2,200 crores MSRDC also once the government approves, so we will be getting there. So that is the way you wanted to say? Because the question was in terms of how much more bid pipeline that you are looking to bid. So I think that's what just wanted a clarification there.

K. Venkata Ram Rao ; Yes, what you said is correct . What are the -- yes, the L1, that is status we told.

Shravan Shah : Okay. Okay. And in terms of the bid pipeline, so total for this year across the sectors, obviously, the NHAI, and the irrigation , the mining, whatever we are looking at to diversify, metro everything, how much value of projects now we are likely to bid by March end?

K. Venkata Ram Rao : Because last time only, we identified almost INR80,000 crores orders are there in the road sector that we identified around, 45 projects. So that project is still there in this. So definitely, maybe nearly around INR80,000 crores to INR90,000 crores definitely we will try to bid it .

Shravan Shah : Okay. Okay. Got it.

K. Venkata Ram Rao : That project is going to come in for bid. Definitely we will try to bid that project.

Shravan Shah : Got it. Got it. And last is on the consol idated cash is how much, sir?

K. Venkata Ram Rao : Consol idated cash is INR280 crores .

Shravan Shah : Okay. And then just a clarification, if you can give. In one or two projects, actually, this Oddanchatram -HAM project, we have invested INR64 crore s and the equity requirement is INR80 crore s, but we have already completed INR100 crores. So actually now the equity requirement is lower because presentation still shows INR80 crore s?

K. Venkata Ram Rao : No further requirement definitely requirement is over.

Shravan Shah : Yes, yes. So that's the way one can look at. Wherever the -- we have completed the project and whatever the equity we have invested, that should be the value. Obviously, the original equity requirement may be on the higher side, but we have infused a lower and we have completed the project.

K. Venkata Ram Rao : Yes, yes. Correct. Correct.

Shravan Shah : Okay. Thank you.

Moderator: Thank you. The next question is from the line of Hetan Jain from Avendus Spark. Please proceed.

Hetan Jain : Thank you. I have a follow -up, ma'am. I just wanted to ask one question. sir, how much was the NHAI order -- or road ministry order inflow in FY '25? Was it similar to what FY '24 was around 8,500 kilometers?

K. Venkata Ram Rao : What -- order was actually from NHAI?

Hetan Jain: Yes, in FY '25 , sir.

K. Venkata Ram Rao : NHAI last 2 years, there is not much order from the NHAI. Even 2023, we got that, after that '24, '25, we have not got any NHAI side also these 2 years is very muted order only.

Hetan Jain: I'm sorry, sir, your voice was broken. Is there any number on how many kilometers in FY '25?

K. Venkata Ram Rao : Actually, the number is there. We'll let you know separately.

Hetan Jain: Okay, sir. Thank you, sir.

Moderator: Thank you. The next question is from the line of Bhavin Modi from Anand Rathi. Please proceed.

Bhavin Modi : Yes, sir. Can you just help me with the working capital items, if you can give me the numbers on a stand -alone basis. Sir, what is the amount of debtor billed revenue? What is standing today?
K. Venkata Ram Rao : Debtor is INR1,228 crores.
Bhavin Modi : And this includes INR996 crores of unbilled revenue, right?

K. Venkata Ram Rao : No, no, it is excluded. It is certified bill only.
Bhavin Modi : Okay. And what is the creditor amount?
K. Venkata Ram Rao : Creditor s will be INR286 crores.
Bhavin Modi : And mobilization advance and retention money?
K. Venkata Ram Rao : Retention money receivable s is INR338 crores and mobilization advance received is INR48 crores, and retention payable is INR150 crores.
Bhavin Modi : INR150 crores .
K. Venkata Ram Rao : Yes.
Bhavin Modi: And sir, like, what is the proceeds we are expecting from the HAM monetization? And are we also going to take any mobilization advance from this mining project?
K. Venkata Ram Rao : Mining project, there is no mobilization advance is there because on this OB removal, they will pay actually 10% of your whatever the price you have quoted, they will pay 10% of that quantity for OB removal. So as far as HAM monetization is there, so we ar e discussing with that on forum, we'll let you know.
Bhavin Modi : Okay, sir. And just last question on mining projects, sir. Like sir, the stripping ratio, which I saw, right, it's around 7.76%. So would be impacting our EBITDA margin?
K. Venkata Ram Rao : That we have to see, because accordingly, rate is also there. Stripping ratio is based on the quantity, but we have quoted good rate also. So definitely…
Bhavin Modi : Okay. So, can you just help us, right, sir, like, what is the mining fee that we quoted?
K. Venkata Ram Rao : We have already disclosed INR1,365 per metric ton we have quoted.
Bhavin Modi : INR13.65 ?
K. Venkata Ram Rao : No, INR1,365 per ton, excluding GST that we have quoted.
Bhavin Modi : But this INR1,365 also includes the cost for like removing Nala and bridge that is there?

K. Venkata Ram Rao : That is separate. For village development and Nala things separately, they will pay around INR90 crores in that.
Bhavin Modi: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Vasudev from Nuvama. Please proceed.
Vasudev : Yes. Thank you for the opportunity. And sir, I have joined a little late, s o sorry if the question is already answered. I just want to know what is the status of our pipeline project, like how much revenue have we clocked in this quarter and our target for the full year?
K. Venkata Ram Rao : So the pipeline project actually this quarter, we have not done much work actually. But entire year, we are targeting around INR500 crores of the work in that pipeline. And on that, we did around INR200 crores of work , the work contractor has done, but it cannot able to bill, actually, because they have to achieve that milestone, then it is going to the bil l. So, that's why this year our target is around INR500 crores on pipeline project.
Vasudev : Okay. Sure, sir. And sir, lastly, what is our stand -alone gross debt and cash level?
K. Venkata Ram Rao : INR6 crores is the gross debt stand -alone. And second question?
Vasudev: Cash .
K. Venkata Ram Rao : Cash is INR81 crores.
Vasudev: Okay. Sure, sir. That's it from my side. Thank you.
K. Venkata Ram Rao : Thank you.
Moderator: Thank you. Due to time constraints, that was the last question. I now hand the conference over to the management for the closing comments.
K. Venkata Ram Rao : Thank you all for joining us on this call. Please reach out to our Investor Relations Consultant, Strategic Growth Advisors or us directly should you have any further queries. We can now close the call. Thank you.
K. Jalandhar Reddy: Thank you.
Moderator: Thank you. On behalf of KNR Constructions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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Date: 20th November 2025 Ref: KNRCL/SD/202 5/978&979
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings call held on 13th November 2025
Ref: Regulation 30 of SEBI (LODR) Regulations, 2015

We refer to the above captioned subject, we herewith submit transcript of earnings call for Q2FY26 held on 13th November 2025.

This is for the information and records of the Exchange, please

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

“KNR Constructions Limited
Q2 FY '2 6 Earnings Conference Call ”
November 13, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 13th November 2025 will prevail.

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR – KNR CONSTRUCTIONS LIMITED
MR. K. VENKAT A RAM RAO – GENERAL MANAGER , FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to KNR Constructions Limited Q2 and H1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. The se statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in listen only mode and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. K. Ven kata Ram Rao , General Manager, Finance and Account s KNR Constructions Limited. Please go ahead.
K. Venkata Ram Rao: Good afternoon. Thank you for joining us today on the call to discuss the financial results for Q2 and H1 FY '26. Along with me, I have Mr. K. Jalandhar Reddy, our Executive Director and Strategic Growth Advisor, our Investor Relations adviser.
We have uploaded results in investor presentation on the stock exchanges as well as on our company website. I hope everyone got an opportunity to go t hrough it and would like to touch upon a few key company updates and industry event, post which we will have a question -and-answer question.
In the first half of FY '26, the industry witnessed some sluggishness in the project awarding activity by both MoR TH and NHAI. While the overall pipeline remains healthy at around INR3.5 trillion, the pace of order book conversion has been relatively slow.
On execution front activities was muted during the quarter, impacted by extended monsoon condition across se veral parts of the country. That said, with a strong NHAI pipeline and the new projects expected to be announced by various state governments, the industry anticipates a clear pickup in both awarding and execution momentum in the second half of fiscal.
This recovery is further expected to be supported by the government continuous focus on our large -scale infrastructure development, including plan for 25 new greenfield expressway or 3,000 -kilometer port connectivity highway network and nearly INR1 trillion of investment aimed at improving road links to key religious tourism destinations. Another encouraging development has been NHAI tightening of the RFP provision, which now ensures that the projects are awarded to the contractor with proven technical and fi nancial strength.
Further, NHAI has been undertaking several initiatives to enhance India's highway infrastructure. On such initiative, it is a development of network survey vehicles across national highways. These vehicles will collect and process and an alyze detailed data on the road inventory and payment condition, enabling NHAI to take timely corrective measures and ensure better upkeep of highways.

Further, NHAI has lined up big ticket asset monetization offering as part of its INR40,000 crores targe t for FY '26. This will help the authority recycle capital and fund new infrastructure for just boosting the sector. With those initiatives and reform gaining momentum, the overall environment for road infrastructure is clearly turning more positive, pavin g the way for strong growth and improved execution in the coming quarter.
Now coming to the key updates of the company. The percentage of physical progress as of September 30, 2025, for HAM projects are as under: Ramanattukara to Valanchery, approximately 99% has completed. Valanchery to Kappirikkad, approximately 98% completed. Chittor to Thatchur around 97%, Magadi to Somwarpet around 89% and M

arripudi to
Somvarappadu approximately 56%; and Mysore to Kushalnagara Package V approx 5%.
As of September 30, 2025, the company has already invested INR698 crores out of the INR991 crores revised equity requirement for the all the 8 HAM projects. The additional equity requirement of INR292 crores to be infused as INR175 crores and INR117 crores for FY '26 and '27, respectively. You can refer to Slide number 26 of our investor presentation for detail on each HAM project.
In May '25, KNR Ramanattukara Infra Private Limited, our wholly owned subsidy of the KNR Construction Limited as well as to th e parent company has received a show cause notice from NHAI. Subsequently, the settlement agreement was signed with NHAI on 16th October 2025 as under : The KNR Ramanattukara Infra Private Limited proposed to construct the viaduct at its own cost and to complete it by 20th February 2026, including grace period of 90 days.
And NHAI has agreed to grant extension of time without damage for the project work . The likely

date of issuance of provisional completion certificate of the project, excluding the completion of this stretch, should be 18th July 2025 without damage.

KNR Ramanattukara Infra Private Limited and its promoter proposed that they would no t be participating the bid of the NHAI up to 30th November 2025. Considering the above, the NHAI agreed to drop the all the penalty and debarment proceedings against KIRPL and its promoter.

As o n –27th October 2025, KNR Ramanattukara Infra Private Limited, the wholly owned subsidiary of the company has received a provisional certificate of completion dated 18th July 2025. And also KNR Guruvayur Infra Private Limited, the wholly owned subsidiary of the company h as also received provisional certificate of completion dated 17th July, 2025.

Moving ahead, the company received letter of acceptance for 2 EPC projects in the state of Telangana. First, from the Greater Hyderabad Municipal Corporation for construction of three -lane flyover of NH65 at Kukatpally Y -junction in Hyderabad, the project cost is INR72 crores. And second one, the construction of multilevel flyover at Khajaguda junction and IIIT junction and widening a development approved for project cost of INR459 crores.

Now coming to the order book position. As of September 30, 2025, the company's total order book, including the recently won EPC project stand at INR8,748 crores. This is divided into 29% for the road projects, 18% for the irrigation project and 12% for a pipeline project and 41%

for mining project. Client -wise bifurcation is 81% of the order book is from third -party client and balance 19% is from the captive HAM project.

This third -party book percentage is split between the state government contract at 76%, whereas 3% from the central government and balance 2% from the private player s. The current order book will be executed over a period of 1.5 years to 2 years, excluding mining. With the government emphasis on infrastructure development, we anticipate new orders award in the coming quarter, where we aim at order inflow of approximately INR8,000 crores to INR10,000 crores by end of FY '26 with the mix of NHAI project, irrigation projects and other state government projects.

Now let me take th rough the Q2 and H1 FY '26 stand -alone financial performance followed by the consolidated. The revenue for the quarter stood at INR493 crores. EBITDA for Q2 FY '26 stood at INR54 crores and EBITDA margin is 10.9%. Net profit for the quarter was INR28 crore s. Now coming to H1 FY '26 highlights. The revenue for H1 FY '26 stood at INR976 crores. EBITDA for H1 FY '26 stood at INR119 crores with margin of 12.2%. Net profit for H1 FY '26 stood at INR79 crores.

Now coming to Q2 FY '26 consolidated performance of the company. The revenue for the quarter stood at INR646 crores. EBITDA fo

r Q2 FY '26 stood at INR192 crores, which is 29.8%,
and profit after tax stood at INR105 crores in Q2 FY '26.

Moving to H1 FY '26 consolidated highlights. The revenue for H1 FY '26 stood at INR1,259 crores. EBITDA for H1 FY '26 was INR375 crores with margin of 29.8%. Net profit stood at INR228 crores. Now moving on the standalone balance sheet. The company continued to maintain a strong balance sheet.

The working capital debt stood at INR144 crores. The standalone debt as on 30th September 2025 stood at INR74 crores and the consolidated debt at INR2,338 crores as compared to INR1,865 crores as of March '25. The net debt to the equity on consolidated basis as of 30th September 2025 stand at 0.49x as compared to 0.41x as of March '25.

With this, we can open the floor for question and answers. Over to you.

Moderator: Thank you. The first question is from the line of Shravan Shah from Dolat Ca pital. Please go ahead.

Shravan Shah: Sir, two things I wanted to understand order inflow and the revenue. So first on the order inflow front, so till now, have we bidded -- obviously, NHAI can't bid right now. But any other state -level projects have we bidded where bid is yet to open? That is first.

And second, how much value of projects? And maybe state -wise or segment -wise, where we are planning to bid because now when we are looking at INR8,000 crores to INR10,000 crores further order inflow in the b alance 4 -5 months.

K. Jalandhar Reddy: Yes, sir. Actually, order inflow concerns, sir. Yes, as you all know that. We are observing some silence period for NHAI up to November 30th. Then I think we'll be free to participate from December onwards. So as su ch, there is no important tenders, which we have selected which are

not there in the November.
So they are mostly whatever -- there are a few, I think, 3, 4 tenders which are there in November also. Because of that PMO sanction issues or there is some estimate approval issues, they are getting postponed to January , what I have been told.
The number of tenders which are there in November, they may get postponed to January, which I was informed in the NHAI. So as such, I don't see any damage that can happen to us with this. But however, it is all subjected to some assumption only. So even 1 or 2 tenders if they happen also, we may have to be silent during this period. Apart from that, sir, as you all know tha t we are expecting January, February, March, there should be a big rally from NHAI, and we would aim some projects for our company that anyhow, it is on the progress.
Apart from that, sir, definitely, as you have rightly asked, the state highway projects are all -- we are participating in most of the tenders. Last time, we have participated in that Ujjain Johora project. But however, we are not L1. And apart from that, there are certain state highway projects in GHMC, we hav e participated in some tend ers.
Greater Hyderabad also we have participated. So those tenders, we would yet to know the results. I think about say up to INR600 crores is we are participating in those tenders. And few other tenders also, we have participated i n the MP. Yes, these are the areas.
Apart from that, sir, we are aiming certain flyover projects in Maharashtra as well Madhya Pradesh and even in Tamil Nadu -- there are certain projects coming up in Tamil Nadu. There are ADB projects also coming up with Tamil Nadu, so which we would like to focus on that.
Apart from that, sir, we are also focusing on irrigation projects from various states like MP, Maharashtra and all other places. So we are trying to participate in those areas.
And apart from that, we are keenly observing the data on -- there are being certain bids, which are coming out from battery expansions to the solar energy stations. Those projects have also come up, which we are now viewing it.

I think we have taken on board with one CEO, one Mr.
Mohan Reddy is assisting for that area. He's well known with that subject. And apart from that, we are also trying some consultants also we have taken outside the board so that they can help us in the bids and all. So in future, going forward, some solar projects also we'll be looking at.
And as you all know, earlier, I said that the mining struggle is on. Anyhow, recently, we have placed in Odisha one bid around, I think INR1,200 crores bid we have placed in Odisha, that is not yet opened.
So like that, wherever there are opportunities and our expertise is concerned, we are trying our best to get the orders, sir. And turnovers are the things concerned, I think we'll be down coming 3 to 4 quarters because even the job inflow is less now. So by the time you win the bid and then

they ground onto the reality to get the turnover, it will take at least 3 to 4 quarters, so -- which we are expecting that to go down in this only, sir. And whatever the order book is there, which we are trying to execute.
Shravan Shah: Yes. So sir, broadly, this INR8,000 crores to INR10,000 crores that we are looking at, is it fair to say that around INR5,000 crores, we are aiming from the NHAI and that too, particularly, are we looking at only HAM?
K. Jalandhar Reddy: Yes, yes, that way. And state governments, we are aiming at least INR3,000 to INR4,000 crores and balance from NHAI or from other areas, which I spoke about.
Shravan Shah: Got it, sir. And revenue, just so I understand because of the low order book, we will b e having a slow execution. But still, just wanted to understand for this year, in the second half, how much now are we looking at to execute? And let's say, if we get INR8,000 crores order inflow, so next year, we can look at how much revenue we are aiming ?
K. Jalandhar Reddy: Sir, actually, the revenues, generally, in a HAM project , you know that it will take 9 months minimum to come into the turnover's position, it will take at least 9 to 10 months. So with that, I think, initially, it is earth works only, so 5%, 10% only can be expected from -- hardly 5% can be expected from the last quarters, the fourth quarter from now. So whatever the orders that are there, we will try to execute and complete by this April, May, I think will be time to close. We're expecting some bonuses also. With bonuses, we are clearing those issues.
Shravan Shah: Sir, just to still further understand in a better way. So in H1, we have done broadly around INR976-odd crores and currently INR8,700 crores and that too if we remove the unbilled revenue, so it should be around INR7,600 crores order book that we should be executing, and there also INR3,500 crores is the mining. So just trying to understand, can we expect a INR900 crores, INR1,000 crores kind of a revenue in the second half? And next year -- let's say, this year, if you do, what, INR2,000 crores, so next year, INR2,500 crores is doable? Or can it be even close to INR3,000 -odd crores?
K. Jalandhar Reddy: Right now, it is quite difficult to say anything, sir. But however, I'll try to answer it this way,

that INR800 crores to INR900 crores will be there in this second half of this year, tha t will be there. And upcoming, I think we are expecting good order inflow to come. It's not that we are very keen and the tenders are also seen on that board. Only that it is to bid and get the job in our hand. So that is only left. So we will try our best to push the case that if we get any good orders in hand, definitely. But I don't think something will happen in first half of next year. Maybe some revenue inflow will come second half of next year itself, sir.
Shravan Shah: Okay. And margin broadly will be doing the similar 13% because till now, it is lower because of the low execution, but broader level 13% to 14%

margin is doable, EBITDA margin?
K. Jalandhar Reddy: Yes, yes, that whatever new which we are aiming in that way only. We'll definitely try our best in that.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.
Parikshit Kandpal: Sir, my first question is on the margins. So is there any one -off during the quarter, though both employee costs looks elevated an d even the raw material and other expenses look elevated, so any one -offs in this?
K. Venkata Ram Rao: Actually, on that basically, for this employee cost, actually this INR10 crores , that's variable pay as the director has been provided because i t has been approved in our AGM and by the Board. So that is, you can say, one item this has in this quarter. And we have incurred some of the expenditures for our Ramanattukara, Kerala project also around -- due to that, actually the margin was lower actua lly in this quarter.
Parikshit Kandpal: So how much is the amount in the Karnataka project?
K. Venkata Ram Rao: Karnataka, what Karnataka?
Parikshit Kandpal: The project which you have flyover project, sorry, which NHAI has -- the road project, which NHAI has asked you to...
K. Jalandhar Reddy: Mysore -Kushalnagara project, sir, you're asking about?
Parikshit Kandpal: Yes. Yes. So how much was the expenditure? You said there's some expenditure provided on that, right, in this quarter?
K. V enkata Ram Rao : No, this is Kerala one actually. I think you're asking Kerala one, yes, where that incidence has happened. You're talking about that only, no?
Parikshit Kandpal: Yes, yes. So how much have we provided in this quarter on th at project?
K. Venkata Ram Rao : Around INR10 crores, actually, we have provided towards expenditures for that project in this quarter.
Parikshit Kandpal: Okay. Just on this question on the variable pay to the directors. So I mean, given the performance that we are seeing right now, wasn't -- I know that's AGM approved, but was it qualified to be provided in 2Q? Or was there a possibility that it could have been deferred, given the performance, the company has gone down because of the execution and other issues and especially this incident which happened?
K. Venkata Ram Rao: Definitely because it has been approved in this Board meeting , so that's why we have provided thing in this quarter only. So we cannot defer it, or postpone it. That one thing is there. And regarding definitely, these promoters, they are very focused and they are well working and working hard towards that thing, based on that actually, director has approved that.
Parikshit Kandpal: My other question is to Reddy, sir. So sir, on this last 1.5 years, 2 years have been very weak kind of inflows. So is it right to say that maybe during this period, thi s is the worst kind of inflow of the prospect pipeline, which we have seen? I mean that has not converted into orders. Even

like if I look at states, so I'm not seeing any major ordering from the states, NHAI has significantly slowed down.
So is it right to assume maybe this is the worst of the period where none of the states are doing any awards or the pipeline doesn't look very encouraging on the state side, be it Karnataka, be it Tamil Nadu, UP, Maharashtra.
So we have not seen large orders coming out and even on NHAI, any comment on NHAI ordering? The changes which have happened and now all the projects are going for approval. I mean, NHAI kind of power have been curtailed and the bigger ordering is now going towards Cabinet Committee for approval. So when do we see the light at the end of the tunnel on the ordering side, both on the state side and NHAI?
K. Jalandhar Reddy: According to my inquiry, yes, sir, this is the right word, which you used, this is the worst

time
ever faced by us, such a situati on. And the main thing, what I read out is that state governments are little, little now coming forward to get on to the orders. As of now, there are very little orders, which they have announced. But going forward, I think states will be also coming out.
But the state government, there is a risk with the payments that is to be noted always. And there are days at that time, we had very wide choice. Sir, we were choosing our clients and do the work. But this time, such situations ar e not there. So wherever there is a job, we are just going and just bidding on it and trying our best to push the case.
But here, a little bit cautious, we have to be. This time, one thing is that NHAI is going to come up in a bigger scale projects. What I'm hearing now, I think there are certain bids, which have been grouped to get into bigger size. So there, we can have some light, that we can get some projects because sensible bidding, all INR1,000 crores below and INR1,500 crores below, there, very hug e crowd, which is coming down and because of the change in norms in the bid. So NHAI seems to be a little bit okay.
But I think initial period of the jobs being coming out, that time, some aggression could be there. But going forward, a little bit aggress ion can come down because the aggressive bidders will be a little bit losing on the bid capacity front. So that is showing some light, sir So definitely, that's where we are a little bit confident about getting the jobs in hand.
Moderator: The next question is from the line of Bharani from Avendus Spark.
Bharani: Great. So my first question is on some macro details. The ministry used to publish on a monthly basis, they're awarding, say, that they have some in kilometers. So right now, it's not there. So just your sense of how much has been awarded in kilometer -wise so far in the first 8 months by NHAI? And what is the target set by NHAI for the full year?
K. Venkata Ram Rao: Full year target is around 3,000 kilometers that we got to know. B ut as of now, how much awarding has come, that we have to just check it.

K. Jalandhar Reddy: And sir, the main thing is that NHAI is now we have seen a little bit slowdown only as of now because the bids are there. I think there have been enormous bids you can see on the website, but they are getting postponed. What we are hearing that it could start from January onwards up to March, they want to call out the tenders and that would be the phase, which we are also gearing up.
Bharani: Understood. So like if I were to look at what has happened, like we are having around 29% of our order book in roads. This is the lowest in the last 10 years. And the current order book size, we are lower than what we achieved in FY '21, around INR11,000 crores of order book. So essentially, this is a down cycle. And I can distinctly compare this with what happened before 2014. But then when the new government took over, focus on EPC was back and a lot of new ordering happened that revived the cycle or that upcycle came.
And this time around, this downcycle will turn into an upcycle for companies like KNR only if, again, competition is low and if good EPC orders come with no challenges on land acquisitions and all. But if I were to think whether this will happen, competition i s still going to be high, and the land acquisition is the prime reason why tenders or bids are getting postponed, and NHAI has much lesser power in terms of awarding and approving larger projects.
So even if it's a downcycle, my question is, whether there is an upcycle at all in the next few years? I mean, it's fine from January, things can improve because nothing has happened in a significant way. But whether this will be a sustainable large upcycl e for the sector in your view, or are we going to have only other segments like i

rrigation or mining or something else becoming mainstay rather than roads going forward?
K. Jalandhar Reddy: Sir, actually, it is a little bit quite difficult to say anything at this point of time. But going forward, the combination could improve in other sectors also. Because highways and all, the only greenfield highways, which are now there on the NHAI side. A nd they are also planning TOTs BOT Toll projects and HAM annuity model projects. So we have sorted like this that, okay, if there is any bigger player, like the developer thing like Adani or any kind of bigger players, we are also tying up with them for EPCs to do.
We are under discussion with IRB for some projects to bid along with them. And we are under dialogue with Cube also to go on certain projects with them. So it's not only we are completely depending on the bid, what we get from NHAI. We are also depending on some other players who are prominent in paying . So there also, we are focusing. And it improves our confidence that we can get some jobs in hand.
Bharani: Okay, sir. Put it another way, have you gone through each and ever y projects of this INR3.5 trillion opportunity that is there with NHAI now? And have you assessed what proportion of it has 90% lands because that is what is kind of delaying. And according to you, what proportion of that INR3.5 trillion has 90% land ?

K. Jalandhar Reddy: Actually, the land acquisition plan or whatever that is, we can procure from NHAI only. We generally go to NHAI and take the position whenever there is a bid or the bid is there. On a

sector selected bids, we'll be collecting the information from NHAI office itself, headquarters Delhi. And PD offices and RO offices are also helpful because we are regular contractors who are working with NHAI, so they always share the information with us. And in such cases, we'll be confident th at this tender can come out. Like that, also, we are gauging the things.
Bharani: So of this INR3.5 trillion, how much percentage you are confident about, sir?
K. Jalandhar Reddy: Right now, I haven't calculated, sir. If you want, I can come back on the e-mail after I do some homework.
Moderator: The next question is from the line of Vaibhav Shah from JM Financial.
Vaibhav Shah: Sir, what is the status of the mining project? When do we expect to start the execution? And in FY '27, what can be the expected revenue from the project?
K. Jalandhar Reddy: Sir actually, the land acquisition is on sir for that. Especially, there are some villages where some illegal occupants are there. That is being under discussion with the DC. So I think within the development period, we are quite confident to solve all the issues and go on to execution. Plus or minus 1 -2 months wil l be there, sir, on that, side.
But I think major move that is happening on the thing that Gram Sabhas are being conducted . And proactively, the revenue department is also doing the job. So a little bit now the confidence is building up that this can be moved, according to the schedule I think.
Vaibhav Shah: So can I assume it will be the third quarter of FY '27?
K. Jalandhar Reddy : Since already 1 quarter is over for that, after 3 quarters or 4 quarters, we'll be able to do that, sir, from now.
Vaibhav Shah: So you'll take almost a year from here?
K. Jalandhar Reddy: Yes, it's not a year, but it is 9 to 10 months.
Vaibhav Shah: Okay. So secondly, on the pipeline order, so last time, we indicated that we should reach that revenue recognition threshold and there could be a booking of roughly INR100 crores, INR200 crores in Q3. So where are we on that? And what could be the annual reve nue from the pipeline orders?
K. Venkata Ram Rao: Sir, this pipeline order almost around INR150 crores to INR200 crores, sir, . we have done the work , but the billing has to be done because we have

to achieve the milestone. So we are expecting that this quarter around INR150 crores to INR200 crores certification will be happen actually because this work we have given actually back to back to our contra cts. So in this quarter, , we are expecting that around INR150 crores to INR200 crores certification is going to happen.
Vaibhav Shah: So for FY '26, can it be roughly INR500 crores revenue from the project?

K. Venkata Ram Rao: In a total cannot , means this will be there and next quarter you can consider around INR300 crores to INR350 crores.
Vaibhav Shah: For the entire year?
K. Venkata Ram Rao: For the entire year, yes.
Vaibhav Shah: Okay. And sir, any update on the MSRDC order with Patel where we were L1 Bhandara - Gadchiroli?
K. Jalandhar Reddy: Not yet, sir. We have been asked to submit the bank guarantee extension, which we have submitted and just waiting. And they said, somewhere in December, second, third week, the land acquisition gets over and then they'll go on to that. But however, it is all subjected to the approvals from the CMO.
Vaibhav Shah: But any possibility of the order getting canceled or rebid?
K. Jalandhar Reddy: Sir, as of now it is not there. Any negative news is not there as of now. But certain projects, they have canceled. But after passing out so much time, will they now cancel? Because going forward, they have done a lot of land acquisition and bidders were a lso waiting more than 1 year.
Vaibhav Shah: Maybe 1.5 year.
K. Jalandhar Reddy: Yes, correct, you are right. So at this stage, I don't think they will drop out. But that CMO is viewing it, actually.
Vaibhav Shah: Sir, any idea what would be the current land acquisition status for the project of Bhandara - Gadchiroli
K. Jalandhar Reddy: Sir, I think the award stage has come for the 60% of the land, sir. On balance, they said by

November end, they wil l be trying to distribute for 60% of the land, balance in December they will do.
Vaibhav Shah: As of now or during the award time?
K. Jalandhar Reddy: No, no. To award only, they take -- yes, 60% of the land , they are going to award to the landowner s by this November end what they said. And balance, they will do it in December, so that if they have comfortable position like getting 80% to 70% land in hand, they will go for LOA.
Vaibhav Shah: So LOA may come in Q4.
K. Jalandhar Reddy: Yes, sir.
Vaibha v Shah: Okay. . And sir, secondly, on the irrigation side, out of the order book, what could be the unbilled portion? So what would be the actual revenue potential from the irrigation backlog?

Vaibhav Shah: The order book is INR1,540 crores. Out of that what will be the unbilled ...
K. Venkata Ram Rao: Out of that, unbilled is around INR720 crores. Balance, you can say, around INR700 crores is there that is potential to build actually.
Vaibhav Shah: Out of INR1,540 crores, around INR820 crores would come out to be the turnover ...
K. Venkata Ram Rao: Yes, yes. In the turnover, yes.
Vaibhav Shah: Okay. Okay. And sir, lastly, when do we expect to complete this execution of irrigation projec ts? It should be complete by next year? And have we started the execution on the other two orders, which we had won, the smaller ones?
K. Venkata Ram Rao: Definitely, , most of the work is going to completed on irrigation of this year only. Maybe s ome portion of work for package III is going to be spill in the next year. And as far as these 2 projects are there, which is a small one , that also we have given for the subcontractor. There, land acquisition issues are there. That's why this p roject has not been taken off as of now.
Moderator: The next question is from the line of Nitin R anjit from Frontline Capital.
Nitin Ranjit: Looking at the order book versi

on. And apparently, there have been some increase in receivables also, which pertains to the irrigation project to Andhra and Telangana. So when do you expect those things to resolve? And apparently, based on the from whatever I have read from the footnotes of the published financials, it's being said that we are still continuing execution even if the bills are not being cleared. So what's the position on that? And are we going to continue executing these irrigatio n projects in Telangana? So that's pretty much my first question.
K. Venkata Ram Rao: Sir, out of INR1,090 crores for debtors, this irrigation receivables are around INR758 crores and HAM receivables is INR258 crores. So this irrigation receivables unbilled is around INR720 crores. So this is a work what we did , and it has to be certified by the department. So as of our status is that, still because we have to complete the project . So that is our first priority. So almost for Package 4, , entire work has been completed almost. And for Package 3, around INR300 crores work is there. So that will definitely be going to spill in the next year. Except INR300 crores, other works mostly we'll complete in this year.
For package 3, , we have received payment actually post September around INR74 cro res, so that's why for Package 3, there is no issue. Only delays are there. But definitely, for payment wise, there is no issue. For Package 4, definitely, we are trying in talking to the government officials to get the release, and we are getting assurance from them . So they will release the payment. We are just waiting for that.
Nitin Ranjit: So basically, you're expecting significant results maybe in the next 3 to 6 months? Maybe within the next 2 quarters, right?
K. Jalandhar Reddy: Yes, sir. , that's got we got the promise from the concerned minister and Finance Minister also. We have been doing repeated meetings with them. But the loan part, which neither they are

clearing the loan part or nor they're -- actually, the loan i s already closed. If they renew the loan part and then go fo r it, then things will be easy.
Otherwise, if they allocate from the state funds, they will be paying in installments, not at one go they can pay. That's what the expectation is there, sir. But a s minister says this time we met him, I think 3rd or 4th we met him I think. He said within 1 month the bill will be give. Every time he is saying that, but things are not happening. That is the major setback, which we are seeing there.
But however sir, a s you asked, we were working on that project, not on a full -fledged basis, but whatever the staff is there, whatever the people are there, we are trying to do some job because

major of the pumps and everything, motor, pumps, rotors, everything has come, on ly assembly part and that winding part is going on. So that assembling, we have to anyhow do it because unless we do it, the material will be here and there. Then, after one year you go, then the things will not be in order. So we are trying to keep the th ings in control and assemble and keep it ready.
Otherwise, all of a sudden they pay, then we also land into problem because that material, which we got, we have been tested on the day 1 we have received, then if there are some repairs and all, we'll be ge tting to know after 1 year, then things will not be good. And we also feel that people who are there, so we are getting the work done and doing the thing.
Nitin Ranjit: So the INR750 crores of unbilled revenue hasn't got recognized and still forms part of your order book, right?
K. Jalandhar Reddy: Yes, actually, there is some RO, that means revise estimate order, , there is some technical committee has approved yesterday or day before yesterday. So with that, I think it will go to the government and then that gets approved.
Nitin Ranjit: Got it. An

d coming to the HAM project, I mean, the Kushalnagara project, the Package 5, so on that, have we achieved like 90% land acquisition for that project? And have you got the appointment taken? When do you actually expect revenue recognition? When I say, the initial 40% you have from the government share to be actually get recognized?
K. Jalandhar Reddy: Yes, sir, Kushalnagara, 4 and 5 is with us. But the Package 5, we have issues in that, that t hey wanted some service roads. This is a greenfield highway for which the service roads are not provided. So locals have demanded for service road, and the land acquisition is over for at least 88%, 85%. But they have stopped in 8 kilometers, 8.5 kilometers they stopped for want of that service roads. So except that portion, all of the portions are under progress, sir.
Nitin Ranjit: Okay. Got it. So basically, this bid wouldn't go into rebid . This project could be filled...
K. Jalandhar Re ddy: No, no, no. It is already commencing, sir. The project is commenced, so there is no chance of going for rebidding.

Nitin Ranjit: And if I could just squeeze in one more question regarding the mining project. So when do you expect revenue from the mini ng projects to come in ? And what sort of margins are we looking at with respect to the mining project?
K. Jalandhar Reddy: 9 to 12 months, sir.
Nitin Ranjit: 9 to 12 months. And so what is this development period? So I think the project value...
K. Jalandhar Reddy: 12 months development period, sir.
Nitin Ranjit: So the project value is something like , INR3,500 crores . So in this initial development phase, how much order value would you -- can one ascribe to the initial phase?
K. Jalandhar Reddy: Do you have the program with you, Venkat?
K. Venkata Ram Rao: I will check. But this is 1 year development period. On that development period, we have to do the land acquisition. We have to get all clearances, like forest. And we have to do this nala diversion and some village development work is there. So that is approximately around INR90 crores. So in next 1 year, we may do maximum work of around INR90 crores. After that, operation period will start, that is of 5 years. And operation period also because initially, it is around INR3,500 crores into 5, that is INR700 crores, so initially, it will be around INR300 crores to INR400 crores. And after that, it will go to increase and next 5 years, it will come to the INR3,500 crores work.
Nitin Ranjit: All the best. Hopefully, the next year would be better than this one.
K. Venkata Ram Rao: Thank you, sir.
Moderator: The next question is from the line of Vasudev from Nuvama Wealth Management Limited.
Vasudev: Sir, you are looking for some monetization of four of our assets. So just wanted to know what's the status of that?
K. Venkata Ram Rao: The monetization is very advanced stage . So we are just -- SPA draft has been circulated ourselves. So we expect that by this month end , we should be able to close the deal.
Vasudev: Okay. And sir, just a few bookkeeping questions. What is the capex we did in Q2? And how much are we planning for the full year?
K. Venkata Ram Rao: : Till 6 months, we did capex of only INR3 crores actually. And this year, we are not expecting we are going to do much capex because the other projects has to start there. So maybe you can say maximum around INR30 crores to INR40 crores will be capex there for balance 6 months.
Vasudev: Okay. And sir, can you give the revenue split for the second quarter across the segment?
K. Venkata R am Rao: Segmental revenue split is there. For HAM , it is around 29%. And for EPC roadwork, it's around 34%. And for irrigation, it is around 36% and around 1% is back to back.

Vasudev: Okay. And lastly, sir, what

is the outstanding receivables f rom the Telangana government?
K. Venkata Ram Rao: Receivables and including unbilled is around INR1,350 crores out there as of now.
Moderator: The next question is from the line of Abhishek Jain, an individual investor.
Abhishek Jain: My first question is on the receivables front. When do we see getting that from the Karnataka government? Or it might lead to a situation where we'll have to write it off? Because it's been a couple of quarters that we haven't been able to receive it.
K. Venkata Ra m Rao: Sir, that's what I'm telling. Out of INR1,900 crores of receivables, irrigation receivables are around INR758 crores. On this kaleshwaram package 4, which is a big one, that is around INR677 crores receivables from Package 4. And from Package 3, , receivables were INR74 crores, which was receive d post September 2025.
So right now, as we already informed that management is discussing at the highest level with the government authority and all the things. And we are following with them, and we expect that we should receive the payment.
Abhishek Jain: So that is amounting to INR670 crore s, right? That is for work we have already done.
K. Venkata Ram Rao: INR670 crores package 4, that is the major one, which is certified and not yet paid.
Abhishek Jain: Okay. And you pointed out in the recent AGM, a pay package was approved by the AGM. What was that quantum?
K. Venkata Ram Rao: That is going to be applicable from next year. It is from April '26 onwards , not this year. That is for the next year.
Abhishek Jain: And how much that would be?
K. Venkata Ram Rao: It is -- that, I will check and offline, I will tell you actually. It is there in the resolution. I have to just see that and tell you.
Abhishek Jain: Okay. There was another news circulating by an influencer. I don't k now, I'm not very sure as to how much of that is true. But that said, that Tamil Nadu government recently would be awarding of INR4,000 crores contract to KNR Constructions. So just wanted to know if this is true or if there is something you can comment on this?
K. Jalandhar Reddy: Sir, actually, it is an open bidding which happens, sir, whoever comes on the corner and they would bid it. It's all some local news channels. We have completed 1 project in that Coimbatore.
So maybe subsequently if there are ten ders, we are also aiming. Some fake news, which is getting roamed around. It is not in the mainstream media. It is all in the thing. Even tomorrow if I win, they will blame me that I have not taken it like that, so kind of that. Things are not like that, s ir.
Is the open global bidding. Anybody can come from any corner and bid it actually.

Abhishek Jain: Correct. But are there any approvals pending for any of the tenders we have applied for in Tamil Nadu, and if you can share the quantum of that bidding?
K. Jalandhar Reddy: No, sir, not yet.
Abhishek Jain: Nothing applied in Tamil Nadu?
K. Jalandhar Reddy: Nothing applied, sir.
K. Venkata Ram Rao: Nothing. As of now, nothing.
Abhishek Jain: Sure, sir. Just last question. The last 1 or 2 years have been quite tough for the company on the financials and even the sector as such . When do you see the company getting back where it was when it was at its peak?
K. Jalandhar Reddy: So if our assumptions goes well, and our efforts coul d take a shape, definitely by 3 to 4 quarters, we'll be on track. Maybe 4 quarters, I expect, sir, going back to that.
Moderator: The next follow -up question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Sir, initially, we said we are expecting bonuses in some of the projects. So can you help us how much and in which project and when we can be getting or booking in the P&L?
K. Venkata Ram Rao: Actually, recently, we got bonus in one project, that is Cheyyur

-Vandavasi, that is already accounted. But other 3 projects which are going on that we are expect not right now, it will take some time . Not right now.
Shravan Shah: Okay. So in second half, not looking at any bonus to be booked in the P&L.
K. Venkata Ram Rao: Yes, nothing , nothing.
Shravan Shah: Okay. And this Ramanattukara project where we said the INR10 crores, that provision we have done in the second quarter, so how much more that we have to do, I think, INR40 crores, INR50 crores that total amount is there. So how muc h and will it be in the second third and fourth quarter we will be booking?

K. Venkata Ram Rao: Balance one, we'll book in the third and fourth quarter because anyway we have to execute that work in our own cost. And we have to complete this by February '2 6. So definitely, in third, fourth quarter, the balance one we have to book.

Shravan Shah: Okay. Okay. Got it. And sir, this put together, both these Mysore two packages, so in second half, how much we are looking at in terms of the revenue and next year, how much one can look at? So I think both put together is INR1,200 -odd crores currently in terms of order book. So how much revenue we can look at in the second half and FY '27?

K. Venkata Ram Rao: In the second half , we are looking around INR300 crores, you can say revenue in the second half for these 2 project out of INR1,200 crores. And the next year will be somewhere around INR600 crores to INR700 crores.

Shravan Shah: Got it. And just to clarify, in irrigation, we said that out of INR820-odd crores, excluding the unbilled, except the INR300 crores, the balance around INR500-odd crores, we will be booking as a revenue in second half?

So total order book is INR1,500 crores plus, . So out of that, if I remove the unbilled, so then the number is around INR820-odd crores that we can book in revenue. So out of that, in the second half, how much we will be booking and balance, obviously, will go into the FY '27?

K. Venkata Ram Rao: You can say around INR300 crores to INR350 crores actually, we are going to book in the second half and balance will be next year. Because in some of the projects, some of the miscellaneous items will be there, so that will carry . So not entire INR500 crores, maybe around INR350 crores to INR400 crores, which we are going to book in second half of this year.

Shravan Shah: Okay. And the pipeline, you said that in the second half, we will be doing INR300 crores, INR350-odd crores and the balance maybe a round INR600 crores to INR700 crores, that entirely most likely will be over in FY '27, that project pipeline?

K. Venkata Ram Rao: Yes, yes. It is like that because this year, we will do around some INR300 crores to INR350 crores and balance around INR600 crores in the next year.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we have reached to the end of the question -and-answer session. I now hand the conference over to the management for the closing comments.

K. Venkata Ram Rao: Thank you all for joining us on this call. Please reach out to our Investor Relations consultant, Strategic Growth Advis ors or us directly, should you have any further query. We can now close the call. Thank you.

K. Jalandhar Reddy: Thank you, all.

Moderator: On behalf of KNR Constructions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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Date: 11th February 2026 Ref: KNRCL/SD/202 6/1011&1012
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON

Dear Sir/Madam,

Sub: Transcript of Earnings call held on 06th February 2026
Ref: Regulation 30 of SEBI (LODR) Regulations, 2015

We refer to the above captioned subject, we herewith submit tr anscript of earnings call for Q3FY26 held on 06th February 2026 .

This is for the information and records of the Exchange, please

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited Q3 and 9 Months FY '26
Earnings Conference Call"

February 0 6, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 06th February 2026 will prevail.

MANAGEMENT : MR. K. JALANDHAR REDDY –
EXECUTIVE DIRECTOR , KNR CONSTRUCTIONS
LIMITED

MR. VENKATA RAM RAO – GENERAL MANAGER ,
FINANCE AND ACCOUNTS , KNR CONSTRUCTIONS
LIMITED

Moderator : Ladies and gentl emen, good day and welcome to KNR Constructions L imited Q3 & 9 Months FY '26 Earnings Conference Call.

This conference call may con tain forward looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict .

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. K. Venkata Ram Rao - General Manager , Finance & Accounts from K NR Constructions L imite d. Thank you and over to you , sir.

Venkata Ram Rao : Good afternoon . Thank you for joining us today on the call to discuss the Financial Results for Q3 & 9 Months FY '26. Along with me, I have Mr. K. Jalandhar Reddy - our Executive Director and Strategic Growth Advisor s, our Investor Relations Advisor.

We have uploaded Results and Investor Presentation on the stock exchanges as well as our company website. I hope everyone got an opportunity to go through it. We would like to touch upon our key company updates and industry events post which we have a question -and-answer session.

On the past few quarters , the infrastructure sector has operated in challenging environment, testing execution capability and balance sheet resilience across the industry.

The Highway sector in particular experienced a slowdown, primarily due to moderation in the project awarding by the ministry. This led to a lower construction and execution activity during the financial year. Reflecting this trend, road project award during 9 months of FY '26 remained muted , with the Ministry of Road Transport and Highways and NH AI awarding 1448 km and 712 km of the project respectively. Looking ahead, the outlook for project award is improving. NHAI has already invited bid for projects aggregating to 1.5 trillion. Against this backdrop, awarding activity is expected to gather meaningful momentum in the future quarters support ed by the robust order pipeline with a strong bias towards HAM projects followed by BOT and EPC opportunities.

Despite the near term pressure s, the outlook for sector remains constructive supported by renewed policy thrust . The union budget provided a strong impetus to the infrastructure sector, with capital expenditure increased by 9% to INR 12.2 lakhs crores for FY '26-27, reinforcing the government's continuing emphasis on infrastructure -led growth under the future -ready Bharat Initiative. Policy measures are meaningfully focused on driving balanced regional

development with great emphasis on Tier-2 and Tier-3 cities. The development of high -speed rail corridors to promote sustainab le, mobility and the Purvodaya initiativ e aimed at strengthening industrial connectivity along the East Coast.

Complementing these measures , the introduction of the new infrastructure risk guarantee fund, providing partial credit guarantees to lenders aimed to de -risk infrastructure development during the construction and early operation phase, thereby encouraging greater private sector participation. At the same time, sector fundamentals continue to strengthen. Fast -Tag based toll collection has maintained healthy momentum, with volume rise by a round 17% year -on-year during October -November quarter, and value collection increased by approximately 12.7% year -on-year basis. This sustained growth enhanced the cash flow of operationa

l road assets and

accelerated asset monetization by the Ministry, wh ich also creates value -unlocking opportunities for companies with mature toll profitability. As a result, asset monetization has emerged as a key funding lever for NHAI , enabling to generate resources beyond budgetary allocations. Monetization proceeds of approximately INR 35,000-INR 40,000 crores are expected in FY '26 and are intended to support new infrastructure investment while maintaining financial discipline.

To sum up, while the sector has navigated a phase of moderation and near -term challenges, the underlying fundamentals remain strong. With improving awarding momentum, supportive budgetary allocation, robust policy framework and growing monetization avenues, the road

infrastructure sector is well positioned to enter its next phase of sustainable growth.
Now, k ey updates of the company :
The percentage of physical progress as of December 31, 2025 for the HAM project is as follows.
■ Ramana ttukara to Valanchery , around 99.4% ;
■ Valanchery to Kappirikkad , 98.3% ;
■ Chittor to Thatchur , around 97.4% ;
■ Magadi to Somwarpet, around 90.1% ;
■ Marripudi to Somvarappadu, approximately 64.9% and
■ Mysore to Kushal nagar a package V 10% and
■ Mysore to K ushalnagara package IV approximately 6%.
As of December 31, 2025, the company has already invested INR 727 crores out of INR 962 crores revised equity infusion required for all the HAM projects. The additional equity requirement of INR 235 crores to be infused as INR 87 in FY '26 and around INR 148 in FY '27. For this, you can refer to slide number 23 of our investment p resentation.
On December 24, 2025, the company executed Share Purchase Agreement with Indus Infra Trust for the proposed sale of its 100% shareholding, along with the subordinate debt in the following special purpose vehicles , KNR Palani Infrastructure Private Limited, KNR Ramgiri,

KNR Guruvayur and KNR Ramana ttukara. A s part of this transaction, the company will invest around INR 566.8 crores in 4 SPVs in the form of equity and subordinate debt, against which the company is ex pected to receive a total proceed of INR 1,543 crores, which includes INR 1,398 crores towards sale consideration and around INR 145 crores towards the estimated cash surplus, which will be up streamed to the company in a n agreed manner.
In November 2025, the company received the completion certificate for the A vinash i Road project in the Tamil Nadu as 8th October 202 5. The company also received a letter of acceptance from the Musi Riverfront Development Corporation Limited for the construction of an iconic bridge across the Mir Alam T ank connecting B engaluru National Highway at Shastripuram to Chint almet under the EPC Mode. The project has a contract value of INR 319 crores and a construction period of 24 months.
Lastly, th e CRISIL reviewed the company's long-term bank rating and reaffirmed them as a CRISIL AA with Stable outlook while removing the rating from the Rating Watch with Developing Implications. The short -term rating was also reaffirmed as CRISIL A1+ and also remo ved from Rating Watch with Developing Implications.
Now , coming to the order book position :
As of December 31, 2025, the company's total order book includ ing the recently won EPC project stand at INR 8,849 crores. This is divided into 29% for the Roads pro ject, 19% for Irrigation project, 12% for Pipeline project and 40% for Mining project. Client -wise bifurcation is 84% of the order books from the third party and balance 16% is from the Ca ptive HAM project. The third -party order book percentage is split between state government around 80% and central government 2% and 2% from the other private players. The current order book will be execute d over a period of around 2 years, excluding mining project. With the gove

rnment
emphasis on infrastructure development, we anticipate new order award in the coming quarter. We are hereby aiming at order inflow of approximately INR 10,000 -INR 12,000 crores by end of September 202 7 with a mix of projects like NHAI, Irrigation and other state gover nment projects.
Now , moving to the Q3 and 9 -months FY '26 standalone financial performance :
The revenue for the quarter stood at INR 585 crores and EBITDA for Q3 FY '26 stood at INR 30 crores and EBITDA margin is 5.2%. Net profit for the quarter was INR 18 crores.
For 9 months FY '26 highlight s,
The revenue for 9 months FY '26 stood at INR 1,561 crores, EBITDA stood at INR 150 crores and margin at 9.6%. Net profit for 9 months FY '26 stood at INR 98 crores.
Now , coming to Q3 and 9 months FY '26 co nsolidated performance

The revenue for the quarter stood at INR 743 crores and EBITDA for Q3 FY '26 stood at INR 167 crores and EBITDA margin is 22.4%. The net profit for t he quarter was INR 104 crores.
Now, moving on 9 months FY '26 highlight s, the reven ue for 9 months FY '26 stood at INR 2,002 crores, EBITDA for 9 months FY '26 stood at INR 542 crores with EBITDA margin of 27.1%. Net profit for 9 months FY '26 stood at INR 332 crores.
Now , moving on to the standalone balance sheet :

The company continues to remain in strong balance sheet. The working capital days stood at 82 days compared to 93 days as of March 25. The consolidated deb t as of 31st December 2025 stood at INR 2,443 crores as compared to INR 1,847 crores as of 31st March 2025. The net debt to equity on consolidated basis as of 31st December 2025 stands at INR 0.5 times as compared to INR 0.41 times as of 31st March 2025.
With this, we can open the floor for questions and answers.
Moderator: Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Shravan Shah from D olat Capital . Please go ahead.
Shravan Shah : Hi, sir. Thank you. Sir, just trying to understand on the revenue and order inflow front. So, if you can elaborate on that front. So, I will try to break it in the past. So, first, in the balance of fourth quarter, how much execution or the revenue we are looking at out of this INR 8,850 crores order book? And out of this in FY '27, how much revenue are we looking at? That is first. Then on the order inflow, I will come ?
K Jaland har Reddy : Yes. Actually, out of backlog concerned, what we have very little. In fact, certain portion is from mining. So, mining to start with, I think we are able to start that in coming second quarter next financial year or third quarter. Practically, it is possible to make it in third quarter as the forest clearance and the Banha rdih Village Gram Sabha could not be conclud ed. So, this is going to further take another 8 -10 months ' time to start with. So, this is the situation . So, what we are left with is only around 4,000 plus which need to be executed. And that needs to be executed in upcoming, say, 2 years ' time, whatever we have. But the project in the Bangalore -Vijayawada Highway, that package could be closed by April, we are expecting that to be taken with the PCOD. So, those things will be closed. So, ongoing project will go on for this year. And I think you can take a round, say, INR 2,000 crores could be executed this year, this financial year, I mean to say. So, for that, sir, actually, hopefully, there is a good robust expectation to get from NHA I as well we are even gearing up for upcoming railway bids as well as hi gh-speed rail also , we have already taken one CFO for High-Speed Rail and Railway. So, that is being now taken care. So, we are extensively looking for that also. So, again, we are also participating in State Highway tenders for our project also , we are trying to participate as well.

We are also
participating in that BESS tenders also we are participating. Apart from that, Irrigation, so highly we are doing again. There are likely projects to come up from irrigation in Rajasthan as well in

Madhya Pradesh and also from Odisha state. So, these are now on the boat. So, we will be participating in those tenders. So, definitely, sir, we are trying our best to target the tenders and get some order books for the company because it is very need of the hour . And we all understand the importance of the thing and we even mind our investors concerned about this.
Shravan Shah : Yes. Sir, further just trying to understand. So, let us break it apart. So, till now, how much orders that we have bided and also if you can specify NH AI or state level and the segment wise where bid is yet to open ? That is one . Second , how much more are we planning to bid before March? Although I understand that Venkata sir has said that we are looking at INR 10,000 -INR 12,000 crores by September. But just trying to break it apart and also let us say , how much we are looking at to get before March. And if so, in terms of converting into the revenue in FY '27, how much can be converted out of this into the revenue in FY '27?
K Jalandhar Re ddy: Sir, you have asked about how many bids we have placed right now ?
Shravan Shah : Yes.
K Jalandhar Reddy : First, I would like to answer this. There are the projects in, Orissa, we have participated in some HAM projects. I think it ended 3 days ago. And apart from that, we have also participated in certain tenders. I think in Karnataka is a very small bid. And apart from that, we are now, I think nothing now other than that. Maharashtra bid is also there, we have placed in Maharashtra. But they are smaller, INR 600-INR 700 crores projects. So, almost about INR 7,000 -INR 8,000 crores we have quoted as of now, sir. Waiting for those results to come down. Apart from that, there is Chennai bid, which we have quoted and we are waiting for that re sult to come out. As it is a court case and all that, it is under which court directions are needed for that. Apart from that, sir, we have nothing now. But we will be placing bids in mining. I n Jharkhand only , INR 5,000 crores project is there which we ar e now trying to participate in that bid. Apart from that, there is almost 63 projects are there before March. I can see the list also scaling from INR 3,000 to INR 500 also there. Different project sizes are there. Even INR 4,000 crores is also there. And there is a lot of work like that, sir. There are bigger sized projects also. So, looking forward, I think, even if you are able to succeed in getting 2 bids out of NHA I also will be having enough order in hand. And as you all know, the time to take any pro ject to come in, it depends on, again, depending on the land situation in the project itself. And minimum time from bid stage to financial closure stage is also that as you know 7-8 months is slightly restrained stage. That is a mandatory time that can be before financial closure. So, these are all the hurdles which we have,

sir, in this. Apart from that, there are railways also, 26 bids are there, which we are trying to participate. Metro, only 1 bid is there, that also will be participating, sir. And solar projects, which we are trying, sir. I think the bids are yet to come from Karnataka as well from Maharashtra also, which we made an initial level inquiry from the department. So, there are bids going to come up in March. So, the bids may happen in April or May, April, I think. So, this is the situation, sir. Irrigation, there are 11 bids, which we are targeting, sir are there.

Shravan Shah : Sir, this irrigation, 11 bids in terms of the value wou ld be how much and Railway 26 bids that you said that

the value would be how much?

K Jalandhar Reddy : Railway 26 bids, sir, I wi ll give you.

Shravan Shah : No issues, sir. Sir , broadly in terms of INR 7,000-INR 8,000 crore s bid, which we have already placed , where outcome is yet to come. And if I just summarize, maybe INR 30,000-INR 40,000 crore kind of a bid, we are planning to put in now and out of that, we are looking at INR 10,000-INR 12,000 odd crore. But given that, let us say , we do another INR 500 crore kind of execution now. So, for FY '27, and the way the bids are then, let us say, if we win that also, how one can look at the execution or the revenue for FY27 and particularly for FY '28, because as you highlighted, once we get this and it will take 6 -8 months to start the execution, then for us to recoup whatever the loss or we have missed on the revenue front that we should be covering in FY '28. So, there, how one can look at, can we look at INR 4,500 crore s kind of a revenue in FY '28? Is it possible?

Venkata Ram Rao : Sir, most probably it could be possible. It bifurcates right now; order book is INR 8,850 crores . On that, , mining order is around 3,500. If we exclude them, then order book will come to around INR 5,300 crores . On that, irrigation is almost INR 1,700 up there. Out of that, almost INR 800 crores is that is only unbilled is there. If you remove that INR 800 only in a new irrigation only, we left out of around INR 4,300 crores of order book, existing order book. O ut of INR 4,300, we can execute around, we can say INR 2,000 crores civil work in the next year, 2027 out of the current order book. And if any order is coming and we have been able to execute, that will be added. With current order book, definitely we can able to execute around INR 2,000 crores in FY '27.

Shravan Shah : And lastly, margin though this quarter, if you can highlight specific reason why it has significantly fallen and going forward , once we get this order inflow, can we look at again 13 %-14% ki nd of EBITDA margin?

K. Jalandhar Reddy : Actually, to regularize that, I think we hope not exactly this year or FY '27 also. We are not expecting that result, but I think FY '28 could be a very bright year for us. That is what I am thinking because all the se new projects, whichever we build, then we win. And that will launch in the last quarter or third quarter of the coming year. So, definitely , the execution will be very less in FY '27. So, at this stage, it is difficult to say, but the competitive tendency is also very tough years nowadays. So, with all that, I think adding to our perception, definitely , I think we could go a little bit lower side on this FY '27. Maybe it is quite difficult to expect levels like 13 -14% levels right now, but I think we can expect something near to 9 -10% figures to be deliverable. So, because the entire project force, project site people, everything, manpower is completely on and the number of turnover is coming down. So, definitely , there is an impact on that. And peo ple sitting idle and second, equipment is very huge with us and that is not performing to the required level. So, this is also fall in such thing.

Venkata Ram Rao : And S hravan , with that actually what sir said, because lot of projects is coming to final st age. If you see our Garuvayur project, our Ramanat tukara project, our Magadi project and Av inashi project, all these projects are almost at fag of end. So, what is happening fag of end there won't be much revenue, but corresponding expenditure will be there, what sir is talking. Big expenditure is already there. So, that is why actually this quarter, this has come down. And as you know that in one of the projects actually due to this con struction of viaduct, so around INR 20 crores extra additional cost has come in this quarter. So, these are the mainly reason actually w

hy our EBITDA has come down from 5% in spite of our industry level. But in future actually next year also maybe 9 %-10%, but 2028 onwards , once we get all the projects and definitely we should try to get our sustainable EBITDA of around 13%.

Shravan Shah : Got it, sir. Thank you and all the best.

Moderator : Thank you. Our next ques tion comes from the line of Nitee n S Dharmawa t from Auram Capital.

Please go ahead.
Niteen S. Dharmawat : Yes, thank you for the opportunity. So, my question is regarding the projects from NHAI. So, what is the status now? Are these projects coming? Are they putting more projects for bidding or is the re still a stress in the system? What is the sense you are getting, especially for next financial year?
K. Jalandhar Reddy : Yes, sir. Up to March end, we could see almost 53 bids from NHAI we have selected. I think it is on selected only I am talking about , in which the size of the projects are varying from different sizes, INR 5,000-INR 6,000 crore size to, it is varying from up to INR 400 crore also. So, these are the project sizes we have, sir. M ost of them are above INR 1000 crore , very few are below INR 500 crore also. So, we have selected in a pattern where it could be our interest or the nearby projects or side by side projects, all that smaller scales also we are looking and trying to bid , so that it becomes a bigger portfolio for us. So, like tha t we are targeting, sir. But I think one aspect I can say, but because the aggression in the market is very heavy here. So, we are also not looking at the margins as we used to look at earlier. Maybe we will have to dilute 2 %-3% of the margins and then go ahead. So, that is to be also noted, sir for few projects, not all. Maybe for state highways and all , we are very good, we can get a little bit EBITDA more. But NHAI is concerned only to make ourselves right now comfortable, we will be bidding a little bit , a few projects a little bit l esser because the initial level , aggression will be there. So, there we will be, but the size of the projects are more than INR 3,000 crores projects. There we can aim the right margins as we used to get earlier. So, definite ly, sir, hitting on bigger size projects will always be helpful. That is what I am thinking right now.
Niteen S. Dharmawat : Got it, sir. Because last few projects that we lost with very small numbers, if I understand it correctly. So, maybe some bit of aggression from our side would help. Is that something that we are concluding?
K. Jalandhar Reddy : Yes, sir. That is what I am also looking at, sir.

Niteen S. Dharmawat : Sorry, sir, what you said?
K. Jalandhar Reddy : Yes, actually some sort of healthy bidd ing only we have to do, sir. But however, we will have to little bit dilute on the margin side so that to keep ourselves first comfortable and then make a bid. So, as a combination, it could be good one. That is what the conceptual thing which we are tryin g to design.
Niteen S. Dharmawat : Correct, sir. My second question is about the net debt. So, with all the deals that we have done recently, what will the consolidated debt after we receive all the money? Can you highlight that and how it is going to look from the balance sheet perspective when we are bidding for the new projects?
Venkata Ram Rao : Overall, actually, our debt consolidated as of December is around INR 2,400 crores. Out of INR 2,400, out of the 4 SPV that we are doing the monetization, their debt is around INR 2,100. So, debt consolidated as of December will be around INR 300 crores. And in future, also the debt is basically, we have this three HAM project is going on, and that on ly debt will come. So, you can say by March, , after completion of this divestment program, our debt will be around INR 500 crores on consolidation basis .
Niteen S. Dharmawat : Got it, sir. T

hank you so much and wishing you best. Thank you.
Venkata Ram Rao : Thank you.
Moderator : Thank you. Our next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : Sir, you indicated that we will be closing at INR 2,000 crores revenue in FY '26 . So, it indicates a revenue of only INR 450 crores for Q4. So, there will be a sharp fall in Q-o-Q business in Q4?
K. Jalandhar Reddy : Yes, because we have , whatever the existing order book is there , based on that only we are projecting that we will get around INR 450 crores. Total this year , we are going to achieve around INR 2,000 crores of the turnover.
Vaibhav Shah : And next year also INR 2,000 crore ?
Venkata Ram Rao : Next year is based on our existing order books. It will be INR 2,000 crore if we are getting some good project in the curre nt, maybe in the first quarter or maybe in Q2 also, then we can try to expedite and we take some. If we see easy work is coming, definitely we can look into it. If it is a HAM project, then almost it will take further 8 -9 months to complete. So, that is why if additional order is coming, so definitely that will further added in our revenue.
Vaibhav Shah : So, worst case number is INR 2,000 for next year?

Venkata Ram Rao : Based o n our existing order book.

Vaibhav Shah : Sir, secondly, our order inflow in YTD would be somewhere around INR 4,300?
Venkata Ram Rao : This year will be entire 9 months.
Vaibhav Shah : Mining order and 2 EPC projects?
Venkata Ram Rao : Mining will be around INR 4,000 crores.
Vaibhav Shah : Around 4000 crore . So, there were 2 orders. One was multi -level flyover at Khajaguda and other was iconic bridge across Mir Alam Tank . So, that put together is around INR 800 crores ?
Venkata Ram Rao : INR 450 crore actually, put together, INR 800 crores.
Vaibhav Shah : And mining is around INR 3.5 crores. So, it will be around INR 43-INR 44 crores order inflow ?
Venkata Ram Rao : Yes, this year.
Vaibhav Shah : Sir, a ccording to media articles, there was also one project called Thiruvanmiyur to Uthandi HAM project. I think from state government. Any update on that? You were L1 in that HAM project?
Venkata Ram Rao : Chennai.
K Jalandhar Reddy : But Chennai project, actually there is a court case. The hearing is on 12th of this month. So, earlier to this, it is very difficult to say anything. But however, , the department is also under discussion with the committee. They are discussing on how to go about that court case after that .
Vaibhav Shah : Sir, court case is regarding?
Venkata Ram Rao : Actually sir, one of the bidder, he is disqualified. He has no qualification actually, but he is fighting in the court to qualify as he is less by so much amount like that . So, there he went to the court. One single bench has cleared in our favor, not our favor, it is in the department's favor. Because we are in no way concerned with this. Generally, we made an allegation on that that you have been blacklisted, so how you can bid, like that . He made an allegation for which we have submitted our documentation because w e went to the court and we nullified that order. After that, NH AI has considered with a settlement agreement saying that we will do the flyover free of cost and they will not put us in blacklist. So, there is no blacklist for us. So, which we have explained to the court and that part we got here from the single bench. And now , he went to the double bench actually. So, now double bench hearing is on 12th. So, once that outcome comes , then we can be able to tell you about that .

Vaibhav Shah : Sir, secondly, any update on B handara -Gadchiroli order? So, do we expect anything to happen?
K Jalandhar Reddy : This is pending in a long way. We have been extendin

g the bank guarantees and waiting for that.
Because the Land Act is only concerned what they are talking about. But I think in a month's time, we will be able to know that. They also said we will somehow clear it in March.
Vaibhav Shah : So, any possibility of getting LOA sometime in first quarter next year? Or is there a possibility of calculatio n of order?
K. Jalandhar Reddy : Both the possibilities are there. We really do not know. It is pending with CMO office actually . What CM takes a view that depends on it actually. But after lagging on to the project for so many days, generally it will not g o in cancellation. Because if they had to cancel, they would have cancelled by now. Because they have cancelled that multimodal corridor and we call it the tenders in BOT toll. So, this is not cancelled as of now.
Vaibhav Shah : And sir, lastly, one bookkee ping question. So, out of your irrigation book of INR 1,700 crores as of December, what would be the unbilled portion?
Venkata Ram Rao : Around INR 800 crores, INR 816 crores unbilled.
Vaibhav Shah : So, the revenue potential is only INR 900 odd crores from the irrigation book, i ncrementally?
Venkata Ram Rao : Yes. INR 900 crores.
Vaibhav Shah : And what would be the total unbilled revenue at the company level?
Venkata Ram Rao : It is around INR 1,355 crores.
Vaibhav Shah : And in the water pipeline order, we hav e seen that the order book is roughly INR 1,033 crores. So, also there is some unbilled portion over there in that order?
Venkata Ram Rao : With pipeline work, no?
Vaibhav Shah : Yes, pipeline.
Venkata Ram Rao : So, there is an unbilled is there around INR 140 crores unbilled is there.
Vaibhav Shah : So, that also should be reduced as if you want to look at revenue potential out of INR 1,300 crores?
Venkata Ram Rao : Yes. It will also reduce. Ye s, correct.
Vaibhav Shah : Thank you, sir. Those are my questions.

K. Jalandhar Reddy : Thank you.
Moderator : Thank you. Our next question comes from the line of Ritesh Poladia from Girik Capital, please

go ahead.

Ritesh Poladia : Yes, thanks for the opportunity. Sir, if you can give us some comments on Kales hwaram Package 3 and Package 4, how much needs to be done more?

Venkata Ram Rao : Total outstanding receivables on this Package 3, there is no outstanding receivables, but for the certified bills are there, it is already paid off. And with respect to Package 4, around INR 677 crores is the certified bill that is pending for payment. And other than this, unbilled is in both the project is around INR 650 crores. So, total around INR 1,430 crores is the amount that we supposed to receive from the Government of Telangana for certified and unbilled portion .

Ritesh Poladia : And do we need to spend more on this project or is this over from our end?

Venkata Ram Rao : For Package 3 is definitely no issue because we are receiving the collection. As far as Package 4 is concerned, that left out order book is around INR 100 crores, So, for that, we may have to incur some expenses. Otherwise, most of the work of Package 4 is also completed.

Ritesh Poladia : And sir, is there any regulations we are taking or we are still waiting for Government to come back to us?

Venkata Ram Rao : Definitely, we are following the Government and as you know, we have already put our appeal to the court also. Both processes we are following actually, both following the department as well as through the court also.

Ritesh Poladia : Then you can give us by what time this can be cleared out or is there any chance that we need to write it off?

Venkata Ram Rao : Definitely, on the Government side, there is a delay. There is no question of write -off.

K. Jalandhar Reddy : Actually, writing -off means such a huge process, writing -off is a big deal. The second thing is, the Government is not saying tha

t they w ill not pay the bills. And they are really certifying the bills that they want us to do the project and all that. This month , that month, which is extending. But the thing is, hopefully, I am also thinking partial payment can be recognized in this month , March ended. By March ended, the partial payment should come out. That is what we are thinking. Because there is a necessity of that project to be coming somehow. Recently, in CMO assembly also there was a discussion. After that, there is a CMO office, ther e is a discussion, all the concerned officers were called there. And they wanted water for Hyderabad. So, Hyderabad badly needs water. So, for that it is going to be a critical thing for them. Unless they commence this project, upcoming year , they cannot give the water properly. So, to address this, they wanted this project to be speeded up. So, the Department has said that it has been not paid for so many

years, and the contractor is slowly moving on it. And there is no significant expected p rogress is not there. That is what they said. So, then CM said, no, we will pay them, ask them to speed it up like that. The department approaches and they said, okay, you pay us, we will speed up. That is what he said. So, I think, hopefully, the heat is coming up from the requirement side. So, definitely they should consider to pay us.

Ritesh Poladia : Sir, another question on high -speed rail side, what kind of projects you will be targeting?

K Jalandhar Reddy : Actually, it is a very premature stage. Becau se, I think already the high -speed rail network is being done in India. Right now, Hyderabad, Pune and all that, they are supposed to launch on the project side. So, we are also, right now we have recruited one CFO for Railway, not for high - speed railway. He is a PE retired person. Mr. Ashok has been taken on the board now. He is forming the team. And also he is likely to visit the concerned departments in the next week. So, we will get more information on that side. Because as budget, they have allocated a lot of funds towards doing these project s. So, definitely, we also want our footprint out there. So, now roads had some bad days this year, these 2 years onwards. So, definitely, we want to have another portfolio where it can keep us in growth track. That is what our concept is. Because it is a civil construction. We are always the civil construction. Only the rail mechanism and all that, we need to learn a little bit with the design consultants and all that. There are a lot more people available with the rail. So, definitely, we can cope up and do work. That is what our feeling. So, that is where we are starting off, sir. It is a very starting stage we have.

Ritesh Poladia : Yes, that is all from my side. Thank you very much, sir.

Moderator : Thank you. Our next question comes from the line of Deepa shri Joshi from Ambit Capital. Please go ahead.

Deepashri Joshi : Yes. For the canal project, is there a change in scope for the bid cost?

Venkata Ram Rao : Which project, actually?

Deepashri Joshi : The canal project. Pa leru Link Canal and Sitaram a Lift Irrigation?

Venkata Ram Rao : That is your new one. The last time, it was INR 327 crores.

Deepashri Joshi : Yes.

Venkata Ram Rao : It is the same only. Order book is the same only. It is INR 327 crores only.

Deepashri Joshi : Sir, my question is because the total irrigation project in September 2025, in the order book, the number was around INR 1,500 crores. And now the number has increased to INR 1,700 crores.

So, just wondering where the increase has co me from?

Venkata Ram Rao : It is that addition in our Package 4,. So, what is our Package 4 was there. So, there are some RE has been approved,. So, there was some addition in our Packa

ge 4. It is not due to these projects.
It is due to our existing package.
Deepashri Joshi : So, whatever addition is because of Package 4?
Venkata Ram Rao : Yes.
Deepashri Joshi : And when is the Pal eru Canal and the other Sitaram a lift, when is that expected to start?
Venkata Ram Rao : Because there is some land acquisitio n issues are there in that project. So, this is now government is starting out there. So, it may start in somewhere in next year, Q1 of next year.
Deepashri Joshi : Got it. Just one more thing. What is the CAPEX guidance for FY '26 and '27?
Venkata Ram Rao : Definitely, because what are the existing CAPEX are there, that is sufficient for us. If we are adding some new project, , in a sector, so for that CAPEX may require. So, really, we have to see that when we are getting these projects. So, based on that, w e may go up to around, you can say, INR 100 crores CAPEX next year.
Deepashri Joshi : Got it. And sorry, last question. For the Package 4 and 5, Mysore packages, what is the expected execution or the revenue that you are expecting in Q4?
Venkata Ram Rao : Which projects?
Deepashri Joshi : Package 4, Package 5, Mysore -Kushalnagara?
Venkata Ram Rao : For these two projects in this quarter, you are taking ? Q4 or next year?
K. Jalandhar Reddy : Actually, ma'am, that yes, this is concerned. There has been almost th e new land problems have cropped up there. Because it is a complete refill the land which is cutting down entire village access to the other part of the stream . So, they wanted some service roads, for which state Government supposed to do the land acquisition, which NHAI is supposed to construct it. But the thing is now, because the main problem is with the public, they have already not started any land acquisition as of now by the national government. So, the publi c were angry and they stopped in certain areas. So, the Package 5 concerned , there is land problems ; Package 4 concerned I think only 60 %-65% land is available there. And Package 5, the land is almost only 50%-55% available . That is it. Within that only we have to finish. So, that is what we are planning is that we do a little bit early. Completion is ensured, leaving the gaps of the land issues. And balance will be going for this completion. I think the issue is taken into PMO purview to pursue that matter as NH AI tried to convince the people. So, this is under PMO's purview. So, maybe it gets solved in another 4 -5 months, let they say, 2 -3 months at least. So, this is the

situation. So, here the completion can happen I think by May -June, we are expecting to do the PCOD for that. Targeting, it is not that thing we are doing.
Deepashri Joshi : So, for Package 4, you will still be able to maybe finish because there are no issues as suc h. Package 5 is still a concern?
K. Jalandhar Reddy : Yes, a concern but whatever the left over land, whatever the land for working is available, that will finish and go for PCOD. As such, contract says as a number of gaps which they doesn't give you before 6 months that can be deleted or delinked over PCOD. And t hen again after that, we will be doing PCOD to final completion.
Deepashri Joshi : So, both combined, what do you think will be the revenue from these two projects in Q4?
Venkata Ram Rao : Actually, these 2 projects are about say around INR 10,000 crores odd. So, roughly , we get around say INR 300-INR 350 crores because already partial is executed. Now, almost INR 1,100 is pending. So, it will come around INR 400-INR 450 crores. In next year, FY '27, out of that, we can expect around 40 %-50%, around INR 450-INR 500 crores.
Deepashri Joshi : Got it. Thank you so much.
Moderator : Thank you. Our next question comes from the line of Bhav in Modi from Anand Rathi. Please go ahead.
Bhavin Modi : Hi, sir. Thank you for giving the op

portunity. S ir, just wanted to understand the hike in the subcontract expense. It is around INR 216 crores and that has led to the decrease in the EBITDA margin to 5%. So, can you just help me , what is this cost pertaining to ?
Venkata Ram Rao : Sir, , as you know, our pipeline project is there. That is, we have given back to back to our subcontractors. So, on this pipe project, , around INR 170 crores turnover has happened . Out of INR 216 crores, INR 170 crores is pertaining to these subcontractor thin gs out there. So, that is why subcontractor expenses have increased. And as you know, subcontractor project has

compared to less margin. So, that is also one of the reason that our total EBITDA has reduced. And other reason, as I already told you, due to c ompletion of our projects in the final stage and one issue in viaduct construction in Ramanat tukara . So, these things actually has factored and reduced the EBITDA.

Bhavin Modi: And s ir, what about that there was an accident, right? On NH 66, for which we had to do the some of the rework, right? Worked INR 20-INR 25 crores. So, what is the status with respect to that?

K. Jalandhar Reddy: Yes, the bridge construction is going on, sir. I think almost subsection is 100% completed. Superstructure will get compl eted by this month end maximum. Less than 10 days.

Bhavin Modi: So, sir, how much money did we spend?

Venkata Ram Rao: We spent around INR 30 crores, as of now. Around INR 15-INR 20 crores, we have to go into that.

Bhavin Modi: And that has been reflected ?

Venkata Ram Rao: about INR 50 crore above that on that project.

Bhavin Modi: Got it. Yes, sir. That is it from my side.

Venkata Ram Rao: Thank you.

Moderator: Thank you. Our next question comes from the line of Vasudev from N uvama. Please go ahead.

Vasudev: Yes, thank you for the opportunity . Sir, I just wanted to know how is the progress going on with the irrigation and the pipeline projects? Like, how much have we executed in 9 months we are spending all the book and now when do we expect to comple te these projects?

Venkata Ram Rao: out of this INR1,033 crore , , we already around INR 150 crores work already done in the month of December. And in this quarter, Q4, we are expecting around INR 200 crores work in this quarter. So, already INR 100 crores billing is there, that you have to put the bill and balance INR 100 crores in the next month. So, definitely , out of INR 1,100 crores, almost around INR 350 crores is going to be executed by this year end. And maybe in next year, we may execute around INR 300-INR 500 crores, balance maybe around INR 400 crores work in pipeline projects for the next year.

Vasudev: And s ir, just a clarification on the subcontracting expenses, you said INR 170 crores was for irrigation projects where we haven't received th e amounts. So, like revenues and book per cost has been incurred. So, that i s why margins are low. Is the understanding correct?

Venkata Ram Rao : Yes, it is corresponding because our accounting is based on expenditure basis. So, already I have considered i n our cost as well as in our revenue to the extent of margin, whatever our EBITDA margins are there. We have to, in revenue also consider, expenditure also consider. But because being the subcontractor expenditure, we won't get that 13 %-14% EBITDA in that . Generally subcontractor , back to contractor will have around 3 %-4% margin. So, that margin only has been built up in the financial.

Vasudev: Sure, sir. And just a few bookkeeping questions. Sir, if you can help me with your standalone debt and cash levels, the segmental revenue split and CAPEX that we did in the third quarter ?

Venkata Ram Rao: The standalone debt is 0 actually. And there is a cash surplus as of December of INR 80 crores on stand alone basis .

Vasudev: And the CAPEX in Q3 and the revenue segmental revenue split ?

Venkata Ram Rao: We have only one segment. So, whatever the revenue is there, that is only one segment. And as far as CAPEX is concerned, we added INR 5 crores of CAPEX in th is year.

Vasudev: Sir, I was meaning like, the total revenue, how much is from the road HAM project, EPC irrigation. So, if you can give that split for the third quarter ?

Venkata Ram Rao: That percentage is there. In HAM it is 28%. And irrigation is around 17%. And back to back is around 33%. And our own execution is around 20%.

Vasudev: Sure, sir. That is it from my side.

Venkata Ram Rao: Thank you.

Moderator: Thank you. Our next question is from the line of Dheeraj Krip alani from Avendus Sp ark. Please go ahead.

Dheeraj Kripalani: Hello. So, my question is a follow -up on one of the previous questions. Like we said, YTD FY '26, we have secured INR 4,300 crores of orders. And like you said, up to March end, 63 bids are more to come from NH AI. So, can we expec t some additional order inflows in 4Q? And what will be our target for FY '27 order inflows?

Venkata Ram Rao: Definitely, because this quarter, we are expecting more than a bid from NH AI. So, definitely, we are targeting to add, , some of the order in Q 4 NHAI we have been project, like all these are HAM project we have bided actually INR 5,000 crores . So, definitely, it is a target,. We want to

add something. And total, around INR 10,000 -INR 12,000 crores, we are targeting by September 26, actually. We should be able to get, further order inflow of around INR 10,000 -INR 12,000 crores by September 2026. So, these are the targets. And towards that target, it just shows that almost INR 7,000 -INR 8,000 crores, we already bid. And we already identified INR 30,000 -INR 40,000 crores, order that we are going to bid. So, that is why we are working on that.
Dheeraj Kripalani: Thank you.
Moderator: Thank you. Our next question is from the line of Shravan Shah from D olat Capital. Please go ahead.
Shravan Shah: Hi. Sir, just a clarification. The further equity that to be invested, you said INR 235 crores. But given whatever the adjustment that or rather lower equity for the 4 SPV that we are selling, it should be INR 107 crores that we should be putting additionally ?
Venkata Ram Rao: That is why I told, out of this revised equity, out of INR 962, we already put INR 700 crore . Left out is only INR 235 crores of equity in our future HAM project.

Shravan Shah: I will have a word with you on that. And this entire INR 1,543 crores, how much out of that we are likely to receive as a cash by March?
Venkata Ram Rao: Actually, for two projects, that is Palani and this Ramgiri that we are planning to complete because w e already had applied to the banks for NOC and to the NH AI also. And we are expecting that we should be able to close it. We are targeting to close Palani and Ramgiri. That together is coming to around INR 500 crores, by this March end. And balance with Ramanattukara and Guruvayur in first quarter of the next year. That is our target,, to complete that.
Shravan Shah: And the n the CAPEX for this mining that we got, so when we will be doing the CAPEX for that?
Venkata Ram Rao: Definitely, as you told us, there is still forest clearance has not come. Based on that, so maybe in next year, end of the year, maybe we have to do some CAPEX in that. And when we see that there is a physical front is available to institute the work accordingly , we will make up the required CAPEX . So, we expect that somewhere in Q4 of the next year, we may be able to take some CAPEX in that project.
Shravan Shah: So, total CAPEX on that project is INR 350 odd crore s, if I am not wrong ?
Venkata Ram Ra o: Yes, tentatively, ye s, INR 35

0 odd crore s.
Shravan Shah: So, some we will do in 4Q FY '27 and the balance will be in FY ' 28?
Venkata Ram Rao: Yes.
Shravan Shah: Got it, sir. Thank you.
Moderator: Thank you. Our next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah: Sir, you indicated that in the Kerala project, the cost which we have to bear viaduct construction, it will be roughly INR 14-INR 15 odd crore in Q4 as well?
Venkata Ram Rao: Yes, definitely. For Q4, it is left out around INR 15 crore, so that we have instituted, ye s.
Vaibhav Shah: So, that will come in Q4?
Venkata Ram Rao: That will come in Q4.
Vaibhav Shah: So, secondly, for the pipeline order, what revenue are we targeting for FY '27?

Venkata Ram Rao: FY '27, we are targeting around INR 400-INR 450 crore s on that project.
Vaibhav Shah: As we compare in FY '28?
Venkata Ram Rao: The balance will be in FY '28.
Vaibhav Shah: And sir, for the two new orders which we got, the two EPC projects, 450 and 300, what is the timeline for those two orders? One was 24 months, the Mir Alam Bridge. What about the second order?
Venkata Ram Rao: Both are 24 months only.
Vaibhav Shah: So, that should be completed by FY '28, both of them?
Venkata Ram Rao: Both are going to be completed by FY '28, ye s.
Vaibhav Shah: And when do we expect to start the execution on them?
K. Jalandhar Reddy: Mir Alam is going to start already. It has started. Work has started. Yes, mobilization is going on. Filing work is also started. But actually, there is a change in design because of the water is complete in the pond. So, there is some change of design which we have submitted and that is approved. So, design on the basis of that needs to be approved. Actually, in princ iple, the changes were approved. So, a detailed design needs to be made and then it could be got approved. So, for a few foundations, we have started the work actually, where there is some clarity.

Vaibhav Shah: And the other project?
K. Jalandhar Reddy: Other project has started, sir , going on. There is some tree cutting problems are there , but they are solving.
Vaibhav Shah: And sir, for the two irrigation projects, the total around INR 430 crore s value. So, when do we expect to start the work on both of them? It was quite a bit delayed?
Venkata Ram Rao: Yes, it may be because there was land acquisition was there. So, maybe in Q1 of next year, it will start.
Vaibhav Shah: And we can do roughly 40 % odd in a year because they were 24 -month projects, both of them ?
Venkata Ram Rao: So, then definitely land is available , but that is yes, definitely we can do it , around 30 %-40% in the first year.

Vaibhav Shah: And sir, we have seen some upt ake in revenue for the two Karnataka H AM projects, Package 4 and Package 5. So, combined, what revenue would be expecting for FY27 from those two projects?
Venkata Ram Rao: Both two projects will be around, you can say, maybe around INR 500 crores on both the projects.
Vaibhav Shah: So, then the land issues are sorted in the both of them, right now?
Venkata Ram Rao: In one project, land issues are there. In one project, it is okay that we can ensure. So, that is why we consider around 50 % of the balance at around INR 450 crores. We can do it for INR 450-INR 500 crores.
Vaibhav Shah: Thank you, sir. Those were my questions.
Moderator: Thank you. Next, we have a follow -up question from Nit een S. Dharmawat from Auram Capital. Please go ahead.
Niteen S. Dharmawat: Yes, thank you. Sir, just wanted to know, what is the receivable amo unt now from the Telangana projects that we had earlier? And what is the recovery cycle we will be having over here?
Venkata Ram Rao: So, this Telangana, out of INR 870 crores of

receivable, around INR 627 crores receivable is from the Government of Telangana. That is for the Package 4. And if we consider unbilled also, total around INR 1,430 crores is there from Irrigation Department from the Government of Telangana. And as far as collection is concerned, we are trying to put a few press ures. We are expecting some part of collection by the end of March. Some part out of this INR 677 crores. So, that is why we are putting a lot of pressure, I think. That is why we are working towards that.
Niteen S. Dharmawat: So, how much we are expecting ? Almost 50% or less than that, if we can have some estimate over there?
Venkata Ram Rao: Maybe around 50% we are expecting. 50% of the certified bills, whatever the certified bills are there around INR 677 crores. We are expecting some around 50%.
Niteen S. Dharmawat: Got it. And we have not filed any case for this, right? We are still negotiating with the Government only?
Venkata Ram Rao: No, case is already filed. We are putting this pressure also.
Niteen S. Dharmawat: Got it, sir. Thank you, sir. Thank you.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Venkata Ram Rao: Thank you all for joining us on this call. Please reach out to our Investor Relations and Strategic Growth Advisors or us directly, should we have any further queries. We can now close the call. Thank you.
Moderator: Thank you, sir. On behalf of KNR Constructions Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2026

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Date: 06th June 2026 Ref: KNRCL/SD/2026 /1071&1072
To,
The Manager
BSE Limited,
P J Towers, Dalal Street,
Fort, Mumbai – 400001
Scrip code: 532942 To,
The Manager,
National Stock Exchange of India Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai – 400051.
Scrip Code: KNRCON
Dear Sir/Madam,

Sub: Transcript of Earnings call for Q4FY26
Ref: Reg 30 of SEBI (LODR) Regulations, 2015

We refer to the above captioned subject, we herewith submit to you transcript for the earnings call for Q4FY26 held on Monday, 1st June 2026 .

This is for your information and records of the Exchange, please

Thanking you,
Yours truly
For KNR Constructions Limited

Haritha Varanasi
Company Secretary

"KNR Constructions Limited
Q4 FY '2 6 Earnings Conference Call "
June 0 1, 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 1st June 2026 will prevail.

MANAGEMENT : MR. K. JALANDHAR REDDY – EXECUTIVE DIRECTOR –
KNR CONSTRUCTIONS LIMITED
MR. K. VENKAT A RAM RAO – GENERAL MANAGER ,
FINANCE AND ACCOUNTS – KNR CONSTRUCTIONS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to KNR Constructions Limited Q4 and FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about

the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantee of future performance and involve risk and uncertainties that are difficult to predict.
As a reminder, all participants will be in the listen -only mode and there will be an opportuni ty for you to ask questions afte r the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now ha nd the conference over to Mr. K. Venkata Ram Rao, General Manager, Finance and Accounts, KNR Constructions Limited. Thank you, and over to you, sir.
K. Venkata Ram Rao: Thank you. Good morning and thank you for joining us today on the call to discuss our financial results for Q4 and FY 2026. Along with me, I have Mr. K. Jalandhar Reddy, Executive Director; and Strategic Growth Advisors, our Investor Relations advis ors. We have uploaded results and the investor presentation on the stock exchanges as well as on our company website. I hope everyone got an opportunity to go through it. We would like to touch upon a few key company updates and industry events, post which we will have a question -and-answe r session.
Moving to the broader industry landscape, the road infrastructure sector witnessed a relatively measured pace during FY '26, particularly on the project awarding front. Over the past 2 years, awarding activities by NHAI and MoRTH remained below the peak level seen earlier, reflecting a more calibrated and execution -focused approach across the sector.
During FY '26, NHAI awarded 3,100 kilometres of project, lower by approximately 22% year -on-year and below the initial targ et of 7,500 kilometres . The moderation was primarily driven by extended project appraisal and approval timelines , land acquisition -related challenges and increased emphasis on ensuring better project preparedness and structuring before tendering.
That said, execution activity on the ground continued to remain healthy. NHAI constructed around 5,300 kilometres of the national highway during the year, which while marginally lower than the previous year, but it is surpassed in its internal construction target of 5,000 kilometres . This reflects the sector's strong execution capability and continuing progress acros s ongoing projects despite near -term awarding headwinds.
More importantly, the government's long -term commitment towards infrastructure led growth remained very strong. Continuing investment towards expressway, economic corridors, logistic infrastructure and multimodal connectivity are expected to support sustained opportunity for secto r over the medium to long term.
Also new meaningful opportunities are now opening up across segment such as mining development, irrigation, ropeways , metro termin al projects, urban mobility, and rail connectivity. This is creating a broader infrastructure ecosystem and enabling companies to

diversify their capabilities, expand into new area of growth and build stronger long -term business models.
On the cost front, the industry has also witnessed some volatility in the commodity linked input s during the year. The ongoing geopolitical tension and conflict in the West Asia led to an increase in crude oil prices, which consequently impacted bitumen prices. However, the impact on the domestic infrastructure sector remains manageable to provide better support to the contractors and improve cash flow visibility, the Ministry of Road Transport and Highway reduced the price adjustment cycle from 3 months to 1 month, enabling faster pass -through of the fluctuation in the construction material and equipment costs. This st

ep has been positively received by the
industry and is expected to provide greater stability in the project execution going forward.
Assets monetization also continued to witness healthy momentum during FY '26 with NHAI monetizing around INR28,000 crores through InvIT and TOT transaction, largely in line with the government target. This reflects the increasing maturity of the asset recycling model and support continued investment towards future infrastructure development. Looking ahead, the outlook for FY '27 remains constructive.
As per industry estimates, the MoRTH is expected to construct around 9,000 to 9,500 kilometres during the year. While the pace of awarding and construction may remain more balanced compared to the peak cycle witnessed earlier, the sector continued to benefit from the strong policy support, sustainable public capital expenditure and rising priva te sector participation across infrastructure segment.

Overall, India's infrastructure opportunity set today extend well beyond roads and highways with increasing opportunity across transportation, urban infrastructure, energy, logistics, mining and water sector. The industry is entering a more diversified and sustainable growth phase . Companies with strong execution capability, financial discipline and multi -sector expertise are expected to well position to the capitaliz e on this long -term oppor tunities.
Now coming to the key updates of the company. The percentage of physical progress as of March 31, 2026 for the HAM project is under: Ramanattukara to Valanchery around 99.4%, Valanchery to Kappirikkad 98.3%, Chittor to Thatchur around 97.4%, Mag adi to Somwarpet around 91.3%, Marripudi to Somvarappadu approximately 77.1% and Mysore to Kushalnagara Package IV around 15.5% and Mysore to Kushalnagara Package V approximately 12.2%.
As of March 31, 2026, the company has already invested INR734.24 crores out of INR952.17 crores revised equity requirement for all HAM projects. The additional equity requirement of INR217.93 crores to INR170 crores and INR47.93 crores for FY '27 and '28, respectively.
You can refer to Slide number 26 of the inv estor presentation for details under each HAM project. During the quarter, the company received a letter of award for 2 HAM projects with a combined project value BCC of INR3,897 crores. The first project was awarded by Tamil Nadu State Highway Autho rity, TANSHA for development of full and elevated corridor from

Thiruvanmiyur to Uthandi on State Highway 49. The bid cost of the project is INR2,163 crores and has a construction period of 3 years and followed by an operation period of 5 years. Subsequen tly, the KNR Mahabalipuram Infra Private Limited has been incorporated and concession agreement has also been executed. The second project was awarded by NH AI for laning of NH -167 from Gudebellur to Mahabubnagar in Telangana. The project is valued at INR1,734 crores and has a construction period of 2 years, followed by a n operation period of 15 years.
Subsequently, a subsidiary, KNR Manyamkonda Infra Private Limited has been incorporated and concession agreement has also been executed. The tentative equity requirement for two HAM project will be around INR510 crores. Further, company has also received letter of acceptance for 2 EPC projects worth INR133 crores. One from the Greater Hyderabad Municipal Corporation for construction of 4 -lane unidirectional fl yover at Rasoolpura in Telangana. The project value is approximately INR50 crores and scheduled to be completed over 24 months. Second one is from Hyderabad growth corridor for the widening and strengthening of pipeline road from Shankarpally road in Telangana project is around INR83 crores and has an execution period of 9 months.
In respect of monetization proposal, we wish to inform that the company has transferred its all

of equity share in one of its subsidiary company that is KNR Palani Infra Private Limited to Indus Infra Trust.
The company has invested INR64.40 crores in the form of equity and sub debt in that SPV. Pursua nt to this transaction, the company has r eceived a consideration of INR 205.05 crores from the purchaser. And further, the SPV has also upstream INR90 crores of the cash surplus to the company through this transaction. The company is expec ted to close of one of the project by June '26 and other 2 projects by September '26.
Now coming to order book position. As of 31st March 2026, the company total order book stands at INR8,6 72 crores. The order book does not include the recently won HAM project. Including the HAM project, the company total order book stands at INR 11,903 crores. This is divided into 49% of the roads project, 14% for irrigation and 7% from pipeline project and 30% for mining project . Client -wide distribution is 6 1% of ord er book is from the third -party client and the balance 39% from the captive HAM project. In third -party order book percentage is also contracted 59% from state government , 1% from the central government and balance 1% is from our other private pla yer. Kindly read the Slide number 32 of investor presentation as above .
The current order book will be executed over a period of 3 years to 3.5 years, excluding the mining project with the government continuing emphasis on infrastructure development, we expect order activity to be improved over the coming quarter across both centre and state government.

In the line with this, the company i s targeting order inflow in the range of approximately INR8,000 crores to INR 10,000 crores during FY 27, comprising a healthy mix of NH AI projects, irrigation projects, mining and other state government infrastructure work.

Now let me take through the Q4 and FY 26 standalone financial performance first, followed by the consolidated financial highlights.

The revenue for the quarter stood at INR 535 crores. EBITDA for Q4 FY26 stood at INR 28 crores and EBITDA margin at 5.3%. Ne t profit for the quarter was 19 crore.

Now coming to the FY 26 highlights. The revenue for FY26 stands at INR20 97 crores. EBITDA for FY26 stood at INR178 crores and EBITDA margin stood at 8.5%. Net profit for FY26 stood at INR116 crores.

Now coming to Q4 FY26 consolidated financial performance the revenue for the quarter stood at INR696 crores, EBITDA for Q4 FY26 stood at INR169 crores and EBITDA margin is 24.3%. Net profit for the quarter was INR106 crores.

Moving on the FY26 highlights the revenue for FY26 stood at INR2,698 crores. EBITDA for FY26 stood at INR711 crores and EBITDA margin FY26 stood at 26.4%. Net profit for FY26 stood at INR4 37 crores.

Now moving on the standalone balance sheet. The company continued to maintain a strong balance sheet. The working capital days stood at 78 days compared to 93 days as of March '25. The consolidated debt as of 31st March 2026 stood at INR2,438 crores as compared to IN R1,847 crores as of 31st March 2025. The net debt to equity on a consolidated basis as of 31st March 26 stands at 0.49x as compared to 0.41 as of 31st March '25.

With this, we can open the floor for question and answer. Over to you.

Moderator: Thank you ve ry much. We will now begin the question -and-answer session. First question is from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Hi, thank you. Sir I want to understand how many kilometres were awarded you said around 3,000 kilome tres by NHAI. In total ity including MoRTH how man y kilometres are awarded in FY26?

K. Venkata Ram Rao: We have that NHAI data. MoRTH data also we'll get it and we will let you know.

Ketan Jain: Understood. Okay, sir. W hat was our order inflow in FY 26, sir?

K Jalandhar Reddy : There is one EC

R flyover in Chennai, that is around INR2,150 crores is recently awarded. And apart from that, I think NHAI one that Gudebellur –Mahabubnagar 1 project which is about

INR1,750 crores . And there are a few flyovers in GSMC, which was already announced in the market.

They are in almost near about INR1,400 crores to INR1,500 crores is now awarded. And further, there have been some bids which were submitted. We are also expecting some bids out of that. And again, there is some other bids in Chennai ORR also we are expecting those around INR 800 crores.

And mostly there is another mining project is also on the pip eline. Maybe we will be having enough order book for upcoming year, barring which another two, three projects also we are aiming from NHAI and MoRTH further from flyover projects. So, with all that, I think we'll be able to achieve the targets set for order book concern in this year. So definitely, this is going to be a good start for us for next year.

Ketan Jain: Sir, any guidance on revenue and order inflow for this year, sir, FY 27?

K Jalandhar Reddy : Revenue i s quite diffic ult to say anything because which project is going to be awarded when and when it can be taken off certain projects are there, which are EPC nature. They can start in 2, 3 months' time after agreement. But cer tain projects are HAM model type and all they take another 6, 7 months.

Further, this is a different situation we are heading, sir. First time, we are unable to say what we are going to do this year. That's the major thing because we are mainly depending on the works which are coming up. It's not that every time we used to be having order book under execution and then something we used to have. But this time, it is a quite difficult situation. But however, we'll try to touch around 2,000 plus this thing which that we'll face. Further anything added will also boost the things. Gearing up for FY 27 kind of thing.

Ketan Jain: Understood. Just a last question on my side. I see working capital has increased. Debtor days have been higher. Which pocket of customers are you seeing a delay in payments? Are you seeing any particular states delaying payments?

K. Venkata Ram Rao : Payment pass is there because you know that we have one project in Kaleshwaram Package 4, where almost INR670 crores of debtors is pending. So, other than this, every state, whether

NHAI or other state, we are not facing any issue. So, debtor days compared to March '25, it is reduced. But definitely , Package 4 debtors, there is no movement in that . So basically, from government of Telangana irrigation project, where we have stuck with some of the debtors.

Ketan Jain: Understood. Okay sir I will join back the queue. Thank you.

Moderator: Thank you. N ext question is from the line of Sandeep Agarwal from Naredi Investments. Please go ahead.

Sandeep Agarwal : Thank you sir for the opportunity. Sir few questions. So just regarding the Telangana due, sir, any timeline or any update re garding this?

K Jalandhar Reddy : Sir, actually, see, the thing is Telangana concerned, we are confident of getting the payments. But recent discussions says that loans issue will be for sure severely by the Finance Minister. But KNR and Mega Engineeri ng had an extensive meeting with Finance Minister last week. They said within 1, 2 months, we'll be solving. I think we are hearing the same from the situation. But I think this time Finance Minister has reviewed, so we are hoping that things could be a better shape. I request always my investors or known people that our persuasion has never stopped and we have been under severe persuasion to get this payment done . I think more or less, we should get this it's not in this quarter. But next quarter, we shall be able to get that wh

at
we have.

Sandeep Agarwal : Okay. Thank you. Sir, just next one is, sir, regarding our order pipeline for the financial year ' 27, what is our expectation other than this INR3,600 crores initially we get?

K Jalandhar Reddy : INR3,600 crores I think Chennai and NHAI are concerned. But I think another INR 4,000 crores is under pipeline we can say atleast it is LOA near about unless we get issued with LOA we cannot say it is a pipeline kind of thing only, what I'm talking about.

Apart from that, further, we are also pursuing some bids. So, I think another INR4,000 crores, INR5,000 crores also we are focusing to get orders sir. And because Hyderabad RRR is also getting to come out and almost 66 highways, which are around Hyderabad are likely to come up.

Apart from that, we are also trying to gear up something in railways. We are also gearing up in mining. We are also gearing up in flyover project as well we will also look at good projects from the solar. So, with all that, I think we'll be able to achieve the target which we set forth last year, but they are not getting fulfilled in entirely last year, but we will try to do in this coming one, two quarters.

Sandeep Agarwal : Okay. Sir, last one, just last one. Sir, any major claims pending to be received in current year and next year?

K Jalandhar Reddy : They are being paid off. There's nothing actually whatever that was there, we have been received in the l ast quarter itself. I think the last announced quarter . Later, I think we have hardly anything. Anything small, small could be there, but I think it is a quite difficult task right now with the situation which we are heading i n.

Sandeep Agarwal: Okay. Thank you, sir.

Moderator: Thank you. N ext question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah : Hi, sir. Sir j ust to understand in more detail in terms particularly on the revenue front. So, I will try to break it up into the segment -wise, so it would be easy for you. In terms of FY27, specifically from now onwards, if we include the two new HAM projects , our current order book

is INR 11,900 -odd crores. So, let's say, in that, how each segm ent-wise one can look at in FY 27, let's say, pipeline, we have INR832 crores, irrigation INR1,667 crores.

Obviously, the unbilled will minus INR700 crores, INR800 -odd crores. So maybe INR700 crores, INR800 crores is exec utable. Mining is INR3,500 -odd crores and HAM is INR1,400 -odd crores and the two new HAM INR3, 800 crores in terms of the EPC. So, each segment -wise, how one can look at this?

And given, let's say, if we do, as you are saying, INR2,000 crores minimum, so I know we still will be able to do close to INR2,400 crores, INR2,500 -odd crores. So INR11,900 crores and less this, so close to INR9,000 crores and plus another we will get INR 9,000 crores, INR10,000 crores. So, kind of INR18,000 crores, INR19,000 crore s book will be there at the end of FY 27. So, in that sense, how one can look at FY28? Will it be kind of at least INR4,500 crores kind of

a revenue that one should be looking at?
K Jalandhar Reddy : The one thing is sure, this time whatever the order which is coming up it's coming at a tight competition, cannot be e xpecting like a level last year. So, turnover can go, but I don't think the bottom line will be to that tune which we were giving in the earlier days because now the market is entire changed actually. So however, we will try to keep up the better way.
And we are also thinking in a different pattern, different methodologies by which we can economize the things and do s ome sort of productive job. So, by which if we gain anything, that's an additional thing. But however, nowadays, the market is at very low levels.
I think EBITDA, if you talk about EBITDA, I'm very shameful to say that it is around 10 kind of level

now we are getting. If we are able to do something better, I think it is always better, because actually, sir, all the orders on hand were executed and because of the big gap that has come in NHAI, for 2 years there has been very less job inflow that has caused us to bid in such a way that's the major issue sir.
And second sir, the overheads are higher because the staff and equipment, everything is being maintained in the same level and the turnover has come down. So, for which also, we are facing that. So, everything we put into the shape and everything is coming into the busy shape, then things will improve. That's what we are thinking.
Shravan Shah : So, you are saying that the execution, the turnover in the next year FY '28 obviously can be ramped up significantly if we win the order inflow. But on the margin front, we are saying that 10% is the one that one can look at. But there also, given the HAM proje cts that even recently we have won, so there previously, we used to have a 18%, 20% kind of margin. So at least the HAM will still will be contributing a decent margin, but the other segments, as you are saying, would be having a kind of a 10% margin. That 's the way one can look at?
K Jalandhar Reddy : Actually, that recent Mahabubnagar -Gudebellur project I think it is aimed at 11 %-12% level , EBITDA execution thing. So going forward, we'll have to see that, sir. Again, I think Chennai

one is a little bit comfortable we can say. So overall, we should be doing good, but we'll have to see, sir, how it goes because you know based on the amount of works being executed to that particular quarter , with respect to the same level of staff and the same level of equipment depreciation, which is being passed on, everything correlates that you always know that calculation I didn't have to tell you. So, situation is that sir.
Really , critical thing now to answer , every time I have to tell you that this will happen, this may happen like that. This time, a bit dilemma is there. And h owever, I think going forward, after winning a few more orders, I can clearly tell you what happens sir.
Shravan Shah : For mining the existing one in terms of the capex and the revenue, how we can look at for this year FY27 and next year, the existing INR3,552 crores mining order that we have. So, in terms of revenue and capex
KJalandhar Reddy : Mining order sir, actually concerned that the main hurdle of getting that Banhardih mine that F1 clearance has come up for the forest, which i s about, say, 850 hectares land, whatever 50% is given for, I think the F1 clearance has co me. And now the Banhardih Village, Gram Sabha is to happen and once that comes out, then we will be able to tell you when exactly the timelines are.
Once the Gram Sabha is conducted, but NTPC officials, they could not answer the questions raised by the public, any villagers about the rehabilitation issues.
So, I think for the next meeting, they will be prepared to answer those questions because they were needing some certain clarifications with their headquarter department and central government clearances they have to take before they announce anything. So, I think they are getting prepared for that and then go for the Gram Sabha again. So, this time, it could be a successful story. I think not less than it will take 7 to 8 months to s tart at least .
Shravan Shah : Okay. And sir, lastly, in terms of how many value of projects and also if you can specify NHAI at the state level that we have already submitted bids and where the outcome is yet to come?
KJalandhar Reddy : So actually, that submission happened in the many fronts. Our mining project, which we have submitted around INR3,600 crores bid is submitted for that. And I think apart from that, there are Chennai 2 , ORR projects. There are 2 projects put together around INR850 crores and odd.

So, this is about, say, INR4,000 crores plus, that's what in the pipeline is there now.
Apart from that, I think tenders submitted, but not open they are about INR3,000 crores, INR4,000 crores, and GHMC also has come up around INR1,400 crores has come in the last year ended itself. So, with all that, I think now we have a good pipeline and we are also a few bids which we are now going to submit, which we have committed.

I think we are waiting for NHAI bids to happen. I n many areas, we have studied from the past 2 years. So, there the study is ready now. I think when the tenders happen, then definitely we're going to prepare.

Moderator: Next question is from the line of from Balasubramanian from Arihant Capital.

Balasubramanian : Sir, on the mining capex of INR350 crores, this will be funded at stand -alone level, the internal accruals for new debt or separate project SPV ? And I'm trying to understand, I think the projects, I think to start at third quarter of this financial year. So, when we can expect revenue contributions in mining in FY '27 or FY '28?

K. Venkata Ram Rao : So, this -- whatever the capex is in the mining project definitely will be in the parent company balance sheet because this project is being MDO, but whatever the back -to-back work done by KNR JV partner. So, whatever the capex requirement will come that KNR is going to bo ught that money.

And for that, you know that already our monetization proposal i s going on. We have the internal accruals, and we can definitely go for a higher purchase loan also. So, we are working out actually where we have to get -- how we have to fund that capex. So that is one thing.

And in respect of mining project, as sir already explained that it will take further 7 to 8 months to start , we can say maybe from Q4 actually that mining may give some revenue actually in this year.

Balasubramanian : Okay, sir. Sir, my second question, could you please talk about concrete pipelin e for railway and metro projects in the coming years? And earlier you have mentioned about 2 to 3 percentage of margin dilutions to win new orders. So out of INR11,900 crores, how much percentage is in high-margins orders? And how much percent low -margin o rders, which you have taken 2 to 3 percentage of margin dilutions?

K. Venkata Ram Rao : So definitely in the railway sector, actually, we have bidded actually some of the projects might be around INR700 crores to INR 800 crores. Actually, we have bidded the projects in the railway sector.

And as we are making the diversification in other sector, so definitely, the margin level is, as sir explained, around 10% we are seeing overall margin level with the composition of our HAM project and this ECR Chennai project and what are the projects we got actually in the GHMC area because there is not much irrigation project is there because generally, irrigation project used to give above around 18% to 20% of EBITDA. So that's wh y our overall EBITDA was good. But now irrigation projects are not much in our order book.

So definitely, execution aspect, definitely, we will try to achieve that. But EBITDA front, definitely, we have to keep our growth , and we are selling at around 10% to 11% like the EBITDA we could maintain in the future.

Moderator: Thank you. Balasubramanian , I will request to come back. Next question is from the line of from Taha Ansari from Taha Capital Management. Please go ahead.

Taha Ansari : Thanks for the opportunity, sir. Sir, just now you said that by quarter 4 of this financial year, our mining project can get operational. So, if this goes on, so what can we expect going in FY28? What revenues our mining project can make for us going within FY28?

K. Venkata Ram Rao: you know that in this mining project it is open min

ing . So, we have to do a lot of excavation.

and our billing is based on how much coal we extracted. The project i s actually around INR3,500 crores for the financial year.

Our turnover will be somewhere around INR300 crores to INR400 crores actually per annum. If it is fully operational, then it will peak up to, you can say, INR1,000 crores turnover in the fifth year. So initially, we are expecting somewhere around INR300 crores to INR350 crores of the turnover. if it is going to be operational.

Taha Ansari : Okay. And this is for FY28, INR350 crores to INR400 crores in mining?

K. Venkata Ram Rao : Yes.

Taha Ansari : Okay. And the second one is, sir, by the end of FY26, we got 2 HAM projects worth around INR3,800-odd crores. So, what appointment date for them we can expect as well as is there any revenue guidance you can give going ahead for FY27 and '28 from these 2 particular HAM projects which we got in the very last ?

K. Venkata Ram Rao : As far as the ECR Chennai project is concerned, , we are almost finalized. We are there in the process of doing the financial closure. And we expect that we may complete the financial closure in this month and you can say. So, after that based on the land is also available.
So, we can target actually appoint it maybe in the next 2 months . And that project is going to start contributing in somewhere in Q3, Q4 . And as far as our Telangana project is concer ned, we have time till September and maybe in Q4 , Telangana project is going to contribute something about that also.
Taha Ansari : Okay. So, the main contribution from these 2 projects will be there in FY28 only. And sir, the last one of mine, you said that in 2 to 3 months, we'll get the irrigation receivables and all, which are pending.
So yesterday only, there was an article published in which the irrigation minister is saying that they are focusing more on to this Palamuru irrigation p roject. they are focusing on a mission mode on these projects.
And even he has suggested that the previous government was more into Kaleshwaram financing and going on to these projects, and we are more focused on to this Palamuru irrigation project.
So, what should we expect from it? Can it add to more time receiving our receivables or something?

K. Venkata Ram Rao : Actually, sir, as we already told you because for Package 4, basically, where is the concern is there for the receivable of the debt . So definitely, we are following rigorously with the government . And ultimately, as you know that this water supply to the Hyderabad cities, right now, the scarcity is there. So definitely, we had meeting with irrigation officials.
So onc e our project is completed, then only that water can come to the Hyderabad City. So, this is also one of the, you can say, priority project the government has to because government has already awarded actually project from pipeline from our project to t he Hyderabad city. Once the water is available in that reservoir, then only the water is going to come.
That's why we are discussing with them , and we are hoping that maybe 2 to 3 months , we should be able to get the money. So definitely, our project, we will get money , what we want to say.
Moderator: Sorry to interrupt you, Taha. Kindly come back for a follow -up please. Thank you. Next question is from the line of Vasudev from Nuvama Wealth. Please go ahead.
Vasudev: Yes. Thank you for the opportunity. Sir, in the irrigation and the pipeline projects, how much have we done the execution in FY26? And how much are we planning for FY27?
K. Venkata Ram Rao : , percentage wise in FY26, , we did around 17% work in irrigation projects . And out of that pipeline work is it is around the 13 %-14% we did in the pipeline work in FY26.
Vasudev: Could you quantify in value terms, like how much we did in '2 6 and our plan for '27?
K.

Venkata Ram Rao : In fact, this pipeline work we did around INR270 crores work in FY26. And as far as irrigation, we did around INR340 crores of work in FY26. And next year, definitely for we are trying to do around INR350 crores to INR400 crores works in FY27 for our pipeline work.
And irrigation work actually most of the work is completed. So, Package 4 is almost -- it is everything in done only almost. So, turnover will come from Package 3 projects only. So, because there is some land issue is there. So, the government has to pay this villagers for acquiring that la nd. If government is paying that land, then definitely, we can execute around maybe around INR200 crores to INR250 crores work in the Package 3 in FY27.
Vasudev: Okay. And sir, just some bookkeeping questions. What is the capex we did in Q4 and our target for FY27 are revenue split for the quarter across segments? And how much is the balance outstanding from Telangana government?
K. Venkata Ram Rao : As far as Telangana government outstanding is almost INR1,400 crores INR1,450 crores is there, including
including unbilled there pending from the government of Telangana. As far as capex requirement is there, so for FY27 because
now this mining project is going to -- whatever the existing capex is sufficient actually for our existing order book.

But once the mining projects and because we have projects in this ECR Chennai where this is completely elevated corridor, there are some capex which will come. So, this year, , we are targeting somewhere around INR200 crores to INR250 crores of the capex based on when this

mining project is going to start .
Moderator: Thank you. Next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.
Vaibhav Shah : You mentioned that we will get ADs for the 2 new HAMs in 3Q and 4Q. So, what kind of execution are we targeting in FY28 from both the HAMs?
K. Jalandhar Reddy : I think we have to complete that project ,that is 3 years. But I think mostly -- we'll have to target actually Madathukulam one , we'll have to complete that actually by FY28.
K. Venkata Ram Rao : September '28. So, you can say around INR1,000 crores to INR1,200 crores we can execute from these in FY28.
Vaibhav Shah : From both HAMs combined?
K. Venkata Ram Rao : Both HAMs combined, y es.
Vaibhav Shah : Okay , okay. And sir, what would be our unbilled portion in the irrigation order backlog?
K. Venkat Ram Rao : Unbilled is there around INR800 crores.
Vaibhav Shah : So that revenue is already recognized or is it staying in the order book?
K. Venkata Ram Rao : Yes, correct.
Vaibhav Shah : Okay . And sir lastly, what was our revenue from irrigation in Q4?
K. Venkat Ram Rao In Q4, irrigation revenue was just -- it is around 8%.
Vaibhav Shah : 8% for Q4?
K. Venkat Ram Rao : For Q4, yes.
Vaibhav Shah : Okay , okay . And sir, lastly, you mentioned that margins could be around 10%, 11% for FY27. Do you expect it to remain similar in '28 as well despite we d oing by a sizable portion in FY28 given the very strong order book right now, which will be under execution for the entire FY28?
K. Venkata Ram Rao : As sir explained because whatever the existing order books are there. So, we have taken because you know that last almost 3 y ears, we are not getting much order. So definitely, we have gone a little bit aggressively and we have got this project. So that's why previously you know the HAM project, we are getting around 15% to 16% of EBITDA and irrigation is more than around10% to 20% EBITDA .

But right now, we are definitely going aggressively and that's why this in even this our Mahabubnagar project which there is we will get somewhere at all to 13%. So that's why in overall order book as of now we are expected around 10 %

to 11% of EBITDA .
Vaibhav Shah : Okay. Sir, lastly, what revenue are we targeting for FY28?
K. Venkata Ram Rao: Our target is because this year, we did INR2,000 crores and next year, we will do somewhere around INR2,000 crores plus, maybe INR2,200 crores, INR2,300 crores. So definitely around INR3,000 crores plus we are targeting actually in FY28.
Vaibhav Shah : Okay. Thank you.
Moderator: Next quest ion is from the line of Bhavin Modi from Anand Rathi. Please go ahead.
Bhavin Modi: Can you help me what is the unbilled revenue pending from the road order book and from the pipeline?
K. Venkata Ram Rao: Actually, almost irrigation project is almost INR800 crores actually and balance, you can say around INR500 crores in the road.
Bhavin Modi: Understood. And sir, second, with respect to in the last call, we mentioned that we are forming a team for the railway segment. And we also saw there was a b idding done by the KNR in the railway. So how do you see railway vis -a-vis the road because all the other players are seeing there are not such good margins in the railway segment. So how are you looking at or what different we are trying?
K. Jalandhar Red dy: Railways, maybe we have done almost 6, 7 tenders as of now, out of which none of them because the market is there is a little bit heated. So recently, we have submitted in some contract between Lumpur and Shimoga. Shimoga , I think that is around INR800 crores. So that there we are expecting, I don't know what happens, we can't say, but we have quoted a little bit sensibly. We'll have to see what happens here.
But I think the trend is very strong -- but I think this will ease out our problems in goin g into railways and all. So, it's targeting for high -speed railways with the joint venture partner under which we are discussing. So definitely, I think this will give us in quoting those aspects . So, I'm making the trials in this actually.
Bhavin Modi: Sir, last thing, any ongoing talks for the back -to-back EPC arrangement either in railways or roads anything which is going on?
K. Jalandhar Reddy : So back -to-back discussion was there on that Maharashtra project, but there also they were not offering some l ucrative price. They have got a lucrative price, but they are not keeping the lucrative price. So, we said the discussion, we can't say it's a successful story or not successful story. we have quoted our price to them. If they accept, definitely, we'll do at that price.

Bhavin Modi: Okay. And any plans on the elevated...
K. Jalandhar Reddy : I can even say that Pune - Nanded highway we are waiting for that person to respond on that. Sir trials are there from all corners withlittle bit sensible payment backup. We are all trying in it.
Bhavin Modi: Understood. Thank you sir.
Moderator: Thank you. Next question is from the line of Faisal Hawa from H.G. Hawa and Company . Please go ahead.
Faisal Hawa: Sir, over the years, we have accumulated a lot of land in the sense for mining, etcetera. And now because of so lar projects in rural areas, et cetera, there is a lot of value for these lands. So, can you just give an estimate of what this land bank that we have is wo rth today at current prices? That is one.
Second, sir, there are a lot of data centre projects which are coming on in Andhra Pradesh, and we are kind of quite strong in that region. So, are we looking at executing these projects because these are also rat her complex projects, and we can have some private sector involvement so that our payments matters are also eased out? And third is, sir, what are our plans in solar? And how do we plan to really get into the sector in a big way without compromising on mar gins?
K. Jalandhar Reddy : Sir, , solar is concerned, first, I'll talk about the land which we have on the ground. See actually, sir, these lands were accumu

lated only for the quarries and all other. See, there is every highway, which we have done to core lanes, I think neither coming fo r six lanes or for the green field. So, these most of the quarries are a little bit useful for those projects which are coming up because later, if you want to buy the se not at an unacquirable cost.
Today, even the land which I want to purchase I cannot purchase because the price is so much. Almost they have gone by 3 x to 4x above. So, with this, sir, actually, the little bit comfortness is there for the company asset kind of build -up.
But , it's the right idea that going solar into these projects, yes, definitely, sir, we are examining the case. And as and when the things roll out like nearby areas if they call for tenders, NTPC tie -ups, we are able to make up. All that we are trying up. De finitely, sir, we would like to develop these lands with solar or for the quarry. So, we want them to be under utilization in coming 4, 5 years. That is the target which we are working on it, sir.
Second, sir, which you have asked about data centre , we ar e now thinking of data centre in Hyderabad near about smart city area. There have been certain friends who would like to join the thing and they want to make the business successful. So, the model has come up like Agentic AI plus data centre development.
So, these sort of thing is going to be a little bit EBITDA making and then going forward, it is lucrative for the public also. So definitely, sir, we are now under disc ussion stage. I think one

the Mo U also model M oU has been circulated betwe en us and the partners who want to join the thing.
So, this is a little bit at this stage right now. So going forward, the plan for the company is that to grow very big in the data centre , not like doing one data centre and restricting others because back up data centres are also required and then multiple data centre requirement is there in India because 2027 onwards, Indian data should be Indian in India. So, the advantage also is going to boost the business. That's what everybody is thinking, and we are also a positive thought we are giving towards that sir.
Faisal Hawa: But we are definitely very well equipped to do data centre EPC work?
K. Jalandhar Reddy : Yes, sir. We will do EPC. EPC no doubt will be done by KNR. The thing is the main thing that allotment of land from the government where the power -- 100% power supply assurance is there. That is only the important point with water supply. This is the main thing, sir.
Faisal Hawa: And sir, what are our long -term plans in solar EPC? I believe that the plain vanilla solar EPC is not attracting us much because of the low margins. So, is there some other long -term plans that we have?
K. Jalandhar Reddy : Solar EPC kind of thing, sir. What is happening here, actually if I were to answer that question. Solar EPC in a small scale, it is worst . We cannot even touch. But the larger scale like 1,000 megawatts and all that, they are having some sensible touc h. So definitely, sir, there only we

want to hit not below this. Above 500 are all happening in a good way. Only the c hallenging point in this is acquiring the land for those things.

In certain contracts, land is being offered by the client itself. There, we have no issues. But certain areas, we have to go with our own land or the land leasing method which we have to go. So we are now exploring sir. Maharashtra area, we are exploring opportunities. And Karnataka also recently, we have gone one lan d position. All that is happening, sir, slowly.

Faisal Hawa: Thank you so much for answering my question so well sir.

Moderator: Thank you. N ext question is from the line of Durgesh Shukla from InCred Capital. Please go ahead.

Durgesh Shukla: Hello, sir. Thanks for the opportunity. I just have one question. In t

he results pdf on the stand -
alone part on point number 4, it is mentioned that the company has recognized claims for an amount of INR16,297 lakhs from client on settlement. And also, you have mentio ned about cost and everything. So just wanted to know this revenue, this part of recognized claim is already included in the revenue or not?

K. Jalandhar Reddy: It is included because what has happened, INR162 crores of the claims we have recognized and we have assessed some of the projects where our cost has changed. So, you can consider that

around actually net of INR162 crores minus INR130 crores, around INR27 crores has been considered in the income from operation.

Durgesh Shukla: Okay. So basically, th is INR16,297 lakhs and INR13,552 lakhs is both included in revenue and cost in the given statement . That's the thing, right, sir?

K. Jalandhar Reddy: Yes, yes. It is included in revenue from operations. So, net has been included, what you can say.

Durgesh Shukla: Net has been included. Okay, sir. Thank you sir. That's all from my side.

Moderator: Thank you. Next question is from the line of Vasudev from Nuvama Wealth Management. Please go ahead.

Vasudev: Yes. Thank you for the follow up. So, sir, we're targeting INR8,000 crores to INR10,000 crores of order inflows for next year. So, for this, what kind of bid pipeline, if you can just quantify that, that we are looking at?

K. Venkat Ram Rao : As you told that around INR4,000 cro res the pipeline is there. That is basically some of the GHMC project and some of the mining projects are there. And we are targeting to actually bid for some of the NHAI projects in the Northeast part , NHAI projects are coming in the HAM model. S o that's INR8,000 crores to INR10,000 crores is a mix of all these things, mining and roads .

Vasudev: Okay. Got it, sir. And you said that irrigation is about 8% of the total revenue for this quarter. So, if you can give a breakdown for remaining segments as well, like road EPC, HAM and as such?

K. Venkat Ram Rao : Yes, yes. HAM is around 42% for this quarter. And road EPC is 33% and back -to-back EPC is around 17%.

Vasudev: Okay. Sure. And la stly, sir, what is the capex that we did in Q4?

K. Venkat Ram Rao : We did actually almost not much actually. Total year, we did around INR4 crores of capex.

Vasudev: Okay. Fair, sir. Got it. That’s it from me, sir.

Moderator: Thank you. Next question is from the line of Akshat, an Individual Investor. Please go ahead.

Akshat : Are there any major delays or execution challenges in the current projects? If yes, then what steps are being taken to improve execution and timeline in financial year '27?

K. Venkata Ram Rao: Delays in I think Kushalnagar

K. Jalandhar Reddy: Mysore -Kushalnagar , there have been certain land problems were there because of that service road they wanted the public , it's a greenfield. Actually, the lands are divided into 2 parts, rather access to the village and the lands have been cut by the highway. So, they wanted certain service

roads to be provided and access to the village to be provided. So, for that , they were fighting and all these days, they stopped it.

NHAI could not conclude that. But later recently within, I think, 2 weeks back, they have given the police protection to go ahead with the work. So now wo rks are restored. I think the work is in full swing by today. So, with all that, I think those projects timeline is going to be a little bit shifted.

But however, we will try to procure the provisional completion on time, but the final completion may diffe r with the final completion date. That's what we are expecting because more than 50% of the land was under problem on both the projects, Mysore - Kushalnagar 2 projects, it is like that. And rest

all, I think most of them online, Mahabubnagar , what I heard recently, we met the Project Director, he was very confident of giving land within 5 months of time. He would give entire land to us to go ahead.
Akshat : Okay. Thank you, sir.
Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to the management for closing comments.
K. Venkata Ram Rao: Yes. Thank you. Thank you all for joining us on this call. Please reach out to our Investor Relations Consultant, Strategic Growth Advisor s or us directl y should you have any further queries. We can now close the call. Thank you.
Moderator: Thank you very much. On behalf of KNR Constructions Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.